

Aarti Pharmalabs (AARTIPHARM)

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Call: Sep 2023

August 16 , 2023

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: AARTIPHARM

Sub: Transcript of Q1 FY24 Earnings Conference
Call
Ref: Regulation 30 of the SEBI (LODR) Regulations
2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Thursday , August 10 , 2023
on the Audited Financial Results of the Company for the Q1 FY24 .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED
(Formerly known as Aarti Organics Limited)

NIKHIL NATU
COMPANY SECRETARY
ICSI M. NO. A27738

Encl.: a/a.
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Aarti Pharmalabs Limited
Q1 FY '24 Earnings Conference Call
August 10 , 2023

Moderator: Ladies and gentlemen, good day and welcome to the Aarti Pharma Labs Limited Q1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and anyone who wishes to ask a question may enter star and one on their touch-tone phone. To remove yourself from the queue, please enter star and two. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

From Aarti Pharma Labs, we are joined by senior members of the management team including Mr. Rashesh Gogri, Chairman, Mrs. Hetal Gogri Gala, Vice Chairperson and Managing Director, Mr. Piyush Lakhani, Chief Financial Officer. We will commence the call with opening thoughts from Mr. Rashesh Gogri. Post this, we shall open the forum for Q&A where the management will be addressing

queries of the participants. Just to share this standard disclaimer, certain statements that may be made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the investor presentation uploaded on stock exchange websites. I would now invite Mr. Rashesh Gogri to share his perspectives. Thank you and over to you, sir.

Rashesh Gogri: Thank you. Good afternoon and a warm welcome to everyone on Aarti Pharma Labs Q1 FY24 earnings conference call. I wish to cover initial thoughts on the performance, evolving market trends and the outlook. The company operates in API and intermediates, CDMO, CMO and Xanthine-based intermediate business within the pharmaceutical industry. Company focuses on selling APIs and intermediates in the regulated market and during the last financial year, 2022-23, the company had commissioned an additional block in its API manufacturing plant.

The utilization ramp-up will happen from this year's H2 in the current fiscal. In CDMO-CMO business, strong scale-up and commercial manufacturing expertise of over two decades is helping us to enhance customer confidence in us and with its strong chemistry and manufacturing capability, we will continue to look for backward integration opportunities to become China independent.

One of the projects estimated to be completed in Q2 of this year is to manufacture the main raw material for Xanthine products, which is being currently imported. This will make us completely independent of China in this chemistry. Let me now cover the key performance highlights of Q1 FY24. Our consolidated revenues have declined by 6% to INR458 crores, whereas the consolidated

EBITDA increased by 6% to INR85 crores and consolidated profit after tax stood at INR48 crores higher by 10% over the previous quarter.

Now let me share some of the updates on the projects that commenced operations in recent past. Firstly, we have expanded our Xanthine capacity by de-bottlenecking from 4,00

0 tons per annum to

5,000 tons per annum. And the work on the Greenfield project at Atali, Gujarat has gained momentum in this quarter and company expects to complete this project in H2 of FY25. With the current demand outlook continuing to maintain stable, we expect to be on track to meet our guided EBITDA growth of around 10% to 15% in FY24 and also are well placed to meet our long-term guidance.

To conclude, I would like to say that we firmly believe in India's assuring potential within several pharma products and we will leverage our towering strengths across chosen chemistries with nuanced understanding of the market complexity to deliver robust performance. The ensuing years will see introduction of many high-quality product promised on core R&D competence, which will cement our leadership position in the market and deliver sustained value for our long-term stakeholders. I now request the moderator to open the forum for Q&A. Thank you.

Moderator: Thank you very much. Our first question is from the line of Rahul Jain from Credence Wealth. Please go ahead.

Rahul Jain: Thanks for the opportunity. And, sir, thanks for this call. I appreciate the interaction with the investors and we hope this will be consistently done on a quarterly basis as we have been always doing it with our other group companies. And also, thank you for the initial commentary and detailed presentation.

Sir, coming to the questions, first of all, based on the presentation which you had also released in June and the current presentation, we have done in the last two years a total capex of about INR216 crores, sorry, total INR315 crores and capitalized roughly about INR370 crores.

So, out of this, how much is the growth capex, how much is the backward integration and the balance, something which would be related to environment and compliance related? And you did mention the ramp up will happen in this year. So, typically, the capex which has been done till date, including roughly INR38 crores in quarter one, what kind of effect we can expect on this and what kind of sales could be possible with the amount of capex which has been done till date?

That is my first question. And the same thing related to the capex which we are going to complete in the current year FY24 and 25, if you could share details on that also in terms of the schedule of completion ramp up and the peak sales that would be possible.

Management: Yes. So, to tell you about this, you know, we will be holding these meetings on a quarterly basis so that we can appraise the investor community about the growth and the status of the company. And as far as your capex questions are concerned, you know, we did spend close to INR300 crores in last couple of years, INR370 crores, out of which, you know, more than INR200 crores went for the growth capex. And we capitalized out of that. We have capitalized around INR130 crores for our Tarapur project where, you know, we are expecting this ramp up to happen over next one, one and a half years.

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So what happens in pharmaceutical industry is that whenever you open up a new block or a new site, you have to do the validation and then the customers will get approval. And it has to be added in the CEP or the US FDA. And then you get the approval to sell for those APIs which are moved from our existing block to the new block. So it normally takes around two years for the full, you know, ramp up to happen. Any expansion then we which we put up in the API facility. Similarly, we also spend some capex on enhancing our hydrogenation capacity as well as intermediate capacity in last two years. And those capexes have come online and we expect, more CMO, CDMO projects in this intermediate and hydrogenation manufacturing lines. Normally our maintenance capex and the other EHS related

capex is around INR50 crores to INR60 crores a year and that's how it is planned.

So, if

we end up doing INR200 crores capex or INR150 crores capex a year, then INR50 crores to INR60 crores will be the capex for this activity and the rest will be for the growth.

Rahul Jain: And the asset terms are on the growth capex?

Rashesh Gogri: Yes, asset term, typically we are currently looking at 1.5 asset term. That is what the current run rate is. But we would like to, of course, expand that number closer to 2, but currently we are in that range, 1.5 to 2. Sure.

Rahul Jain: Sure. Sir, on the new product you have been talking about introducing roughly about 40 products per year, going ahead with a total basket of 150 products. Can you share some details on some of the major products out of this maybe you may name it or not, but what segment they are typically going into, are these kind of intermediates also for some of the patented products.

And I understand from whatever data we have got through Aarti Industries concalls and the presentations across that we typically we are into more high value products and where our products would sell somewhere beyond USD100 per kg or about INR10,000 per kg. So going ahead, the kind of product addition, which is going to happen, if you could share some more details about that in terms of what segments.

What category and whether the gross margins which have been hovering around 39%, 42% for last two years, three years. Do we expect this new products to be on a much higher gross margin trajectory?

Rashesh Gogri: Yes, so basically, this is our R&D program has normally taken up to 40 products for development and out of which we may not be successful in all the products. Typically, we end up doing 8 APIs to 10 APIs and balance in the intermediate space. And also, we have some CMO, CDMO projects out of those.

So, that is the product mix of R&D that we do currently and on a standalone basis, if you see, we have more than 50% of gross contribution. So, I think for understanding you have to look at the standalone and see how it is moving.

And we expect this 50% kind of a gross contribution to continue for the future product mix that we...

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Rahul Jain: Yes, for the product mix.

Rashesh Gogri: Yes.

Rahul Jain: So that's very helpful. And last one, sir xanthine, which was around 40% in FY'21 and FY'22, went up to almost 56% in FY'23, probably due to the rising prices and higher volumes. And now it is in quarter 1, it is back to around 50% and API intermediates are around 43%. Out of which CDMO is again 6%.

So, how do we see this proportion in next two years – two years to three years coming in to change and if you could share the margins in each of these segments or which is the higher margin segment relatively?

Rashesh Gogri: I think overall, on a quarter -to-quarter, I think the CDMO and the API numbers will keep on changing depending on the products and the orders that we get because essentially the API intermediates and the CMO, CDMO business uses the same assets, which are shared between both the businesses. And the CMO, CDMO business is what we are trying to grow and we expect by the end of the year, this number to be higher than the 6.3 number. Going forward, it depends on how much projects we are able to deliver, but longer term we see API intermediates and CMO, CDMO business growing in next couple of years.

Rahul Jain: And that is the higher margin segment out of the three?

Rashesh Gogri: Yes, that would become a higher margin. Of course, xanthine margins have come under pressure definitely than what they were in last two years. And that's why you are seeing that despite us producing more quantity in the current quarter.

Rahul Jain: Just last one, if I could squeeze in and then I'll come back in case if I have more questions. Exports for us has always grown at a faster rate in last five years and also a 12-year period. Exports growth has been roughly around 16% in five years

compared to the overall sales growth, which has been a bit lower and they were hovering around 55%, 56%.

So, going ahead, maybe this could be just a quarterly phenomenon where this in this quarter, it is much at a lower percentage at around 40%, 42%. But of course, we should not be looking on a quarterly basis. But overall, say in next two years, three years the proportion of exports will keep growing furthermore and also the export margins versus the domestic business margins.

Rashesh Gogri: Yes, basically the way in which we have to look at it is whether we are supplying direct export and indirect export. So, essentially the products in which we are operating essentially cater to the export market to large extent. And overall, if you see the non-reg market that we cater is very limited. It could be 15%, 20% only, not more than that. So, direct export and indirect export combined is almost 75%, 80% of what we do.

Management: So basically, three of our API plants are U.S. FDA approved, so main focus is on exports.

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Rahul Jain: Sure. Thank you so much, team. This is quite helpful. Wish you all the best. Thank you so much.

Moderator: Thank you. Our next question is from the line of Nitesh Dutt from Burman Capital. Please go ahead.

Nitesh Dutt: Hi. Thanks for the opportunity. I have a clarification on our segmental business mix. So, the FY'23 presentation mentions that xanthine contribution is 57% of revenue. So does the 57% figure include revenue from Ganesh Polychem, Aarti US, and the chemical revenue also or is it purely xanthine revenue?

Rashesh Gogri: Yes. So this is on a standalone cut of the revenue. So, Ganesh revenue is separate. Okay. So of the entire years of INR1500 crores approximate sales, 57% was the xanthine.

Nitesh Dutt: Understood, okay. Second question is on our capacity expansion. So, we have expanded capacity at Tarapur plant, xanthine plant also and recently on intermediates and we are also investing heavily in Atali. So the question is, why is our EBITDA guidance only 12% to 17% versus our longer-term historic performance of 20% plus? Is it because the EBITDA will grow slower than revenue or is there any other reason?

Rashesh Gogri: Yes. Basically what has happened in last two years, we had a high growth in the xanthine overall margins and that has put us in a high base EBITDA number. So, to grow over it for next few years, it is still a task. Because overall what we are trying to do is we are trying to compensate the decrease in the margins by expanding the tonnages of xanthine derivative.

So, that's why from 4000 tons we went to 5000 tons and now we are looking at how we can further debottleneck and expand the capacity of it further. So, that we don't impact the overall absolute number on that. Yes. So that's why we are giving a fair estimate 12% to 17% on overall EBITDA growth.

But overall, PAT growth can be higher because EBITDA growth is, as you know, that we have reasonable debt, which is not very high. So, overall PAT growth can be higher.

Nitesh Dutt: Got it. Fair enough. Can you please provide some kind of guidance for xanthine API and intermediates and also the chemicals business for FY'24 as well as slightly longer term?

Rashesh Gogri: I think we are giving you the mixed guidance and we have not worked out the guidance on each business. Because, of course, in the current volatile situation in the chemical space it's very difficult to give guidance. You yourselves know the way in which the chemical industry is behaving now.

So, I think what is important is that we have been operating in intermediate space and CMO, CDMO space, which is insulated by all this. And where we also cater to the demand of upcoming generic products intermediates and where we don't have this effect of slowness, etcetera because the companies that are our customers are trying to first file the APIs, taking our intermediates.

Nitesh Dutt: Got it. Sir, one more question is on our current and sustainable margin trajectory for our different business segments. So, if you could provide some color on what kind of EBITDA level or GM level margins are we making across API, intermediates and xanthine and chemicals business separately and

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also what kind of margins, sustainable margins would you expect going forward let's say two years, three years out?

Rashesh Gogri: I think we would be in the range of 20% plus or minus two, I think on the overall EBITDA for the company as a whole. I think different businesses tend to behave differently on a quarter-to-quarter because CDMO, CMO and API are part of the same shared asset. And what happens is that in particular quarter, if we have a higher CMO, CDMO business, then the margins little bit bump up as compared to the traditional API, intermediate business.

So, it's difficult to do the breakup of this. And of course, in xanthine, we are trying to augment the absolute number and we are trying to protect the absolute number to the best of our ability by enhancing the capacity. So, that is what we are trying to do now.

Nitesh Dutt: Fair enough. And lastly, a couple of questions sir, on the utilization front, could you share utilization numbers for your facilities like Vapi intermediate plant, Tarapur API and xanthine plant, also the Dombivli API plant and I think these are the peak revenue potential from these existing facilities?

Rashesh Gogri: So, overall our intermediate plants would operate at around 80% plus or minus 5% level and API plant because since we have just commissioned this facility that is operating at little lower per tonnage, but it is a play of product mix. Of course, in our API plant we have dedicated block which caters to the steroids and anti-cancer demand production and they have a different operating rates. So, it's a bit complex than the absolute number, but it is around the 75-85 range, largely for all the activity whereas our xanthine capacity we try to operate it much higher level so 90% is the xanthine overall operation rate.

Nitesh Dutt: Sir is this the peak utilization or the current utilization?

Rashesh Gogri: Typically, we operate 90-95% on the xanthine. So, of a name plate capacity, we try to operate at a maximum level and then we can traditionally markets, cola markets and we try to place the product, because current our market share is 15%, 20%, so we always have a potential to take that market share away from the competition and place our product.

Nitesh Dutt: And for intermediate and API sir, the numbers you mentioned are the current utilization or the peak?

Rashesh Gogri: Because we are using our multipurpose plant to do the production and there are multiple stages that we do. So, the changeover times and all that also affects over a utilization of the intermediate plant, whereas API gave you the explanation about the current ramp up etcetera. So, that's why those

facilities of newly commissioned block utilization is little lower.

Nitesh Dutt: Okay got it. And what's your estimate on peak revenue from these facilities?

Rashesh Gogri: Peak revenue is dependent on the product mix and what we produce. So, I can produce a INR5,000 a kilo product in the same asset and I can build a INR50,000 a kilo product also in the same asset. So, it depends on the product mix. So, what we are trying to do is how do we grow the absolute EBITDA and I think that is the number that ideally one should focus on.

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And typically we like to do more value-added products as far as possible and do lesser and lesser of the lower value product, low margin product. So, that is how we try to manage overall product mix.

Nitesh Dutt: Got it. So, just last question on capex front, other than the Atali capex of INR350 Cr to INR500 Cr, are you planning any other capex for API intermediates and xa

nthine as well in next couple of years?

Rashesh Gogri: Yes, so the INR350 crores is the capex number for Atali and INR500 crores is the overall capex number. So, we will be doing the small capex of the debottlenecking etcetera and time-to-time, we will evaluate the opportunity and see the current API facility that we have where we have just one block there, we have space to put up another three blocks, two to three blocks. So, there we have scope of expansion. So as soon as we feel that now the occupancy is good, and we have a potential to put up additional block, then in 15 months to 18 months, we can put up one more block.

So, and in Xanthine also, we are looking at optimizing and the bottle linking time-to-time. So that is a thing which is WIP. If we do that, then we'll get back to you in the next few quarters on any change in the capex program.

Nitesh Dutt: All right. Thank you, sir. I'll join back the queue.

Moderator: Thank you. Our next question is from the line of Vikas Sharda from NT Asset Management. Please go ahead.

Vikas Sharda: Yes, hi, good evening. Thanks for the opportunity. I have a couple of questions. One is on the CDMO and the CMO segment. Could you give some color on what kind of products do you make there and what kind of opportunities you're looking at in terms of say product lifecycle or the say the customer type?

Management: Yes, in CDMO, CMO space, generally we like to operate in phase 2 and upwards. So basically, that is why we have mentioned in our presentation that we like to, we are not working on mad chemistry, we are working on scale ups and commercialization, the products which have potential of commercialization. So that move from phase 2 to phase 3, and then the final approval. So we work in that segment and we are working with innovators and we are working with the partners of innovator to supply them with the KSM, RSM for their requirement.

Vikas Sharda: Understand. And currently, how many products would you be making in that segment?

Management: So currently we are doing 16 products have been commercialized and 12 products are under development for this segment.

Management: At the innovator level. So they are either in phase 2 or phase 3 at innovator.

Vikas Sharda: So 12 in pipeline, right?

Management: Yes.

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Vikas Sharda: Understand. And coming to the API segment, again, I mean, any colors will be helpful if you can talk about your key products, which are say, I mean, have meaningful revenue share for you, or where you have a significant global market share, either in therapy or whichever way you want to talk about.

Management: So we operate in steroid chemistry, we operate in hypertensive and the anti-cancer space and there we have products where we have strong position. But overall, that's three segment is big for us. And the steroids.

Vikas Sharda: Understand. And how is the product concentration for you in API?

Management: Top 10 product would constitute to 60% of the overall sales. API? No. So after the API sales, top 10 product would constitute to around 60%.

Vikas Sharda: Understand. Very much. Thank you.

Moderator: Thank you. Our next question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: Yes. Hi. Thank you for the opportunity. I want to understand a couple of things on the Xanthine business side. So A, if you could talk about Xanthine market in India, what is the capacity? How is it in terms of global market? Is it a global market? Is it a very globally traded product? Or where is the large capacity concentrated globally? How do we see ourselves competing on the prices, cost of production side?

And then what is the relation of Xanthine with our API, intermediate and CDMO business? Does it act as a feedstock for making any APIs or intermediates? So, yes, these are my two questions on the Xanthine side. Thank you.

Manage

ment: Yes. So Xanthine derivatives is a class of products which have applications in API and food segment. So there are APIs which are Xanthine. Xanthine is a chemistry basically that we do for producing the products which are called Xanthine products. So essentially, these are anti-asthma products and bronchodilator products also constitutes to these Xanthine products. So these can be theophylline,

ethylphylline, caffeine, aminophylline, and host of other products that we produce. And they have pharma application, they have food application, both. And cosmetic application also. Yes. So overall, I think we are competing with China. And also there is one European manufacturer which is manufacturing Xanthine-based derivatives in Germany. So, and there are multiple manufacturers in China.

So as far as the cost of our production of Xanthine is concerned, I think we are at a comparable level of what is being done in China. Of course, they have higher scale than what we are doing. So they may have a scale advantage. So overall cost, other manufacturing costs per kg may be lower in China. But I think on technology front, we are at par with them currently.

Dhaval Shah: Okay. And how is the domestic market for Xanthine? How are the other players? What is their capacity?

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Management: Yes, so the domestic market for Xanthine would be around 30% of the total production that we do is catered.

Management: Lower than 30%.

Management: 25%, 30% is catered in the domestic market. And essentially, we are the largest player there. I think we have a few players who are smaller in this space and they are not very significant players as compared to us.

Dhaval Shah: And how much Xanthine products are supplied to our API segment?

Management: No, no, there is no connection between API and Xanthine in terms of inter-supply or feed stock or anything. So Xanthine is an independent product range that we do. And API intermediates and CDMO, CMO. So there are different plants and three plants operating API intermediates and CDMO, CMO space and other three plant operating the Xanthine derivative space.

Dhaval Shah: Okay. Thank you. I'll come back in the queue. Thank you.

Moderator: Thank you. Our next question is from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh: Yes, thanks for taking my question. Sir, my question is related to that Xanthine business. I see a sudden jump in Xanthine business in FY '23 versus FY '22 and even in FY '22. So from INR380 crores to INR520 crores and then suddenly INR1,100 crores. So that whether my data is right or so there is some disconnect here or if you could explain.

Management: Yes, I think there is some disconnect of the data. So the basically the number of '21 is a nine-month number. So I think we'll get back to you with the overall last year and this year first quarter numbers, if you want.

Ranvir Singh: Yes, that would be fine. But I think the 40% of total revenue was in FY '23.

Management: So there is a consolidated number. There is a stand-alone number also. So both these numbers are different. So for example, we have almost INR120 crores worth of consolidation which is happening due to our subsidiary and other companies that we operate. So that also skews our numbers. So I think we prefer that if we talk about the stand-alone number, then the Xanthine number is little under, last year it was 55%. Now it is under around 50% for this quarter.

Ranvir Singh: No, so far as the comparable number, the consolidated would be the key thing to understand. So if you could provide us a comparable number exactly for FY '22 versus FY '23 for the revenue from Xanthine, if this is and for this quarter also just to see. And also, that in Xanthine just I saw that some capacity expansion further undertaken. So what was the quantum that capacity expansion, so just I wanted to understand

that actually, what has been the real growth here in this business?

Management: Yes, so basically the capacity was enhanced from 4,000 tons per annum to 5,000 tons per annum. So 1,000 tons capacity addition was undertaken in last two quarters. And in terms of the numbers, if you,

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I think 56% or 58% of last year's top line of INR1,500 crores was Xanthine. And this year's stand-alone number of Xanthine is 50%.

Ranvir Singh: So that means this has de-grown this year in FY '23?

Management: The volumes have increased but the overall sales prices are lower than the last year. That is the reason why the...

Management: I think we need to calculate the real number. So I think we will get back to you with those numbers.

Ranvir Singh: Sure. So going forward also what is the outlook here, what kind of growth, because Xanthine has diverse users in different drugs. So for us it is a little difficult to understand the growth rate. So if you could help us to about the growth, what growth we can expect in this segmented?

Management: We are utilizing our capacity to almost 90%. So unless we increase the capacity, the absolute number of the contribution won't grow. So we are planning to look at opportunities to further debottleneck. So that overall market we are only capturing 15% to 20%. So there is enough opportunity which is available for us to grow.

Ranvir Singh: So even after expansion our utilization has reached to that level, after 1,000 metric ton addition?

Management: Yes. So we will be reaching in second half of this year to that level. Because it was just a debottlenecking exercise in addition of some few reactors.

Ranvir Singh: And who are the other players in this field if I need to compare peer here in Xanthine?

Management: There is no listed player. There are China based companies and also some one player in Europe is operating in Xanthine space, which has a comparable or a higher capacity.

Ranvir Singh: So most of drugs based on caffeine is imported you are saying or from China?

Management: Yes, we are supplying almost 80% of the domestic demand of caffeine. And maybe 50% of the customers who have advanced license for export they may be importing some of the APIs.

Ranvir Singh: Okay. Fine. Thank you. Thanks a lot and I will talk offline later to understand more. Thank you.

Management: Thank you.

Moderator: Thank you. Our next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: Hi, good evening, everyone. So my first question sir is that in the presentation and in your outlook, we seem to be very positive on the CMO or CDMO side. So next three years how do we see that 6% contribution going to 15%? Is that something that we are looking at? And consequently in the earlier calls when we were doing our industries call and giving outlook on our Aarti Parma, we were saying that the incremental products that we are doing in the R&D and commercializing were 25% -plus

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EBITDA margin product. So kind of tying this in, how do we look at margin improvement from here on?

Management: Yes, so basically, we anticipate the CDMO or CMO business to become a reasonable size business. This year it has a potential to be up to 10% or more of the overall business pie that we would have in this year. However, still it depends on the customers, the program and how they are trying to commercialize this product. So we will have to see quarter -by-quarter how it grows but overall our pipeline is strong and we anticipate reasonable growth in this segment.

Also, we are growing other segments also simultaneously. So overall I think it will be a mix, very difficult to quantify the real number how it will grow. But I think all three businesses are growth areas for us. We are focusing on all three of them and trying to expand overall EBITDA for the company.

Dhwanil Desai:

Okay, but is it a fair thing to understand that if CDMO proportion grows, overall margin at a company level will get better?

Management: Yes, overall the endeavour is to grow absolute EBITDA. So for example, we are trying in Xanthine segment also by increasing the capacity. How do we enhance even though the prices are depressed but still we can make the same or a higher absolute delta. But overall in terms of top line and percentage EBITDA number may drop but absolute number will increase.

Dhwanil Desai: Okay, and the second question is on Atali. So Atali project, we are saying that Q2 FY '25 will get completed. So is this something that we...

Management: Yes, it is H2 FY '25.

Dhwanil Desai: H2 FY'25, sorry. So sir, is this project something, again we are doing API and intermediates or more of a CDMO, CMO where we do more innovative patented molecules and any timeline for then commercializing and scaling up? Is it like six months to a year from after everything is complete?

Management: So basically what company is trying to do is we have taken up 80 acres space in Atali in Dahej and we are trying to develop a complex of facilities there. And this is the first phase of development in Atali where we are putting up 400k reactor volume capacity to start with. And we will be handling, you know, in API largely intermediates and CDMO or CMO projects there. But we have capability to handle all kind of products there and we have EC where we can do APIs also and all kind of... So depending on the opportunity, the Atali land area would be utilized over next 5 to 7 years for the expansion and growth of company's products.

Dhwanil Desai: Okay. And sir, lastly, going back slightly in history, so if we look at our company when it was part of the industry, you know, we have grown from 150 crores in FY12 to 1500 crores, very decent 18% - 20% CAGR. So going forward with this scale, you know, are we looking at similar kind of a growth or because of the base impact, we are looking at lower growth, any outlook that you have on that?

Management: We have given the outlook of 12% -17% growth. 12 -17% growth and...

Dhwanil Desai: Sir, I am saying top line.

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Management: So top line and EBITDA will move in tandem unless we are embarking a journey to produce something which has a higher EBITDA or a lower EBITDA. So what we are trying to do is we are trying to grow all the three segments and I think more or less at the similar rate we will grow, I think.

Dhwanil Desai: Okay. Got it, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Hello. Thanks for the opportunity and thanks for hosting this call. My first question was on the CMO and CDMO segment. You know, we have been in this segment for more than 15 years, 15 -20 years now. But despite that, the segment hasn't scaled up in a big way for us. And now, you know, from your commentary and the capex, which is coming up in Atali, it seems that this segment will be one of the bigger growth drivers for us.

So what had happened earlier that the growth in the segment wasn't... the segment hadn't scaled up in a big way for us. And what is changing now that the growth in the segment is expected to be better than at least the denting segment and even the API segment. And it is expected... its proportion in our overall revenue pie will increase.

Management: Yes, basically, you know, we have not been doing the CDMO, CMO for last 15 years. But what we were doing earlier, you know, we were also looking at medicinal chemistry and, you know, contract development, CDO, we were doing largely at that time. And now the focus really, you know, we did

internal brainstorming and we decided that where is our strength. And our strength is basically in scale up and commercial manufacturing.

And that's why we started focusing on CMO business and CDMO

business as a combination and

dropped the CDO business, you know, contract development business where, you know, we only do the R&D. So we are focusing on the manufacturing side of it. And how do we take up the medicinal processes and clean it up and make it scalable and make it commercially most viable for the innovator. So that is the business focus. And I think we have changed this business focus in the last 3-4 years. And we have seeded the products.

It requires time. So now we have been working with 14 innovators and big pharma companies. And we would like to add more and more customers. And with same customers, we would like to have multiple projects. So that is what is the strategy of company. And we are working towards growing it.

Ankit Gupta: So the 16 products which we have commercialized, out of which how much would have been launched in the market and how many will be in phase 2 or phase 3?

Management: So these typically these 14 products are in the 16 products are in the launch stage with our innovator or big pharma companies. And 12 products which we have mentioned are at the development stage. So we provide them either with RSMs or KSMs or early intermediate stages and for some of them at advanced level.

Ankit Gupta: So the 16 products are already commercialized and out in the market?

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Management: They will be commercialized. So they have taken the scale of quantity. Post clinical level.

Ankit Gupta: Okay, so these are expected to be commercialized going forward.

Management: Yes. They have commercialized or they will be commercialized. So in that space.

Ankit Gupta: Okay, okay. And if you can broadly talk about which therapies are these products in and which like, are we a single source? Will we become a single source supplier when they get final approval from regulators or will there be another one or two more suppliers as most of the innovators do in the CDMO space?

Management: Yes, you rightly mentioned. I think there will be multiple sources because the way in which we know we are gathering the products are in phase two. And I think they already have early phase development partners. So they always remain the partner or they change. They get one Chinese partner, one Indian partner. So it depends on the strategy of the innovator, how they want to develop and partner with the intermediate provider. And ultimately, you know, some of the companies do their in-house API manufacturing and some companies also the API manufacturing. So it is clearly dependent on each innovator and their strategy, how they want to position their product and how they want to source the raw materials.

Management: Yes, and these are all multi-therapeutic. So it's not a single therapeutic that we can define. Yes,

Ankit Gupta: Okay. So it's not like, you know, we are largely in our API segment. We are focused on, you know, cardio and also, it's not just related to cardio. It can be other products, other therapies as well.

Management: Yes.

Ankit Gupta: And out of these new products which are expected to be commercialized, you know, do you have a, you know, pipeline where this product can few of them become a big blockbuster product. So these are largely, you know, smaller market size products.

Management: Yes, I think we would not like to speculate on it. You know, some products may be dropped, some products. So we will see how it goes, you know, every year.

Management: Every quarter, yes. We are there to give you the update.

Ankit Gupta: Sure, sure, sure. And my second question, sir, was on, you know, our consolidated numbers and, you know, standalone numbers. So there's almost 400, 420 crores difference between, you know, RT standalone and consolidated numbers. So the entire 400, 420 crores is contributed by Ganesh Polychem or is there some other subsidiary also which is there?

Management: No, we have one

subsidiary also which is based out of USA. This is Piyush. So the consolidated numbers are 50% of Ganesh is consolidated in the consolidated numbers and 100% subsidiary number also gets consolidated.

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Management: So that is essentially a trading company which is currently being shared between both the companies, Aarti Industries and Aarti Pharma. So eventually, I think those numbers of US trading which has very marginal profit will ultimately, once we have a company established for Aarti Industries, I think those numbers will reduce in future.

Ankit Gupta: I was going through, you know, an old rating report of Ganesh Polychem and if you look at the numbers for that, JV, that is also doing very well. It is into, you know, complex polymer intermediates and it has scaled up in FY21-22 in a decent way and margins are also around 19%-20%. So if you can briefly talk about this subsidiary and what are the plans to grow or this joint venture, what are the plans to grow this joint venture going forward?

Management: I think we would not like to do too much discussion about this joint venture because I think we will be sharing the annual report. In the annual report, I think we will have the Ganesh Polychem balance

sheet also. It won't be there. We will have standalone and consolidated. So I think Ganesh Polychem is also doing some intermediates which have this kind of application and it is largely for medicinal usage of the polymers that go for kidney related dialysis and stuff like that. Related to Pharma also. They have end usage.

Ankit Gupta: My last question was on the API and intermediate segment. In this segment, what is the criteria for choosing a molecule? What we understand is this is a relatively, we normally choose less competitive and high value and low volume kind of product. So if you can briefly talk about this segment, criteria for choosing products and how do you see this segment shaping up for us over the next 2-3 years?

Management: So typically our endeavour is to choose lifestyle drugs as you rightly mentioned. The high value and low volume which suits us more and we are focusing on regulated markets. So we do our research and understand what are the APIs which are growing once they are launched and accordingly match it with our capabilities and how we will be able to market it to our customer base and accordingly decide on the APIs. And intermediate business as well. In a similar way.

Ankit Gupta: And we are largely focused on cardio and few other therapies like anti-asthmatic, anti-cancer?

Management: Basically these are all lifestyle chemistries. So anti-hypertensive, anti-asthma which is steroids, anti-cancer, and some of the CNS and now we will be having anti-diabetic therapeutic as well.

Ankit Gupta: Okay. And how many of the 50 products that we have commercialized in this segment, how many of them are we currently selling on a regular basis and how many are we selling in the US market? 40 US DMF we have but actively how many products are we manufacturing?

Management: So we have 50 APIs which have been commercialized. How many are we selling?

Management: So we are around 12 to 15.

Management: In US but then some customers take it in India or US market. So we will have to quantify the number.

Management: But then our main focus is regulated. So in Europe also we have a very big chunk.

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Ankit Gupta: Okay. Any broad breakup between API and intermediates in this 43.6% segment that we contributed to?

Management: We are not doing the different breakups.

Ankit Gupta: Okay. Because I have gone through the old phone calls of art industries and intermediate used to contribute less than 50 crores in our sales and it had scaled up in a big way in FY19-20 and that had resulted in good growth for us.

Management: Yes. So what is happening is that basically the intermediates that we

manufacture also are used for the

captive consumption. So then it becomes an inter-sale and then how do we quantify the number. So that's why we have decided that these API and intermediates are focused towards the generic segment largely. So that's how we are giving the new breakup of business vertical.

Ankit Gupta: But do we sell generic intermediate also in the market?

Management: Yes. We do sell. So the customers that we have is all the large Indian pharma who like to work on a vertical basis like Dr. Reddy's or Cipla or Zyder's or Mylan. All of them would buy intermediates from us and then they make their own API as an alternative source to the Chinese intermediates. So that is where we pitch in because all our facilities where we manufacture these products are USFDA approved and we can support them with the regulatory requirements.

Ankit Gupta: And the last question on the Atali EPIC that we are doing of INR350 crores. So this will be like any broad breakup between CMO, CDMO and API segment or it will be like we will be using this capacity interchangeably or you have any broad breakup let's say INR100 crores, INR200 crores goes in CMO and the remaining goes into API?

Management: Largely we will be using for intermediates and CMO, CDMO. So we won't do an API CMO there. API CMO will be done in the API plant in Tarapur whereas intermediates and CMO, CDMO projects in intermediate segment will be done there. So it will be largely an intermediate in Phase 1 we will largely develop for the intermediate manufacturing.

Ankit Gupta: Okay so this will be largely focused towards that.

Management: Yes.

Moderator: Thank you. Our next question is from the line of Rushabh Doshi from Nimiti Investment Advisors LLP. Please go ahead.

Rushabh Doshi: So I have two questions. Firstly I wanted to understand like what particularly changes after the demerger in terms of management, business or the supply base or the organizational structure. And my second question was that could you bifurcate the Xanthine division in terms of the consumer division which is beverages or cosmetics and the pharma division. And you mentioned that you are seeing some pricing pressure here. So in which segment are we seeing the pricing pressure?

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Management: Yes. So basically essentially, we were running two businesses in the combined RP industries where we were running a chemical business and the pharmaceutical business. And the pharmaceutical business you know we had the separate manufacturing blocks and a separate R&D, separate manufacturing team and separate management for commercials also.

So essentially after demerger I think more or less you know the operations have remained more segregated. But what we so I think both the companies are able to focus on their business vertical and grow their business significantly. And both companies have different needs in terms of where they

should focus and what kind of people they should invest in and stuff like that.

So I think this will give more dependence to the pharma business to go after more credible R&D and credible CDMO, CMO business. And that's why you know we have started a new R&D center specially catering to the CDMO, CMO business segment. So essentially that and in Xanthine I think we are not bifurcating the mix because you know it's essentially interchangeable.

Suppose you know if I have a weak demand in pharma usage then I will push the product into food and cosmetic and if I have low demand in food then I will put into pharma.

Rushabh Doshi : So here I just want you to understand like are PepsiCo and Coca-Cola like the larger science for us in terms of concentration?

Management: So we have we supply to bigger cola companies and for confidentiality reasons we do not name them.

Management: Yes.

Rushabh Doshi: Okay. So you like I just want to know so you supply to the bottlers

or you supply to the main cola companies?

Management: So basically the way in which it works is that different companies have different strategies and essentially there are concentrate manufacturers and there are direct cola manufacturers. So it depends on the strategy that is being used by each company...

Moderator: Thank you. Our next question is from the line of Piyush Arora from SOIC LLP. Please go ahead.

Piyush Arora: Hi sir. So my question was what will be a sustainable margin going forward this year or the next financial year?

Management: Pardon. Pardon.

Piyush Arora: Sir my question was what will be a sustainable margin going forward this year or the next financial year? Sustainable EBITDA margin?

Management: Yes, I mentioned about this 20% near about 20% range plus or minus 2% would be the sustainable margin range.

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Piyush Arora: Right. And so in this Xanthine product so has there been an element of Chinese dumping which has happened in like last one or two years? Like is that the reason why the real-life pressure?

Management: No there is no dumping in India from China. We are managing the Indian market and we have a good market share. So essentially it is an export driven product. So in the world China was always selling 80% of the market. So they are still catering 80%.

Moderator: Thank you. Our next question is from the line of Naitik Mohata from Sequent Investments. Please go ahead.

Naitik Mohata: Sir I have couple of questions regarding the Xanthine segment. So starting with the raw material backward integration that we are doing for the same. So what is the outlay for the project and secondly it would be really helpful if you could explain how it would help in protecting the margins regarding the segment?

Management: Basically we are trying to increase the tonnages to protect the absolute number. And of course the raw material sourcing we are trying to do more efficient way so that overall we are able to maintain the margin. So now with the backward integration that we are doing of the intermediate you know we may be able to further consolidate our position as an independent of China manufacturer and then we can have some savings there also or improvement in margin there also.

Naitik Mohata: So sir this backward integration once when it gets in quarter 2 will it be sufficient for our entire capacity or do we need to import a little bit of products from China etcetera?

Management: Yes, we have designed the plan to meet our needs but of course we have to operate it and I think it may take some time for us to reach to the 100% capacity utilization at that intermediate.

Naitik Mohata: Okay. Also sir if you could throw some light regarding the prices in the revenue segment. So I understand that last year we saw some price rise in the sale and now the prices are corrected. So if you could give some ballpark figures what are the average prices in the segment and what level did they reach last year and what are we seeing now?

Management: So there are multiple products you know there are several products which come into Zentine and different products have different pricing so they range anything between INR800 to INR1500. So I think difficult to give real break up. I think you can see the trade data to check the pricing.

Naitik Mohata: Okay sir last question from my end would be in the Zentine segment out of the total production how much is for export and how much is for domestic?

Management: It is presented export would be around 70% and India demand is also there. So I think 50% -60% is export and then balance is in domestic.

Moderator: Thank you. Our next question is from the line of Tanika Aggarwal from Green Portfolio Private Limited. Please go ahead.

Tanika Aggarwal: Sir if you can provide us with some guidance regarding R&D expenses for FY '24?

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Management:

We are in the range of 35 to 40, INR10 crores per quarter on the R&D.

Tanika Aggarwal: Okay. And so with such kind of R&D expenses, how many filings are we expecting for the year?

Management: No, so basically, we are not doing ANDA filings. So basically, we have the U.S. DMF numbers. So

every quarter, you know, as the numbers move up and down, you know, we will be changing the numbers. So you can see the number of DMFs filed.

Tanika Aggarwal: Okay. And if you can give like a number for FY '23, how much would you file in?

Management: 40 have been filed in total. I think we would have filed 5 or 6 in FY -- So I think we will get back to you with the number.

Tanika Aggarwal: And so when looking at the revenue, as it is down on a quarter -on-quarter basis, both at the consolidated as well as on standalone levels. So how are you going to save volume there?

Management: So the revenue has been basically lower on account of, over all prices have corrected. But our raw material costs have also corrected. So in a way, we have grown the EBITDA.

Tanika Aggarwal: I just missed what you said. Can you repeat it?

Management: Yes, I think the line is bad. Basically, overall, you have to concentrate on the absolute EBITDA number, whether it is growing or not growing. And I think we are in the, that number has not decreased. It's just a minor, product sales. It depends on whether you are shipping the innovator order or the particular intermediate order in particular quarter or the next quarter. So that's why you also have to look at the inventory adjustment and all that. So post that, I think we are stable. And we will have those inventories which have increased will be sold in the coming quarter.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Management: Hi, I would like to thank all of you for joining our conference call. Thank you. Be safe.

Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

November 13 , 2023

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: AARTIPHARM

Sub: Transcript of Q 2 FY24 Earnings Conference
Call
Ref: Regulation 30 of the SEBI (LODR) Regulations
2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Thursday, November 9, 2023 on the Audited Financial Results of the Company for the Q 2 FY24.

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED

NIKHIL NATU
COMPANY SECRETARY
ICSI M. NO. A27738

Encl.: a/a.
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Aarti Pharmalabs Limited
Q2 FY2024 Earnings Conference Call
November 09, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Aarti Pharmalabs Limited Q2 F Y2024 on his conference call hosted by Valorem Advisors.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes should you need assistance. On the conference call, please signal an. Operator pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Arjun So npal from Valorem advisors. Thank you and over to us Sir.

Anuj Sonpal: Thank you. Good evening, everyone and a very warm welcome to you all. My name is Anuj Sonpal. Not Arjun from Valorem advisors.

On behalf of the Company, I'd like to thank you all for participating in the Company's Earnings Call for the 2nd Quarter and First Half of the Financial Year 2024.

Before we begin, let me mention a short cautionary statement:

Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on Management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the Company's fundamental business and financial quarter under review. Let me now introduce you to the management participating with us in today's Earnings Call and hand it over to them for opening remarks we have with us Mr. Rashesh Gogri – Chairman and Mrs. Hetal Gogri Gala – Vice Chairperson and Managing Director, Mr. Piyush Lakhani – Chief Financial Officer. Without any further delay, I request Mr. Rashesh Gogri to start with his opening remarks. Thank you and over to you sir.

Rashesh Gogri: Thank you. Good evening and a warm welcome to everyone on Aarti Pharmed Labs Q2 FY24 Earnings Conference Call. I wish to cover initial thoughts on the performance, evolving market trends and the outlook.

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The Company operates in three distinct segments within the Pharmaceutical industry that is API and intermediates, CDMO, CMO and benzene, and intermediate business. Each playing a vital role in the growth.

The Company is actively engaged in production and sales of API related intermediates, adhering to the regulatory standards there is a primary focus on selling in the regulated market and for the Q2 we have sold almost 58% of intermediates and APIs in these segments to the regulated market.

In CDMO CMM business, strong scale up and commercial manufacturing expertise of over 2 decades is helping us to enhance customer confidence in.

The Company also prioritizes sustainability and responsible business practices. In line with this, we received an EcoVadis Silver Medal Rating in first assessment of our one of our Xanthine plants. We are now diligently working to extend this recognition to the entire corporate entity, indicating the commitment to greener and more responsible future.

Let me now cover the key performance highlights of Q2 FY24:

On quarter-on-quarter business, our consolidated revenues declined by about 4% to Rs. 441 crores, whereas the consolidated EBITDA increased by 4% to Rs. 89 crores on the back of improvements in margin and consolidated profit after tax stood at Rs. 52 crores higher by 10% over the previous quarter.

The consolidated EPS for the quarter gone by was 5.78

Now let me share some updates on the projects that commenced and operations in the recent past.

The Greenfield project in Atali, Gujarat is making significant progress with the completion target of H2 FY25. The project to manufacture the primary raw material for Xanthine products is set to begin operations in the current quarter, reducing import dependency. The Company is also developing a semi-commercial production block at our USFDA intermediate manufacturing sites in Wapi to cater to smaller batch sizes requirement and aiming at completion in Q2-FY25. These initiatives exemplify the Company's commitment to expansion, self-reliance and catering to the diverse customer needs. Including with the current stable demand outlook, we expect to be on track to meet our guided EBITDA growth of approximately 10% to 15% in FY24 and remain well positioned to achieve our long-term goals.

We strongly believe in India's growing potential in various pharmaceutical products leveraging our strengths in specific chemistries and deep understanding of the market dynamics, we are poised to deliver strong performance in the coming years.

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The introduction of high-quality products driven by core R&D expertise, solidifying our leadership in the market and creating and enduring value for our long-term stakeholders.

I will now request moderator to open the forum for Q. And A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rahul Jain from Credence wealth. Please go ahead.

Rahul Jain: Thanks for the opportunity. So, my first question is with regards to the Xanthine, if you could share the volume growth in the current half year and also the prices of Xanthine and our realization are down by what kind of percentage compared to last year and have those stabilized and do we expect them to move up going ahead?

Rashesh Gogri: As a practice, we are not divulging our numbers and the realization, but we are operating our plant at full capacity and full enhanced capacity. So, currently that is what I can share with you. Overall, we are seeing some reduction in pricing of the final products and also we are also seeing some reduction in the raw material costs simultaneously. So, we have to retain overall contribution margins for this product.

Rahul Jain: It's rough ballpark figure what how much would be the realization down compared to

o last year?

Rashesh Gogri: Realization on an average basis, we don't have that information ready, but it would be some 10% to 15% in terms of pricing.

Rahul Jain: And Sir, our backward integration was expected to start say in Q2. It is delayed by, say, one or two, three months that's fine. But with that backward integration, what kind of margin impact or what kind of benefits we could derive from that apart from supply consistency on the raw material side?

Rashesh Gogri: The project which was supposed to start in this quarter is on track to start and it will basically reduce our dependency on the import substitute and that is what is our request from the customers that they want completely independent manufacturing out of China with no China presence and we are going to achieve that. I don't think there will be a great impact on the overall margin or the contribution by doing this in the initial stage, but once if we ramp up the production of that side, then ultimately, we could see some benefit.

Rahul Jain: Last question, Sir, with regards to the guidance in your initial commentary as well as the presentation, you have maintained that the current your FY24, our absolute EBITDA growth will be around 10% to 15%, but when we obviously, due to the Xanthine size that growth has not been there. It actually means somewhere in the next two quarters we'll need to do about 100 plus or 105 crores around EBITDA on a quarterly run rate compared to the 85 crores in the quarter two. So, what could drive that EBITDA growth in the second half?

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Rashesh Gogri: So, basically, all the three segments that we perform, of course, Xanthine segment is where we are maintaining our contribution margins, but in the other two segments, we expect growth, particularly CDM/CMO segment as well as the API and intermediate segment.

Rahul Jain: Do you expect the benefits also coming from the ramp up of our CAPEX?

Rashesh Gogri: We will expect some benefit from that also. But though I think more benefit will also be in next year, but the benefit is start coming in H2 of this year, this financial year.

Rahul Jain: Sure, that's helpful, Sir. Thanks. Best wishes and Happy Diwali to you and your entire family. Thank you.

Moderator: Thank you. The next question is from the line of Prateek Bhatia from Girik Capital. Please go ahead.

Dhaval Shah: This is Dhaval Shah this side. Thank you for the opportunity, Sir. Just extension the last participant's question, the degrowth in the top line is driven by which segment for the quarter.

Rashesh Shah: The degrowth is basically the final product prices of Xanthine has come down for the last two quarters. However, we also have the raw material price reduction.

Dhaval Shah: We did 217 crores in Xanthine for the quarter. So, this entirely it's the Xanthine segment which is which is driving the revenue down, right.

Rashesh Shah: Yes, the specific numbers will have to be detailed, but if you compare the Q1 and the Q2, I think you will be able to get the numbers that where the Xanthine segment stays.

Dhaval Shah: Also your API segment is down by 10 crores Q1 and Q2 so it's the lower volume.

Rashesh Shah: Certain products dispatches would not happen in last quarter which have happened in this current quarter, so basically some more inventory impact. Though on the production front, we could do more production. So, there is some impact of that also.

Dhaval Shah: The backward integration of Xanthine, is it same to the 9 hydrogen reactors were which we are planning to add as per our Annual Report is it same to this Xanthine thing only?

Rashesh Shah: No, that hydrogen we have already enhanced the capacity in last year and now the announcement is basically for one of our basic raw materials where we have dependency on China and that is what we are trying to put up the capacity in our facility.

Dhaval S

hah: The reactors are already added last year, nine hydrogen reactors.

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Rashesh Shah: No, there is a Xanthine plant has some hydrogenated reactors where the 9 hydrogenated reactors were put up in our custom synthesis plant, which is largely utilized for intermediates and CDM/CMO products. So, there are two different assets.

Dhaval Shah: There are nine reactors which you mentioned in the annual report that you're planning to add in FY24, and I think in Q2 it was written that will be added, is that added or that is also delayed?

Rashesh Gogri: That is added, and they are operational. So, now we have all the 9 reactors that are operational.

Dhaval Shah : It was it was added in Q2 itself , the nine reactors ?

Rashesh Gogri: Yes. That basically when we do multi such synthesis, some steps require hydrogenation, which require hydrogenation we have to utilize that particular block where these hydrogenation equipment s are located and then we have to bring it back to our normal production blocks .

Dhaval Shah : How sh ould we understand the ramp up over the next two quarters in this CDMO and API business?

Rashesh Shah: Basically , we have a strong pipeline overall of our orders. So, on that basis, we are maintaining our guidance , and you will see growth in coming quarter s.

Dhaval Shah : And any thoughts on expanding the Xanthine capacity?

Rashesh Gogri: As I mentioned during the last call also that we are evaluating several options of further enhancing the capacity and we would like to do it more as a Brownfield expansion rather than a Greenfield expansion. So, that we achieve with lowest possible CAPEX , maximum impact in terms of profitability and the production .

Dhaval Shah : And the gross profit, what you've done in the September quarter of around 42.6% now, is this number sustainable or should we expect an increase in this number with this backward integration?

Rashesh Gogri: No, the core integration is not going to have too much impact, particularly on this case because it is more for supply security , and it wi ll avoid the price escalation of that particular intermediate that we are buying from China, it will prevent the suppliers to increase the price beyond certain bands. It is sort of an insurance for supply commitment at a reasonable price.

Dhaval Shah : Because even last year, in the December quarter, if we see the gross profit, across the four quarters the gross profit margin was d ifferent. So, what would explain that assuming last year was a very volatile year in terms of raw material and now this year there is some stability there. So, at least this profit margin can we assume will be maintained?

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Rashesh Gogri: No. So, I don't know from where you are getting the gross profit margin because I think what we have described is particularly the top line in t he last quarter presentation and this is also shared today also in our presentation .

Dhaval Shah : Not for the last year, but at least for the current quarter numbers , do you see at least for the next 6 -8 months, the raw material scenario being stable and you'll be able to maintain this EBITDA margin?

Rashesh Gogri: Yes, we will be able to maintain the EBITDA margin ?

Dhaval Shah : And Sir and last question , you mentioned about adding those 28,000 liters of capacity as a Brownfield at Vapi , when is that getting operational and what is it exactly for what are we, what products are we adding there ?

Rashesh Gogri: As I as I mentioned in my opening remarks it will be use d for semi commercial production where we have to give the pilot batches or in itial Phase -2, Phase -3 requirement of C DMO/CMO customers. So, we will be utiliz ing that asset for manufacturing because these orders are 10 kilos to 100 kilo where we don't want to utilize our current commercial manufacturing assets and these will get comp leted in Q2 of FY25.

Moderator:

Thank you. The next question is from the line of Vikas Sharda from NT Asset Management. Please go ahead.

Vikas Sharda: When I'm looking at the financials, it looks like the EBITDA or the profit contribution from subsidiaries has grown YoY quite sharply. So, could you talk about that a little bit?

Rashesh Gogri : We have an associate Company named Ganesh Polyc hem Limited and they had strong set of numbers this quarter. And overall , they are into a specialty intermediate which i s used for pharma and the polymer. And it has good margins on the higher production and the reduction in raw material cost.

Vikas Sharda: Any particular products that they make, if you could name?

Rashesh Gogri : They are making intermediates which are used in polymer manufacturing that is used for dialysis or medical grade as well as the other engineering usage.

Vikas Sharda: Earlier you were saying that this US subsidiary will be wound down over a period of time. So, what is the status of that?

Rashesh Gog ri: No, we will keep on operating the US Subsidiary only sales which are Aarti Industr ies is using the US subsidiary to continue the sales in US once Aarti Industries has their own subsidies set up, the business will get transferred to that because currently we had only one common subsidiary and as a business split because we had a large caffeine stock and sell business in the

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US that subsidiary was kept as a part of Aarti Pharma lab instead of Aarti Industr ies. So, that's why.

Vikas Sharda: So, when is that the business transfer likely to happen?

Rashesh Gogri : I think next financial year that will happen.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital . Please go ahead.

Dhwanil Desai : So, my first question is on the Xanthine side so if you look at the industry structure in India, we come under very large market share even globally, there are only handful of players. So, can you give us some insight into why it is such a consolidated industry, why new players are not coming ? What are the entry barriers if at all, if you could talk about that would be great ?

Rashesh Gogri : Xanthine business is the regulated kind of business where the approval process is long and you need to really have the facilities which are world class to meet the expectations of the customer.

And that is one of the barriers and also you know the approval cycle is quite long.

Hetal Shah Gagal: We are backward integrated in the product.

Rashesh Gogri : So, that is another reason why we are able to successfully be the largest Indian player operating in India where there are few players who are manufacturing in India. And of course, there are many players in China. There is a diversity factor also, the customer would like to have. Supplier from each region. So, that is also playing a part in overall the business that we are doing in this sector.

Dhwanil Desai: So, you know, so I think I assume that the backward integration that we are doing will be for the entire 5000 tons capacity, right?

Rashesh Gogri : Yes, we will have the capabilities to entirely get that in house.

Dhwanil Desai: So, I think you mentioned in the last call that we currently have around 15 %, 20% market share , so with this backward integration in place will we be in a position to garner much higher market share and if so since we are operating at optimal capacity utilization how do we position ourselves to kind of enable that higher market share?

Rashesh Gogri : Yes. So, as I mentioned earlier, we are planning to work on a Brownfield expansion which we want to do accomplish within 15 months to 18 months window. And once we have that in place, once we have the approval, we will share the same with the investor community.

Dhwanil Desai: The second question is on the API side we completed a CAPEX in the last year. So, in terms of ramp

up I think we were expecting that from H2 the ramp up will start. So, any updates on that and what kind of utilization we may book for in FY25?

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Hetal Gogri Gala : Yes, FY25 we will have almost full we will be able to do 70% of capacity utilization in the new block and a lot of customers have now been able to approve this particular block for the existing product and some of the new products also we are validating in this block in this H2. So, that will give us this kind of utilization.

Rashesh Gogri : So, what we are trying to do is that Dhwanil is we have multi -purpose blocks. So, the higher volume products are getting pushed to this newer block where we have higher volume reactors and we have practically did a semi -dedicated asset whereas our flexible assets will get free where we can take up newer product validation and the newer product quantity expansion can happen there. So, that is the plan that large volume will move to this bigger block and smaller volume space will get created where we will use it for our new product.

Moderator: Thank you. The next question is from the line of Nitesh Dutt from Burrman Capital. Please go ahead.

Nitesh Dutt: I have first couple of questions on caffeine. So, first one is Aarti Xanthine derivatives capacity during FY23 was at 4,000 metric tons and average prices during FY23 were roughly \$20 per kg . So, that gives a potential of \$80 million of roughly 600 CR, 650 CR, but the reported revenue is 855 CR for Xanthine derivative in FY23. So, I just want to understand where is this difference coming from there is number one if you can just explain?

Rashesh Gogri : Yes. So, in the Xanthine derivative segments apart from caffeine we have some other products also which are classified under the Xanthine derivatives and those products are also getting sold. So, the number that you have is largely of the certain product capacity which we are sharing with you which are quantifiable number, but it's part of some other products also which are in that category.

Nitesh Dutt: But if 4,000 metric ton includes the capacity for other products also this was my understanding and also I believe the realization of other products also is similar please correct me if I'm wrong?

Rashesh Gogri : There are certain intermediates also which we end up selling. So, of course , the final API capacities or the active capacities are in that number, but there are certain intermediates which we sell and those also added up in terms of quantity and value.

Nitesh Dutt: Caffeine prices right now are down to Rs. 14 to Rs. 15 per kg, while pre COVID levels are \$10 per kg. So, can you just give some thought from the global supply demand and situation currently and do you see prices moving back to the pre COVID levels over coming quarters?

Rashesh Gogri : Yes. So, we expect the softening of the pricing of overall caffeine and Xanthine in general, and also the raw material prices are also coming down and then we have the expanded capacity.

So, all these three factors put together is what we are trying to manage our contribution and manage the business.

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Nitesh Dutt: Also sir our domestic revenue across total Xanthine derivatives and API plus intermediate is down by 20% quarter-on-quarter, but we haven't really seen the domestic pharma demand reducing this quarter. Aarti Drugs for example reported a 10% increase in volumes from the domestic front. So, what is the reason for our domestic business reducing 20% quarter-on-quarter? This seems like a huge drop?

Hetal Gogri Gala: Our endeavor is to have more and more regulated business, that is where the difference in Aarti drug. We are more of a regulated company and even for domestic business if you see the presentation, we also give the domestic customers who are eventually making the formulation and exporting it for regulated market

also we are able to capture. So, I think domestic revenue we are not very much concerned.

Rashesh Gogri: So, basically you should not view domestic as primarily only domestic consumption. It is domestic sales because the companies which are generic like Cipla or Glenmark or Doctor Reddy's or Zydus ultimately, they end up exporting the product through regulated countries.

Nitesh Dutt: Just one, two more questions on intermediate front. So, in the intermediate, can you please help us understand the nature of this business in slight more detail? So, what kind of competition do you face, the complexity of molecules and your right to win etcetera and also I'd like to understand what percentage of your production is for captive consumption versus for third party sales?

Rashesh Gogri: Yes. So, basically we are operating API and intermediate business where intermediates are advanced intermediates are the regulated starting material which can be used by the generic and the innovators for their final API production. So, these are really advanced intermediates which require regulatory filing and regulatory sometimes they require regulatory filing also like supplementary USDF or supplementary EDMF etcetera.

So, looking at that, it's a complex nature these are multistage products that we do manufacturing and we do anti-cancer intermediates, we do anti-diabetic intermediates. So, we do a varied range of intermediates manufacturing and then we support all the vertically integrated company is with these intermediates for their launch of newer generics, which are expiring in future. So, that is our business model that we operate in.

Moderator: Thank you. The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: My question was on the CMO CDMO segment in last call we had indicated that we're expecting a strong traction in the segment and this is the segment is expected to contribute to 10% of our total top line in FY24, but if we see in Q2 and in the first half the contribution of the segment has remained stagnant and in fact there has been some degrowth in the segment if we compare it with the FY23 numbers. So, do we expect significant ramp up in the CMO CDMO segment in the second half of this year and how should we look at the segment?

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Rashesh Gogri: Yes, as we mentioned earlier on our call that we are looking at 10% to 12% of the overall business revenue from this segment and I think we are on course for that number and we will see some ramp up in the second-half of this year.

Ankit Gupta: So, overall sir if you can give how this business is shaping up for medium-to-long term plus API going to be our major growth driver over the next two to three years?

Rashesh Gogri: Yes, as I mentioned we are also mentioning the number of customers, number of products that are commercial, number of products that are in R&D development phase. So, those numbers have grown in terms of the number of commercial products, that number we have increased by two over last quarter and also the number of products in R&D have also gone up. So, we are working on significantly more number of products where we work on the development basis. So, our team is working on more and more RFP's from the customers and working with more and more innovators.

Ankit Gupta: Normally let's say segment if you look at CDMO company, this segment has relatively high kind of margins of about 25%, 30% plus kind of margins. So, in our case also once this segment ramps up, can this segment generate this kind of EBITDA margin in the range of 25%, 30% or above?

Rashesh Gogri: Yes, basically it depends on the mix of activities that you are engaged in. So, we are a full service CMO where we do manufacture for intermediate, manufacturing for API, manufacturing for key starting materials and regulated

starting materials and all. So, it depends on the mix that I am currently doing and as we move up from a key starting material to regulated starting material

to API, the margins improve.

So, currently we are focusing on the products which are in Phase 3 and then going for the approvals and as the approvals will come and if they get approved, we will have reasonable volumes. If we are able to successfully manufacture the product and keep the customer happy with our services.

Ankit Gupta: We had 14 products which were in the launch stage as with the innovator partners?

Rashesh Gogri: Yes.

Ankit Gupta: So, it remains the same or there has been some addition into that or some product has been commercialized at innovator

Hetal Gogri Gala : In one quarter it will not change, so 16 products that we are doing are commercial with the customer and last quarter was 12 and this quarter the two products have increased for GMV products. So, that's how the number is which are under either under clinical phase or in Phase 3 with the customer.

Ankit Gupta: We have 16 commercialized and 14 under developed .

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Moderator: Thank you. The next question is from the line of Anant Shenoy from AS Capital . Please go ahead.

Anant Shenoy: Sir, my first question is from the Xanthine part, for supply side this one we look for long term contracts. So, just wanted to understand on the Xanthine side, do we mostly on the spot basis with these companies or do we have some long -term contracts and if it is so like how does the pricing work in that long term contracts?

Rashesh Gogri : Yes, currently we have long term commitment with the customer, but the pricing is largely annual with the customers which are long term customers.

Anant Shenoy: So, the pricing so it will negotiate like in January and so that is fixed throughout the year?

Rashesh Gogri : Yes, there are certain caveats, but it is largely a annual price s.

Anant Shenoy: And roughly like what the proportion will be annual versus spot basis we do in Xanthine business?

Rashesh Gogri : The split changes from year -to-year. So, we want to do more and more annual work which is longer term with our long -term partners.

Anant Shenoy: So, roughly around 50% will be annual confidentiality?

Rashesh Gogri : The number for confidentiality reason

Anant Shenoy: In this annual contract if the pricing is fixed in the beginning so like what visibility are there on the margin part because if the raw material part in between how does it work or it goes up?

Rashesh Gogri : We have a mechanism to manage that and therefore we won't be able to dwell more into it for.

Anant Shenoy: My next question is from the CDMO part. So, you mentioned about 14 products in the development phase, so does that mean in Phase 3 and do we have any like inability of going any product going into commercial in this year?

Rashesh Gogri : So, we have 16 commercialized products and 14 development and these are at the various preclinical and clinical phase 1 , 2, 3 and we are not saying that everything is in Phase 3, but there are some which are in early phases also.

Anant Shenoy : I mean the earlier call we had mentioned that we typically work more from Phase 3 onwards now like we are like developing a facility that will like for smaller molecules as well. So, is there any change in strategy where we are like started working on early stages also or I like have you been doing that from before or like how does that work?

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Rashesh Gogri : So, basically for our API manufacturing assets we work for preclinical and early phases whereas for intermediate and KSM and RSM , regulated materials like KSM , GMP intermediates we work largely on a later clinical phase or commercial projects.

Moderator: Thank you. The next question is from the line of Pratik Bhatia from Girik Capital. Please go ahead

Dhawal: Sir, one point I wanted to understand, we mentioned the annual report that biosimilars and biologics led by patent expiry is an opportunity for us in CDMO business. So, could you throw some light on it, are you already doing those products, some samples that we sent to the customer or where are we on this?

Rashesh Gogri : No, now we are setting up a new R&D lab, which is our third R&D lab where we are recruiting scientists to carry out this kind of reactions and particularly newer products which are more biotech how do we participate in that product as a supplier of technology, as a supplier of intermediates for that. So, these are peptides and other intermediates that we plan to attend in this newer R&D lab.

Dhawal: So, that is it's still like 2 years away the entire ...

Rashesh Gogri : Next 2 years, 3 years away .

Dhawal: And across our both businesses, I mean, yes, on Xanthine we know where we stand. In API

intermediates and CDM O CMO, sir what is the right to win in terms of certain reaction capabilities, knowledge of chemistry, are we there how much of the business would be coming from those exclusive business where Aarti Pharma Labs only has the know how to make those products across both the businesses or we are of the top two, three in India. This will help us understand your strengths better.

Rashesh Gogri : So, Aarti Pharma Industries is operating in lifestyle drugs . So, these are anti-hypertensives and these are CNS drugs also. We are operating particularly in the anti-asthma range and also we are operating in an anti-cancer range of products. So, these are steroids and anti-cancers are very exclusive production capabilities that we have and also this lifestyle drugs that we produce are also multistage synthesis which require chiral synthesis and hydrogenation and enzymatic technology. So, all that is making us more differentiated than the other players which are manufacturing large volumes of production.

Dhawal: Would we be exclusive in some of the products?

Rashesh Gogri : No, these are not the innovative products. So, we can't be an exclusive one on any of this, but we have a good market share in these products.

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Dhawal: And on the API side see in the past 20 years we have commercialized around 50 APIs and 10 are under development. Now the growth rate what we see in the API business , is it going to be driven by this library of 50 plus 10 new products or how should we see the growth rate in the API intermediates business because we always guide on the EBITDA growth rate at the company level, but at the segment level, how should we understand the growth is going to come for us ?

Rashesh Gogri : Yes. So, basically that 50 years has now become 54 and also the API under development has now grown also from 10 to 13, but that you have to watch. So, the presentation that you were referring was earlier part of presentation . So, that will be our basket and how we are commercializing these products because there are certain products which have expiry 4 years, 5 years down the line, but still, we have to do the validation and make it ready.

Dhawal: So, if you look at only the API intermediate segment how do you see that business growing over the next say 3-to-5-year period in terms of top line growth and the profit growth?

Rashesh Gogri : See, we have invested almost Rs. 130 crore was capitalized for an asset of API where we increased our capacity in last financial year and also we are further increasing our capacity of intermediate manufacturing at our newer site and also our Vapi site. So, continuously we are expecting this business segment to grow as India becomes more preferred source of buying this APIs and intermediates than from Europe or China respectively for API and intermediates. So, that is where both will come, in the specific numbers I think rather

than going on this particular

top line I think we focus on bottom line. So, we have to do the products which are more profitable and top line actually doesn't matter as much.

Moderator: Thank you. The next question is from the line of Nitesh Dutt from Burman Capital . Please go ahead.

Nitesh Dutt: I have a clarification on the API and intermediate business. So, till FY22 this business segment, API plus intermediates combined was roughly 65% of the pharma segment revenue for Aarti Industries which translated into 730 crore revenue in FY22, but in FY23 the reported revenue for these two segments is 550 CR. So, just want to understand was there a big growth in FY23 and what led to it?

Rashesh Gogri : We will have to check the number and get back to you Nitesh. So, Piyush you would like to comment.

Piyush: So, Aarti Industries was always reporting the numbers including GST. So, that is one factor where the GST part was included in the segment reporting, whereas we are reporting net of GST, so net sales. So, that is one of the reasons why I think the numbers are basically not comparable apple-to-apple.

Rashesh Gogri : I think one of the GST or there was some concern , so I think I'll reach out to you separately.

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Nitesh Dutt: I have one more follow up on the intermediate business, so want to understand at a macro level are you facing headwinds similar to the chemical chemicals industry where prices are still soft and there is high Chinese dumping? So, any challenges of that sort in or intermediate segment?

Rashesh Gogri : No, the intermediate that we are focusing largely on for newer range of products and partly are for captive consumption and the market segment that they ultimately end consumer is customer is selling is largely regulated. So, overall pressure there is not as much, but it is moderate pressure it's not a very, very high -pressure situation.

Nitesh Dutt: And sir in the presentation you had mentioned that there was drop in prices of certain products. So, what products are these exactly because I think Xanthine prices were similar in Q1 and Q2 and also what are the reasons is there and is it temporary or is there an oversupply that will

continue in coming quarters as well for these products?

Rashesh Gogri : Yes. So, basically the revenue declined slightly on account of drop off prices of Xanthine derivative products largely and clearly the EBITDA has increased. So, raw materials have also come down more actually than the finished product prices. So, we are able to maintain healthy profitability and EBITDA .

Piyush Lakhani : Further, if you see the standalone results then the decline is hardly anything, it's just flat and on the consolidated because we have a subsidiary which gets added to the top line. So, there slowly the business is being ramped down and which will be routed to the Aarti Drugs in new subsidiary. So, that is one reason if you compare the consolidated numbers then the factors which are beyond the Aarti Pharma Labs results so mainly the subsidiary 100% subsidiary.

Nitesh Dutt : In fact, makes it clearer just one final question on the subsidiary front. So, EBITDA from subsidiaries is right now 18% for this quarter and it's a significant contributor to consolidated EBITDA now. So, what is the reason for this increase because in the previous quarter this was single digit and is it sustainable or is this one off the 18% EBITDA margins?

Piyush Lakhani : No, that's not only the subsidiaries basically the joint venture in which we have 50% investment the current.

Nitesh Dutt: Yes, I am including that, will it continue in coming quarters as well or is that sort of one off kind of games somewhere ?

Piyush Lakhani : Yes, we will be continuing to do the associate company that we have, 50 -50 joint venture, that's a significantly large company where also we have almost 350 crore worth

of business and we

are seeing stable business there for this year.

Moderator: Thank you. As there are no further questions from the participant, I now hand the conference over to the management for the closing comments.

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Rashesh Gogri : Thank you everyone for taking the time to join us on our Q2 FY24 earnings call. Hope we have addressed all your queries and if you have any further questions, please feel free to contact our Investor Relations team and they will address the same. We look forward to connecting with you again in the next quarter. Happy Diwali and wish you a prosperous New Year. Thank you.

Moderator: On behalf of Valorem Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

February 13, 2024

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: AARTIPHARM

Sub: Transcript of Q 3 FY24 Earnings Conference
Call
Ref: Regulation 30 of the SEBI (LODR) Regulations
2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Thursday, February 8, 2024 on the Audited Financial Results of the Company for the Q 3 FY24.

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED

NIKHIL NATU
COMPANY SECRETARY
ICSI M. NO. A27738

Encl.: a/a.

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Aarti Pharmalabs Limited
Q3 FY24 Earnings Conference Call
February 08, 2024

Moderator: Ladies and gentlemen, good day and welcome to Aarti Pharmalabs Limited Q3 and 9 months FY24 Earnings Conference Call hosted by Valorem Advisors.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumeet Singhania from Valorem advisors. Thank you and over to you, sir.

Sumeet Singhania: Thank you, Sagar. Good evening, everyone and a very warm welcome to you all. I am Sumeet from Valorem Advisors. On behalf of the Company, I would like to thank you all for participating

in the Company's Earnings Call for the third quarter and 9 months of Financial Year 2024. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the Company's fundamental business and financial quarter under review. Let me now introduce you to the management participating with us in today's Earnings Call and hand it over to them for opening remarks. We have with us today, Mr. Rashesh Gogri – Chairman; Mrs. Hetal Gogri Gala - Vice Chairperson and Managing Director; Mr. Piyush Lakhani - Chief Financial Officer. Without further delay, I request Mr. Rashesh Gogri to start his opening remarks. Thank you and over to you, sir.

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Rashesh Gogri: Thank you. Good evening. We welcome all the Analyst and Investor to this call on the FY24 Quarter 3 performance of Aarti Pharmed Labs.

I will start the discussion with key "Business Highlights":

As Company operates in three distinct areas within the Pharmaceutical industry, API & Intermediate, CDMO & CMO and Xanthine & Intermediates, the Company is actively engaged in production and sales of API related intermediates and adhering to regulatory standards as the primary focus is on selling in the regulated markets.

For Q3, the share of the regulated market was 53% of the sales in this segment. In CDMO CMO business, strong scale up and commercial manufacturing expertise of over 2 decades is helping us enhance our customer confidence within us and for Q3, the revenue share of CDMO CMO business stood at 14.2%. We have added one new customer, 3 new commercial products and six new R

&D products in this segment.

Let me now cover the key "Financial Highlights" for Q3 FY24:

I am pleased to announce that in Q3 Financial Year 24, we have recorded the highest ever EBITDA and the net profit till date. In absolute terms, the EBITDA stood at Rs. 97 crores. On the quarter -on-quarter basis, the consolidated revenue increased by about 2% to Rs. 448 crores, whereas EBIT increased by 10% to Rs. 78 crores against the earlier previous quarter EBITDA of Rs. 71 crores. Consolidated PAT stood at Rs. 53 crores marginally higher over the previous quarter. The consolidated EPS for the quarter gone by was Rs. 5.82 per share. The board has approved an interim dividend of Rs. 2 per share in the just concluded meeting yesterday.

Let me now share update on "Ongoing Expansion Projects":

The Greenfield expansion project at Atali project continues to remain on track and with the expected completion targeted in H2 of FY25. The project to manufacture the primary raw material of Xanthine is expected to begin in this quarter, thereby limiting our import dependency. The semi commercial production block at our US FDA intermediate manufacturing site in Vapi to cater to smaller bed size requirements is aiming for completion in Q2 of FY25. In addition to above, the Company is planning to further expand generic capacity over next 15 to 18 months. All these efforts signify our commitment to growth, self -reliance and catering to diverse client needs.

With the current stable demand outlook, we expect to have EBITDA growth of approximately 8 to 10% in FY24 and remain well positioned to achieve our long -term goal of 12 to 17% annual growth in the next 2 -3 years. We believe that Indian and global pharmaceutical industry is poised for sustained growth, and we aim to continuously improve our performance by

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leveraging our strong research and development capacities. We envision ourselves fortifying our leading position in the Xanthine segment of the business.

In the API CDMO segment, we plan to strengthen our position by introducing more value -added products and acquiring new customers. This will help us solidify our position in the market creating long -term value for all our stakeholders.

I will now request moderator to open the forum for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Pratik Banthia from Girik Capital. Please go ahead.

Pratik Banthia: So, just a couple of questions. First, we can see a big jump in the gross margins in this quarter. So, can you break down the gross margin expansion reasons?

Rashesh Gogri: As you will see that we had a higher percentage export and our CDMO CMO business has also

expanded, and both of these have resulted into overall margin expansion in our business.

Pratik Banthia: And does Xanthine RM project was supposed to be commissioned in this quarter, in Q3, so that has been pushed to Q4, right?

Rashesh Gogri: Yes, that has got pushed to Q4, but however, we are able to buy at a similar price range from alternate suppliers, so that doesn't have any cost impact on our Xanthine production cost.

Pratik Banthia: Even when the project comes on stream, we can see a similar kind of gross margin, not big expansion from these levels, right?

Rashesh Gogri: Yes, that project is mostly from a standpoint of supply security and Indianization of the raw materials that the import dependence goes away.

Pratik Banthia: And last question on my part was that is there any change in the theophylline realization because as seen from the export date, realization seemed to have gone up quite a bit for theophylline, aminophylline and other bronchodilator category, so are you seeing anything on that front?

Hetal Gogri Gala: No, it is at a more or less a similar level and mainly theophylline and aminophylline margins are, realization

has been pressurized as or similar level to the CAPEX pricing.

Moderator: Thank you. The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

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Ankit Gupta: We have seen significant jump in the CDMO segment in this quarter and our product basket both on commercialized molecules as well as under developing molecules has increased conservatively and we have also added one new customer, so the ramp up in the CDMO that we have seen in the last quarter, is it sustainable? Do you think the traction that we have seen in CDMO segment is expected to continue going forward as well?

Rashesh Gogri: Yes, we expect the ramp up of these projects to continue. As you see now we have a basket of more than 39 products that we are dealing with our 16 customers, and they are at various phases of development and some are commercial also. So, depending on their plans and the approvals that they get, these products will become commercialized and provided they pass their clinical research and launch this product. So, on that basis we will have a visibility of these products in the future.

Ankit Gupta: So, but do you have good visibility on the products which are already commercialized, which are already launched?

Rashesh Gogri: Yes, that is why we are saying that we have a good conviction that we will be able to grow the current business of CDMO in the future.

Ankit Gupta: And sir, given this segment in last quarter contributed 14% of our overall revenue, do you think over the next with the given visibility that we have, this segment can become 20 -25% of our overall revenue in the next 2 -3 years?

Rashesh Gogri: Next two to three years, yes, it has a chance to become 20 to 25% of the total revenue or even bigger because it depends on how the products are commercializing at the customer end, and depending on that, we will have more visibility, but I think going forward we see this number to at least reach this 20% mark and go above it.

Ankit Gupta: On the API and Intermediate side, how is the demand scenario currently, the industry had been facing some challenges on the pricing side as well as demand, so how is the segment doing for us and what is the outlook for the segment for FY25 and FY26?

Rashesh Gogri: Yes, basically in API & Intermediate segment, in API if I particularly mention, the Company operates in the steroids and anti -cancer segment along with the lifestyle drugs and in these products segment we are feeling stable to good demand. And though there is a little bit of compression on pricing overall due to overall competition, I think since we operate largely on the regulated market and export market, we are quite okay with this business and growth potential of this.

Ankit Gupta: So, can we expect 15 -20% kind of revenue growth in this segment in the next 2 years?

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Rashesh Gogri: Yes, it depends on the new launches and how our partners are becoming successful in future. So, we expect definitely this business to grow. The absolute number can be 10%, yes in that range.

Ankit Gupta: And then last question was on the Xanthine side, how is the pricing scenario now? I think last quarter also it seems that we have seen some pressure on pricing. So, where do you see the pricing pressure ending and what is the outlook for this segment?

Rashesh Gogri: Yes, overall, we have seen Xanthine segment pricing pressure, but we have been added by lower raw material costs also. So, ultimately pricing pressure is there, but margin pressure is not as much as the pricing pressure overall. We feel that I think these all the China based dumping of these kind of products also that we have seen in other APIs will eventually end in next couple

of quarters. This can't continue because everything is becoming quite challenging to others, yes.

Moderator: Thank you. The next question is from the line of Hrishali S

hah from Unifi Investment Management. Please go ahead.

Hrishali Shah: I have two questions. First is on Xanthine segment. So, it was earlier mentioned that we hold 15 to 20% share in this segment and then there is one Germany player almost equal to us and Chinese players which are larger. So, it appears as if Xanthine is a very consolidated market, so how do we expect growth there? Is it incremental opportunity coming in this industry which will lead to growth or am I missing on something in case of industry growth?

Rashesh Gogri: Yes, as you see that the overall market of the Xanthine derivative is growing and particularly it is growing significantly in Indian subcontinent and that is resulting in overall growth of the business. The customers that we are focusing on are convinced about our ability to partner with them for their growth and that is how we are seeing larger allocations to us for future demand from them.

Hrishali Shah: Any particular factor leading to this kind of growth or is it just the trend evolving?

Rashesh Gogri: Yes, Xanthine is essentially caffeine and other products and there is lot of demand of these kind of drinks and other food application which is increasing overall usage in particularly Asia and Indian subcontinent.

Hrishali Shah: And another question was on CDMO CMO front, so as we saw the sharp rise of around 700 basis points, that is from 7.2% to 14.2%, so what led to this kind of growth?

Rashesh Gogri: In the CDMO CMO place, we have customer orders and we had significant orders which we expect in this current quarter that we are reviewing, which resulted in growth of sales.

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Hrishali Shah: Also, if you can bifurcate the margins into these three segments, you already had mentioned that CDMO CMO is the margin accretive business. If you can just bifurcate margins as of how much contribution is of Indian segment, how much for CDMO and how much for API?

Rashesh Gogri: Yes, currently we are not giving this bifurcation of margins and probably later on from next year onwards, we will give you the bifurcated margins because the assets are common that we are utilizing for API & Intermediates and CDMO CMO. So, it is a little bit trickier to give this breakup.

Moderator: Thank you. The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: As we have indicated in this call as well as in the past that the margins in the CMO and CDMO segment are higher than our overall Company margins compared to Xanthine as well as API Intermediates, so with the proportion of the segment increasing, do you think our overall margins can be like 20 -21% over the next 2 -3 years?

Rashesh Gogri: Yes, see, margin percentage depends on the pricing also. There are two factors which have led to higher margins in this quarter. Of course, we focus more on absolute growth, but the lower price of Xanthine derivatives has also factored in overall because the absolute margin compression has not happened, but the overall pricing has come down. So, that has resulted in terms of percentage increase.

Ankit Gupta: And on the volume side on Xanthine, in the 9 months, have you seen growth in the overall volumes and if you can broadly give an indication how much has been the growth in volumes in Xanthine?

Rashesh Gogri: The growth over last year has been around 3.5% YTD if you compare YTD of last year and this year, so we have done a growth of close to 20%.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: First question is on the Xanthine side, so in the Xanthine, we are indicating that in couple of quarters the China dumping like all other APIs stock and prices may again kind of move up, so given that and I understand you do annual contracts for renting for most of your large customers. So, how does it work? You revise i

t somewhere middle of the year or you go through

with the same pricing and then next year only, the price gets revised, so how does it work?

Rashesh Gogri: So, all our 100% quantity is not on an annual pricing, we have a mixture of quarterly pricing, annual pricing and spot pricing. So, it is a mixture. However, a significant portion is on the annual pricing and that gets reset every year.

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Dhwanil Desai: Sir, that is at the start of the financial year or calendar year?

Hetal Gogri Gala: That is too much detail to share.

Dhwanil Desai: Sir, second question is, I think we have given that 12% to 17% EBITDA growth guidance. So, I think at that point in time when we were discussing on the call one of the things was that the

Xanthine realization are likely to come under pressure. Now from here on, if the Xanthine realization again comes back and we remain backward integrated, do we see any upside potential to what we have said?

Rashesh Gogri: No, we have a wide range 12 to 17. So, I think we will still fit in that range even though there is an uptake in and there is lot of dependency on our partner success for the projects for which the launch will happen. So, we have series of launch which will happen in '24-25, so with that Intermediates as well as API, how they fare and how our partner fares that will determine the overall margin profile and absolute number on our project, but in terms of Xanthine we will have another 7 to 8% increase in quantities that further some debottlenecking will happen starting next fiscal. And so that will complete our current debottlenecking program that we started last year and we further plan to do one more round of debottlenecking by further investment, and we are still working on that. So, once we have some details, we will get back to you in the next call.

Dhwanil Desai: And what is the total CAPEX that we are likely to have in FY25, both Atali and Xanthine expansion put together?

Rashesh Gogri: So, overall, there are several projects which are undertaken. So, I think in Atali we have announced total CAPEX of Rs. 375 crores and then there is a solar project where we are doing a Rs. 90 crores CAPEX and then the Xanthine CAPEX number is still being worked out, so all in all everything largely will get spent in 2024-25. So, over the next 12 to 18 months, we are looking at somewhere in the region of between Rs. 400 to Rs. 500 crores of our CAPEX.

Dhwanil Desai: And out of that Rs. 90 crores is for the solar, rest is for the processes and ingredient capacity, right?

Rashesh Gogri: Yes.

Dhwanil Desai: And we can assume around two times effect on whatever CAPEX that will be?

Rashesh Gogri: Solar is going to be not adding.

Dhwanil Desai: Not solar, I am excluding the solar part, so I am saying for the process part and the API and CDMO part?

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Rashesh Gogri: Yes.

Moderator: Thank you. The next question is from the line of Nitesh Dutt from Burman Capital. Please go ahead.

Nitesh Dutt: First question is on gross margin. So, this quarter, the number of 46% is a lot higher than our usual 41-42, you explained the reasons, but is this a sustainable number? And also can you bifurcate the impact of product mix and lower RM prices, export, etc?

Rashesh Gogri: This 46% number is definitely due to the lower sales price and lower raw material cost percentage plus improved margin due to exports and CDMO CMO segments. So, all three have contributed to this and I think we will have to really work on that number, but however, we are looking at absolute number increase and how we are able to get this absolute number to grow as a percentage. So, that is where the Company is focusing more rather than this percentage.

Nitesh Dutt: Second question is on API and Intermediates. So, you have given a pie chart right, basis that it seems like the revenue from API Intermediates has gone down a little bit in

Q3. So, have you

diverted some of your API capacities towards CMO and CDMO?

Rashesh Gogri: Yes. We have diverted some of our capacity of intermediates for CDMO CMO for utilization.

Nitesh Dutt: And sir, you have committed a CAPEX of nearly Rs. 270 Cr in FY23 and H1 of FY24, right, including the new Tarapur API block and the hydrogenation reactors etc., now its impact is still not visible in our topline, so when will it start getting reflected in the topline and also related to that, if you can share some details on Atali ramp up right, what is the peak revenue potential, expected utilization, etc.?

Rashesh Gogri: So, regarding this earlier expansion of hydrogenation as well as the new API block, I think now we have onboarded most of the customers on this newer block and we ultimately have to look at consolidated API capacity availability and what has happened is that we have moved our larger products to this newer block, and we have emptied out our capacity of multipurpose block. So, overall, this ramp up is going to happen over next 2-3 years and then we will get this API capacities getting fully occupied whereas in case of Atali, it is a very large land parcel that we have where we have almost 80 acre of land and we have only started first phase of Atali where we are doing this Rs. 375 crore out of which the infrastructure cost itself is going to be Rs. 125 crores and balance is going to be spent on the blocks as well as the utility etc., for that particular block that we are going to utilize. So, overall that ramp up will happen slowly, initially, but ultimately we will put up more and more blocks at that site because we have space to almost put 12 to 15 blocks in that particular site that we are developing. So, every year, we can put one-one block depending on our customer's growth and we don't have to change the sites.

Nitesh Dutt: Any targets on capacity utilization, revenue potential etc., for FY25, 26 or FY27?

Rashesh Gogri: See, our endeavor is to do more than 1x, 1.2x of net fixed asset, but we have to completely do the more product mix and manufacture more value-added products to achieve this number.

Nitesh Dutt: Couple of more questions. R&D spend, what will it be for FY24 and also FY24, what is going to be the total CAPEX?

Piyush Lakhani: So, R&D normally our run rate is about Rs. 10 to Rs. 11 crores per quarter. So, we will spend almost about same amount that we spend in 22-23, which is about Rs. 40 cores of gross R&D spend and CAPEX, we have spent about Rs. 40 crores so far in H1 and we will be capitalizing. So, we have Rs. 102 crores of WIP. So, basically the CAPEX number for this year would be about Rs. 150 crores or so excluding R&D.

Nitesh Dutt: And the number of Rs. 400 to Rs. 500 Cr you mentioned is in addition to this Rs. 100 Cr of CWIP, right? This is fresh Rs. 100 Cr of Rs. 400 Cr?

Piyush Lakhani: Yes, so some of this would be spent in 24, this financial year and 24 last quarter also. So, in 15 months we will spend this Rs. 500 crores.

Nitesh Dutt: Sir, last question from my side on the Xanthine segment, I just want to understand the market dynamics better, so can you help me explain the entry barriers in Xanthine right? Do you expect any sort of large capacities coming up in India or globally in the medium term? And also if the market is attractive in the Asian subcontinent what stops other players setting up capacities in India or in, let us say other China or elsewhere?

Rashesh Gogri: As you know that overall the Xanthine market has seen pressure on pricing and margins currently, so for any new player to enter and create this kind of market has become difficult to get to the scale at which we are operating. And also, there are regulatory approvals and qualification requirement with large customers where it takes time for any new entrant to get qualified and all that. So, that is the entry

barrier that we have in this segment and that is what

will deter other competitors from entering into this segment. Now from last year, this year, it has become more difficult because overall other spot customers and those markets have also pricing has become more challenging. So, what she is trying to say is that we are giving our customers India only product advantage, so that there is no Chinese element in our product. So, that is the advantage that people, if there is any competitor from China, it will not get entertained as much as we get entertained from India as a supplier.

Moderator: Thank you. The next question is from the line of Mr. Vikas Sharda from NTA Asset Management. Please go ahead.

Vikas Sharda: I just wanted to confirm one factor which you mentioned earlier that the volume growth for the 9 months was around 20%? There was some background noise, so I could not get the number clearly.

Rashesh Gogri: On Xanthine segment.

Vikas Sharda: And secondly on the CDMO side, so the levels which you are saying this quarter, would you expect that to remain more or less stable going forward for the next few quarters or would you see a very high volatility?

Rashesh Gogri: Yes, CDMO CMO, quarter to quarter, we can't give the guidance, but however on an annualized basis, we are pretty confident of growing the current segment. Last year, we did almost close to Rs. 95 to Rs. 100 crore. This year already we have crossed that number and we are near last year's number and this one quarter we will be doing another round of sales to our customer and going forward we anticipate growth to continue at say 40% or 50% annually.

Vikas Sharda: And what would be the nature of these products like, it is more like commercial launches of the products or like it is still in the R&D stage?

Rashesh Gogri: Yes. So, we have 19 products, which are in commercial, 20 products at R&D stage. Of course R&D stage share in revenue is very hardly anything, but currently the products which we have been working with our 16 clients or more where the numbers are showing up from few products which have been either their validation quantities or commercial launch.

Moderator: Thank you. The next question is from the line of Bismith Naik from RW Advisors. Please go ahead.

Bismith Naik: Sir, what do you see on the ground that you believe China dumping would be over in the next two quarters?

Rashesh Gogri: We feel that overall in the chemical segment and other segment also, overall I think pricing and sustainability of China at this lower pricing has ended in certain product segment in chemicals.

And I think the same will continue in pharma also, because once the chemical prices start moving up, which we have seen in China, the API prices also will slowly start mirroring that.

Bismith Naik: And on annualized guidance, I could not hear it properly, CDMO is expected to grow at 20-25% as a segment earlier?

Rashesh Gogri: CDMO next year, we will grow faster. So, we are anticipating 40-50% growth over this year in

CDMO CMO segment.

Bismith Naik: These are all gross margin at least, can you give us a sense of how better CDMO CMO or better compared to Company gross margin on an annualized we achieved?

Rashesh Gogri: Yes, basically gross margin currently, we were at 41%, now we are at 46%, but on the CDMO CMO side, I think our gross margin is in excess of 50% in most of our products that we do.

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Whatever, as the product will become more and more commercial and the margins still ramp up, I think those margins also will rationalize going forward, but however it will get compensated by absolute quantity increase and absolute number increase. So, it is a balancing number. It depends on where, in which place the products are and how we are doing. So, if I have a campaign of innovator every year, then the margins can't be 50% or north of 50%, but initially

all launch batches or those can be higher.

Bismith Naik: And sir, this CAPEX of Rs. 400 odd cores of solar, which we want to do in the next 15 to 18 months, so the commissioning of it should be expected around Q1 FY26?

Rashesh Gogri: Yes, we have guided H2 FY25 that would be. So, basically we will have in the next 15 months the projects will start operating.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: Sir, One clarification, so in the business vertical split that you have given, that is for the standalone number for this quarter or 9 months or is it for console numbers?

Rashesh Gogri: Standalone for the quarter.

Dhwanil Shah: Sir, my question is that, if I look at the API and Intermediate segment, if I look at the overall numbers, we are close to Rs. 500 -Rs. 550 crores in that segment and given that we have such a good customer base and very good products and we have 13 new APIs under development, all regulatory approvals across various countries, so can we grow this business at 18 -20%, and if not, what are the restricting factors for us to grow this business at that rate?

Rashesh Gogri: So, globally, API business for newer generic launches has seen lot of pricing pressure on day one launch and also subsequently. So, there is a lot of pricing pressure which is there on this launched new APIs, however, the advantage that our Company has is that we are backward integrated and we have our own multistage synthesis that we carry out for these APIs which make us position our product differently than other players of API. So, basically absolute number increase is one thing, but what we are trying to do is how we can grow the absolute margins because the assets which we are using for API, we are not using for any other user. So, how we can do more absolute contribution in this manufacturing asset is what is our goal.

Dhwanil Desai: But is it safe to assume that your volume growth could be in that 15% -20% rate, just the realization pressure because of which the growth may be that lower?

Rashesh Gogri: I think those numbers, we can guide for absolute EBITDA increase that we plan, but however these topline numbers are ultimately because if you see, we have not increased our topline over last year, but however, the EBITDA and other numbers have shown increase.

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Dhwanil Desai: And one more question, sir, I think we had given earlier that 10 to 15% EBITDA guidance in terms of improvement over FY23, now we are seeing 8 to 10%, so is that largely because of the Xanthine market changes or anything else which kind of slightly different than what we had anticipated?

Rashesh Gogri: Yes, I think you are right that we have lowered our absolute growth. As we pass quarter-on-quarter, we have more security on what number we are going to achieve and we are at this number. We are seeing some postponement of orders of certain projects also which have resulted in moving this sales to next financial year. So, both these results would result in that lowering of this EBIT growth.

Piyush Lakhani: Just one small correction. The earlier target was 10 to 12, not 10 to 15.

Moderator: Thank you. The next question is from the line of Nitesh Dutt from Burman Capital. Please go ahead.

Nitesh Dutt: So, my question is on Atali, we are committing significant CAPEX, right Rs. 375 Cr in the next year, so is this more from a longer-term growth point of view or are you also seeing some near-term visibility driven by customer orders etc.?

Rashesh Gogri: Yes, it is more from overall growth perspective. I think it is a large manufacturing site that we are trying to put because we would like to see, consolidate our place where we do further expansion because the regulated customers and innovators don't like us to ship the sites from one site to other site and so from that perspective, we

e have taken a bet on putting up this very large manufacturing site and it will have, I think, multiple phases of newer CAPEXs that we will do at this site. So, current phase one includes the infra spend as well as two large blocks that we are constructing there as part of this current phase of expansion. And we will have all the permissions and land and everything to do further expansion also there which can come up every year as additional blocks, so that is the strategy. So, there we can, longer term we would have one side which will give us consolidated control over our expansion.

Nitesh Dutt: And sir, are we also adding some new capabilities, let us say chemistry capabilities or newer kind of products in Atali site?

Rashesh Gogri: Yes. Overall in the new R&D center that we have started, we are looking at doing more peptides and flow chemistry as well as the newer reactions in newer chemistry we would like to add and once we form our R&D capabilities, I think in the future projects we will see more such production capabilities coming into Atali.

Nitesh Dutt: Finally, on the Rs. 90 Cr CAPEX on solar side, will it help reduce our energy costs in any way?

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Rashesh Gogri: Yes. So, the cost increase that we are looking at is about Rs. 6 to Rs. 7 per unit. So, currently, in Tarapur the per unit cost of electricity is almost Rs. 10. So, there is definitely going to be savings and we are consuming about 20 lakh units on an average per month.

Nitesh Dutt: So, roughly Rs. 10 Cr of annual savings?

Piyush Lakhani: No, it will be more than that.

Moderator: Thank you. The next question is from the line of Krishna from Capital Mine. Please go ahead.

Krishna: Sir, my question is regarding Xanthine pricing pressure. So, are we at the flag end of the pricing pressure or do you think how long can we expect for the pressure to come back to its previous level? That is one question. Second question is on, you mentioned that EBITDA, we are expecting 8 to 10% growth, right? So, that is for the next quarter or next financial year. So, these two questions are from my side?

Rashesh Gogri: So, overall, I think Xanthine pricing pressure will end. We anticipate it will continue till middle of next year. And in terms of the growth that we will end FY24 will lead to 10% EBITDA growth and for future next 2-3 years, you can anticipate 12% to 17% annual growth of EBITDA.

Krishna: So, this 8 to 10% is for next year?

Rashesh Gogri: Next quarter, all combined.

Piyush Lakhani: So, 23-24 overall compared to 22-23.

Krishna: And then from 25 onwards, we can expect 12 to 17% for next 2 years till 27?

Rashesh Gogri: Yes.

Moderator: Thank you. The next question is from the line of Bharat from Neomile Capital. Please go ahead.

Bharat: I just wanted to ask, how do you plan to fund your CAPEX within the next 2 years like Rs. 100 crores. So, how do you plan to fund it?

Rashesh Gogri: It will be a mix of both, internal accruals as well as borrowings. And we can see our debt equities, we have quite well placed and if you see the business opportunity also we are in a much, quite good place to basically expand and on the capabilities as well as the future that we have. So, we think that kind of CAPEX is really put in a much better place and we will fund it through internal accruals as well as some sort of borrowing. But we will keep a tab of where we want to be in terms of debt equity or target is between and we want to be between 0.3 and 0.35.

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Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Rashesh Gogri: We thank you everyone for taking their time to join us for our Q3 FY24 Earning Call. Hope we have addressed all your queries. If you have any further questions, please feel free to contact our Investor Relation team and they will revert

back on the same. We look forward to connecting you together again next quarter. We wish you good evening and bye for now. Thank you.

Moderator: Thank you. On behalf of Aarti Pharmalabs Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

May 17, 2024

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: AARTIPHARM

Sub: Transcript of Earnings Conference Call
Ref: Regulation 30 of the SEBI (LODR)
Regulations 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Wednesday ,
May 15 , 202 4 on the Audited Financial Results of the Company for the quarter and y ear ended
March 31, 2024.

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED

NIKHIL NATU
COMPANY SECRETARY
ICSI M. NO. A27738

Encl.: a/a.

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Aarti Pharmalabs Limited
Q4 FY24 Earnings Conference Call
May 15, 2024

Moderator: Ladies and gentlemen, good day and welcome to Aarti Pharmalabs Limited Q 4 and FY 2024 Earnings Conference Call hosted by Valorem Advisors. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference ca ll, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal from Valorem advisors. Thank you and over to you, sir.

Anuj Sonpal: Thank you. Good evening everyone and a very warm welcome to you all. My name is Anuj

Sonpal from Valorem Advisors. We manage the Investor Relations of Aarti Pharmalabs Limited. On behalf of the Company, I would like to thank you all for participating in the Company's Earnings Call for the Fourth Quarter and Financial Year Ending 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties that could result, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the Company's fundamental business and financial quarter under review. Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us today, Mr. Rashesh Gogri – Chairman; Mrs. Hetal Gogri Gala - Vice Chairperson and Managing Director; Mr. Piyush Lakhan i - Chief Financial Officer. Without any further delay, I request Mr. Gogri to start with his opening remarks. Thank you and over to you, sir.

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Rashesh Gogri: Good afternoon everyone, I welcome all the analysts and investors to this earning call on the performance of Aarti Pharmalabs for the quarter and the year ended March 31 st, 2024. Our results , and documents were shared with you earlier and I hope you would have got a chance to go through them. To begin with , let me provide you with the business highlights.

The company operates in three distinct areas within the pharmaceutical industry, one Xanthine derivatives , two API and Intermediates and three CDMO/CMO . The Xanthine derivative segment contributed to 44% of the turnover in Q4. As you know we have the largest manufacturing facility in India for the Xanthine derivative. In order to fortify our position we are undertaking brownfields capacity expansion and working diligently towards debottlenecking of our plants.

The API Intermediates business contributed 37.6% of the turnover in Q4. Out of the API and Intermediates turnovers , the regulated market contributed 54% and the rest of the world contributed 34% and the balance 12% was from the non-regulated market. The regulated business continues to remain our area of focus while offering higher profitability and stability to our business. Strategically we are present in lifestyle drug market, which is a low volume high value business. This category includes antihypertensives, anti-diabetic , steroids and oncology drugs, which are sticky in nature. We offer an advantage to the customer, that is one lower cost due to backward integration and two minimum dependence on China for KSM. These advantages position us as a favorable partner among global customers .

The third segment CDMO/CMO business contributed 18.4% of the turnover in Q4. In CDMO/CMO space, we are presently working with 16 customers on 40 projects of which 21 projects are commercial and 19 are under different stages of development at customers end. This highlights our presence in late phase projects. We are also working on expanding existing chemistry capabilities of peptides and Oligo , nucleotides , ADC Linkers , et cetera. In CDMO/CMO , our USP is strong expertise in commercial scale up, and manufacturing which enables us to form long-term supply partnerships with our customers.

Now , I will share the key financial highlights . Consolidated financials, I am pleased to announce that in Q4 FY24 we have recorded the highest EBITDA and net profit to date. In the Q4 FY24, the consolidated EBITDA from the operations stood at 117.5 crores as compared to 95.7 crores in the previous quarter. There is an increase of 23% Q-o-Q and on a Y-o-Y basis the consolidated EBITDA grew by 47% . The consolidated PAT for the quarter was 65.3 crores which was higher by 24%, Q-o-Q and 52% Y-o-Y.

For the entire year, FY 24 the consolidated EBITDA stood at Rs.386 crores , this was 13% higher Y-o-Y, and the consolidated PAT for FY 24 was higher by 12% at Rs. 217 crores resulting in EPS of Rs.22.9. The consolidated net debt to equity as on 31st March 24 was 0.14 %.

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Standalone Financials. For Q4 FY24 the standalone EBITDA was 107.3 crores, this was due to 22% Q-o-Q and 40% Y-o-Y. Standalone PAT for the quarter was 63 crores which was 31% higher Q-o-Q and 58% higher Y-o-Y. For this entire year 24, the standalone EBITDA stood at 346.2 crore and this was 12% higher compared to the FY 23. The standalone PAT for the financial year 24 was higher by 17% , equity is 201 crore and translates into a standalone EPS of Rs.22.1 . The return on capital employed improved to 18% for the FY 24 as compared to 17.7% for the FY 23. The Board has recommended a final dividend of Rs.1 per share in addition to an interim dividend of Rs.2 per share paid earlier in this year.

Let me now share the updates on the ongoing expansion projects. We are expanding our relationships with several large corporations for suppliers of X

anthine derivatives primarily

Caffeine. For the same purpose, we are in the process of enhancing our production capacity of Xanthine derivative units such that additional land parcels are likely to be repurchased and we target to complete this brownfield expansion project by the end of FY 25. Thereby, a total production capacity of 750 metric tonnes per month will be achieved. This expansion will entail a capital expenditure and additional working capital borrowings.

Our project at Atali primarily focusing on CDMO/CMO and Intermediates manufacturing is progressing as per plan and we expect the commissioning by Q4 FY 25. As discussed with you last time, we are nearing completion of semi commercial block at our USFDA intermediate manufacturing site at Vapi and this is expected to become operational in the current quarter. I would also like to share that we have undertaken a project in Akola, to set up a solar power plant. This will help us to get the clean and green electricity, which is estimated to fulfill 1/3 of our power requirement and reduce overall manufacturing cost at the same time. It will support the sustainability goals by reducing the carbon footprint.

Under scores our deep and continuous commitment to business expansion, sustainability, self-reliance, and keeping up with the customers' needs. Talking about the future outlook we expect to achieve EBITDA growth of approximately 10% to 12% in FY25 and remain well-positioned to achieve a long-term goal of around 15% annual growth in the next two years. I now request the moderator to open the forum for the Q&A session. Thank you.

Moderator: Thank you very much, sir. We will now begin with the question-and-answer session. We take the first question from the line of Rahul Jain from Credence Wealth. Please go ahead, sir.

Rahul Jain: Sir my first question is with regards to CDMO/CMO. We have done exceptionally well in this segment of the business for the last two quarters and in the current quarter we have almost reached about 76 crores of sales from CDMO/CMO versus 53 crores and for the full year today, it stands at 177 crores compared to around 100 crores last year. So sir two questions, what is the sustainability of this segment to grow further from here, in the previous call you had said

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that, we expect this segment to grow around 40%, or 50% for the next two, or three years. So, can you share some more details on the sustenance of and the growth of this segment?

Rashesh Gogri: Yes, as I mentioned to you earlier and as we reported, now we are working with more than 19 companies on 40 projects out of which 21 have become commercial. And with this expansion and the way in which the progress of these projects happens with our partners, we will see growth in this business area. That's why in the last call, I had projected and we see that kind of a number possibility in this business segment. So, we have done all the right things. So, now we have a new R&D center, which is completely focused on innovators, we are also investing in a new manufacturing facility that can cater to the additional requirements of manufacturing capacities. And, with the right regulatory focus, we can grow this business faster.

Rahul Jain: And sir with regards to margins again, this quarter we have recorded record margins both on the EBITDA and the gross margins. Our gross margins today stand for the standalone entity at almost 55% and on a console basis at 50%. So, how do we see the sustainability, what is driving this margin? So, it is only on increased CDMO contribution. And secondly, what do we feel are the sustainable gross margins?

Rashesh Gogri: Yes, definitely the CDMO business is more lucrative than the rest of the businesses that we are operating. However, our overall other business segments are also, API and Caffeine business segment is also having

reasonable gross margins. Quarter-to-quarter as we deliver and meet the customer's requirement the quarterly there would be ups and downs, but we are hopeful that we will be able to maintain close to 50% gross margin.

Hetal Gogri Gala: At annual basis.

Rahul Jain: 50% on console basis right?

Hetal Gogri Gala: Yes.

Rashesh Gogri: We generally talk about annual standalone because console, we have one trading entity also which gets consolded and in that trading activity we may not have that kind of gross margin, so.

Rahul Jain: Because standalone gross margins are 55%, that's why I asked that question.

Rashesh Gogri: So, that will rationalize to around 50, longed off.

Piyush Lakhani: Just to add to it, apart from the margin, percentage margins we normally track the absolute numbers because the percentage margin is again a function of FG prices, which in turn is a function of RM prices, so at least in some of the business, when the RM prices goes down, like in renting, or for consolidation we have Ganesh Polychem where the pass through mechanism

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is, when the RM prices go down we pass that advantage on to the customers. So normally, we track the absolute growth in the profit numbers.

Rahul Jain: Sure. Sir with regards to your guidance on EBITDA growth, previous presentation and calls

you were talking about EBITDA growth of 12 % to 17% for next two, three years. And in the current presentation, you have mentioned that we expect EBITDA growth of around 10 % to 12% in FY 25. Now, if I just take the average of last two quarters EBITDA, even if I sustain that average of last two quarters, we can be at around 10% EBIT DA growth for the full year FY 25 compared to FY24. So, are we trying to be a bit more conservative on giving guidance for FY 25 for the EBITDA growth?

Rashesh Gogri: Yes, for the F Y25 we are already sitting on two good quarters and of course, the market is volatile as you know the pharmaceutical industry however, we are trying to be more and more investing in the business and with a profitable business. So, generally we want to be moderately conservative in all our guidance's .

Rahul Jain: Okay . And last question sir, with regards to the CAPEX which has been completed till date , because this CAPEX which has been completed, you had done some bit of it in FY 23 and also FY24. So, typically as we speak today at today's prices of all these segments, typically what kind of business can be generated on a standalone basis from all the three segments put together at optimum utilization ?

Rashesh Gogri: Currently, we are almost utilizing our Xanthine plant at 90% capacity utilization and other plants are also utilized at 85% capacity , currently with the expansion but now going forward in next one and a half year, we will have a lot of CAPEXs which are upcoming like Atali manufacturing plant and new block at USFDA location Vapi as well as a debottlenecking of Xanthine plants, so all these three projects will entail a lot of capacity unlocking or new capacity addition which will come up for the FY 26 and that is when we will see a growth 26 onwards as we occupy more and more of these capacities with the production.

Moderator: Thank you . We take the next question from the line of Pratik Banthia from Girik Capital. Please go ahead.

Pratik Banthia: A couple of questions from my side. So firstly, in the last quarter we were supposed to start the backward integration for Xanthine which would reduce our dependence. So has that led to some bit increase in the margins. And was it planned started in the fourth quarter ?

Rashesh Gogri: No, that manufacturing asset is operationally ready. But looking at the current manufacturing costs and the prices of product availability from China, we are not opting to continuously operate that plant , looking at very lower pricing availability from the market. So we are keeping

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it ourselves ready , but there is an upper cap, so if the prices go above a certain value, then we will always operate our facilities. So that has not impacted on our margins per se.

Pratik Banthia: Understood. So how should we understand the improvement in the EBITDA margin . It's driven by, if you could in terms of which was like the segment which has the highest impact followed by the next segment, if you can just line up that way. Which segment has impacted the highest in terms of incremental EBITDA for the quarter ?

Rashesh Gogri: Yes, we have seen improvement of overall performance in CDMO/CMO segment and also API and Intermediates segment has also done well. So, occasionally our Xanthine segment was doing well but now overall with this growth percentage, Xanthine has peeked in terms of with the current capacities that we have and we are anyways further, going to enhance our capacity next 12 months or so. So then we will again have more improvements from that segment going forward.

Pratik Banthia: Interesting. And you mentioned Q1 25, our factory at Vapi is going to see some expansion. So is it the API or is it going to be on CDMO side in Q2?

Rashesh Gogri: Q2, this current quarter we will have an expansion. So, we are going to have additional manufacturing block which will basically it's a semi commercial block and we will have more of these capacities so that we can do more feeding projects for the early requirements of the customers up to 100 kg can be max from this manufacturing side.

Pratik Banthia: Okay. So it will reflect in Q2, the revenue ?

Hetal Gogri Gala: Yes.

Rashesh Gogri: Q2 onwards.

Pratik Banthia: And it is around 28 reactors of 28,000 liters capacity right ?

Hetal Gogri Gala: Yes. So, they are very small reactors and that was a gap that we had in our current setup of intermediate manufacturing to have this size of the reactor which is predominantly required for the customers for their development stage. So which we are trying to fulfill.

Pratik Banthia: Okay. And, again on the CDMO , so incrementally two new molecules have been commercialized in the quarter if we just go by the commentary made in the presentation. So what sort of incremental revenue would those two new molecules be contributing and can you just give us again your outlook on CDMO, which therapies is more focused upon and what sort of are we share of innovator , you look over the next two year because it's CDMO/CMO both.

Rashesh Gogri: Yes, we are operating both the segments of CDMO & CMO and largely it is more CMO which brings larger revenue repetitiveness in the business, we are currently working with 16 innovators or the partners. And as you see that, there are 40 products that we work with them and these products have grown over a period of this entire year we started the year with close to 28 products and now we are at 40 products. So, we have added 12 new projects in this year and these projects normally take two, three years to full grow minimum. So, as the projects grow and depending on the product outlook of the customers, we have some good projects with large customers which has shared good outlook with us.

Pratik Banthia: Okay. So, should we assume around, you mentioned around 30%, 35% growth in CDMO for the next two, three years?

Rashesh Gogri: We are projecting that kind of, overall we are projecting higher growth in this segment.

Pratik Banthia: Interesting, okay. So, since Xanthine it is 90% in the fourth quarter exit, so until our new expansion comes which will take our capacity to 9000 per annum, then this number 220 crores which we did in Xanthine should remain at this right for the next fourth quarter till the time we have capacity?

Hetal Gogri Gala: Yes, the product shall remain same.

Rashesh Gogri: Yes, the top line is dependent on the overall pricing and the metrics, how the prices are

sustained in the marketplace, but in the spot market the prices have now bottomed out. So, we are not going to see further prices going down that is what is the current understanding of the market. And we will have the expansion only next year. So, the expanded capacity will come up, till there is a possibility that we may further increase our utilization to 95% also. So, that may happen in this year, but later on. Next year, we will have higher capacity.

Pratik Banthia: And sir last question on the cash flow statement. We have taken a R & D project right above 6.76 crore, what is it regarding?

Piyush Lakhani: Pratik that is the projects that, basically we stop working on, we think that there is not enough market or we don't want to pursue, so then we do this exercise every quarter. And whichever projects we are not going to pursue in future, we take that as an expense in the P&L.

Moderator: Thank you sir. The next question is from the line of Vikas Sharda from NT Asset Management. Please go ahead.

Vikas Sharda: I have two questions. One is, what is the CAPEX guidance for FY 25 and secondly, in your opening remarks you mentioned about the brownfield expansion of Xanthine. So could you, I didn't get it correctly could you repeat that please?

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Rashesh Gogri: Yes, in total for the FY 25 going to be CAPEX heavy for our overall size, we are going to have a total CAPEX of around 600 crores happening in this year with the three big projects as we mentioned in my speech, and out of these the Xanthine overall capacity which is currently at 5000, we are debottlenecking it to 9000 metric tonne in the existing assets that we have by taking adjacent plots and doing a brownfield expansion.

Moderator: Thank you. The next question is from the line of Mr. Ahmad Madhav from Uni fi Capital. Please go ahead sir.

Ahmad Madhav: Sir just wanted to understand the CMO business a little better button. So, the kind of products we have in the pipeline are this the full APIs or just the key starting materials and intermediates for the NCE?

Rashesh Gogri: In the CMO business we have largely the products are in KSM, RSM regulated starting material, key starting material, large component of them, we still also operate in few APIs, but 80%, 90% of the portfolio is in this first two segments.

Ahmad Madhav: Okay. And whatever shipments or the scale up which has happened in the last two quarter, so can you give some sort of understanding on what kind of products are there or what kind of products we are selling. Number two, will the consistency in the volumes will be there in the CMO every quarter or it will be fluctuating in second half or in one or two quarters, how will it function?

Rashesh Gogri: Basically, we will see quarter-to-quarter fluctuations, because normally these are multistage products that we produce and if we have orders of this product, then it may take more than a quarter to do the manufacturing and these are all campaign based products that our innovators, partners order with us. In terms of the profile of the products, these are all we are working with 21 which are already commercialized products, 19 products are under development. So, that is the current profile that we have.

Ahmad Madhav: And we will be the only sole supplier for the KSMs which we are supplying or there will be multiple suppliers?

Rashesh Gogri: Most of the innovators and the manufacturers they have multiple sources that could be a Chinese source or other European source possibly for these products.

Ahmad Madhav: Okay. So, are we seeing a shift from the other suppliers to us?

Rashesh Gogri: We are also basically trying to pitch in phase two , three when the innovators are looking for more commercially viable sources and that is where we are trying to pitch in and the movement is basically between the medicinal chemistry companies t

o those which are operating in that

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space to us, where we are more commercialized focused company. So, that is a shift which we are seeing . Geographically also , innovators have been largely dependent on China for KSM, RSM and they want to reduce their dependence on China for sure.

Ahmad Madhav: Okay. The second question is on the Xanthine derivatives . So, if I look at the standalone numbers and I look at the annual reduction in the top line, is it above 15%. So, can you share how was the volume growth in the price decline this year , the breakup between the volume and the prices ?

Hetal Gogri Gala: Yes, there is definitely a volume growth or vis -à-vis last year as earlier we explained that one brownfield expansion that we did last year . However , the Xanthine prices have reduced drastically and along with that the raw material prices also have reduced so, because of that you are seeing the top line de-growth.

Ahmad Madhav: Can you quantify the price decline a broad range about 20% ?

Rashesh Gogri: Price difference is around 20% to 25%. So, it will be around 20 % to 25% price reduction and capacities have gone up by around 12 % to 15%.

Ahmad Madhav: Okay, got it. And just want to clarify the CAPEX you said 600 crore CAPEX, s o can you just break it down in the three projects which you are doing?

Piyush Lakhani: Yes, so the major one is going to be the Atali project, that is the greenfield project that is coming up at Atali in Gujarat, so that is going to be about 300 crores or so. Then additionally as Rashesh clarified in the beginning itself. We are expanding the Xanthine capacity at Tarapur and then there are additionally we are also going to continue to spend on intangible asset development also, another 40 to 50 crores will go on that.

Rashesh Gogri: Yes, and we are also spending almost 80 to 90 crores on the solar project this year.

Ahmad Madhav: 80 to 90 crore on solar plant?

Rashesh Gogri: Yes. So, that will basically take care of our 1/3 of our power needs, so once we have our own solar we will have huge savings in electricity, energy consumption , and spends that we have .

Ahmad Madhav: I just want to deep dive little bit in the CAPEX part. So, in Xanthine the capacity will go from 5000 to 9000, what will be the CAPEX for ?

Piyush Lakhani: We are still working on the numbers. So, we are not saying, but the numbers would be in 130 to 180 crores in that range. So, we have still freezing those numbers.

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Ahmad Madhav: And between solar plant what kind of ROI you are looking at , based on 80 crores , 90 crores CAPEX, number is large considering the size of our, so what will be the savings roughly?

Piyush Lakhani: Yes. So, the payback on that one would be less than five years , between four and five years and the terms rate of return could be about 20% .

Ahmad Madhav: Okay. This is my last question , so intangible development 40 to 50 crore costs. So all this we are capitalizing on our books or how?

Piyush Lakhani: Yes, so it goes under the intangible assets and the development initially and when the project is handed over to the plant then, at that time it gets capitalized and amortized over a period of this.

Ahmad Madhav: So, this year we had about 40 crores intangible asset cost , so how much did we book in the P&L?

Piyush Lakhani: See 43 crores was the total spend of which 17 crores was capitalized around 7 crores was digitally written off to P &L, and the other is still under development. So it remains under intangible assets under development.

Ahmad Madhav: Just finishing on this part. So, as soon as we commercial ize the project we will book for cost on P&L is it?

Piyush Lakhani: Yes, correct.

Rashesh Gogri: Cost, it is amortized over five year.

Piyush Lakhani: It is amortized over five years so it goes into the block .

Moderator: Thank you. The next question

is from the line of Ankit Gupta from Bamboo Capital . Please go ahead sir.

Ankit Gupta: Sir, my first question was on the CDMO segment so, during the year if you look at our commercialize molecules have gone up by , like we have added five molecules in our already commercialized molecules of 16 which was there at the start of the year. So, the scale up that we have seen in the CMO CDMO segments has that been primarily because of this five new

commercialized molecules which have been added . And, second part to that question was, do we have the commercialized molecule portfolio that we have, are there any molecules which have a potential to become blockbuster molecules and scale up to 200 , 300 crore kind of revenue per molecule over the next few years ?

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Rashesh Gogri: Just to give clarity on this number. So, this is a cumulative number of the products that we are mentioning is that 21 commercialize we may not operate all 21 manufacturing may happen in the entire year. So, these are the projects which are still viable , and they are in the commercial stage . Whereas 19 products are in the developmental phase at our end . So, that is a breakup and every year, we may do some of them or we may do more of them. So, it depends on how the customer's requirements are and how they request us to produce these products. But these are the commercial products that we have with the extreme customers that we have. And in terms of overall, we have good projects of course, we can't share confidential details about the size and because we are bound by the confidentiality agreement with our customer.

Ankit Gupta: And the second part of the question, do you have some focus on your innovator that , some of these molecules, these molecules have a potential to become blockbusters and reach a scale of 200 , 300 crores from a single molecule, not in the near term, but let's say, three, four years down the line when they scale up ?

Rashesh Gogri: Yes. So, I did reply to you that we can't share that information, there are some good potential products that is what we can share with you now.

Ankit Gupta: Okay, sir. Sir, my second question was on the Xanthine part, Xanthine we are doing, despite significant decline in prices we are expanding our capacity in our business from around 5000 tonnes to almost 9000 tonnes and so, what is leading to this expansion such a big expansion and how are we seeing the growth in the segment over the next two, three years ?

Hetal Gogri Gala: Typically, all our customers are looking at us as a sustainable partner and to have a significant portfolio on their purchasing list, we find it , it is important for us to expand and be a world stand ar d capacity for Xanthine business and that is a reason why we are expanding. And as everyone also is seeing, China Plus One is very important criteria for all the customers in current times .

Ankit Gupta: So, we already have tied up for this incremental capacity which is coming up , like we have indications from our customers for that?

Hetal Gogri Gala: Yes, the indications are there and beyond that it is confidential to share more details .

Ankit Gupta: On the API Intermediates part we saw top line growth of around 9% last year. So, what is the outlook for this segment, how do you see this segment shaping up for us over the next two, three years?

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Hetal Gogri Gala: Yes, so there is, as Rashesh explained in his speech, we have a lifestyle API s which are sustainable and which are seeking nature where , anti -cancer, anti -diabetic range of products, which we are looking at some growth potential in coming years.

Moderator: Thank you. We take the next question from the line of Nitesh Dutt from Burman Capital . Please go ahead, sir.

Nitesh Dutt: My first question is, is it possible for you to quantify the economics for your three segments differently , so basically RO

E or ROCE, gross margin and EBITDA respectively for Xanthine and non-Xanthine, CDMO and APIs I understand it might be clubbed, but for Xanthine and non - Xanthine , if you can separately clarify.

Piyush Lakhani: Currently we are not doing this classification, maybe we will look at it if there is a possibility of doing it in future .

Nitesh Dutt: Got it. Sir on Xanthine side. So, the end market demand of Xanthine derivative in my understanding is growing at a 5% to 7% CAGR. Now, with 15 % to 20% market share, you are a sizable player already globally. So, if I look at a longer term horizon right , five to seven years, will you be growing at a similar rate as the end market or are you looking at a much faster growth rate and what will support this growth ?

Piyush Lakhani: As you know that we 15%, 20%, in terms of market share with these large customer, but they are definitely requesting more quantities for us , from us. And that's why we are expanding and as Hetal mentioned that, we wouldn't be doing this expansion wisely to ensure that we remain a very sizeable player in this market among top three in the world. So, that is the endeavor that we have , we have sizeable capacity available for their requirement. Overall, we see developed market growing , Indian market is also growing in terms of demand and we also see diverse usages of these Xanthine derivative in home and personal care and we have also , I was reading an article today that there is a possibility of usage of Xanthine derivative in the EV space also. So, there are newer end usages which we anticipate may come apart from the traditional end

usage of the Xanthine derivative there is a possibility of that also.

Nitesh Dutt: Sir, you were previously also hinted at new capacities for Xanthine in China, et cetera and now as you are also significantly adding capacities, so do you foresee any kind of overcapacity scenario in the market and especially competition from Chinese players and also this 9000 empty capacity how soon do you think you will be able to utilize that effectively?

Hetal Gogri Gala: Since it is a brownfield projects, just to answer to your second question, the capacity utilization can be relatively faster, though the approval gestation period will be there, but we see that we will be able to have the capacity utilization within two years' time and yes, there is going to be

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a significant capacity. And as I mentioned earlier, the strategic geographical which we would want to bring in and our customers are also excited on the expansion front with us.

Piyush Lakhani: So, basically the advantage that we are giving to our customers is completely non-dependence and also the green and sustainable manufacturing assets that we have, with the green power that we are now investing in and our overall total carbon footprint also much better than the other competitors.

Nitesh Dutt: Got it. So, sir basically you don't foresee that overcapacity might be a challenge because of non-China and sort of green product your value chain and second, if it is active at the end of FY25, expansions happen by the end of FY 25 by FY27 you are expecting to utilize it fully. If I got it correct?

Piyush Lakhani: Yes.

Nitesh Dutt: Okay. And sir on your P&L, this quarter OPEX has seen a drastic increase of 35%, Q-o-Q and 27% Y-o-Y so that is one, what do you see as a normalized level and second, our tax rate has also been 32% in Q4, and 28%, for FY 24. And there are some deferred tax liabilities of +100 crore, so want your input on OPEX and tax rate?

Rashesh Gogri: Yes, so the OPEX in this quarter has been higher. The major component we earlier also touched upon was, there's a write down of R&D, the projects in R&D as to the tune of almost 6.5 crores and also in line with the increase in the sale there has been an increase in the freight. So these two are the major components

which has basically contributed to the increase in OPEX,

quarter-on-quarter and Y-o-Y but if you see year-on-year it has barely grown by four crores, so from 303 to 307 on consolidated basis.

Moderator: Thank you sir. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead sir.

Dhwanil Desai: Sir my first question is on the CDMO, so you talked about development on the peptide side.

So, if you can talk a bit about capacity development on some higher entry barriers things like ADC, peptide, sterile, where are we on that capacity and capability building. And, a question tied to that globally with GLP one thing, there is a lot of shortage on the API side, which are peptides and bill to finish side. So are we anywhere there in that value chain present?

Rashesh Gogri: Yes, as you rightly mentioned that these are high barrier research which requires us to enter the segment and endeavor with the new R&D center and the newer capabilities of the customers that have joined us in this new R&D center is to establish this business going forward, and it will take couple of years two to three years for us to gain confidence and have

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more skill sets and some manufacturing assets being put up simultaneously to develop these segments in future. So, that is what I mentioned that we have started the journey, it will take two, three years for us to see some light of the day in this area.

Dhwanil Desai: Okay. So it's safe to assume that Atali expansion in current form doesn't include any of this. That's safe to assume?

Rashesh Gogri: No, we are investing in R&D assets. Currently, we are investing in R&D assets for the peptide R&D and we are also investing in the flow chemistry and other newer chemistry where we can do the high barrier research.

Dhwanil Desai: Okay, got it. And second question sir on the API side, the API expansion, the validation and everything should start and kind of get completed. So, API moved from 550 to 600 crore this year. So, do we look at slightly better growth, one says this, because now this capacity will come on stream and we will start utilizing that and when do we expect 60%, 70% utilization of this additional API capacity that we have put up?

Rashesh Gogri: Yes, Hetal do you want to take this question?

Hetal Gogri Gala: Yes. So, most of the validations are completed and we have DMS got approved and from this year onwards we will see the growth coming in from the additional blog that we put up last year.

Dhwanil Desai: Okay. So, 10% growth that we had last year. So, should we expect better growth because now the capacities are in place?

Rashesh Gogri: Yes.

Hetal Gogri Gala: Yes.

Moderator: Thank you, sir. The next question is from the line of Rahul Agarwal from Himalaya Investment Advisors. Please go ahead.

Rahul Agarwal: My question is also on the CDMO side, you said that the main work that you are doing maybe KSM and RSM so, are you supplying these to the API manufacturers who in turn make the UPIs and sell to innovators or are you working directly with innovators?

Hetal Gogri Gala: We do both.

Rashesh Gogri: Yes, in the space of CDMO/CMO whatever the API's are made by whichever partners all the rights and patents are assigned to the innovator only, and innovator completely understand

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who are the KSM RSM provide. So, whoever may be working ultimately we are working with the innovators at the end of the day. So, an innovator is aware that Aarti is working with them directly, indirectly and collaborating with them for this project.

Rahul Agarwal: I understand and typically in the CDMO space, what stage do we get involved in, do we get involved in after the innovator has received commercial approval or we get involved a lot more during the phase one, phase two trials as well?

Rashesh Gogri: See, there is a

preclinical phase and there is a clinical phase and then there is a commercialization phase. So, there are three phases. So, we largely do and we are not doing too much work in the preclinical phase, we do clinical phase largely late clinical phase and the commercial phase. So, most of the projects that we are getting entry and where we are working more closely is the middle segment, clinical phase where we are partnering with them and then once the product become commercial we can see large growth happening in the projects which are passing through this clinical phase approvals.

Rahul Agarwal: Understand. And the choice of working with Aarti's made by the intermediate supplier or by the innovator who makes that decision?

Rashesh Gogri: Innovator is making decisions.

Rahul Agarwal: Understand. And typically what would be our market share for the molecules where we are working, you mentioned we won't be the sole supplier, but like typically also supplies of the KSM or RSM that we are supplying what percentage would be from us and what percentage would be from other suppliers from China and Europe? So, sir you mentioned that the primary raw material facility for Xanthine is currently non-operating because we are sourcing the raw materials and metal grinding from China. So sir, can we use that facility for any other product?

Rashesh Gogri: Yes, we are trying to develop new projects also based on that capability and in future coming years we will see that happening also. And those products will be value added products.

Rahul Agarwal: And sir next question sir, you mentioned the big rationale for investing into lancing incapacity is because a lot of innovator companies and our customers are trying to find an alternative other than China, sir but is it not like because we ourselves are sourcing the raw materials from China, so that doesn't directly reduce their dependency on China. So, just wanted to get a bigger picture on how are the customer guiding us on Xanthine and what is the big rationale for expanding into this?

Rashesh Gogri: We have capabilities of completely being zero dependence on China so only one intermediary that we have an option to buy from China or manufacture ourselves, but other than that all

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other 30 raw materials are being sourced from elsewhere. So, that is the rationale that they have and we have developed and demonstrated the capabilities to do that also, and we are operating time to time that facility also because we have to keep that ready just in case.

Moderator: Thank you. We take the next question from the line of Gaurav from KCM. Please go ahead sir.

Gaurav: So, I have two questions. So, first as you said that, we have increased the capacity from 4000 to 5000 in the Xanthine so, that 1000 in the FY23 we have increase the capacity so, whether it is for export or we are consuming it domestically?

Rashesh Gogri: Export.

Hetal Gogri Gala: Export.

Gaurav: Okay. And the second one is, are there any approvals required for this increasing capacity from 5000 to the 9000. And what are the price delta for the pharma and food and beverages end use, because in the report, it is mentioned that we are increasing the end use as a food and beverages?

Hetal Gogri Gala: Yes, so the difference is pharma, currently we are not present in the regulated pharma space in Caffeine and Theophylline for CEP and USDM F. But with the new expansion we will enter into that space as well along with an increase in the food and beverage. The volumes are much bigger in food and beverage relatively compared to the pharma. So, pharma has a better

realization , but at the same time the volumes are lower.

Gaurav: Okay. So, are there any pending approvals for ?

Hetal Gogri Gala: This is regarding to the , since we are doing a brownfield project the approvals for the new capacities will be easier compared to the

Greenfield project.

Gaurav: Okay. And in the past if you see in the two to three years, the size of the Caffeine was very high and that was the reason why we were able to achieve the good margins. So, are there any , now that the prices are reducing day-by-day so, are there any preparations done by Aarti to overcome that and sustain the margins?

Hetal Gogri Gala: Yes, so along with the finished good prices, the raw material prices also have come down to relatively same level and at the same time with these solar projects. And we are continuously working on the improvement on manufacturing cost as well as on the raw material cost. So, that is a continuous practice at our end and we will see going forward, our endeavor is to be always competitive.

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Gaurav: And are we trying any backward integration for the manufacturing of synthetic Caffeine ?

Hetal Gogri Gala: So, we manufacture synthetic Caffeine only and as we have earlier mentioned that we have an option to be fully independent of China and have a lot of our intermediate manufactured in-house by Aarti and the group companies of Aarti apart from and the other intermediates to be bought from India alone.

Gaurav: Okay . And now we are increasing capacity to 9000. So again, 4000 tonne capacity so are we seeing any opportunities domestically or exporting the whole?

Hetal Gogri Gala: It will be both good.

Moderator: Thank you. The next question is from the line of Ashish Agarwal an Individual Investor . Please go ahead sir.

Ashish Agarwal: So, I just wanted to know like, the brownfield expansion that we are doing in Atari for 300 crores kind of thing, how much is the asset term that we expect there in a year's timeframe?

Piyush Lakhani: Atari is a greenfield expansion, it is not a brownfield expansion .

Ashish Agarwal: Yes, sorry greenfield.

Piyush Lakhani: Yes. So, in the greenfield expansion, the endeavor is to get +1 asset turn, 1 to 1.2 depends on the number of stages that we are doing ultimately the idea is that how do we get the gross margin improvement with these newer assets. So, gross turn even if it is lower, the number of stages that we are adding and the margin profile of the product that we will do there will define the profitability of these new assets. And as you know, once we are doing more and more CDMO/CMO work and that side gets operationalized with those large requirements of the customers we will have good overall gross margins may not have great asset turn of more than one, we will see how it goes.

Ashish Agarwal: Okay. And how about the other greenfield CAPEX apart from this , you had a total of 600 ?

Piyush Lakhani: So, there are only two greenfield CAPEX is that we are doing , total Atari project was the 375 crore apart from the land cost . And the greenfield project that we are doing with the solar where we are spending close to 80 to 90 crores for the solar . So these two timeline projects are close to 500 crore.

Ashish Agarwal: And solar you have mentioned.

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Piyush Lakhani: We have already spent some money. Solar will be operation in the currently year only, that will be operational within end of this year, last quarter it will get operationalized .

Ashish Agarwal: And pay back would be five to six years payback will come?

Rashesh Gogri: Four to five years.

Moderator: Thank you sir. We take the next question from the line of Rahul Jain from Credence Wealth . Please go ahead sir.

Rahul Jain: Sir with regards to the Xanthine project of 5000 to 9000 , in how much time do we expect to start this project or by when do we start the project ?

Rashesh Gogri: It will be done in phased manner; we will have 12 to 15 months in which we will be able to complete the expansion.

Rahul Jain: 12 to 15 months from today ?

Hetal Gogri Gala: Yes.

Rahul Jain: And typically how much time it will take to ramp this up to the

optimum utilization ?

Rashesh Gogri: Two years after the expansion is completed .

Rahul Jain: Okay. And sir this year that is FY25, because that means the new additional capacity will start generating sales from FY 26 onwards. So, current year for FY25 so do we feel the volume growth

given the optimum utilization, what kind of volume growth do we expect this year FY25 on Xanthine, or will we be short of capacity?

Piyush Lakhani: So, whatever current utilization is 90% so, we will try to increase the utilization, our endeavor is that how we can go to 95% or more. So, that is what the endeavor is, but however as it is a brownfield expansion we will also be carrying out certain modification in the existing assets. So, with that and we will have more disruptions also so it's a mixed bag, we will ever see how best we can utilize our assets.

Rahul Jain: Okay. And sir, just to clarify in the previous call, we have been mentioning about Atali CAPEX giving an asset turnover of somewhere around 1.6 to 2 times. So, just to understand you just mentioned it is around 1 to 1.2 times. So is there some change in what we are doing?

Piyush Lakhani: That 1.6 to 2 number needs to be revisited.

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Rashesh Gogri: No, I don't think that number, there is some confusion for that number.

Moderator: Thank you. We take the next question from the line of Ahmad Madhav from UniFi Capital. Please go ahead.

Ahmad Madhav: Just one question, if you look at the amount of CAPEX we have done in the last three odd years and also in the next two years which you have guided, my guess is you have roughly doubling the gross block between FY22 and FY26. And if we look at the guidance which you are giving in terms of 10%, or 12% to 15%, are you being too conservative or how should I look at because I am not able to synthesize between the CAPEX we are doing and the growth guidance we are giving?

Rashesh Gogri: Currently, our gross block is close to 1000 crore and we are going to add another 600 crores of gross block in this next year or 15, 18 months. So, with that we will have a sizable almost 50%, 60% additional gross block and this is definitely going to add an overall, it is going to add to the bottom line and profitability of the company. So, the guidance that now we have, earlier it was 12% to 17%. Now, we are saying that it will be 16% and more. So, that is what we have done is, we have improved the guidance overall.

Ahmad Madhav: Okay. And in terms of working capital, is there any scope for squeezing or not, improving it, from the coming tonnage or this is the steady number?

Piyush Lakhani: No, in terms of number of days, the absolute amount we think it will remain at this level, but in terms of number of days, we are trying to get it down.

Moderator: Thank you sir. The next question is from the line of Nitesh Dutt from Burman Capital. Please go ahead.

Nitesh Dutt: Sir, I had a pending question on our taxation rates. So, for Q4, we had a tax rate of 32% and entire year 28%. So, want to understand what is the normalized tax rate for us and also there are 107 CR of deferred tax liabilities. So if you could just elaborate on that and these have increased from 80CR earlier?

Rashesh Gogri: Yes. So, let me answer that. So basically, to answer the question on the normalized tax rate it should be around between 25 and 25.5 of PBT. The reason why along in Q4 and the entire year, the tax rate has gone up is because of the operationalization and capitalization of the new R&D center which has come in in Maharashtra. So, in R&D as you know, in tax we get 100% deduction, whereas in books it has just come in Q4. So that has created the difference and that difference goes as a deferred tax liability.

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Nitesh Dutt: Alright. And sir on Atali as you mentioned 1 to 1.2 times effect on. So, if we just assume 20% odd EBITDA margins which

you have been making and roughly 180 days sort of working capital.

Our ROI's would likely be in low teens. So, what kind of ROCE ROE are we targeting from this project on optimal utilization?

Rashesh Gogri: We will see, because the Atali project is largely directed towards the CMO CDMO also so overall as the pie increases we will see uptick in the gross margins also. So with that, we will have a better number than what you are.

Nitesh Dutt: Okay. Also sir, on the intangible assets side which you had elaborated on earlier on the balance sheet. I want to understand the nature of the securitizations that you are making, what kind of expenses are these, so both intangible assets and the development of 58 crore and also other intangible assets of roughly 17 crore that you have?

Piyush Lakhani: No, see other intangible assets are the capitalization of these products which we do R&D on. So, once they are handed over commercialized, they move under intangible assets from intangible assets under development.

Nitesh Dutt: If you can just elaborate on what kind of expenses are being capitalized like, is it the salary of employees, material expenses?

Piyush Lakhani: Yes, so the expenses which are directly attributable to the R&D activity, so, as you rightly said

it is salaries of all these people, scientist working on the development as well as the consumables, the RMC , the raw materials that are used , the other direct attributable costs like consumables .

Nitesh Dutt: Understood. Last question from my side is on Vapi, the CAPEX that you are doing . So, how big is the unit , how much are you planning to spend and again what kind of revenue potential or traction do you expect from it?

Rashesh Gogri: Semi -commercial block expansion is not a very large expansion, but it is going to fill in the gap that we had and it may not have too big material impact on overall top line or bottom line but it is going to provide us more seeding projects which can have future potential for our Atali and Vapi assets .

Nitesh Dutt: Got it. And sir would you like to give any EBITDA margin guidance for the standalone business ?

Rashesh Gogri: 20% to 22%

Nitesh Dutt: No, I am asking about margin .

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Piyush Lakhani: We are basically tracking more the absolute number increase as we earlier said , margins is a function of top line which in turn is an function of , at least in some segment the function of finished goods price.

Moderator: Thank you. The next question is from the line of Pratik Banthia from Girik Capital. Please go ahead.

Pratik Banthia: Just want some clarification on your CAPEX. So, in FY 25 how much is going to be the actual cash outflow on account of CAPEX?

Piyush Lakhani: Around 550 crores on tangible and around 50 crores on intangible So , we are looking at some , anywhere between 550 and 600 crores of CAPEX on both intangible as well as tangible assets .

Pratik Banthia: Okay. So, in our previous presentations Atali project CAPEX is about 350 to 500 crore in phase one is what is written, so is there any change in that number ?

Piyush Lakhani: So, there is no change but then some of that CAPEX has already happened in this year.

Pratik Banthia: So, how much has happened out of that, so what is the Atali CAPEX total for?

Piyush Lakhani: The total estimated CAPEX that we had anticipated is about 375 crores .

Rashesh Gogri: Apart from the land.

Piyush Lakhani: So, land acquisition had happened a couple of years back.

Rashesh Gogri: 50 crores

Piyush Lakhani: Yes, that was another 50 crores.

Pratik Banthia: Okay . So, that was spent before ?

Piyush Lakhani: Yes.

Rashesh Gogri: It's a very large land parcel that we have, we have close to 80 acre land and where we can do current expansion kind of 10 expansions. So, we can put 10 blocks of + 100 crore CAPE X in the same site. So, now the trend is that we put a

large site which does not require re-audit, or re - approval s from the innovators or the regulatory authorities and that is the concept that we are driving with this Atali expansion, the deal we won very large site where we can rationalize the cost of manpower due to consolidation of manufacturing assets.

Pratik Banthia: Okay. So, 375 is the actual Atali CAPEX and how much you spend in 24 out of this ?

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Piyush Lakhani: Around 30 crores.

Pratik Banthia: Okay . So, largely you will be spending the entire CAPEX in 25 and then this 80, 90 crores solar is something new ?

Hetal Gogri Gala: Yes, that was approved during the FY 24.

Pratik Banthia: Okay. So, this 340 of Atali you will be spending and plus you will be spending 80 , 90 crores on the solar ?

Piyush Lakhani: Correct .

Pratik Banthia: And plus 40.

Rashesh Gogri: Plus brownfield of Xanthine .

Pratik Banthia: Okay, and how much will be Xanthine 150 crore odd?

Piyush Lakhani: As it was clarified it is still being frozen but that's the kind of numbers. it would come to.

Moderator: Thank you. Ladies and gentleman, we take that as the last question, and I now hand the conference over to the management for closing comments .

Rashesh Gogri: I would like to thank all the investors and analysts for joining our concall, good day .

Piyush Lakhani: Thank you.

Moderator: Thank you. On behalf of Aarti Pharmalabs Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

August 9, 2024

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: AARTIPHARM

Sub: Transcript of Q 1 FY25 Earnings
Conference Call
Ref: Regulation 30 of the SEBI (LODR)
Regulations 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Tuesday ,
August 6 , 2024 on the Audited Financial Results of the Company for the Q 1 FY25 .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED

NIKHIL NATU
COMPANY SECRETARY
ICSI M. NO. A27738

Encl.: a/a.

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Aarti Pharmalabs Limited
Q1 FY25 Earnings Conference Call
August 06, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Aarti Pharmalabs Limited Q 1 FY25
Earnings Conference Call .

As a reminder, all participant lines will be in the listen only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during the conference call, please signal an operator by pressing the "*" then "0" on
your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over
to you, sir.

Anuj Sonpal: Thank you. Good morning every body and a very warm welcome to you all. My name is Anuj

Sonpal from Valorem Advisors , we represent the Investor Relations of Aarti Pharmalabs Limited.

On behalf of the Company , I would like to thank you all for participating in the Company 's Earnings Call for the F irst Quarter of Financial Year 202 5.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statements are subject to risks and unc ertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any u ndue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the Company 's fundamental business and financial quarter under review.

Now, I et me in troduce you to the management participating with us in today's Earnings Call and hand it over to them for Opening Remarks .

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We have with us Mr. Rashesh Gogri – Chairman; Mrs. Hetal Gogri Gala - Vice Chairperson and Managing Director; Mr. Piyush Lakhani - Chief Financial Officer.

Without any further delay, I request Mr. Rashesh Gogri to start with his Opening Remarks .

Thank you and over to you, sir.

Rashesh Gogri: Good morning everybody. I welcome all the analysts and investors to this earning call on this performance of Aarti Pharmalabs for the quarter ended, June 30 th, 2024 . Our results documents were shared with you earlier and I hope you will have g ot a chance to go through them .

To begin with , let me provide you the business highlights. The Company operates three distinct areas within the pharmaceutical industry , Xanthine derivatives, API and Intermediates and CDMO/CMO .

In Xanthine derivatives segments, we contributed 54% of the turnover in Q1 and despite aggressive competition from China, we have been able to leverage our relationship with our customers and grow our international revenues for the Xanthine derivatives . As you may be aware, we are one of the largest Indian pharmaceutical manufacturer of Xanthine derivatives . Given our leadership position and favorable outlook for the demand from the large corporations, we are seeing str ong potential for this segment.

The API and intermediate business contributed 44% of the turnover in Q1. Out of this turnover the regulated market contributed 55% , and the rest of the world market contributed 35% , and the balance 10% was from the non -regulated market. This split is in li ne with our strategy to focus on regulated business which offers higher profitability and stable demand. Given our strong focus in R&D and process innovation, we are able to provide necessary regulatory and IPR support to our global customers, and this g ives us a edge over our competitors.

The third segment, CDMO/CMO has contributed 2.4% of the turnover in this quarter. We are presently working with 18 customers on 53 projects, of which 27 projects are on the commercial stage at the customer's end, and 26 are under different stages of development at customer's end. This highlights our presence in late phase projects. The sales contribution of CDMO/CMO in this quarter is comparatively lower on account of long lead orders which have deliver ies schedule d later in this year. Th is Q-o-Q fluctuations are part of the business as the products are typically multi stage . We are thoroughly optimistic that we should be able to grow this segment by 25 % to 30% Y-o-Y, in FY25. The new R &D center dedicated to CDMO/CMO is gaining good traction and has a strong pipeline . Harnessing advanced technologies and modern equipment , it is successfully catering to a substantial surge in t he number of customer projects.

Let me now share key financial highlights :

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Consolidated financials , I am pleased to announce that in Q1 FY 25 the consolidated top line was Rs.555 crores, which was 2 7% hig her Y-o-Y. For Q1 FY25 the consolidated EBITDA from the operations was Rs.96.4 crores as compared to Rs.84.9 crores in the corresponding quarter of previous year and that is an increase of 14% Y-o-Y. The consolidated PAT for the quarter was Rs.65.3 crore, 18% higher Y-o-Y.

I will now share the progress and updates on the key expansion projects :

Given the demand from several large corporations, we have announced the capacity expansion of Xanthine in the last quarter, and we are in the process of acquiring adjacent land for the brownfield expansion of the project. We expect to complete this project in the beginning of FY26 and thereby achieve a total production capacity of 9000 metric tonnes .

The Atali project, primarily focusing on CDMO/CMO and Intermediate manufacturing, is advancing as planned, and we expect to commission the site by Q4 FY 25. The semi commercial block production at our USFDA Intermediate unit at Vapi is in fina

the stages of completion and is

expected to become fully operationalized in Q2 FY 25, as briefed last time. This expansion will address the gap of small to medium batch sizes in the current system. In line with our plan of offering gram scale to turn scale level batch sizes, ultimately aiding our CDMO/CMO business. Lastly, setting up of a new solar power plant at Akola Maharashtra is progressing well and estimated to get commissioned in the current quarter. This project is estimated to generate 1/3rd of our power requirement, and it will reduce our overall manufacturing cost. We remain optimistic about the future and maintain our guidance to achieve EBITDA growth of approximately 10% to 12% in FY 25 and long-term goal of around 15% annual growth in next three years.

I will now request the moderator to open the forum for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rahul Jain from Credence Wealth. Please go ahead.

Rahul Jain: Sir, first question is with regards to CDMO/CMO business, of course you have mentioned in your initial comments about the drop in the business, and you have maintained your guidance of around +25% for CDMO revenues this year. So what we have been hearing and reading is, there is some kind of shift from China to some of the large Indian companies with regards to CDMO/CMO orders coming in. So, with regards to this, are we seeing any kind of new inquiries, or larger inquiries coming, which probably you would not have anticipated a year ago. That is my first question.

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Rashesh Gogri: Yes, as we have informed you, that earlier we were having close to 40 projects that we were doing, and this quarter that number swelled to 53 projects. So, this showcases that we have traction of new projects coming in our fold. And of course, we are filling a large number of RFPs out of which these are the projects that we have won with our innovator partners. So, we are seeing a large traction towards India, away from China and Aarti Pharmalabs is also, able to get more inquiries and projects.

Rahul Jain: And one more thing about this. Typically, what kind of average size of contracts or inquiries used to be coming to Aarti Pharma say, 6 to 12 months ago and how has it changed recently?

Rashesh Gogri: Basically, any CDMO/CMO project will require at least 6 to 12 months of cycle before you start commercial supplies and you understand overall demand. So, we have a mix of commercial projects which are getting shifted and also late phase projects also coming to us. And overall, the inquiries have increased, if you see the number of additions that we have got this quarter have been significantly good, and we anticipate that, speed to continue.

Rahul Jain: Sir, I was just trying to understand the size of each of these projects. Some of those inquiries, have they changed in last six, 12 months in terms of the ticket size which you are talking to your customers, or probably you are talking to much larger customers, and thereby the size of each inquiry or order has changed?

Rashesh Gogri: Yes, so we are having projects in the entire spectrum. So, we have some projects with specified technology and certain projects which are getting shifted on the commercial, so the commercial projects have higher ticket sizes. And the newer projects where we are plugged in the system earlier, they have smaller ticket but as the product gets launched, the overall size of the business, depending on the product growth improves. So, we have a mix of both and overall it really depends on the product and how big it is. But we have had bigger inquiries, which are over 1-2 million range in recent past as well.

Rahul Jain: Sure. And sir with regards to CAPEX, so you have mentioned in your initial remarks about the various CAPEX phase, if

you could break down the amount like Xanthine last quarter you had mentioned that we will freeze the exact number somewhere and share in this call. So, what is the amount of CAPEX being done for Xanthine from 5000 to 9000 tonnes, and the other CAPEX specifications?

Rashesh Gogri: Yes, so we are anticipating close to Rs.150 crore CAPEX for the Xanthine project. This will be spent across two sites that we use for the Xanthine project and the other projects that we have, as we have shared earlier, the Atali project has a total outlay of approximately Rs.375 crores. And the solar project, which is on the verge of completion, is around RS.90 crores.

Rahul Jain: So, this year you spent somewhere around Rs.150 on Xanthine and Rs.375 in Atali?

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Rashesh Gogri: No, the Xanthine also will get spread over next year. Atali will be spent this year, because we will start, Atali facility. Of course, it is a very large facility so we may phase it. Basically, in a couple of months, one-by-one the entire facility can start. So, in a quarter it will gradually the momentum will gain, and we can operate the full Atali facility.

Rahul Jain: Sure. And last thing, sir. There is a sharp increase in employee expenses, anything to read over there. And also, with regards to other expenses like this quarter, we had 70, previous quarter it was 86 so anything to read in this?

Piyush Lakhani: Piyush here. Employee expenses have increased in-line with the growing business, and we are

also employing more people because of the expansion at Vapi that is happening. This also includes the commission amount also to the directors. So, that is in line with the increment that we normally give every year. And other expenses, what was the question ?

Rahul Jain: Other expenses, which were last year around Rs.62 crores , fourth quarter it was Rs.85, Rs.86 crores. And then this quarter, it has come down to Rs.70 crores. So, is this just a quarterly blip, or is there anything to read in this other expenses ?

Piyush Lakhani : See, basically the variable expenses will move in tandem with how the top line is moving and the power cost is something which has gone up, because it is going up in Maharashtra mostly every year. So, this year also it has increased so compared to quarter one of last year, it will be definitely higher the power cost, the freight also has been going up and down. So, quarter four, the freight cost was much higher, which has slightly come down in this quarter. And if you remember, in quarter four of last year, we had done some R &D, product impairment also. So, that's why the other expenses in the last quarter was higher which has slightly come down.

Moderator: Thank you. The next question is from the line of Mahesh Vyas from UTI Asset Management. Please go ahead.

Mahesh Vyas: My question is on, when we look at the numbers, how one should read on, let say on a standalone or consolidated basis, standalone it's around INR394 crores. And console , it's around RS.556 crores . So, in our presentation how one should read the segmental breakup on standalone, the 2.4% of CDMO is of standalone or on a consolidated ?

Rashesh Gogri: Standalone.

Mahesh Vyas: Sir, then what about the difference of this Rs.150 crores , how it comes?

Rashesh Gogri: Yes, so we have associate Company and a subsidiary Company so, these are consolidated in the Aarti Pharmalabs results . So, we have an associate company called Ganesh Polychem Limited and also we have a 100% owned subsidiary Aarti USA Incorporation, and which has some

trading business, legacy business of the chemical trading business which is still being undertaken in that entity, which eventually will shift or stop by the end of this year, once Aarti Industries sets up its own subsidiary in USA. So, this is a legacy subsidy which got transferred to Aarti Pharmalabs . That's why

I request you to look at the standalone because in the consolidated result, almost Rs.100 crores is the trading sales.

Mahesh Vyas: And sir, when we look at the Aarti Pharmalabs how one should understand in terms of gross margins profile given that we are in three segments. So, I am not asking the actual numbers, but how one should look at the gross margins of the Company , and given the differential segments are there ?

Rashesh Gogri: So, at the overall level we have a gross margin of around 50 % to 55% .

Mahesh Vyas: Okay. And sir, if you can just help us understand how one should read on an API in Xanthine, how the margin profile stands, mid -teens, mid 20s, or like ?

Rashesh Gogri: EBITDA margin ?

Mahesh Vyas: No, I am asking on the EBITDA margin .

Rashesh Gogri: So, gross margins are better in API and Intermediate than the Xanthine. CDMO/CMO enjoys the highest gross margins. And then it is average out in, it depends on number of stage product that I do for that particular quarter, and so that varies quarter -to-quarter .

Mahesh Vyas: Okay. And sir how things stand on, in the Xanthine derivatives markets , whether those Chinese aggression has come down or slowed down, or how one should look at going forward ?

Hetal Gogri Gala: Hetal here. So, China is as aggressive as ever, and the pricing have been reduced in the spot market, so we have a balance of contract and spot. So, it is challenging for the spot business. China is becoming very aggressive still.

Rashesh Gogri: But still, as you have seen that we have been able to grow our export business overall. And this quarter we have been able to do almost 57% of the Xanthine was exported. So, given the relationship and the connects that we have, we are able to increase the market share.

Moderator: Thank you. The next question is from the line of Vikas Sharda from NT Asset Management. Please go ahead.

Vikas Sharda : I have one question on the pollution control notice which you disclosed for the Dombivli plant. So, what were the reasons, and what's the plan for resolution or any financial impact for the year , if you could comment ?

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Rashesh Gogri: Yes. So, we received a pollution notice from the MPCB at our Dombivli site. So, in Dombivli site, we had MPC B come in and issue notice for some gas related issue, basically the natural gas-based boiler startup related issue, and which we had resolved immediately. So, the issue was resolved within seven days and we could get the startup of the facility in 30 days . 30-35 days for us to get approval from them to restart. So, now the facility has restarted, and we are operating all our facilities.

Piyush Lakhani : So, Vikas, as you would have read , it is something which impacted many companies in the same

business area or industrial area.

Vikas Sharda: Understand , but the impact was only like 30 , 35 days that 1%, 2% of revenue, so not material.

Rashesh Gogri: Yes, not material.

Vikas Sharda: Understand . And it will be nice if you could disclose the Ganesh Polychem revenues and EBITDA separately in each quarterly results , because that's also quite significant for you now ?

Rashesh Gogri: Yes, so we will . Of course, in annual it is getting disclosed, but we will disclose the Ganesh Polychem data also from next time .

Moderator: Thank you. The next question is from the line of Dhires from White Oak Capital . Please go ahead .

Dhires : So, you have like 27 commercial projects in CDMO/CMO right ?

Rashesh Gogri: Yes.

Dhires : Sir, on a per project basis, the average value is less than like a million dollar. So, it looks low to me, so can you just explain on that little bit like ?

Rashesh Gogri: The commercial projects are at the commercial stage at the customer end that we have started supplying to them.

Hetal Gogri Gala: Second alternate source lot of places.

Rashesh Gogri: Ye

s, so what happens is that , it takes some time for slowly building up, because we will give them the validation quantity, and then they will move us to the actual market as their product gets launched, or the product site transfer happens from one vendor to the other, and that is when they plug in new vendors. So, we are in that process. So , I wouldn't say that all the products are commercial and at their full potential, out of which the half of the projects are still at the early stage. So, this potential will grow significantly.

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Dhires : How would this be split between patented products and generic products?

Rashesh Gogri: All are patented products only, whatever we are saying in CDMO/CMO are all patented products .

Dhires : Okay. And they are a combination of APIs as well as intermediates, or they are largely skewed towards one?

Rashesh Gogri: Only intermediates . Intermediates are classified as early -stage intermediate and late-stage intermediate. There will be GMP intermediate and key starting raw material, so we are present in both the segments . We also offer GMP intermediates.

Dhires : Okay . And how would it be split between development projects and commercial projects ?

Rashesh Gogri: That we have mentioned, so it is a 50 :50. Approximately 50% on path to become commercial, whereas 50% are still developmental project where initial work is being done at our end and at the customers ' end.

Hetal Gogri Gala: It has gone Phase -3.

Moderator: Thank you. The next question is from the line of Tujan Shah from Molecule Ventures. Please go ahead.

Tujan Shah: Total CAPEX , which will be outlaying for the FY25 would be Rs.375 crores plus Rs.90 crores, but assuming Xanthine derivatives would be around Rs.75 crores ?

Piyush Lakhani : So, basically the outlay , what we are saying is around Rs.500 to 550 crores would be the CAPEX that would be done in this year.

Rashesh Gogri: Rs.500 would be a good number

Tujan Shah: And we have been commissioning the Vapi in Q2 FY25, what could be the revenue potential in FY25 and how we have been looking in terms of revenue in FY 26 as well?

Rashesh Gogri: So, basically, the total volume that will get generated, volume per KL in this manufacturing block that we have put up is only 30 -40 k L, but it is going to bridge the early stage or R &D requirements of our customers for the clinical phase development, where they need smaller batch sizes . So, overall, it may not add too much value, but it will accelerate the pipeline at our end.

Tujan Shah: Okay . And sir in the CDMO side, if we look at the , if our contribution is just 11% that is 41 crores on stand alone basis. So, assuming we have been like , we are giving a guidance of 25 %, 30%

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growth. Are we due to like in the even though we have been many molecules on the commercial side, so we have been very conservative on that basis , because the FY 24 the base is very small ?

Rashesh Gogri: See FY 24 we did close to 170 crores of CDMO/CMO business, and we have guided for a 25 %, 30% growth over and above that. So, it will not be a Q -o-Q growth that every quarter you will see 1/4 of that. You know that at certain quarters may have higher sales and certain quarters may have lower sales, and then we are also taking up multi -stage products. So, multi stage products takes time . Overall we have a good order book, and that's why we have given this guidance on the call.

Moderator: We will move on to the next question. It's from the line of Ankit Gupta from Bamboo Capital.

Please go ahead.

Ankit Gupta: Again, a question on the CDMO/CMO side. So, I was looking at your data for molecules which are on the commercial stage. So, last year in Q1 we had 16 molecules in the commercial stage, and we ended Q4 at 21 molecules and now in this quarter itself we have added six more commercial m

olecules a t around and we are ending at around 27 molecules in the commercial stage. So, there has been a significant addition which is happening on the commercial stage molecules as well. So, normally what we have seen in CMO/CDMO is that, most of the innovators ti e up with CMO/CDMO during the development phase itself, at phase one or even at the discovery stage. So, however , in our case we have seen significant shift , or significant addition in the commercial stage molecule. So, if you can explain this, and secondl y on the same segment in commercial stage molecules normally in the year three, year four is where we know we start seeing significant pickup in sales. And sales for many large molecules reach their peak. So, where are we in that phase for our commercial m olecules , out of this 27 when do you see peak sales coming in for many of them ?

Rashesh Gogri: Yes. So, as you rightly mentioned that we have been growing our overall commercial product basket. So, the number that we are giving here is the number of projec ts which we have cumulatively which are active. So, we have 27 active projects , we may sell in particular quarter, in few of them, and we may sell few of them in certain years . But these are the active projects where the drug is still active, and we have been approved as a source for the drug product via intermediates or CGMP products. So, and these may be in phase three and above , so that is what we call, the products which ar e going for commercialized close to 27 . And, as you rightly mentioned that lot of partners are getting selected, early phase, but there is always a shift which is happening when the product is getting bigger and bigger and approvals are coming in, the inno vator changes its strategy and then decides who is going to be the reliable supplier for them for the future of the patent life of the product, and that is phase three plus stage, and that is where we are trying to get more projects. And at that stage, als o the medicinal

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development, which they have done with early phase, gets knocked off, and the new vendors get entry.

Ankit Gupta: Yes, so normally for this commercial molecule that we have , how many suppliers will be there for the intermediates that will supply to innovators on an average if you can tell like, there will be like , normally we have seen it's normally not more than two, three .

Rashesh Gogri: Yes, it's not more than two, three suppliers.

Ankit Gupta: Okay . And the earlier supplier would be the ones which had worked with the innovators at the development stage, and now because of the increasing volumes we have been added as a vendor ?

Rashesh Gogri: Either increasing volume or China plus one, or the current vendor is not qualified to do anything which is very large volume , commercial requirements or commercial grade production. So, that is where we specialize , our specialties is how we are able to commercialize the projects which are at phase three and support the innovator for the entire patent life of the product.

Ankit Gupta: And, g iven the kind of pace we have seen in addition of molecules in Q1, d o you think this will continue for the near to medium term given the legislation which has been passed in US recently against China for the CDMO?

Rashesh Gogri: Yes, t he Biosecure Act has forced US companies to shift away from China, and that's why other non-Chinese suppliers of these intermediates and the GMP intermediates are seeing more inquiries, and we are benefiting from this.

Moderator: Than k you. The next question is from the line of Nitesh Dutt from Burman Capital. Please go ahead.

Nitesh Dutt: First question on CDMO/CMO , so we have been hearing a lot of chat ter around by Biosecure Act that you just mentioned. Are you seeing any specific op portunities opening us for you as well because of this act?

Rashesh Gogri: Yes. So, that is what I mentioned to

the previous caller also that in six months we have added commercial projects from 16 to 27 and we have a strong pipeline of early phase projects also. So, now we have total 53 projects which are currently live with 18 customers. So, we have added two more cust omers, and also added more projects from our existing customers. We are getting more and more traction from our current customers which have seen the advantage of placing these projects with us because of our previous supplies to them .

Nitesh Dutt: Got it. Second question on Xanthine, this quarter I believe we have done a revenue of Rs.210 crore versus Rs.180 odd crore in the last five to six quarters, and this despite the pricing

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pressure, et cetera y ou mentioned from China. So, what ha s led to this jump in revenues , any

volume uptick we are seeing, or one of prices in this quarter ?

Rashesh Gogri: So, overall, we have seen in Xanthine and allied segments more volume , that we have been able to do , and Xanthine is not only caffeine. So, there are other products also which are part of this segment , the way in which we are reporting. So, overall, we have seen good growth , overall for the current quarter and we are pretty confident that we will continue doing similar or better going forward.

Nitesh Dutt: Okay . This last question on gross margins, there is some compression there. This quarter, we are at 48% , I am talking about standalone versus 54% last quarter and your guidance of 50 to 52 so , the 48% number this quarter is it because of lower contribution of CDMO/CMO or any raw material pricing pressure that you are seeing, and should it get back to 50% levels by next quarter?

Rashesh Gogri: Yes, so that is definitely the CDMO/CMO segment revenue is less this quarter, and of course it will get picked up in subsequent quarters of this year, and which will rationalize overall percentage. But as you know that the industry is becoming more and more competitive, so overall there is of course pricing pressure as well on the API segment .

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: Sir my first question is on Xanthine, Hetal ma'am mentioned that Chinese aggression continues in that segment. So , in the last call we had a view that the prices have almost bottomed out.

So, are we , are the prices falling from last quarter basis also, and also this competition or the aggression is only on the caffeine side or the other products in the Xanthine basket as well ?

Rashesh Gogri: Yes. So, what has happened is that overall, the prices are falling from last quarter and of course the raw materials are also falling from earlier quarter. So, we are seeing, overall cost of goods also coming down, so that we are able to maintain our overall margins in this segment.

Hetal Gogri Gala: Apart from caffeine, the other prices have come down.

Rashesh Gogri: Yes, other prices are also coming down.

Dhwanil Desai: It is more of an adjustment for the RM price falling , it's not the price war kind of a situation ?

Rashesh Gogri: Yes, it is more of a raw material correction.

Dhwanil Desai: Second question on the CDMO side, we ended last year with almost 11 % , 11.5%, contribution. And this year and next year, we had guided for a very strong growth. So, at an overall revenue

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mix the proportion will get higher. So, last year, on a standalone alone we ended with 50% gross margin. So, at CDMO proportion grows let us say at 20% . We should move up in the gross margin trajectory, is that a right assumption to make and if so, will it be like 53 % , 54% kind of a range or can you guide something on that?

Rashesh Gogri: No, it depends on number of stages that we are doing in the CDMO/CMO projects. And the gross margin is a function of number of stages. Suppose I have a seven stage product, then my gross

margin goes up to 70% also, because everything I am doing in -house, whereas there could be a two stage product where my margin is less , so depends on the number of products that are there, in which kind of segment and how many stages we are doing. Typically, we end up doing three, four stages in the CDMO/CMO space. But we have few projects where we have much more longer stages which we have been processing currently and which will have a positive impact on the overall gross contribution also and gross margins from coming . But overall gross margins, we can't give real guidance. Overall, we can give guidance on the growth because overall occupancy our facility is a function of how many stages we are doing, and as we occupy more and more of our facility the gross margins will go up for the particular product .

Moderator: Thank you. The next question is a follow up question from Mahesh Vyas from UTI Asset Management . Please go ahead.

Mahesh Vyas: When we look at the CDMO business, how would have been our capacity utilization in last couple of years, and how, once we are coming up with the Atali project how the capacity utilization and the asset then one should take off on it ?

Rashesh Gogri: See, currently we are using the facility for CDMO/CMO and Intermediate and API combined. So, overall our occupancy is 85% . Atali we are going to add almost 400 to 500 KL , close to 500 KL of volume capacity and which will significantly increase our capacity almost by 25 % , 30% from the current level. So, and this is going to be phase one of Atali and of course we can build multiple every year . We envisage to build similar block, or at least 250 to 300 KL capacities in Atali , so we are well poised to match the capacity and keep certain free capacity so that we can meet the demand and surge of demand from our CDMO/CMO customers, as well as API and Intermediate customers.

Moderator: Thank you. The next question is from the line of Dhires from White Oak Capital . Please go ahead .

Dhires : Just following up from the earlier question, the current reactor capacity in combined, excluding Xanthine , is about 2 000 KL right?

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Rashesh Gogri: It is not 2000 or 200, we will get you the real number offline. So, currently we are adding close to 500 KL, 450 to 500 KL in Atali which will be around 25% addition. So, we have close to 1000 KL.

Dhires h : Okay. And right now it was combined for API and CDMO. With the new block, you will carve out CDMO capacity separately, or still be fungible across both?

Rashesh Gogri: It will be fungible between Intermediates and CDMO/CMO, because both the businesses require multi-purpose assets, and this multiple-purpose for example, currently our Vapi side has hydrogenation block, which was commercialized in last year. So, that we don't propose to put up a hydrogenation block in Atali, because here we have got sufficient capacity to do the hydrogenation. So, depending on the requirement of the project, we will move the product stages around both the facilities.

Dhires h : Okay, understood. And sir, one last question, so you were explaining that we moved from 16 to 27 commercial projects, and we are doing mainly patented products, only intermediate so, are these, can you just give a qualitative understanding of are they in the early stages of their commercial launch, or are in their life cycle management of from a patent early stage?

Rashesh Gogri: Most of them are in early stage of the commercial but there are few in life cycle also, but more than 50%, 60% is in early stage.

Dhires h : By revenue?

Rashesh Gogri: Yes.

Moderator: Thank you. The next question is from the line of Pranav Shikari from Navneet. Please go ahead.

Pranav Shikari: Sir my question is on regarding on the margin front. So, we had around 21% margin in last quarter, and this time we have dipped to 17%, so any guidance on that,

why there is so much

of fall in the margins and any guidance on hitting the peak margins again?

Piyush Lakhani: Yes, I didn't get the name, but this particular question has already been answered. So, basically, if you look at quarter-on-quarter, you will see some up and down, because the CDMO/CMO business, which basically contributes, or which is the highest margin business for us, that basically goes up and down on quarter-on-quarter basis, as you have seen in the last quarter, it was 18%, its contribution to the overall revenue of the quarter, which has come down to 2% in this quarter. So, that has been the major reason.

Rashesh Gogri: Another major reason is also, if you are looking at consolidated number, better view to look at the gross margin for the Aarti Pharmed Labs will be standalone. So, in the standalone our margins are more consistent, if you see 22, 21 to 23% it will move around with the CDMO up and down

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in terms of EBITDA margin. So, that will be a better number for tracking than the consolidated, because consolidated has some trading activity also, which eventually will get stopped by the end of this year.

Moderator: Thank you. The next question is from the line of Harsh Nagda from Vivid Financial Services. Please go ahead.

Harsh Nagda: I just wanted to ask about the xanthine prices trend last year and this year, and what are we anticipating the trend moving forward?

Rashesh Gogri: Xanthine has many molecules, so we won't be able to share but overall, the pricing has come down by around 15%, 20% over last year in the spot market.

Harsh Nagda: Okay. So, what are we expecting the trend to move on further?

Rashesh Gogri: We expect the trend to, the prices to stabilize at this level, as long as the raw material prices are stable or go up only. So, we don't anticipate it coming down, unless the raw material prices fall further.

Moderator: Thank you. The next question is from the line of Jay Shah, an Individual Investor. Please go ahead.

Jay Shah: I had a broader question on the business front. So, like you just said that because of the US Biosecure Act and even China Plus One, you are seeing a lot of inquiries, but at the same time, we are kind of congested on the capacity utilization, at least in terms of the near future. So, what kind of conversations then keep the customers engaged, because we will not be immediately able to at least start the CDMO phase for them. So, how are they showing confidence in us, apart from our chemistry skills and our lineage because of Aarti Group. So, how is it that customers are willing to wait six or nine months till Atali is ready?

Rashesh Gogri: So, as we have mentioned that our facilities are fungible across Intermediate as well as the CDMO/CMO. So, we have flexibility to buy those Intermediates and substitute the capacity for CDMO/CMO and give the customer the capacity availability. So, that is one thing. Another thing is that, these projects whatever increase that we are seeing of course will take six to eight months or a year to get mature, and by that time we will also have our facility so early phase, as we mentioned. We have now this smaller reactor up to from 50 liter to 2 KL. We have already added one block in our Vapi site, which got commissioned in this quarter. So, with that, we will be able to meet their validation requirements, or early phase requirements to qualify our

product for future, so we have those capacities in place. So, we don't see any concern on the capacity front for the CDMO/CMO business for now.
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Moderator: Thank you. The next question is from the line of Amit Luri , an Individual Investor. Please go ahead.

Amit Luri: My question was regarding the trading business, which we have discussed right now. So, can you please throw some light on , what is the actual the annual turnover of the so called Company and

the profit margin currently , quarterly, as well as annually, and what impact it will have going forward, as you said that the same business will not going to continue from next year ?

Rashesh Gogri: See, we have a subsidiary called Aarti USA Incorporation, which was constituted prior when it was a combined business of Aarti Industries and Aarti Pharmed Labs , and essentially we were catering the customers in US , generally door delivered products. So, all the door delivered products were catered for both the businesses using this Company . And then in pharma, we have certain registrations and investments from this entity as well. So, this entity was retained in Aarti Pharmed Labs as a subsidiary , and Aarti Industries was supposed to create a new Company in USA to handle their door delivered business in USA. So, that will happen by end of this quarter hopefully . And the large portion of turnover, around 80 % , 90% of the last year we did close to 190, 200 crore of this turnover, and this year also this quarter we have done a large turnover in this segment, so that will get shifted. But of course, the margin profile is only 1% to 2% in this business, so it will not have an impact on profitability or EBITDA of the Company , only the top line , which we have been just helping Aarti Industries meet the customer requirement , will get shifted.

Moderator: Thank you . Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for their closing comments.

Rashesh Gogri: Hi, I would like to thank all the participants on this call to attend this call. Thank you very much .

Moderator: On behalf of Aarti Pharmed Labs Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines . Thank you.

Call: Nov 2024

November 04 , 2024

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: AARTIPHARM

Sub: Transcript of Q 2/H1 FY25 Earnings
Conference Call
Ref: Regulation 30 of the SEBI (LODR)
Regulations 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Monday ,
October 28 , 2024 on the Audited Financial Results of the Company for the Q2 /H1 FY25 .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED

HETAL GOGRI GALA
MANAGING DIRECTOR AND VICE CHAIRPERSON
DIN: 00005499

Encl.: a/a.

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Aarti Pharmalabs Limited
Q2 /H1 FY25 Earnings Conference Call
October 28, 2024

Moderator: Good evening ladies and gentlemen, and welcome to the Aarti Pharmalabs Limited Q2 & H1
FY2025 Earnings Conference Call hosted by Valorem Advisors .

As a reminder, all participant lines will be in the listen only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during the conference call, please signal an operator by pressing "*" then "0" on
your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over
to you, sir.

Anuj Sonpal: Thank you. Good evening everyone and a very warm welcome to you all. My name is Anuj

Sonpal from Valorem Advisors . On behalf of Aarti Pharmalabs , I would like to thank you all for participating in the Company's Earnings Call for the Second Quarter and First Half Financial Year 2025.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings conference call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings conference call is purely to educate and bring awareness about the Company's fundamental business and financial quarter under review. Let me now introduce you to the Management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. Rashesh Gogri – Chairman; Mrs. Hetal Gogri Gala - Vice Chairperson and Managing Director; Mr. Piyush Lakhani - Chief Financial Officer.

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Without any further delay, I request Mr. Rashesh Gogri to start with his opening remarks. Thank you and over to you, sir.

Rashesh Gogri: Good evening everyone, and thank you for joining us on our post result earning call for the quarter and the half year ended September 30 th, 2024 . Our results have been uploaded on our website, and I hope you would have got a chance to go through them.

Let me provide you with the business highlights. The company operates in three distinct areas within the pharmaceutical industry - Xanthine derivatives, API Intermediates and CDMO/CMO. The Xanthine derivative segment contributed 45% of the turnover in Q2. The market is still witnessing strong competition from China. However, our long term partnership with the global giants and our position as a dominant Indian player help us maintain strong position in this segment globally . For Q2, our Xanthine delivery derivatives facilities have operated almost at the full capacity.

The API and Intermediate business contributed 51% of the turnover in Q2. The sub segment breakup of this business is 43% regulated market, 46% ROW of the market and 10% non - regulated market.

The third segment, CDMO/CMO has contributed 3% of the turnover in the quarter. We are presently working with 19 customers on 55 projects, out of which 28 projects are in the commercial stage at the customer's end, and 27 are at the different stages of development at the customer's end. This highlights our presence in late phase projects. Typically, the orders in these segments are multi -stage products for which lead time is very long . CDMO/CMO segment does not have uniform sales across every quarter because of these lead times .There are few high value orders for which the delivery is scheduled later in this year . It is likely that the revenue realization of these orders in hand might get extended beyond current financial year. However, in medium to long term, we have no doubts about long term prospects of this CDMO/CMO business, given our strong R&D focus on robust scale up and manufacturing capabilities, we should be able to deliver strong growth in this segment.

Let me now share the key financial highlights on consolidated basis for H1 FY 25:

I am pleased to announce that in H1 FY 25 consolidated top line was Rs.1014 crore, which was 13% higher Y-o-Y basis . For the H1 FY 25, the consolidated EBITDA from the operations was Rs.197 crore as compared to Rs.174 crores in corresponding period of the previous year. That is an increase of 13% Y-o-Y. The consolidated PAT for the H1 FY25 was 110 crores, 11% higher year -on-year .

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I will now share the progress update on the key expansion projects. We had announced the capacity expansion of Xanthine derivatives in Q4 of last financial year to achieve a total capacity of 9000 metric tonnes per annum. Till now, we have been majorly focusing on non -pharma application of Xanthine derivatives. But going forward, we plan to target the pharmaceutical market also for which we shall file for the regulatory approval for US and Europe market in this year .

The expansion of semi commercial production of USFDA Intermediate unit at Vapi has been completed and currently undergoing the trial production. With this expansion, we have bridged the gap of small and medium batch size and will be able to offer gram scale to ton scale in CDMO/CMO business .

The solar energy project at Akola in Maharashtra has been commissioned successfully towards the end of Q2 FY 25 and we foresee the project to deliver good savings in terms of our energy costs in the second half of this financial year.

The green field project at Atali for CDMO/CMO and intermediate manufacturing is progressing well, and we expect the commissioning of the site to happen by Q4 FY 25.

We are optimistic about the future prospects, and we maintain our guidance to achieve th

e

EBITDA growth of 10 % to 12% in FY 25 and long term goal of about 15% annual growth in next year. I will now request moderator to open the forum for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: So two questions from my side. So, first on the API intermediate division. Can you share your thoughts with respect to the outlook on the API industry, your numbers suggest the business environment seems to be improving, and we are able to combat the Chinese competition also quite strongly. And secondly, the CDMO business, as you mentioned in your initial commentary, that the revenue recognition might get spill over to FY 26. So taking lead from last quarter's call regarding 25% growth on FY24 base, how would you revise your guidance for the current year on the CDMO front, these are my two questions. Thank you.

Rashesh Gogri: API and Intermediate business as such, we have had good financial year this year, and we are seeing new products of our customers with whom our API is linked for the final formulation, getting commercialized for the coming period. With that we see, despite pricing pressure overall growth in the overall business for us. And in case of CDMO/CMO, as I mentioned that these results quarterly will vary from one quarter to the other quarter. Due to long lead time, and long gestation, certain products have lead time of almost seven, eight months and it can get up and down by a couple of months, due to which we may have a deadline of one year

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which can get spilled over and stuff like that. But overall, we should look at this business as a strong business for us. We have a great pipeline. And as you would have seen, we have 55 projects with which 19 customers are, and we are hopeful to add many more in the second half of this year. And with that, our conviction is very good for this business growth. Overall, the number that we had earlier mentioned about the 25% growth, we are pushing our team to get that growth. But however, this shift by one or two months can change that number by 5% to 7% also on the lower side.

Dhaval Shah: And just reconfirming the CDMO number last year was 250 crores, right?

Rashesh Gogri: Last year was 167 crore.

Dhaval Shah: Okay and sir this lead time is because of some more steps being given to us in terms of the entire?

Rashesh Gogri: Exactly. So, what has happened in certain projects, we have been doing the RSM production also, and the GMP production also. So there are five, seven stages, and then there are multiple products, ultimately culminating into two or three GMP steps. So basically, we end up doing almost seven, eight stages in single, single stream. However overall for us it's a great value addition to do multiple stages. It gives us lot of control and for the customer, they don't have to go to different suppliers to get their KSM and get their GMP material. Overall, it's a very positive site for the company, because our engagement with the customer is not only for the GMP but also for the KSM.

Dhaval Shah: Got it. Last question of the API side, you mentioned the customer's product has been commercialized in the market, and that's where we are seeing this volume growth coming in, is my understanding correct?

Rashesh Gogri: Yes, so we have had in the general APIs as well as the specialized APIs as well, approvals that have come through in this year, and for which we are seeing strong growth over. So our number for regulated and semi regulated markets have improved significantly over last year, and overall numbers, we are not as much bothered, because the non-reg market overall profitability is anyway lower. So the idea is to increase more engagement with the customers on the regulated side and semi regulated

side. We also had a Brazilian inspection authority and visa inspection which was cleared by the company with zero observation. We have more than 11 product approved for the Brazilian market.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

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Dhwanil Desai: So my first question is on the gross margin side. So, despite lower contribution from CDMO our gross margin on standalone has improved significantly on Q-o-Q basis. So is this largely because of the higher API contribution or anything else that we need to read into this number?

Rashesh Gogri: Overall on the standalone basis, for the first half and also for the current quarter we have improved our gross, 21% has become 23% EBITDA margin. And at the gross level it has come to 55%, so it is because of the better product mix and overall more regulated focus that we have had in this current quarter.

Dhwanil Desai: Okay, got it. Sir's second question on Xanthine, so if you can talk a bit about, how things are shaping up in the market in terms of demand, supply, any changes in the pricing competitive intensity, since we have large CAPEX coming up on that, and how are we progressing in terms of kind of customers for the upcoming capacity that we have on the Xanthine side?

Rashesh Gogri: In Xanthine as you know we have announced 9000 metric ton CAPEX , and it is going to be in two phases. So the first phase will get operationalized much faster, and then second phase. So there are two facilities which we are upgrading for achieving this capacity. So , in two phase s we will have mo re capacities faster , so more capacities will come from the current level and then further it will enhance to the 7 50 tonnes per month capacity . Overall , the ma rket is divided , if you consider there are three segments of the market . So the spot market is quite brutal, but whereas the pharmaceutical market, as well as the large consumers market, where all the suppliers have a long term understanding, remains intac t, and that's what we have mentioned on my opening remarks, also that we are quite confident of our participation more and more towards these markets, and we are confident of protecting our overall margins for the caffeine business. And as I have already m entioned, that we have operated the plant at near full capacity for this current quarter.

Dhwanil Desai: Okay . And one more question I will come back in the queue, is that in general what we are hearing from lot of CDMO players is that, due to this Bio-secure Act lot of traction in terms of the business development and project awards. So for us, are we seeing any significant changes in terms of either the order value or the kind of number of molecules that our customer is willing to now work with us on t hat, any qualitative color on that because of this change in that environment ?

Rashesh Gogri: Essentially, first if you take up the entire CDMO/CMO , the way in which the business progresses is that, first is the engagement with the customer, then it follow s with the customer visit, then RFP process, then there will audit process, and then there will be a initial ordering and then you will get commercial. So these are having five, six stages the way in which the entire CDMO/CMO business progresses. And we ha ve seen more engagement with the customers , we have seen more visits, we have seen more RFPs coming to us because of the engagement,

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and all these things have started flowing, and it will culminate into more better projects getting added for us in future.

Hetal Gogri Gala: From existing customers as well as new customers.

Moderator: Thank you. The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: My question was on the CDMO/CMO side. So, as you were saying tha t, you have started doing more reaction st

eps starting from case and kind of steps. So does it mean that, our margins in the CDMO/CMO segments will increase further given the more reaction steps involved in the production ?

Piyush Lakhani: Basically, we can think of us like a services company.

Rashesh Gogri: Basically, the margins will improve as we do more and more stages, and as we movenearer to the final API manufacturing for the CDMO/CMO segment. So the margins regulatory starting material to key starting material to regulatory starting material to GMP to API, keep on increasing . As the number of steps and complexity increase s, the regulatory requirement increases overall. But of course, the margin profile is dependent on the occupancy and the numb er of stages that we do. So there could be some project, which is in KSM where we end up doing multiple stages where the margins can be higher, but it can be lower for the GMP also, if it is only one or two stages. But overall, given our understanding of r egulatory requirements and our USFDA compliance facilities with the GMP compliance, we have started to do more G MP steps, also an API as well in future for the end consumers.

Ankit Gupta: Sure. And sir on the Atali side, when is the Atali expected to start operations and given when we need to do validation batches, and get approvals from regulatory authorities like USFDA, so when can we expect Atali to start contributing to our growth on API and CMO /CDMO side?

Rashesh Gogri: Any greenfield side like Atali, we will have to give a year for it to stabilize and 2025, 26 would be a year of getting all the facilities started. So it will be not a single day we can start everything , it will be a phase manner we have to transfer the projects from other sites as they grow in the size and all that process also takes time. So overall, 12 to 18 months once we startnext year and then a half year after that we would see Atali site getting fully operationalized and utilized . So, from today it can be 24 months.

Moderato r: Thank you . The next question is from the line of Deep Gandhi from lthought PMS . Please go ahead.

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Deep Gandhi: Sir first question I had was a follow up to the previous participant 's answer. So can you give us some quantification about how much of our Xanthine revenue comes from the spot market and how much comes from the long term ?

Rashesh Gogri: For the Xanthine?

Deep Gandhi: Yes.

Rashesh Gogri: We are not giving this split currently.

Deep Gandhi: Okay . Sir my next question is about the CDMO . So we have guided for around 25 % , 30% growth. It might not happen this year, but even for say next year, the current products where you already started shipments, are those products sufficient to achieve those targets or are you also expecting some new products shipment to start for the numbers to be achieved?

Rashesh Gogri: Yes, next year we will have current few overflow projects plus newer projects also for which we already have visibility, because CDMO/CMO market there is always nine to 12 months visibility that we have for the projects, how they are going to shape up if there are bigger projects . We have great conviction that we will grow the segment going forward.

Deep Gandhi: Sure . And sir next question is on the API side, so if you can broadly explain us what kind of , what are the top three therapies in the API, the revenue contribution from those therapies. And also related question, what would be our revenue contribution from the top three customers in API segment ?

Rashesh Gogri: We have anti-hypertensive steroids, cortico steroids, as CNS products these three categories are top three categories in which we operate. And top three customer , we may not have too much concentration of the customer , top three customer would constitute to around 20% of the API, 20 %-25% , even less probably. So we will have to get back to you with those numbers.

But

, the customer concentration is not much.

Moderator: Thank you. The next question is from the line of Harshal from Rash Finco rp. Please go ahead.

Harshal: I just wanted to ask , this CDMO/CMO business will it like stabilize annual, can we see revenue growth in the future?

Rashesh Gogri: Yes, we have already, I have told the guidance which was earlier as mentioned it was +25%, but it can roll over to next year and we have already told that it can be lower than the earlier number because of certain projects getting forward to next year, according to the current situation, but we are fairly confident about the stronger growth next year and years to come for this segment.

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Moderator: Thank you. The next question is from the line of Tushar Vasuja from Yogya Capital. Please go ahead.

Tushar Vasuja: I have a couple of questions. The first one is that you mentioned that you are expanding your Xanthine capacity from 5000 ton ne per annum to 9000 ton ne per annum. So what will be the peak revenue potential once you hit the 9000 mark?

Rashesh Gogri: So, with the 9000 metric ton ne capacity we can reach \$100, \$125 million in revenue for this segment.

Tushar Vasuja: Okay . And sir what's the current asset turn for Xanthine?

Rashesh Gogri: Current asset turn, we are not providing this information, but asset turn will improve because this being a brownfield project, overall we see improvement in overall asset turn.

Tushar Vasuja: Okay , sir. And sir on previous calls you mentioned that this entire CAPEX will cost around 150 crores. So does this include the land cost or not ?

Rashesh Gogri: Yes, we are taking smaller land parcels, basically which are being Brownfield, these are land parcels which are near our current site, so adjacent parcel. So , overall land component in this may not be more than 10 crores overall.

Piyush Lakhani: So this 150 crores is inclusive of land.

Rashesh Gogri: Inclusive of land.

Tushar Vasuja : Okay, sir. And sir a bit of a broader question in terms of Xanthine. So, what's the entire capacity in the world right now, and how much of it is in China?

Rashesh Gogri: Total world capacity operational would be around 40,000 to 50,000 tonnes and out of which, China would have 70% of the capacity operational. We have 12 % to 15% capacity and then balance is in Europe, another 8%, 10% .

Tushar Vasuja: Okay , sir. And sir out of the 70 %, 75% Chinese capacity, how much do you reckon get exported ? What is the internal consumption of China for this?

Rashesh Gogri: Internal consumption numbers we may not have, but out of which my gut feeling is around 70% should get exported of the 70-75%, that is 50% -55% of the total capacity from China global gets exported.

Tushar Vasuja: Okay. And sir last question, how much of the price is reduced for Xanthine and its raw materials since the peak and how far away are they from there the lowest they have ever been ?

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Rashesh Gogri: So, how many years you want me to go back because I have seen Xanthine for last 20 years. Of course, the lowest prices that I had seen , it went down to \$6 in past. So currently, of course, they are much better than those numbers.

Tushar Vasuja: Let say in last three , two years ?

Rashesh Gogri: No, last three , four years the prices have been much higher. They have been more than double of that number.

Moderator: Thank you. The next question is from the line of Nitesh Dutt from Burman Capital. Please go

ahead.

Nitesh Dutt: First question, in H1 we are at 190 crore EBITDA. So to achieve the 10 % to 12% growth guidance, we will need to have roughly 230 crore EBITDA in H2, so just checking if we are on track for that guidance, especially considering that CDMO/CMO some part of it might get pushed out in the next year ?

Rashesh Gogri: Yes, we are on track. That's why we reaffirmed our growth numbers in my speech.

h.

Nitesh Dutt: Second question , CAPEX for H2 and FY 26 and also related to it, when do you expect the incremental Xanthine capacity to get operational?

Rashesh Gogri: Incremental Xanthine capacity will get operational by end of next fiscal . So we will have, the entire project should complete by Q3 of next financial year. And of course, it may take another six, eight months to completely or two , three quarters for us to completely operationalize. So we will, the project is divided in two phases, and the final phase will get over by Q3 and then we will have two , three quarters for operating the capacity to a significant level. And overall we have invested .

Piyush Lakhani: In H1 we have invested 170 crores in tangible assets and in H2 we might spend additional 250 crores.

Rashesh Gogri: And for next year also we will have another , first half we will do another 150 crores spends.

Nitesh Dutt: H1 of FY26, another 150 , that's right?

Rashesh Gogri: Yes.

Piyush Lakhani: No change in the overall plan of spending 550-600 crores.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

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Dhwanil Desai: Sir one question on CAPEX . So once we are done with this Atali and Xanthine expansion , how do we at our CAPEX and would we first prefer to kind of stabilize and ramp up the capacity before doing next leg of CAPEX?

Rashesh Gogri: Yes, so as you know company operates in three segments, so API and intermediate. So out of which the API site is at Tarapur. In Tarapur, we have space for brownfield expansion, for the API capacity and we see in future, good demand of anti -cancer products as well as the API. So we are already on drawing board to further de bottleneck these capacities and put up some capacity there . Whereas Atali will largely concentrate on a mix of intermediate as well as the CDMO/CMO , and in this segment it's a large project with 80 acres space. We are just starting phase one , that project will have multiple phases. So with the phase one, we will have 60 reactors are operationalized with +450 KL capacity. And there we have scope to do at every year, one or two blocks of 250, 300 KL going forward, depending on the need of the customer and how we are ramping up our CDMO/CMO business. And in case of Xanthine we will be fully operationalizing the 9000 and further which we don't foresee any immediate action for next few years. We will keep on considering reviewing our strategy of caffeine. And then if there need be, we could think about any future expenditure, but currently I don't feel there would be any need for that particular segment.

Dhwanil Desai: Okay, got it sir. And one more question, slightly longer term question, but this 15% target on EBITDA growth for next three years. Sir, if I look at segment wise, every segment need to grow at much faster than that. And I don't know about the API part, but at least Xanthine and CDMO.

And CDMO is a much better margin segment, and you are focusing more on API on the regulated market . So, I am unable to get this, how we will surpass the number that we are projecting 15% , not able to add up on that.

Rashesh Gogri: Next few years, two, three, four years, the numbers we want to be bit cautious on whatever we give the outlook. So , this is a n outlook that we are pretty sure that we should be able to achieve with the current business plan that we have, and surpass it in future as you rightly mention that if we add up the number, the number can look bigger, but we don't want to over commit and under achieve.

Moderator: Thank you. The next question is from the line of Advaid , who's an Investor . Please go ahead.

Advaid: Sir, just one question from my side. When I was looking at the inventory days and the absolute value of inventory, it has significantly increased which to an extent as also weighed on

your

working capital. Is this something that is characteristic for this industry, or is this specific to this quarter , you just highlight that , that will be helpful . Thank you.

Rashesh Gogri: Yes, as we earlier mentioned that CDMO/CMO certain projects which have long gestation, and it is result of that, where we have a significant inventory because we have a sizable order which

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will get dispatch in one quarter, so that inventory can come down in that quarter. So that is the reason that we have this inventory built up. But , looking at overall characteristics of

CDMO/CMO business in future also, and our appetite of doing multi stage synthesis, we will have this inventory fluctuating to higher number and lower number. And once we have every quarter stabilized number, then we will stabilize some inventory, but the numbers will remain high, looking at our overall appetite for this multi stage synthesis where we do the regulatory starting material also, GMP also, and sometimes we will end up doing API also.

Hetal Gogri Gala: And our own APIs as well intermediates in-house.

Advaid: Thank you. Just one last question, if you could just give us a view of the gross margin profile by segment, that will just be helpful. Thank you, that's it from my side.

Rashesh Gogri: That information currently we are not sharing.

Moderator: Thank you. The next question is from the line of Neha from Abakkus. Please go ahead.

Neha: Sir on the Xanthine part, I wanted to understand that how the average realization have changed versus last quarter in the spot market and the contract market?

Rashesh Gogri: We are not giving absolute numbers of these, but overall the spot market has come down as we compare to last year. Both the markets, spot market has come down more than the contracted market, and we have also reduced our raw material cost. So, that's how we are able to protect our margins in this segment. So that is what I can tell about the Xanthine. We are not dwelling over absolute numbers of either of the segments.

Hetal Gogri Gala: We are continuously working on cost improvements. That will also come, like with bio gas or better efficient boiler and with solar power plant we will have the cost reduced in coming quarters that will also help.

Neha: Okay. And in terms of volume growth, if you can speak about for the current quarter for Xanthine?

Rashesh Gogri: Volume growth current quarter, we had little bit of muted deliveries for one customer, but barring that, overall the production did happen at rated capacity, and it will continue to happen as we have announced the future expansion, currently we are fully utilizing our capacity and there could be one month of higher inventory, but overall we are quite confident of pushing the entire production out in the market of Xanthine.

Neha: Okay. And also on the CDMO front, in H1 FY 25 we have almost done about 50 crore for the CDMO and we have reduced our overall guidance for CDMO business from 25% let's say about 20% so, in that case about 150 crore can come in H2 FY 25, is that understanding correct?

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Rashesh Gogri: Yes, so we are not dwelling on absolute number, here you can get to those numbers yourself, but we will have significant deliveries happening in H2 and anyway from whatever our earlier guidance and today's discussion that we had, those kind of numbers are possible.

Neha: Okay. And sir when you mentioned about the lead time being higher, does it mean that, since there are various steps involved in a particular step it took more time, and that's why that has pushed the overall timeline for the project?

Rashesh Gogri: So there have been instances where there was extension because of these kind of projects. There have been some projects which have been little bit pushed down. So, it is two such issues which have overall impacted the numbers on the CDMO/CMO

side.

Neha: And sir certain projects being pushed down means what?

Rashesh Gogri: They have been delayed by one or two quarters by the customer because of overall their inventory management and for the commercially running products basically.

Moderator: Thank you. The next question is from the line of Rupesh Tatia from Intel Sense Capital. Please go ahead.

Rupesh Tatia: Sir, I understand you don't want to give gross margin by segment, but can you maybe rank them between one to three, which is the highest gross margin, which is the lowest gross margin between our three divisions?

Rashesh Gogri: Yes, so highest would be CDMO/CMO, then API and then Xanthine. And overall gross margin this time was 65% gross margin. So they range between 35 to 65, across all the segments.

Piyush Lakhani: Yes, 35 to 65.

Rupesh Tatia: Okay. And then for other question, in CDMO is all of our CDMO project are with innovators, innovator's products, basically products which are under patent or under development, or is there some generic CDMO also there?

Rashesh Gogri: No, we are working with 19 customers, and the projects that we do, almost 90% of them are with the innovator. So we have, couple of one or two generic very small value. So, we have largely innovator work that we do.

Rupesh Tatia: And maybe can you tell me how many of them are phase three, and how many are commercial, some rough idea?

Rashesh Gogri: So we have 28 of them which have been commercial projects, and 27 are developmental projects. So we are working on 55 projects with 19 customers.

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Rupesh Tatia: So my question is, with 28 projects our commercial revenue is actually very small. So is it like

we are like a second source supplier in the innovative product for these commercial products ?

Rashesh Gogri: So if you would see, in last couple of years we have built up the pipeline. And with this pipeline, the innovator doesn't make the product every year. They have alternate year production and stuff like that. First year they will take initial validation work, and then they will give certain quantity and then the third campaign they will give us more quantity. So we are in that progress of the cycle of management, of the supplier by the innovator. So once we are fully on boarded, we expect more stable revenue from each and every projects that we have.

Rupesh Tatia: Sir maybe the other way to ask is, build in -house?

Rashesh Gogri: Yes, let me just add the way in which we classify is that 28 projects are commercially so the projects have been launched commercially by the customers in the market. Whereas 27 projects are in various phases, phase one, two, three of the clinical phase. So in the 28 projects that we are doing, we have certain projects where we have just entered, we have certain projects where we have supplied validation quantities. We have certain projects where we have done only one time supply, and certain projects we have supplied in one year, one year there was break, and now it's the third time that customer would buy. So there are several such examples of how this business operates.

Rupesh Tatia: So, the other way to ask this question is, out of these 28 commercial molecules of projects, in how many we are single source supplier?

Rashesh Gogri: No, we may not be single sources any of them. So, innovators are quite diversified, they have supply chain strategy, and they never have single source.

Rupesh Tatia: And then maybe the final question is, in this commercial plus development, can you give some idea about the total revenue potential of end customer in the projects, is it like 1 billion combined, each project is like \$50 million or is there some molecules which can go on and become very, very large?

Rashesh Gogri: So with the current visibility that we have and the numbers that we have from the customers, there is potential of these projects

becoming quite large also in few cases. Absolute number can vary, but a range could be 25 to 50 million also possible, if the product gets matured and we are able to satisfy the customers need and service the customer in a proper way. Those kind of potential projects are also there in our pipeline.

Moderator: Thank you. The next question is from the line of Deep Gandhi, from Ithought PMS. Please go ahead.

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Deep Gandhi: Sir my question is again on the Xanthine. So you mentioned that once you reach the full utilization for 9000 tonnes, the potential revenue could be around 1000 crores or \$125 million. So sir currently, when you are at say, full utilization with 5000 tonnes capacity, you are already doing 800 crores. And if I say, assume even 20% drop in realizations from here, the revenue should be around 1200 crores. So, I am not able to understand this mismatch and are you expecting even higher drop in realizations than 20% or what is the mismatch here?

Rashesh Gogri: Yes, those numbers are all speculative numbers. So, the number range I would like to widen from \$100 to \$150 million anything can happen with the 9000 metric tonnes. It can go higher also.

Moderator: Thank you. The next question is from the line of Nitesh Dutt with Burman Capital. Please go ahead.

Nitesh Dutt: Sir my question is, in FY 26 our Xanthine capacities, the expansion would not be coming on stream. Similarly, Atali would not be fully ramped up, so for FY 26 which segment will do the heavy lifting in terms of volume growth, or do you expect your product mix pricing and a little bit of CDMO/CMO to drive the growth and related to it, do you expect that FY 27 will be doing the bulk of heavy lifting in terms of achieving your 15% CAGR guidance or FY 26 can also see similar kind of growth?

Rashesh Gogri: FY27 would be the year where bulk of the capacity will get operationalized. And FY26 definitely as you said product mix. But of course in phase one of our Xanthine will get operationalized in the second half of next year and which will be utilized. And then by the end of the year, we will have full operationalization of Xanthine. But Atali, we expect to fill it with the intermediate operations for the generic industry also to start with so that we can, utilize the capacity. But, as you rightly mentioned, more contribution and meaningful margins can be driven only in the FY27 for these two expansions that we have done.

Nitesh Dutt: Sir any qualitative guidance you would have or any idea about FY 26 numbers similar to how you have separated it for FY 25?

Rashesh Gogri: We would give that guidance in Q4 call probably once we have the budget and everything currently, of course we have broader numbers, API segment with the capacities getting utilized there we expect the growth to come because the facility, the expansion was done couple of years back and those capacities are getting occupied and then we are also debottlenecking one or two lines to enhance the capacity so, that facility can do some increase in overall production.

Moderator: Thank you. The next question is from the line of Tushar Vasuja from Yogya Capital. Please go

ahead.

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Tushar Vasuja: Sir you said that you would focus more on the pharma side of Xanthine now. So how was your realized margin for pharmaceutical Xanthine as compared to beverage ?

Rashesh Gogri: Similar or better . So in pharma side, we will focus on the regulated markets, and the overall pricing that we expect from this segment being regulated will be better.

Tushar Vasuja: Okay, sir . And sir you said that you will apply for regulatory approvals in the coming quarters. So what is the current distribution for beverages and pharma, and how will it change once you get the approval?

Rashesh Gogri: See, currently we have been focusing more on beverages and spot market, but now the pharma market, eventually we expect once we ramp up the capacity, 20 %, 25% of our overall capacity, we want to push to the pharma segment, 20% in the regulated space and 5-10% in non - regulated space. So with that, it will stabilize the margin profile also .

Tushar Vasuja: Okay . And sir what will be the timeline for you to get all the required approvals ?

Rashesh Gogri: No, so that's why, basically we are doing the brownfield expansion at the current site. So as we mentioned on the call during my speech, that we will file later in the current fiscal only the USFDA DM F as well as the EUGMP CEP application, so we expect both approvals and the triggering happen in next year.

Moderator: Thank you. Our next question is from the line of Advaid who is an Investor . Please go ahead.

Advaid: Just one thing is, if you could just give a perspective about what's happening from a pricing perspective, versus last quarter and same quarter last year, as far as Xanthine is concerned, because in the last concall you had mentioned about there being pricing pressure given the supply, if you could just give us a perspective on that, that will be helpful.

Rashesh Gogri: As we have mentioned that the spot market has deteriorated because of the excess Chinese capacity. And, unregulated players in China have been dumping the product in the market. So whereas overall, large contracts are also under pressure but, margins are intact because, they definitely follow the raw material cost model. And the way in which the pricing happens is largely basis cost. Of course, it's a negotiated number, but still there is some logic there. The way in which, the strategy that we have is that, how do we go away more from spot and move towards more long term market and regulated market, and which can give us stable margins and we don't have to fight on the spot side .

Advaid: Thank you, sir. And just one last question from my side, primarily within the Xanthine segment do you cater to the local Indian customers, or it's primarily exports that's the other one?

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Rashesh Gogri: Yes, will cater to all customers , in India also there is regulated market customers, there are a lot of Paracetamol , caffeine combination API formulation being manufactured in India and getting exported worldwide in Europe as well as the US market. So we will definitely target all regulated markets. There are marquee customers also in India and globally, large multinationals who also have OTC presence and across the world, and they also require regulated DMS and CPS and stuff like that. So we will be catering to all those markets, and that catering can start in the current half only because it's of course a couple of quarter qualification, other approvals and by that time our capacities will also come on board. So we will be able to start supplies as soon as we have the capacity.

Advaid: Got it and presently, the exports are they more than 50% as far as Xanthine is concerned, specific to Xanthine?

Rashesh Gogri: Yes.

Piyush Lakhani: More than 50% is export .

Moderator: Thank you . Ladies and gentlemen, that was the last question for today. As there are no further questions, I would now like to hand the conference over to the management for closing remarks.

Rashesh Gogri: Yes, I would like to thank all of you for joining our call and Happy Diwali. Thank you.

Moderator: Thank you. On behalf of Aarti Pharmed Labs Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

February 12 , 2025

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: AARTIPHARM

Sub: Transcript of Q 3 FY25 Earnings
Conference Call
Ref: Regulation 30 of the SEBI (LODR)
Regulations 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on Friday ,
February 07 , 2025 on the Audited Financial Results of the Company for the Q3 /9M FY25 .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED

JEEVAN MONDKAR
COMPANY SECRETARY AND LEGAL HEAD
ICSI M. NO. A22565

Encl.: a/a.

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Aarti Pharmalabs Limited
Q3/9M FY25 Earnings Conference Call
February 07, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Aarti Pharmalabs Limited Q3 and Nine months FY2025 Earnings Conference Call hosted by Valorem Advisors.

As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference call, please signal for an operator by pressing "*" and then "0" on your touch tone telephones . Please note that this conference call is being recorded.

I now hand the conference over to Ms. Nupur Jainkunia from Valorem Advisors. Thank you, and over to you, ma'am.

Nupur Jainkunia: Thank you. Good evening everyone and a very warm welcome to you all. My name is Nupur Jainkunia from Valorem Advisors.

On behalf of Aarti Pharmalabs, I would like to thank you all for participating in the Company's Earnings Call for the 3rd Quarter and Nine Months of Financial Year 2025.

Before we begin, let me mention a short cautionary statement :

Some of the statements made in today's earnings conference call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings conference call is purely to educate and bring awareness about the Company's fundamental business and financial quarter under review.

Let me now introduce you to the Management participating with us in today's earnings call and hand it over to them for "Opening Remarks ". We have with us Mr. Rashesh Gogri – Chairman; Mrs. Hetal Gogri Gala - Vice Chairperson and Managing Director; Mr. Piyush Lakhani – Chief Financial Officer of the company .

Without any further delay, I request Mr. Rashesh Gogri to start with his "Opening Remarks ".

Thank you and over to you, sir.

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Rashesh Gogri: Good evening everyone, and welcome to Aarti Pharmed Labs Earning Call for the 3rd Quarter of Financial Year 2025.

It is a pleasure for us to speak to you today and share an overview of our recent business progress and financial highlights. I am extremely pleased to announce a record breaking quarterly performance. In this quarter, we have achieved highest ever quarterly profit in the company's history , on a standalone as well as consolidated basis . The performance demonstrates our execution capabilities and effectiveness of our strategic initiatives. It is a testament to the progress that we have made in the growth and we have been striving for. Here are the highlights of Consolidated Financials for Q3 FY 25. The consolidated top line was Rs.538 crores, which was a 20% increase on Y-o-Y basis. The EBITDA was Rs.129 crore as compared to Rs.96 crore on the corresponding period of the previous year and it was an increase of 34% Y-o-Y. The profit after tax for the Q3 FY25 was Rs. 74 crores as compared to Rs. 53 crores a year back, indicating a surge of 40% Y-o-Y.

Now let me present a few "Business Highlights ":

The company operates three separate segments in the pharmaceutical industry that is :

Xanthine derivatives, API Intermediates and CDMO/CMO business. Notably, all the three segments have done reasonably well this quarter .

The Xanthine derivative recorded highest ever quarterly volume sales and it contributed to 44% of the turnover in Q3. The competition from China continues to be a headwind. In fact, the prices for the spot market have further declined by over \$1 per kg . Despite this long term customer relationships and world scale capacity helped us thrive in this market. And similar to last quarter our Xanthine facilities have operated almost at full capacity in this Q3.

The API and Intermediate business delivered the best quarterly revenue performance and contributed to 42% of the turnover in Q3. The sub segment wise breakup is 48% regulated market, 40% ROW market, and 12% non -reg market, which is aligned with our long term focus towards regulated markets.

The third business segment CDMO/CMO has contributed 13% of the turnover in this quarter.

We are presently working with 21 customers adding two customers in this quarter . The number of active projects is now 56 of which 28 projects are in the commercial stages and 28 projects are at different stages of development, both at customer ends . Even our strong manufacturing capability and global tailwind in CDMO business, we are confident of delivering significant growth in medium to long term.

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Let me also apprise you about the temporary shutdown of our Vapi plant in first week of January. The unit had stopped operation because of the notice from the State Pollution Control Board, and the necessary steps were taken and unit was successfully restarted in about two weeks . With no long term impact we anticipate that disclosure may push some of the CDMO/CMO sales, which was originally scheduled in Q4 by one quarter.

Let me share the progress updates on key growth initiatives :

Our Brownfield expansion for the increase of Xanthine derivatives capacity from 5000 metric tonnes to 9000 metric tonnes per annum is progressing as planned. As per our plan, we will be filing for the regulatory approvals and the EUGMP CEP for the pharmaceutical market from our Tarapur unit three plant in this current quarter . The greenfield project of Atali, Gujarat for CDMO/CMO and Intermediate manufacturing is progressing with minor delays , and we expect Phase -1 of this Atali to be commissioned in Q1 with a ramp up expected towards the end of FY26.

The Phase -1 will have about 450 KL reactor capacity, and has been specially designed to facilitate pilot to commercial scale up in the same block . As communicated previously, our solar energy project of 21 megawatt DC at A

kola, Maharashtra was commissioned in Q2 FY 25 and is operating as expected. Moreover, we have signed up with another captive solar energy project of nine megawatt DC for our units in Gujarat. The second project is likely to get commission in Q2 FY 26. A non-operational both these projects combined are re-estimated to generate more than half of our total electricity requirement. This highlights our continuous commitment to cost optimization as well as sustainability. Lastly, we will be starting to solid multi-fuel boilers capable of using bio-briquettes as possible fuel. At two of our plants in Maharashtra in Q4 FY 25 in the current running quarters. These are expected to completely fulfill the same requirement of these respective plants using this kind of fuel. And this initiative will not only result in fuel cost reduction, but also lowering our carbon footprint.

In conclusion:

We are hopeful to continue the growth momentum and remain focused towards driving revenue growth, optimizing cost and enhancing operational efficiency. Given our current trajectory, we are optimistic that we may exceed our previously provided guidance of 10% to 12% of EBITDA growth for FY 25. And the business prospect looks bright and we will discuss the long-term outlook in Q4 FY25 Conference Call.

Thank you for your continued trust and support, and we are committed to delivering strong results and creating long-term value for our investors. The moderator may now open the forum for Q & A. Thank you.

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Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. Anyone who wishes to ask a question may enter "*", followed by "1" on their touchstone telephones. If you wish to remove yourself from the queue, you may enter "*" and "2". Participants are requested to use only handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Prakash Kapadia from Spark PMS. Please go ahead.

Prakash Kapadia: Yes, thanks. A couple of questions from my end. So, Xanthine contributes around 45% of our revenues. And, caffeine prices have seen a 4%, 5% correction in the last three months. And in the opening remarks, you alluded, there is some more downfall in the prices. So, what would you expect in the coming months and if you could highlight some sensitivity profile as to, what impact can it have on falling realizations for this segment, because that's a large segment for us. And secondly, in the CDMO segment, we are seeing number of products which are in the commercial stages increasing to around 28 from around 19 last year. Yet, we have not seen any major growth in revenues from the CDMO segment. So on an annual basis, what could the contribution of CDMO be like and this would be a higher margin business for us. So, as this contribution increases what could a margin trajectory be for the company as we scale up the CDMO business. Those are my two questions.

Rashesh Gogri: Yes, the Xanthine overall, the caffeine prices as I mentioned have softened a little bit, overall for the spot market. However, there is a different profile of customers where we are offering different kind of price proposal, and due to which we are able to now focus as mentioned we will be filing the EUGMP CEP from our Tarapur unit three plant. So we are trying to change the profile of the customer and making it more regulatory oriented customers. And with that, we will be able to focus on higher customers who can pay higher price to us. So that way, we are trying to ensure that we are not selling more spot volumes for our customers. Secondly, the lower prices are compensated by higher quantity production also. So overall, we have seen from last year to this year a growth in overall production of our Xanthine portfolio. And with that we are able to grow our

overall absolute pie of the contribution in gross profit for this segment. For your question on CDMO, you rightly mentioned that, we have increased the number of projects from 19 to 28 on the commercial side. And overall, the number of customers have also increased to 21 customers, with 56 current running projects that we have. And as mentioned, we see good opportunities in future for this and of course this current year also, as earlier we had guided that we will be increasing our top line from last year, and we are hopeful that we will still be increasing, because till now we have only done around 76, 78 crores of sales of this CDMO segment, but we will be exceeding last year's number which was 170 crores. So, that will happen in the current quarter, and we hope that next year, we will be able to do significantly better sales of CDMO products.

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Prakash Kapadia: With this scale, what could be the margin trajectory be like, because I am guessing CDMO would be a higher margin business as compared to Xanthine. And Xanthine if you could, give some more insights into the changes which you talked about supplying to regulated markets. What does it take to get more visibility from these kind of customers who are willing to pay us more and what that reduce volatility look in terms of sensitivity to our margins or this can affect margins in the Xanthine segment also, if you know regulated markets don't buy more from us, what could be the contribution of customers from regulated markets if you could give some

color that will be helpful.

Rashesh Gogri: Basically, for Xanthine currently we may be in spot for 30%, 40% of our total volume currently, and with increase in the capacity, our capacity will go up from 5000 to 9000 tonnes. So we are hopeful that we will still maintain contractual, not contractual but spot price number to that restricted level of 30%, 40% only. So that our better price, customer base will grow with the higher capacity that is what is the anticipation. And currently with the DMF and CEP filing that we are doing from second location, which is currently used for the spot market, so we will try and get these customers to validate us and as soon as our capacities are up and running, we will be able to commercially supply these customers in future.

Prakash Kapadia: Okay. And then the CDMO margin.

Moderator: Sorry, to interrupt Mr. Kapadia, could you return to the question queue please?

Prakash Kapadia: Sure.

Moderator: Thank you. Participants it's a request. Please limit your questions to two questions per participant. The next question is from the line of Rahul Jain from Credence Wealth. Please go ahead.

Rahul Jain: Thanks for the opportunity and congratulations Rashesh and the team for a wonderful set of numbers. So just to have a follow up on CDMO apart, so you mentioned that your fourth quarter you plan to exit for the full year numbers. So that is quite heartening to know, at the same time, you have pushed some sales to quarter one of next year. So how do we look at growth for CDMO in FY 26 given there will be some spillover of the current year to the next year. So overall, what kind of growth numbers should we look at for FY26 for CDMO business?

Rashesh Gogri: As we mentioned, we will be doing the entire budgeting exercise and all guidance revision also, because normally we end up giving yearly and a three yearly guidance. So once we, on the next concall, next quarter we will be able to guide you in more detail so, but we will see significant growth in this segment and we would like to let you know that, the 2025 number will be better than 2024 numbers. So, currently we have just done 75, 77 crore and then so to better it, we

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have to do more than 100 crores. So that is what we are anticipating that in current quarter we will be able to do significantly more than what we have done in first

st three quarters as sales.

Rahul Jain: Sir on the API side last year our quarterly run rate was around 150 crores and this year that run rate has jumped to 170 then 190 and now 203 crores in this current quarter. So typically, as we speak today, at 200 crores what kind of utilization we are working it on the API, and is there any bunching of any of the orders in one quarter, or do we feel that with this 200 crores, the run rate could further increase going ahead and how do we look at the growth for FY26?

Rashesh Gogri: So basically.

Rahul Jain: Atali expansion ramp up will happen somewhere in probably the first half of the next year?

Rashesh Gogri: See the Atali plant we will be utilizing for CDMO/CMO program, as well as the intermediate manufacturing. And overall, the numbers of API have remained, have been increasing and we are seeing that we will operate at these kind of numbers, or higher numbers in future. Our overall utilization would be around 75% of our capacity. However, we are going to add one more line in our new block, so that will also get de-bottleneck. So with that, we will add another 10% additional capacity. So with that, we will get growth there as well. And of course, in Atali we have completely new site where we will have more than 58 reactors with 450 KL so that itself will give us lot of boost, but primarily that will come to intermediate and CDMO/CMO business, and not to API, because API will only manufacture on the risk mitigation basis there.

Rahul Jain: So, Atali could contribute to what kind of revenues from the next year onwards in FY26? This month's revenue from Atali?

Rashesh Gogri: No, Atali will take two years plus to ramp up. And so we are anticipating those numbers, we will clarify in next call, we are just in the process of quantifying the same.

Hetal Gogri Gala: But then typically, in a pharma space for it to become commercial we will have to trigger all the regulatory audits and everything. So that will happen in FY26 primarily.

Rahul Jain: Sure. I have some more questions I will come back.

Moderator: Thank you. The next question is from the line of Meet Katrodiya from Niveshaay. Please go ahead.

Meet Katrodiya: Thank you so much for the opportunity. I have one question on the part of CDMO and CMO. So we have a active project around 56. So, I want to know the molecule side, any molecule can contribute significant 100, 200 crores going forward from a single molecule, or every molecule is like 40, 50 crore per molecule. What is opportunity size for the CDMO, going forward?

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Rashesh Gogri: In the CDMO/CMO we have 56 ongoing projects, out of which this 28 are commercial. And few projects have this kind of possibility in future. And of course, they are in the launch phase and once they get launched, then the significant volumes can get triggered. So we are quite hopeful that we will have those volumes, and that's why the entire new manufacturing at Atali is being

set up by us to meet the customers enhance requirement in this segment.

Meet Katrodiya: Okay. So, I have read somewhere that we are targeting a 500 crore in CDMO so by which we are hopeful that CDMO will touch to 500 crores?

Rashesh Gogri: I don't want to give you any futuristic number without waiting. So, we will give the guidance next quarter.

Meet Katrodiya: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: Hi, good afternoon sir, and congratulations for very strong set of numbers. Sir my first question is, we were aiming for 20% kind of a growth on CDMO this year, and whatever slippages that will happen now because of the plant shutdown. So, are we still aiming at those 15%, 20% kind of a growth. So maybe 130, 150 crore kind of a number from Q4 or are we looking at a more like almost same number as last year?

?

Rashesh Gogri: Number will exceed last year's number, that is what I mentioned to what level we will see how we are able to push the product out of how the dispatches happen from India. So, it's a speculative number, but we will definitely exceed last year's numbers.

Dhwanil Desai: Got it sir. And so from your commentary currently, we are at 200 crores run rate on API and with 75% kind of a utilization and you are saying that you are putting one more reactor. So, with the current capacity API can reach +1000 crore number, is that a safe assumption to make and since we will be utilizing Atali largely for intermediates and CDMO beyond one year, how should we think about growth are we looking for any greenfield expansion over there. How should we think about that?

Rashesh Gogri: Basically, this segment can give 800 to 1,000 crore depending on the product mix and what we are able to produce at that site. So that kind of capacities are available. And, further we have land there to expand further, and we can actually put up additional 300, 400 KL capacity there as well. So there is always a possibility to further increase capacity at the same site, and which can be done in a one year time. So, as we plan for that. Normally, what happens is that once we occupy around 80% of our capacity, then we do one round of expansion, and then we want to make sure that we are at 75% kind of utilization, and then we have always spare

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capacity available to plan newer validations and take up newer projects and stuff like that. So that's how we are planning the expansion. So we have space for that, and which can last us for another two, three years at the same site, three years.

Dhwanil Desai: Okay. Then on Xanthine sir, we are doing this CAPEX so in terms of ramp up, how should we think about, we are doing that in two phases. So when the first phase will get completed and you mentioned in last call that, it will not take very long time to kind of pick up the capacity, given the demand environment in our contracts. So, how should we think about growth on the Xanthine side and feeding up of the new capacity in Phase -1, in terms of timeline?

Rashesh Gogri: In the first half we will be able to do first phase of the Xanthine, and the second phase will happen in the second half of next financial year. Whereby we will reach this 9000 metric tonne capacity for Xanthine. And in the subsequent year, we are hopeful that in FY 27 we will be able to achieve 90% of the capacity utilization of this overall capacity that we are going to put up.

So basically, in next financial year, and a year after that we will achieve the 90%.

Dhwanil Desai: Okay. I have more questions, I will come back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Rupesh Tatia from Intel Sense Capital. Please go ahead.

Rupesh Tatia: Thank you for the opportunity and congratulations on a good set of numbers. Most of my questions have been answered. One question on API margin profile, it looks to me that our APIs are slightly differentiated and the margin seems, 20% it's my guess, it's like +20% kind of margin. So is that a fair assumption and do you see any risk to the margin, currency depreciation, maybe import prices going up. Do you see any risk to the API margin?

Rashesh Gogri: Yes, so basically we are doing almost 50% of our sales happens to the export market and that is across segment. Also our API is basically are targeted towards regulated and semi regulated market, so where the change from us to some other supplier becomes not very, very easy, and then we are in this niche product portfolio which are anti cancer and steroids which are not offered by many. So all these factors together allow us to operate at a reasonable margin in this segment as opposed to the other API, pure play manufacturers and we are backward

integrated also, in case of this most of the API is almost 70% of our portfolio is backward integrated where we have our own intermediate manufacturing happening internally. So regulated wise we are insulated from any China related issues and stuff like that. So that's how we have a robust model for API business and we are hopeful that we will be able to grow this with a newer anticancer and general block product that we have which are going to get

launched in next year. And we are quite hopeful of this .

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Rupesh Tatia: Okay , sir and other question sir is, we supply to these toll manufacturers in Europe, who event ually supply to innovators one of the account has scaled up very, very well to \$25 million, do you see that account let's say scaling to \$50 million in two , three years and then maybe some other toll manufacture going to \$25 million in two, three years . Existing account scaling up and new account coming up to level of \$25 million in two, three years. I don't want the guidance directionally.

Rashesh Gogri: Those numbers that you have needs some verification, because those numbers are not correct numbers that you have mentioned. We have several projects at several stage of development, and we have invested almost significant amount in new facility so you please understand what kind of growth prospect that we are seeing, that we are investing almost 300, 400 crore for a new project. So , it's a exciting business area where we have successfully delivered and customers have come back to give us more projects and we work with direct innovators as well, and we work with the partners of innovators but of course, inn ovator would know what our value is with their partners also. So in a way, it is a very close knit supply chain and once the innovators understand our value we can of course move up because, we have internal capabi lities of doing API as well in -house, and we are doing few of API products projects also with s ome of the innovators, some mid size innovators .

Rupesh Tatia: Okay. Sir one question.

Moderator: Sir sorry to interrupt you, could you please return to the question queue.

Rupesh Tatia: Okay.

Moderator : Thank you. The next question is from the line of Ankur Padhika r from ULJK Financial Services. Please go ahead.

Ankur Padhikar: Hi, sir thanks for the opportunity. So a couple of questions from my side. So the first question is regarding the Vapi plant which was shut down due to pollution issues. I just wanted to understand the quantum of impact on the numbers going forward, say in Q4 like, if you could just give some ligh t on that part?

Rashesh Gogri: Yes, basically there is no material impact. So the impact is going to be lower than 5% of the turnover and 2% of the profit. So that's why, we have not given the number on stock exchange, so it's going to be a minor impact. Only you know what is going to happen is that it is going to delay certain shi pments, production and everything. So we don't see significant, impact overall company wide, but there is an impact. But however, I would like to reassure that, we have convinced the authorities that everything was fully compliant and now we have successfu lly been able to get this revocation within record time, because otherwise they take too much

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time for revocation as well. So , that shows that, overall, we focus on compliance and make sure that we are very careful on these kind o f situations in future as well.

Ankur Padhikar: Okay . Sir my second question was , so in the CDMO segment, how much growth has come from the commercial molecules, and how much is from the development phase molecules if you could give any ballpark number ?

Rashesh Gogri: Basically com mercial, it will be difficult for, because overall growth will come from commercial only the smaller projects, whatever that we are running may not contribute significantly because they are in

early phases and the quantity required would be smaller value. So that's why mostly the growth is coming from the projects which are getting commercialized.

Ankur Padhikar: Right. So lastly, currently your gross margin.

Moderator: Ankur, could I ask you to return to the question queue?

Ankur Padhikar: Yes, sure.

Moderator: Thank you. T he next question is from the line of Aryan Bansal from Hillview Global. Please go ahead .

Aryan Bansal: Congrats for the good set of numbers. S ir, I wanted to know that, how are we differentiating our CDMO offering from another CDMO companies in India, particularly for innovators ?

Rashesh Gogri: Yes, basically we are late phase and strong manufacturing backed organization so , what we are good at doing basically, is providing manufacturing services and partner with the innovators for l ong term supply security of their advanced intermediates as well as the KSM, RSM , APIs long term. So that is the differentiation that we have. We have strong chemistry skill sets and engineering skill sets which allow us to operate different kind of diffic ult to do reactions and difficult to do solvent recovery , difficult to do catalyst recoveries and stuff like that. And then we have a manufacturing setup which has good volume availability, so that we are able to scale up quickly, as against some other sup pliers which may not have this kind of volumes to offer to them. Also, we can do backward integrated work also so, we can do four, five, six stages in - house. So we are able to give a proposal to innovators that we will try to do maximum steps in India only and having least dependency on China. So these are the differentiating factors that

we would have over others.

Aryan Bansal: Okay, sir and can you tell me that how much of our CDMO business is in form of innovators, like is from innovators?

Rashesh Gogri: The entire number is going to innovators only, directly or indirectly.

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Aryan Bansal: Thank you sir, got it.

Moderator: Thank you. The next question is from the line of Deep Gandhi from iThought PMS. Please go ahead.

Deep Gandhi: Good afternoon, sir. Congratulations for very good number. Sir my first question is on the ranking side. So, if I look at the nine months data, the export business has grown at almost 15% and this is despite you mentioning that there was a price reduction in Q3 by \$1, \$2 and you are already operating at full utilization. So you can correct me if I am wrong, but is it fair to assume that the export business is mostly long term contract business for you and that is why you are able to grow the revenue despite the price correction which you are seeing in the market is better fair assumption?

Rashesh Gogri: See, we have long term partnership with our large customers, and that is allowing us stable business, and we are able to grow our volume with our offerings that we have with them. Also, we did increase in last year, our capacity was 4000 tonne which we increased to 5000 tonne. So basically, there was an increase there also, so that 20%, 25% increase has happened, so which allows us to operate at that level. And further in first half also further we will enhance this capacity. So with that, we are slowly, slowly doing the debottlenecking and having more products and offering to customers which are more regulatory focused in future. So with our CEP filing and EUGMP filing, we will be able to penetrate in those market from our Tarapur unit three plant as well in future.

Deep Gandhi: Sure. And sir two more questions. So second is actually on the API side. So, if I just see the revenue breakup and for nine months FY25 and compare it with nine months FY24 so, most of the growth which is coming is from the rest of the world markets, and the regulated market share is actually reducing. So, if you can broadly explain us, how are the margin difference in both the markets, and

is there some kind of risk that, because you are focusing more on the top line, there might be some margin compression because of this change in the revenue structure going ahead?

Rashesh Gogri: Yes, largely the regulated market business is sturdy. And there could be one quarter where the business we may have shipments in ROW, and one quarter we may have shipped, but the price points in both the markets are similar only, the regulated and ROW market. ROW market is largely Brazil and Russia and China where the prices are in fact sometimes better than the US and European prices. So, in a way to differentiate between both may not be a good idea. Non-reg should be the lowest, and that's what we are focusing on, and trying to put everything to the regulated market itself and we have had good launches in last couple of years, and we have a good pipeline of products which will get commercialized in next two to three years in future. And we have built up capacity to cater to the customers for these products.

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Deep Gandhi: Sure, that was helpful. Just one last quick book keeping question.

Moderator: I am sorry sir, could you return to the question queue?

Deep Gandhi: Sir it's just a book keeping question, if you can it won't take more than a minute. So, sir you had mentioned in the past that the asset turn from Atali will be around 1.25 times initially from 400 crores CAPEX, but to the previous participant you mentioned almost on a 400 crores CAPEX, 900 crore is revenue. So are you budgeting increased asset terms from the Atali project now?

Rashesh Gogri: No, that was for the Tarapur unit four I said, that up to what level we can do on API side. So, those numbers have been mixed up, but we will be at that 1x plus asset turn on Atali. So 1 to 1.25 asset turn in Atali, once we occupy significant capacity.

Deep Gandhi: Okay, sure.

Moderator: Thank you. The next question is from the line of Ajay Surya from Niveshaay. Please go ahead.

Ajay Surya: Thank you for the opportunity. Sir my question is on API intermediate, our share of revenue, if I look around then from FY23 it has gone from like 37% to now in nine months 46% for API and intermediate. So sir I wanted to understand like with from our Atali CAPEX being completed and post one, two years of commercialization. As a company, how do we see the share of this segment going forward? Like, do we see this share to increase to maybe 60 odd percentage, where we can have maybe incremental margin as well. I just wanted to know your thoughts on that?

Rashesh Gogri: Yes, basically as you know we are operating in three business segments, API intermediate segment, Xanthine segment, as well as CDMO/CMO segment, and we are seeing as mentioned in Xanthine segment also we are increasing the capacity almost by 1.8 times of what is current

capacity is available . In API intermediate also , API we have current facility where we are further expanding and in intermediate and CDMO/CMO use common facility where I have fungibility of changing the product mix overall. So overall, we see good growth in everything and this percentage revenue mix will ultimately depend on how much we are able to crack projects in CDMO/CMO. Of course Xanthine derivative will remain steady in terms of absolute percentage it would be. But as API intermediate and CDMO/CMO grow , overall the Xanthine number as a percentage point will reduce . And the profit margin profile of API intermediate , CDMO/CMO of course CDMO/CMO being little bit higher, but not very, very different 5% point difference between both, since we are doing multi stages in CDMO/CMO , as well as API intermediate so , that's how these percentage differences may not mean too much . Overall, we will see a good growth in future the way in which we have invested in the newer facilities, and as they come

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on stream and as a patent

expiry happens in future of this generic product that we have in our portfolio we see good potential going forward.

Ajay Surya: Got it sir. And sir my next question is on CDMO . Sir you mentioned that for this year as well, we are expecting to exceed the numbers for FY24 , wanted to understand with the lower and all this like, how do we see the growth in FY 26 with our capacities and all like the inquiries and the significant traction we are seeing from customers with the product pipeline also getting more commercial and on the CDMO , how do we see the growth for FY 26?

Rashesh Gogri: Yes, we are in the process of making budget, and once we form it up and once we have the next concall with the complete set of PPCR , one by one we will be able to but we see good, significant growth possibilities and good traction in this business segment, and we have also sizable order book on this business segment already for next financial year.

Ajay Surya: Okay . And sir one last one.

Moderator: I am sorry sir, please return to the question queue. Please return sir we have many questions waiting. Thank you. The next question is from the line of Nitesh Dutt from Burman Capital. Please go ahead .

Nitesh Dutt: Hi. Sir thanks for the opportunity. So we have delivered around 24% EBITDA margin at standalone level, which is 200 to 300 basis points higher compared to previous two quarters, even though CDMO contribution was at 13% or so. So what drove the margin expansion, it primarily seems to be from increased contribution of API. And is the 24% space sustainable for future quarters now?

Rashesh Gogri: Yes, overall this quarter we had significant CDMO/CMO sales, as in the previous two quarters, those numbers were not as much. Also, our solar energy project also got activated, and so we did some savings there also. We had overall 7 crore dividend income which got accrued in this quarter. So all these factors put together we got record quarter results in this quarter, and we are hopeful that we are able to replicate these kind of performance in future quarters as well. But of course, we can't have a certain linearity there will be ups and downs, but overall, we will see a growth going and so whatever the earlier guidance of 15% over three years so we are working on those lines, and we are hopeful that all our strategies are working well, as I mentioned in my opening remarks. So with that, we will have good growth possibility.

Nitesh Dutt: Got it. Sir second question is on API front, so we have seen really good growth in the first nine months we have seen 27% growth on Y-o-Y basis. Just want to understand what is driving this from a demand side. And also you mentioned that you can potentially increase capacities in Tarapur, and you have a good pipeline of products . So will be helpful if you just give some flavor

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around what kind of pipeline do you have , what visibility, et cetera do you see, and how do you see API business specifically ramping up over next couple of years , two to three years?

Hetal Gogri Gala: So, typically what has happened is , the expansion that we did in Tarapur API site, where we added a block five, currently is running at full capacity and that is the reason why we are able to see this kind of a growth. And also, as Rashesh mentioned earlier we are adding one more finish line in that particular block to be able to cater to additional product line. And the last block that we added we wanted to have a large volume in product from our existing product portfolio to be shifted to run as a more or less kind of a dedicated production. So that has given us some benefit definitely and overall, in API and intermediate, there is a very exciting product pipeline, which is getting generated sized in next couple of years and up to we are targeting various products up to 20 , 30 generalization. So both , what we do is we are present in key intermediates

ate, which is like n minus two, where we are supplier to all the regulated API and formulation manufacturers of India. And then we are also present in some of those APIs as well. So we are looking at a good growth opportunity there as the product becomes generic we will be present for the launch and typically, since we are backward integrated, in fact we start

from maybe n minus four , n minus five, in some cases even further back end. We are very good choice for our customers, for their regulatory support and every , to reduce the dependency from China. So that's where we have positioned ourselves, and we feel that we will be able to grow in the steady in API and intermediate space.

Nitesh Dutt: Got it. Thanks I will get back in the queue.

Moderator: Thank you. The next question is from the line of Devesh from Finterest Capital. Please go ahead.

Devesh: Congratulations on a good set of numbers sir. Sir my first question is on the API front. So which molecules are getting the most revenue in the API front?

Hetal Gogri Gala: We have not yet giving that information, because we manufacture 50 ML molecules, and we have 100 intermediates in our portfolio. So, the spread is very good and very difficult to come .

Rashesh Gogri: Yes, so we have some anti-hypertensive and several products which are large products in our portfolio generally .

Devesh: Okay, okay . Sir my second question is on Ganesh Polychem in your previous call, you have mentioned that this subsidiary will be transferred to Aarti Industries. So what's the update on it sir?

Rashesh Gogri: No, we have not mentioned about the subsidiary getting shifted to Aarti . What we did mention was that, there was some trading activity business which was ongoing with Aarti Industries and Aarti USA Incorporation. And Aarti USA Incorporation was earlier jointly doing pharma and

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chemical business in Aarti Industries, where Aarti Industries was 100% owner of Aarti USA. But when we split the business Aarti USA Incorporation ownership we took in Aarti Pharma because we had some licenses and businesses investment from that entity . And Aarti Industries till now has been using Aarti USA Incorporation, but now they have incorporated one subsidiary in USA , so the entire trading business will get shifted there. So instead of doing , using Aarti USA incorporation which was a stock of arrangement from next financial year, mostly Aarti Industries will use their own 100% subsidiary to do the distribution in USA.

Devesh: Okay , sir correction there the subsidiary name is Aarti USA not Ganesh .

Rashesh Gogri: Yes, Ganesh is a joint operation company, 50 :50 joint venture between Aarti Pharma Labs and the Bhandarkar family and which operates a manufacturing facility at Dombivli and Vapi . So that's a different entity.

Devesh: Okay, okay sir thank you that was helpful.

Moderator: Thank you. The next question is from the line of Shubham Jain from NV House . Please go ahead.

Shubham Jain: Hi, I just wanted a clarification on the CDMO capacity that we have put we have done a CAPEX of about 350 crores, correct?

Hetal Gogri Gala: Yes.

Shubham Jain: And what is the revenue that we can get out of this , it is 1.2 times asset count on the whole 350 or only on the plant and machinery?

Rashesh Gogri: No, so basically we have in longer term we will be able to get that kind of number from it, but in future also we will add more blocks so current investment that we have done there includes the infrastructure investment that we have done there and which is in excess of 125 to that kind of a number which includes the admin, QC, pollution control, pollution warehouse and roads, all that stuff, but manufacturing blocks, as we add more and more there the asset turn could be in that proportion at 1.25 but we will add more blocks there. Basically this is just the first block we have capacity to add more than 1

0 blocks there. So in future, we will have more investment, and these kind of blocks will be done at much significantly lower investment and much quicker also . We will be able to put a block within a year.

Shubham Jain: Got it. And the 450 KL currently can do a revenue of about 200 , 300 crores ?

Rashesh Gogri: Yes.

Shubham Jain: Okay . So it's a onetime asset right now, but given we will do ground field for 10 more blocks, it can be much better?

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Rashesh Gogri: Yes, yes. And it also depends on the product profile and how many stages , where we are doing, but this is possible .

Shubham Jain: Got it. And on the API front, like you mentioned that this seems to be a steady sort of run rate that we hope to achieve going forward. Just wanted to understand , what are the top three, four therapies that we are doing and how much of this delta from last year to this year has given by volume and versus pricing, given we finished up our regulated market share in the business ?

Rashesh Gogri: Currently we have three large categories, anti -hypertensive steroids and anti -cancer that we operate in. And of course, anti-hypertensive is the large business area that we have which has grown and we had few successful launches in that segment. One significant successful launch in that segment which has given us lot of growth. We also operate in CMS therapeutic areas so these are large four therapeutic segment that Aarti Pharma operates on . And overall, these are

mostly lifestyle kind of APIs, and that's why, we are able to have sustained market on these products. Also, overall top line and the prices always fall so you have to make it up, because in the generic market, I have never seen prices go up even in rupee terms, except the product become extremely genericized, and you are at the rock bottom, and then you have to pass on the raw material in this but, in our set of products, there is constant R &D and savings that you have to do, and that's what we end up doing in our products to remain a significant player in these products. So that's a constant innovation and cost saving exercise that we end up doing every couple of years in each of the products.

Shubham Jain: Understood and what kind of pipeline do we have?

Moderator: Sorry to interrupt sir, please return to the queue.

Shubham Jain: Sure, thanks.

Moderator: Thank you. The next question is from the line of Neha Karodia from Abacus. Please go ahead.

Neha Karodia: Hi, good evening everyone and thanks for the opportunity. Sir, I wanted to understand regarding the console minus standalone EBITDA, so which basically comes from the subsidy business and maybe the Ganesh Polychem. So, I just wanted to understand that the kind of growth that we have seen in the current quarter versus last quarter, so that additional EBITDA this quarter is about 14 crore versus 9 crore. So just wanted to understand that more in a granular manner?

Rashesh Gogri: Piyush can you reply?

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Piyush Lakhani: Can you repeat the question, so you are saying that the console EBITDA compared to standalone is higher by 14 crores, is that the question?

Rashesh Gogri: Yes, 129 and 115.

Neha Karodia: At 14 crore, this is 9 crore for last quarter.

Piyush Lakhani: Yes, so basically it has come from Ganesh. So Ganesh has contributed about, so Ganesh, we consolidated 50% of their EBITDA, and their EBITDA was about.

Rashesh Gogri: This quarter was in excess of 25 crores total. Neha, we will get back to you with the numbers.

Piyush Lakhani: 13 crores. So basically, most of it so 15% of the EBITDA share that we have got from Ganesh comes to 13 crores. So that's basically explains the increase in the EBITDA on console basis as compared to the standard basis.

Neha Karodia: Understood. So going forward, do we see it as a sustainable number, how should we look at this number?

Rashesh

Gogri: Yes, Ganesh has traditionally been operating at 15 to 20 crore EBITDA every quarter, and largely that number should continue on a 100% basis, and then depending on how as we are consolidating, we can add 50% of that in our EBITDA, so that number will be around 8, 10 crore every quarter.

Neha Karodia: Understood sir. And also regarding the

Moderator: Sorry, to interrupt ma'am, can you return to the queue.

Rashesh Gogri: No, let her ask one question.

Neha Karodia: Yes, so just wanted to understand on the CDMO part. So since we have shifted, some orders got shifted to next year. So do we expect to see higher growth for FY26 let's say we are guiding for about 25% to 30% growth for FY25 initially. Do we expect 25% or similar kind of growth in FY26 from CDMO business?

Rashesh Gogri: See the order shifting the 25% may become 15% over and above last year in this year, so practically around 10, 12 crore order may get shifted. That is what we are trying but in last minute the number can go little bit up or down. So overall, that number is not going to be significantly driving next year number, but next year's number, independent of this shifted number also is going to be significantly higher number in the CDMO/CMO segment because of the way in which the pipeline is shaping up and the kind of pipeline that we have, the number will look much better.

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Neha Karodia: Understood, thank you so much.

Moderator: Thank you. The next question is from the line of Kumar Saurabh from Scientific Investing. Please go ahead.

Kumar Saurabh: Hi, thanks for the opportunity. So my first question is around Xanthine I joined late, sorry if the question is repetitive. In terms of realization, do you think we have bottomed out, that is one and we are coming up with expansion. So how confident we are that the new capacity will be consumed. So how the client contracts work in the Xanthine site?

Hetal Gogri Gala: So Xanthine business, the contracts are on annual basis. However, as a part of continuity we have certain customers who have been we are discussing about increasing their share with us, purchasing share with us, and we are very confident that significant part of increased volume will go to contractual and the high margin business of pharma, where we are applying for US DMF and European CEP, and we are targeting to cater that market which once we acquire will

be a very steady state business, and we would want to reduce and keep our spot business to current numbers of 30 % to 40% only .

Kumar Saurabh: And the realizations have we seen the worst or how do you see the trend?

Rashesh Gogri: Yes, we see that now, with the current cycle, the kind of pricing that we are seeing have bottomed out and the margins have bottomed out basically. So, any raw metal reduction will trigger a reduction in prices. But otherwise, we see that we are operating on the spot market, not at a very thick margin.

Kumar Saurabh: That's great to hear , the second question is, you have lot of patents you have applied , for a lot of patents. Also the part of the 600 crore CAPEX the 40 crore is going in R &D. Can you give some qualitative insights in terms of where the business, where we are investing in terms of R&D, what kind of chemistry or molecule and how it is going to commercially impact our sales and margin numbers ?

Rashesh Gogri: Yes, so basically we have filed 58 patents . We are having three R & D centers currently three R&D centers are operating for different businesses. One R&D center is exclusively for the innovators and then we have one R&D center which is focused towards the API business. The third R&D center does largely scale up and also the product raw material saving idea generation from that R&D center. So these three R&D centers, as you rightly mentioned we are almost spending close to 2% to 3% over

revenue. 3% over revenue is getting , not 3% last year it was

6% of R&D spend overall. And this basically supports all the three businesses. And as you already know that, we have a pipeline of products in our API line also . So 12 new APIs are under development, and they also require constant R&D . And as I also mentioned that, every second

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year we also do a cost reduction exercise which also requires R&D. So basically, the API and intermediate business and CDMO/CMO require constant research and development.

Kumar Saurabh: Great, great thanks and wish you all the best, sir.

Moderator: Thank you. The next question is from the line of Yash Chandolkar from Vaibhav Commercial Limited . Please go ahead.

Yash Chandolkar: My all questions are answered, but just one, are we increasing our given guidance for this year, and how do we expect quarter four vision ?

Rashesh Gogri: Yes, basically as I already mentioned on the call that we will be able to meet our guidance and exceed our guidance number that we have mentioned earlier, and Q4 we are fairly optimistic, of course this was a record quarter we will see how it goes . And future guidance we will give next quarter, once we have the budgeting and overall strategic review of our all businesses, then we will be able to guide you in future.

Yash Chandolkar: Okay, thank you.

Moderator: Thank you. The next question is from the line of Milind Doshi an Individual Investor. Please go ahead.

Milind Doshi: Sir, thanks for the opportunity and excellent set of numbers , most of my questions has been answered. And on Xanthine , as you have reiterated that margins have bottomed out . So irrespective of the price deduction , the margins will remain intact. Is that understanding correct?

Rashesh Gogri: I would like to say that the spot business, prices have bottomed out. Of course, we are not operating 100% on spot business. So that is what we have , but overall we are fairly optimistic that we will be able to grow the absolute number with the expanded capacity that we have, even if there is competition, Aarti Pharma Labs is positioned in such a way that it has a global size, it has a risk mitigation strategy, which doesn't depend on China at all, and all these factors are put together. And also you might have heard that 10% additional duty was put by US on Chinese goods, and that will get implemented on caffeine as well. So with that, we are fairly hopeful that we will be able to expand our absolute number with the higher capacity that we have upcoming in next financial year.

Milind Doshi: That's great to hear, and just little bit longer, from three to five year perspective with US bio secure and we are hearing from lot of companies, that there are lot of inquiries, and the things are adding in the direction where, after three to five years for most of these companies things will look much better depending how they execute. So are you also seeing the similar direction?

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Rashesh Gogri: Both in terms of, overall traction towards India and CDMO/CMO has increased. And overall, the capability that Indians have built, also recently in significantly more a lot of focus has come to this business area, with the capabilities and the newer capacities getting added, and with that, there will be a lot of traction with the bio secure also, and also the 10% additional duty on Chinese goods . Overall, India will get definitely benefited by all these factors in future.

Milind Doshi: Thanks. Thanks a lot sir.

Moderator: Thank you . Ladies and gentlemen, that was the last question. I would now like to hand the floor over to the management for any closing comments.

Rashesh Gogri: I would like to thank all the participants for joining the call. Thank you.

Moderator: Thank you. On behalf of Aarti Pharmed Labs Limited, that concludes this conference call. Thank you all for

joining us and you may now disconnect your lines. Thank you .

Call: May 2025

May 16, 2025

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: AARTIPHARM

Sub: Transcript of Q 4/H2 FY25 Earnings
Conference Call
Ref: Regulation 30 of the SEBI (LODR)
Regulations 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on May 12, 2025 on the Audited Financial Results of the Company for the Q4/H2 FY25 .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED

JEEVAN MONDKAR
COMPANY SECRETARY AND LEGAL HEAD
ICSI M. NO. A22565

Encl.: a/a.

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Aarti Pharmalabs Limited
Q4 FY2025 Earnings Conference Call
May 12, 2025

Moderator: Ladies and gentlemen, good day and welcome to Aarti Pharmalabs Limited Q4 FY2025 Earnings Conference Call hosted by Valorem Advisors.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nupur Jain from Valorem Advisors. Thank you and over to you, Ms. Jain.

Nupur Jain: Thank you. Good evening, everyone, and a very warm welcome to you all. My name is Nupur Jain from Valorem Advisors. We represent the Investor Relations of Aarti Pharmalabs Limited. On behalf of the Company and Valorem Advisors, I would like to thank you all for participating in the Company's earnings conference call for the 4th Quarter as well as for the financial year 2025.

Before we begin, let me just mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risk and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management beliefs as well as assumptions made by and the information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the Company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. Rashesh Gogri, Chairman ; Mrs. Hetal Gogri Gala, Vice Chairperson and Managing Director and Mr. Piyush Lakhani, Chief Financial Officer of the Company .

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Without any further delay, I request Mr. Rashesh Gogri to start with his opening remarks. Thank you and over to you, sir.

Rashesh Gogri: Good afternoon, everyone. Thank you for joining us today on Aarti Pharma labs' earning call for the quarter Q4 & Full Year FY25. I appreciate your continued interest in our business. I shall take a few minutes to walk you through our performance for the quarter and year ended 31st March 2025, highlight some key achievements, and provide a future outlook.

Consolidated financial highlights for Q4 & FY'25 were as under :

■ I am pleased to report that FY '25 has been a landmark year for the Company . Q4 served as a strong finish to a year defined by business expansion and operational excellence.

■ Revenue for Q4 FY'25 stood at Rs. 564 crores representing an 11 % YoY growth. On a full year basis, the revenue came in at Rs. 2,113 crores ,

a 14 % increase YoY. This reflects an upward growth trajectory supported by strong execution and healthy demand across all the business segments.

■ EBITDA for the quarter was Rs. 146 crores, a 24 % increase YoY. EBITDA margins expanded to 26% up from 23 % in Q4 FY '24. For the full year FY '25, we achieved an annual EBITDA of Rs. 464 crores growing by 20 % YoY and underscoring our strength of our operating leverages and efficiency measures.

■ Profit after tax for Q4 FY '25 rose sharply to Rs. 88 crores marking a 35 % YoY growth and setting a new record for quarterly PAT. For the full year FY '25 the profit after tax reached Rs. 272 crores , a 26% increase over FY '24, driven by both topline growth and margin expansion.

■ In FY '25, our net cash from the operations remained strong at Rs. 332 crores, providing us the financial flexibility to reinvest in capacity expansion in R&D .

■ In line with the strong financial results and our commitment to enhancing shareholder value, the board has declared a dividend of Rs. 2.5 per share for Q4 FY '25, the final dividend , bringing total dividend for the full year to Rs. 5 per share.

Let me now present the business performance highlights :

The Company operates in three separate segments in the pharmaceutical industry – 1) Xanthine derivatives, 2) API intermediates and 3) CDMO /CMO :

■ Xanthine derivatives contributed to 34 % of the turnover in Q4. There was no significant change in pricing. The Xanthine facilities operated at almost full capacity in Q4.

■ The API & Intermediate business recorded the highest ever quarterly sales and stood at 39% of the total turnover in Q4. The sub -segment -wise breakup is 52 % in the regulated

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market, 38 % in RoW, and 10 % non-regulated market, which aligns with our long -term focus towards the regulated market.

■ The CDMO /CMO segment has contributed 27 % of the turnover in this quarter and we are currently working with 21 customers. The number of active projects is now 61 projects against last quarter 's 56, out of which 33 projects are at the commercial stage and 27 are under the different stages of development, both at customer's end.

Let me share the progress updates on key growth initiatives :

■ For our Xanthine derivative business, the capacity expansion to 9,000 metric tons is progressing as planned , with phased commissioning estimated in H2 FY'26. As promised in Q3 earnings call, we have completed the filings for regulated approvals of US DMFs and CEP for the pharmaceutical market. The pharma market sales is likely to yield higher realization on a per kg basis. In the long term, we anticipate the beverages market to continue as the largest segment for the Xanthine business.

■ The greenfield project at Atali , Gujarat is in final stages of completion. The mechanical completion is expected to finish around the end of this current quarter. It's planned to get operationalized in phases and the full ramp -up is expected by the end of this financial year.

■ I would like to update you about our sustainability achievements. Recently , we earned EcoVadis Gold Rating ranking among the top 5 % globally in sustainability. Another

milestone has been the approval of GHG emission reduction targets by SBT i. With this, we have become the sixth Indian Pharma CDMO p layer to earn SBT i approval for all the three scopes.

Let me now speak about the forward outlook :

Looking ahead towards the future, we are confident of building on this growth momentum. Long - term relationships and repeat order from pre -customers remain the cornerstone of our stability. Our business strategy continues to be centered around growth, backward integration and financial discipline.

■ On a standalone basis, we are guiding an EBITDA growth of around 12 % to 15 % in FY '26 over the higher base of FY '25. This should be supported with an increase in contribution from higher

margin products and improved process efficiencies and volume growth.

■ The Xanthine capacity of 9000 MT is likely to be operationalized fully by Q1 FY '27. In the next 3 years , we aspire for capacity utilization of 80% -90%, with 50% sales targeted to beverages and regulated customers.

■ For API & Intermediate segment, we are continuously working towards product innovation and focusing on new molecules with patent expiry in the next 3 to 5 years.

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■ On the back of strong manufacturing capabilities and sound R&D setup , the CDMO /CMO revenue is estimated to grow around 30 % to 40 % in FY '26.

To conclude, FY '25 has been a record year for us with the highest ever EBITDA and PAT, driven by strong performance across all the three business segments. Th is performance is a testament to our team's hard work, strategic focus and resilient business model.

I want to exp ress my deepest appreciation to all business stakeholders for their outstanding contribution and to our investors for their continued belief in the growth journey of Aarti Pharm alabs. We have entered FY '26 with a strong fundamental, clear strategy and a so lid platform for sustained value creation.

I now request the moderator to open the floor for questions. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Ahmed Mad ha with Unif i Capital. Please go ahead.

Ahmed Madha : Thanks for the opportunity and congratulations and good set of numbers. I had a question on the CDM O of business. Just to understand the CDM O business model better, I have two questions. One, in most of the products which we have in a pipeline are already commercialized, are we the primary source suppliers, the first or second source supplier? Are we the third, fourth or rather the second ary supplier? And could you quantify in whatever projects about 30 of them commer cialized ? How many, can you quantify them into two different buck ets, whether we are primary or secondary?

Rashesh Gogri: Currently we are primary and secondary in different projects. We are currently not quantifying them. However, each project is important and the commercialized products are being sold as commercial products by innovator in the market. That's wh y, wherever we are a second source, we have represented Aarti as a viable option , creating our value proposition and allowing them to shift from their other source to us. So those businesses are also as important as the first source opportunity.

Ahmed Madha: Got it . And from the total 33 commercial projects , how many of them contributed to revenue in FY'25?

Rashesh Gogri: Yes, that number we will have to work out that exactly how many we have in FY '25. I think we should have worked on at least 75 % of the project roughly exact number we will have to double check but roughly 70-75%.

Ahmed Madha: Got it. And on the CDMO business side, we have set 30% to 40 % growth. Going forward for the Atali project, we see we have pushed the timelines for about 3 quarters. Last quarter, you spoke about Q1 20 26 commercialization. Now, FY'26 end commercialization. So if you could give some light on

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when you see th e project ramping up in terms of revenue contribution ? And secondly, on your website, we see that you have mentioned about ramping up the capacity to, I think, 1,200 KL incremental in a few years. So if you will give some guidance beyond F Y'26, how do you plan to see the capacity addition in the Atali?

Rashesh Gogri: We would like to correct that the mechanical closure of Atali phase -I will happen by end of this quarter. Atali being also the facility from where we will do GMP intermediate s supply, we have to go through the qualification. So those things will happen over next 3-4 quarters , where we take the validation batches and conclude. So that's what we have given. And that

was also originally the

target ; all these things were anyway goi ng to take time . However, we may be able to get a few products commercially out , early stages out from this site and we are very hopeful that we will be able to utilize the asset for continuous production of some of the products and we may shift some of th e intermediaries also at the Atali site and wait for the qualification.

Secondly, regarding this 1 ,100 KL capacity is our overall capacity currently which we have in all the

multipurpose plants that we run, whereas we are adding 450 KL additional capacity with Atali . This is over and above the capacities that we have in the dedicated assets that we have. Post this Atali project getting completed, we will have almost 1 ,500+ KL capacity, which will be available with us. And subsequently, annually we will add capacities because Atali then being a brownfield expansion, we will be able to add additional capacity much quicker and we should be able to do that in a 12-month timeframe whenever we require additional capacity at Atali.

Ahmed Madha: Alright. I have a few more questions. I will join back in the chat. Thank you.

Moderator: Thank you. Next question comes from the line of Deep Gandhi with iThought PMS. Please go ahead.

Deep Gandhi: Hi sir. Congratulations on a very good financial year . So sir, my first question is on the CDMO side.

So in our past interactions, you always explained that we have shifted from a pre-clinical model to a commercial project model. But now it seems that some of the molecules which are scaled up recently for us are such molecules where the innovator is still going ahead with the FDA approval. So, just wanted to understand more about this that , is it fair to assume that such products which we are catering to , will make our CDMO business much more lumpy? And secondly, could you comment on how the shipments will work here? Will it be a recurring shipments or will it be lumpy? And are we going to target more such opportunities or was this like a one-off opportunity for us?

Rashesh Gogri: Yes, see, first of all, we have 21 customers with 60 product basket. So we have a very wide basket and very wide number of customers. Secondly, we are specializing and pitching ourselves as a manufacturing specialist. We would like to pick up the projects for CMO opportunities in and around phase 3. I have explained to everyone earlier also that, the manufacturer or the innovator would like to change and make their sources more efficient and the products, ROS also more efficient and

that is where we try to push our expertise and get those projects. So that is where our target is and I think phase 3 to final approval if you see the chances of those are also almost more than 50 % generally in the small molecules. So with that, we have a very high probability of product getting success . I am not saying that we don't have any products in clinical phase or early clinical phase, phase 1, 2. We have some products there also. However, we have a large basket of commercialized products where we have just delivered some initial quantities for their validation. We expect them to commercialize in coming years and the innovators do not take campaign every year. Some campaigns are alternate year. And then depending on their API manufacturing locations also, they also have schedules. So it takes little time. But once we are in, I think it's a long-term business and that's what we like. So instead of volatility, I think this business is going to give us more stability overall.

Deep Gandhi: Sure . So is it fair to assume that the products which have contributed significantly for this quarter, you think should remain sustainable going ahead or there will be some lumpiness, if you can clarify that?

Rashesh Gogri: No, they will be sustainable. The products that we have in this quarter, large products will be sustainable.

Deep Gandhi: Sure. That was helpful. And sir, secondly on the API side, so if I look at from the export side, could you comment a bit on the pricing of some of our key products, particularly on say corticosteroids side where I see some of the products like Ciclesonide are at very high realizations. So do you think the FY'25 growth and realization for some of these products are sustainable or were there some factors like some shortages which helped our business?

Hetal Gogri Gala : The corticosteroid product range is very stable. There could be some pricing correction, but however, these products go in very limited quantities, so it is very difficult for our customers to change the source also. This would remain a continuous business for us.

Rashesh Gogri: So pricing will be stable more or less. Maybe tad lower but quite stable.

Deep Gandhi: Sure, and sir just one last question regarding this only. So, know, our top 5 products in API in terms of exports contributed 70 % of our revenue in FY '25. So could you comment on the outlook about this product for FY '26 in terms of growth? And are this product itself expected to grow quite well or are you expecting some new products also which should start contributing well say in FY '26, particularly in the API side?

Rashesh Gogri: No, our top products, though we have not specified which are all top 5 or whatever are top 10, but we know for sure that these products are great products and we are continuing to build our strategic position in them and we are continuing to grow this market. We don't see any product under threat

currently. And definitely, we have a few new launches also coming up in next couple of years where we see good anti-diabetic products or anti-cancer products for which we see that there would be a good scope for us to grab market share.

Deep Gandhi: Sure. That was helpful. I will join back the queue. I have a few more questions.

Moderator: Thank you. The next question comes from the line of Prakash Kapadia with Spark PMS. Please go ahead.

Prakash Kapadia: Thanks. Couple of questions from my end. If the CDMO segment is expected to grow 30% plus in FY'26, shouldn't the 12 % to 15 % EBITDA growth be higher? And should we expect, is it right to expect 25% kind of EBITDA margins on a standalone business?

Rashesh Gogri: Currently, we are on significantly high base of FY25 because we have grown over last year by almost 23%-24% on EBITDA. So, over and above, I think we should be happy with the good growth.

Prakash Kapadia: And just to get some more direction on the revenue side of the Company. So, with commissioning of the new plant for Xanthine sometime next year, what is the kind of growth we would expect in that segment?

Rashesh Gogri: The Xanthine capacity will get fully operationalized by Q1 FY '27 and capacity utilization will happen over 90 % over three years. It will be a gradual growth there but we hope to consolidate our position with our large buyers and this segment will grow in terms of overall quantum of revenue for sure.

There will be good growth in this along with CDMO growth as well.

Prakash Kapadia: Okay. And on the API intermediate segment, we have seen a big growth this financial year. So what kind of a growth we would expect on this base in 26 and if you could give some insight into again, the growth will be led by regulated markets or rest of the world because we have grown pretty well this year? And lastly, on the CDMO side, you said 30 % plus growth. So again, there, if you could help us understand the driver in terms of products or certain geographies, that would be helpful. That will give us more insights in the kind of potential revenue we are looking at.

Rashesh Gogri: Yes, I think overall growth in API is driven by regulated markets and growth in export market or export backed market basically. Even if

we are giving to India but ultimately the customer is exporting the products to regulated markets only, so that is where our focus has been and that's where we have been more and more successful in pushing our product and in future also the same will continue. In terms of the CDMO/CMO growth, we have given guidance of 30-40% and we expect this to be achieved by our current product mix of almost 60 products that we have with 21 customers. We plan to grow it. In last one year we have added almost 20 new products with 6 new customers. You have seen the growth of customer addition as well as the number of projects that we have done over a period. I think we continue to maintain a strong R&D position, time bound

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commitment to achieve the turnaround of the product inquiries that we receive and grow the overall CDMO market in a very fast pace.

Prakash Kapadia: And lastly, if you could quantify the US share in exports and any impact of the current uncertainties given whatever US pharma is talking or whatever US is trying to do? Any impact on that part of the business?

Rashesh Gogri: Yes, overall direct US export is not very significant as such in overall total revenue, but API is exempt from all these duties. We don't anticipate APIs will come under duty because if there is any impact I think it will be more on the formulation front not on the API front and then there will be shifting from supplying these APIs to Indian players who ultimately end up exporting there directly to US players who will ultimately buy our API and then supply in the US market. So we don't feel as of today any threat to our API current situation of the business.

Prakash Kapadia: Okay. That's helpful. And any CAPEX number you could share for FY '26?

Rashesh Gogri: Yes, I think FY '26, overall the CAPEX number is around Rs. 400 to 450 crores total capex that we will end up doing in FY '26. There is a remainder of current CAPEX of the Atali and then there are Xanthine expansion CAPEX which will also be spent. This year we ended up spending almost Rs. 400+ crores and next year also it will be the similar number, plus or minus 10 %.

Prakash Kapadia: Understood. That's helpful. I will join back if I have more questions. Thank you.

Moderator: Thank you. A reminder to all the participants. Please restrict yourselves to two questions. Next question comes from the line of Mohammed Patel with Edelweiss Financial Services Limited. Please go ahead.

Mohammed Patel: Yes, hi. Sir, can you give approximate share of US in all three segments, direct and indirect?

Rashesh Gogri: Yes, I think we will have to work out that number and get back to you.

Mohammed Patel: Okay, and sir what is the breakup of this CAPEX Rs. 400 crores -Rs. 450 crores?

Rashesh Gogri: Yes, total CAPEX is broken into the remainder of Atali CAPEX, which is almost around Rs. 200 crore remaining there and some CAPEX of Xanthine product around, we have to spend close to Rs. 100 crore plus there and then other maintenance CAPEX and other R&D CAPEX. So all this put together, we will have close to this number.

Mohammed Patel: Okay, and if you can just reiterate the CAPEX commercialization time line, so separately for Xanthine brownfield CAPEX as well as Atali project?

Rashesh Gogri: All will be commercialized in this current financial year.

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Mohammed Patel: And my last question, any comments on Xanthine pricing especially in the US market and any comments on how Pharma grade caffeine can contribute to our volumes and improve overall realization?

Rashesh Gogri: Overall, the Xanthine derivative prices are stable. Of course, they are low but stable and we understand that the prices have bottomed out. And the pharmaceutical market of course is a regulated market where we require to communicate with the FDAs and the medical agencies of different countries. That'

s why the pricing is little different and it is definitely higher. Now we are continuing to get newer inquiries and the focus is towards selling the products in the regulated markets so that we can accelerate our position in this segment.

Mohammed Patel: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Madhav with Fidelity. Please go ahead.

Madhav: Yes, just wanted to check on the caffeine Xanthine prices currently. Do you expect prices in the next year or so to be at similar levels or to move a bit higher? And what are the key factors to watch out for price recovery from currently, you know lower levels? And second part of the question is how different are spot versus contract prices for us? If you could give us some sense that will be helpful.

Rashesh Gogri: Yes, Xanthine derivatives are sold in different markets, and different markets have different pricing dynamics. So of course, for confidentiality reasons, we can't explain all that. But overall, we are quite confident that the low-end prices of Xanthine, which are prevalent in certain market segments, they have bottomed out. The higher end prices will come down a little bit and lower end prices will go up. So I think it will be a balance which will happen. And with the expanded capacity we are still going to see the expansion in the overall profitability of this business for next few years to come.

Madhav: Alright. And should we assume that volumes in the Xanthine segment for FY'26 will be flattish because we are running at full utilization. So volume growth is more in FY'27, is that how we should think about it?

Hetal Gogri Gala: Yes.

Rashesh Gogri: Yes, basically what we have earlier also guided from a 4,500 to 5,000 plus capacity, so we will have that increase in the overall volumes of Xanthine, I think we will do phase wise commissioning so there also we will get certain capacities for last quarter also. So with that I think the overall case, Xanthine, I think that will produce much higher than last year but of course it will not touch the capacity. But on an annualized basis, it will be higher.

Hetal Gogri Gala: FY'27 we will have higher capacity.

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Madhav: So essentially you're saying 3 years to ramp up the new Xanthine capacity. So FY'27 if we start Q1, so you're saying by FY'29, it should be fully utilized? That's how we should look at it.

Rashesh Gogri: Yes, you see basically 80%-90% we can always place the product in the spot market. But our idea is to get 50% targeted sales in the averages and regulated customers. So to achieve that, it may take a little longer.

Madhav: Okay. And my last question was in the CDMO business, where we have about Rs. 200 plus crores sales, could you give in a very broad sense in terms of how much of the revenue comes from commercialized molecules versus those which are in, phase-I, phase-II, phase-III kind of stages?

Rashesh Gogri: So bulk of our sales is coming from phase-III onwards, you know. So currently, Phase-III and commercialization product would constitute to be 75% to 80% of overall value of sales and smaller amount from the early phases.

Madhav: Okay, got it. And, say, is there any of our, let's say, phase-III or like late stage molecule which has like a clinical readout in FY'26? Is there something like that which is lined up for us?

Rashesh Gogri: Yes, we expect certain products to get launched in the next couple of years.

Madhav: Next couple of years? Okay.

Rashesh Gogri: Yes, this current year and next year. So probably depends on the approval when the FDA is approving. But I think next 2 years, we expect a few products to move and be big products for us.

Madhav: Okay, thank you.

Moderator: Thank you. Next question comes from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: Thanks for the opportunity and

congratulations for a good set of numbers. So my first question was on the CDMO side, sir. So if we look at over the last two years, I think there are primarily two molecules which have contributed to the overall scale up that we have seen in the CDMO revenues. And given how our pipeline has increased over the past 12 to 18 months, do you think we have a few molecules lined up which have a potential to turn out to be a Rs. 1,500 crore kind of contributor to our sales over the next year or two?

Rashesh Gogri: I don't know about which two products you are mentioning but we have good products which have grown bigger and I think we are going to have much more products which will grow still bigger.

Ankit Gupta: Sure, and given you know our pipeline has increased significantly both the number of customers and our molecules. So the scale up from this newly added molecules is expected to happen over the next 2-3 years?

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Rashesh Gogri: Yes.

Ankit Gupta: Okay, and sir, when do you expect the Atali phase-I to be, let's say, optimally utilized at the 70%-80%, will be starting this year and hopefully ramping up in FY '27 from Q1 onwards. So when you expect that, the Atali phase-I will be fully ramped up and we will have to go for the second phase of Atali because we have a lot of land and we do have plans to build more blocks there.

Rashesh Gogri: Yes. We don't want overall occupancy to go much higher. We will build newer capacity, as we will commission additional blocks in Atali. That is what the current plans is. And we are very hopeful that every second year that we commission the manufacturing facility, say for example now we are commissioning in FY'26, by FY '28 we will completely exhaust that capacity and by '27 we will have

another capacity up and running . We always have one capacity which is available, one block available as spare to meet the increasing demand of the customers. So that is how we are going to keep up with the pace at which we keep the production capacities built up.

Ankit Gupta: So what you're saying is, as we have guided earlier that for the phase-I, Rs. 400 crore is the amount we are spending, which will have some common in infrastructure for other phases also. And that should give us in 0.9x, 1x or 1.2x kinds of asset turnover. So that we should expect that most of that revenue we can come by FY '28?

Rashesh Gogri: Yes, see ultimately that complete revenue breakup on the final sales may not be that faster but it will overall contribute towards the sales growth in our Aarti Pharma's intermediate as well as CDMO business because this plant is configured towards meeting the demand of intermediates and CDMOs , it's a common facility which we will be utilizing for both the businesses. Initially , we will shift the early stages in this site and get additional capacity freed up with the approved site which we have currently. And then we will get Atali also approved for the newer projects that we have. Atali will also have cyanation capabilities and other capabilities which will be unique , like how in the current CSD Vapi plant , we have hydrogenation and cyanation capability here . We will have cyanation capability along with our cyanation capacity that we have in these Xanthine plants that's where we are adding up.

Ankit Gupta: Sir, my last question was on the guidance of EBITDA of 12 % to 15 % for FY '26. So things like , are we being conservative here frankly because CDMO you are guiding for 30 %-40% growth in revenues for this financial year. API also despite the kind of growth we have seen last year, last concall you were confident that we still have decent capacities available for good growth and we do have a lot of new products coming up especially on the anti -cancer front which will be getting launched and the existing products will also ramp up in this in FY '26. Xanthine also the added capacity will

contribute

a little bit towards growth for FY '26 as well. So, like, are we being conservative in our guidance of 12% to 15 % in FY '26?

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Rashesh Gogri: Yes, along with whatever you mentioned, once we commercialize over Atali, the expense will also start adding up there and it will not add any meaningful revenue or contribution in the initial phase .

For the second half of this year , I will have to expense that out also , so we have considered all that and then we have given the guidance . I think we prefer to meet the guidance and be realistic .

Ankit Gupta: Given all this , FY'27 then is expected to be a very big year for us , Xanthine will have all the phases coming in . Atali phase -1 will have validation and all approvals done. And hopefully API also, the de-bottlenecking project that we were talking about in last concall should also be done. So FY '27 should see a significant growth for us is what we can assume.

Rashesh Gogri: Yes, in FY27. Of course it depends on the way in which the approvals come from the CDMO market and how we are able to shift and get the newer projects for which the approvals are expected from the FDA. So on that basis I think the CDMO business will grow and I think other two businesses are anyway going to grow organically as mentioned earlier in my speech that both the businesses will have organic growth with the capacity addition in API as well as the intermediate and the Xanthine.

Ankit Gupta: Sure sir. Thank you and wish you all the best. I will come back in the queue .

Moderator: Thank you. Next question comes from the line of Dhwanil Desai with Turtle Capital. Please go ahead.

Dhwanil Desai: Hi, good afternoon, everyone, and congratulations for a very strong set of numbers. Sir, most of the questions are answered . Two questions, one on Xanthine. So I think we are doing around Rs. 180 crores to Rs. 200 crore quarterly numbers on Xanthine . So Rs. 720 crores to Rs. 750 crores topline.

So with increasing capacity by 80 % and the product mix changing towards more regulatory pharma side where the realizations are higher, and then when it gets optimally utilized at 90 % plus, should we expect Rs. 1,300 crores -Rs. 1,400 crores kind of a revenue? Is that a right number to look at?

Rashesh Gogri: Yes, as you rightly mentioned, the current number is around whatever you stated probably plus or minus here or there. But we have to see how fast we are able to push the product to the regulated customers and the additional market share from the beverages customer. It all depends on that. I think the range would be from Rs. 1,000 crore to Rs. 1,200 crore in any number, would be the growth area of Xanthine . I think we can go up to 1,000 to 1,250 depending on how fast we are able to get commercial and how the price is sustained for the other market.

Dhwanil Desai: And second question on CDMO side. So, what we have observed is that if you look at some of our data on the product side, some of the products where which are in 4th-5th year after patent, so maybe we are second or third core supplier in that. And off lately, probably we are also supplying two products which are going to be launched and maybe there we are primary supplier. So in terms of maturity of our business model of CDMO with customers, how do we see this progression happening over the last 3-4 years? And are we seeing incrementally more projects coming to us

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where we are primary suppliers or where we are working on lot of products which are going to be launched, henceforth in the next two years? Is that proportion rising?

Rashesh Gogri: Yes, as you rightly mentioned that we have good products, we expect them to get launched in next couple of years. We are quite comfortable doing the products which are commercial because we know how big the market is and where we have a value proposition where the innovator is

transit

ioning this product from other vendor to us , I think that's a very, very big step. And as we pride ourselves that we are the manufacturing specialists for these products. So we give them a value proposition. I think there a lot of products which are shifting from China to India and getting entry into the new product also is quite a challenging task. I think shifting if we are able to get as a 3rd-4th source also, but we are part of this commercial product gives us a clear viability and visibility of what we will be able to do there . That's what we like . We like both kind of projects actually and because we like the stability and we like to be part of the newer age drugs which will get launched in next few years . We like both the products . We don't differentiate between them .

Dhwanil Desai: Okay, sure. Sir, just a follow up on that. So I think, some of these newer drugs may be requiring slightly more evolved capability like peptides, etc. And I am sure last one of the calls you had mentioned that you guys are kind of preparing yourself in terms of the R&D setup, etc. to kind of get into peptides and all. So where are we in terms of that process? And, are we kind of building that capability? Are we still far away from that? Any thoughts on that?

Rashesh Gogri: Yes, I think we are , clearly we understand peptide is where the entire market is going to grow. Biotech products, peptide products, anti -cancer products. We like those areas. And of course, we currently do more small molecules. But we are attempting to do more higher molecular weight products, which are not very large molecular weight peptides but relatively mid -size peptides . We have started attempting them and we have a few projects which we are going to get ourselves getting a shot at those projects as well . So we have started that journey . Eventually we will do more solid phase products and then see how we take it up.

Dhwanil Desai: They're very good to hear. Thank you and wish you all the best.

Moderator: Thank you. Next question comes from the line of Nitesh Dutt with B urman Capital. Please go ahead.

Nitesh Dutt: Thanks for the opportunity. My first question is on Xanthine. I think you had previously mentioned that you are doing the expansion in two phases , first to 7,500 metric tons and then to 9 ,000. I just wanted to confirm that will we reach the 9 ,000 number by Q4 that you mentioned and in which quarter do you expect the first phase of the 7 ,500 metric ton to start?

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Rashesh Gogri: It will be mostly in second half only so it will be in the last four months , I think . Something will come November -December -January and something will come by March. Basically , it will be in the second half where the capacity addition will take place.

Nitesh Dutt: Got it. And sir next question on API intermediates. So we have been around RS. 190 crores -Rs. 200 crores quarterly run rate since the last three quarters. So do we have enough capacity available to drive growth in API intermediate segment in FY '26? And what are our current utilization levels? And can we quickly add capacity if required ?

Rashesh Gogri: Yes, as mentioned earlier, the Atali site will also have intermediate manufacturing facility. So that is where we will add newer intermediates and in our API site at Tarapur Unit-4 also we are deep bottlenecking our current new block. We are adding one additional line. With that, our capacity will go up by almost 15 % to 20 % of the current capacity that we have in overall general products that we do. Of course, we are also looking at the plans to enhance our capacities for steroids as well as the anti -cancer product in future. We will come out with those announcements also in future. We will have enough capacities to meet the demand in future.

Nitesh Dutt: Correct. On CDMO /CMO, in this financial year, were there any products, basically revenue from any

products which might not get repeated in FY '26 and hence, do you see any kind of risks on the 30 % 40% guidance that you have given?

Rashesh Gogri: No, 30 %-40% guidance we have given based on the orders that we have and the visibility that we have. In CDMO /CMO, we are already in May and most of the businesses are in Q3 -Q4 deliveries. We already know what we are supposed to make and what we are supposed to give. We have large part of this number already booked in the system as orders. There will be certain products which will not repeat, but depending on the innovator preference of doing annual campaign or multi -year campaign depends on that and depends on how we qualify with one of their sites or the second site and all that. It's a complex thing but we are confident to meet and beat this number.

Nitesh Dutt: And lastly sir on Atali, you mentioned that there will be certain cost in second half of FY '26. So possible for you to quantify the fixed cost that will come in this financial year ? And also, how should we think about expected utilization or ramp up from FY '27 onwards, assuming FY '26 revenue would be negligible?

Rashesh Gogri: So overall I think it's a large manufacturing site and of course we have the budgeted number , but it will be I think we will have to really look at the number and give you some number guidance on that , at this position we are currently not ready to give you that number but there will be expense we have run this kind of size facilities in past in customs synthesis division and other sites . So there will be significant expense. But of course in FY '27 and FY '28, as I mentioned that the year that we commission next year and the year after that we should turn positive on the Atali asset that we ramp

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up. And then by that time we will have newer asset also. So in Atali , we will continue to invest in

newer and newer block and we will build up. That's our investment program that we will do there and we will try to meet. I think in totality we have to look at the integrated business because initially we will be only able to transfer our certain project from our current site to A tali. Overall if you see the growth of CDMO and intermediate business, I think that it will really mirror the A tali utilization and the way in which it is going to go ahead.

Nitesh Dutt: Understood. Sir, one just last book keeping question. Aarti-USA, is there zero business coming by this entity you had mentioned last quarter that you are going to wind it up, and also if you could provide FY'25 CAPEX breakup of roughly Rs. 400 crore that you have signed. That will be really helpful.

Rashesh Gogri: Piyush, you want to answer? Aarti US A?

Piyush Lakhani: Yes. Basically, we never said we are winding up. The business is likely to go down because whatever business Aarti USA was doing for Aarti Industries, that's going to decrease. If I have to give you number, in last quarter Q4, the topline was around Rs. 7 crores or so. It is definitely coming down, but it's not going to wind up.

Rashesh Gogri: Yes. And on the CAPEX also, we have given the number at Rs. 400-450 crore, kind of a number of overall capitalization that we will have in FY '26. And I think it will be a mix of remainder of projects that we have for Atali and for Xanthine and there will be certain new projects which will have certain CAPEXes over the current year.

Moderator: Thank you. Mr. Dutt, please rejoin the queue for more questions. Next question comes from the line of Yash Sinha with MIPL Family Office. Please go ahead.

Yash Sinha: Yes. I had 2 questions, first around Xanthine. I just broadly wanted to understand the difference in realization between the pharmaceutical usage of Xanthine and the more consumer focused usage of Xanthine?

Rashesh Gogri: Pharmaceutical and consumer, there would be 20% difference.

Yash Sinha

a: And volume wise, what volume did we do for consumer and what volume did we do for pharmaceutical usage in FY'25?

Rashesh Gogri: We have given the breakup this time that how much we have done with the beverages. I think we have done around 54% of our total volume and other is all pharmaceutical and unallocatable volume. In pharmaceutical also the regulated is different, spot is different. So it's a mixture. So the beverage is 54% this last financial year.

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Yash Sinha: Got it. And on the CDMO side, I just wanted some color on the late stage projects. If you are allowed to release the name of some of the larger clients that you have and what specific drug usage the late stage projects are for, that would be very helpful.

Rashesh Gogri: We are bound by confidentiality. We can't reveal the names of the newer products.

Yash Sinha: What are the products if we can talk about?

Rashesh Gogri: Yes, they are lifestyle products. Some of them are lifestyle, some of them are anti-cancer kind of products that we have currently.

Yash Sinha: So lifestyle includes things like skincare, weight loss, is that understanding correct?

Rashesh Gogri: Yes, all kind of lifestyle. Antihypertensives and all, you know.

Yash Sinha: Okay, got it. I think that's it from my end. Thank you and congratulations on a good set of numbers.

Moderator: Thank you. Next question comes from the line of Neha Karodia with Abakus Asset Managers. Please go ahead.

Neha Karodia: Hi. Thanks for the opportunity. My first question was on the CDMO business. So just wanted to understand that industry-wide CDMO business is more skewed towards H2. But for us, at least for this year, it was significantly skewed. So let's say 10% in H1 and then 90% in H2 kind of distribution. So just wanted to understand going forward, let's say in FY'26 or FY'27, do we expect this to move of normalize this as in about 40% in the H1 or 60% or maybe some normalization versus the current skewness?

Rashesh Gogri: No. It will be volatile, because if we have large volume customers buying at certain period of quarter, we are helpless, we have to supply them then. But we are confident about the growth that we have anticipated. But there will be no linearity in the numbers.

Neha Karodia: Understood, sir. And sir, also wanted to understand why the other income was negative for the quarter versus the run rate of about Rs. 4 crores to Rs. 5 crores per quarter?

Piyush Lakhani: Yes, that's because of the forex losses. When we started, at the beginning of the quarter, it was heading in one direction, rupee against dollar. But towards the end of it, it came down. So it's basically the forex loss.

Neha Karodia: Understood. And just lastly on the Ganesh Polychem business, so we did about Rs. 14 crores EBITDA in last quarter from that business and this quarter it has significantly come down. So just wanted to understand how should one look at it going forward and like is it more, the business itself is more skewed towards Q3 and Q4 is usually low or how should one look at it?

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Rashesh Gogri: Yes, for the Ganesh business that we have, there have been some slowdown in overall demand and what we have done is produce a significant quantity in earlier quarter and then we are actually upgrading our facility to move to a lower cost production route of synthesis for these products and

that's why we have a shutdown which is ongoing for that site, which is almost 3-4 months . That's why you will see in the current Q4 as well as Q1 of this financial year the numbers will be impacted. But then once we start , I think we be able to make up the, you know, we will be able to come back to the normalization of numbers .

Neha K harodia: Sir, since you mentioned that it will be lower cost, so going forward should one expect margin expansion over this Ganesh Polychem busine

ss?

Rashesh Gogri: No, we will be able to be a competitive source and we will try to get , so once the market recovers, you know, we will definitely be able to garner more market share of certain products, whereas we are trying to expand other product that we have and which has aerospace application. That product is being used for jets and all kind of drones and stuff like that. So that product we are trying to expand our volume and that also will happen in coming year where we are doubling the capacity from earlier year. With that, I think a couple of quarters of pain, but ultimately overall in future it looks sound.

Neha K harodia: Understood. And sir lastly on our guidance, so we have guided for medium term to grow about 15 % for next 3 years. So any change in that or like over the medium term, are we more bullish or any change in the guidance?

Rashesh Gogri: So out of the 15 % guidance in 3 years, we have achieved 24 % in first year. But still, are guiding for 12% to 15 % growth in current year. And I think we will grow faster it looks like.

Neha K harodia: Understood. Thank you so much sir.

Moderator: Thank you. Next question comes from the line of Ankit Gupta from Bamboo Capital. Please go Ahead.

Ankit Gupta : Thanks for the opportunity again. Sir, on the margin front, in one of the earlier calls you had stated that the margin difference betw een CDMO and API segment is not as what analyst committee used to expect and it's around 4 %-5%. And how much will be the margin difference between, let's say, APIs and the Xanthine business? Will that also be like 4 %-5% or lower?

Rashesh Gogri: We are not giving the absolute margin difference between both the businesses or any of the businesses. CDMO is higher margin business and Xanthine and API, are reasonable margin business.

Ankit Gupta: Sir, y ou also stated about entering into peptides and weight loss drugs. So is it on the API side or generic side or on the CDMO side as well?

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Rashesh Gogri: CDMO side. Not w eight loss, but we are attempting to get into however if we become successful then we will be attempting newer drugs also.

Ankit Gupta: It's still i n the pipeline not something that we have got in our it's still in the works and not something which we have in our pipeline is what we can understand ?

Rashesh Gogri: Yes.

Ankit Gupta: Okay , thank you.

Rashesh Gogri: We end up developing 20 -25 products every year and these products are in different categories and different, so we have done fewer large molecular weight products also there which are part of the peptide manufacturing.

Ankit Gupta: Okay. Thank you.

Moderator: Thank you. Next question comes f rom line of Aman Madrecha with Augment a Asset Manager LLP. Please go ahead.

Aman Madrecha: Hi sir, thanks for the opportunity. Sir, I just wanted to understand as you mentioned that the margins in CDMO is higher than maybe the API and the Xanthine business. But if we see the quarterly contribution, we recorded somewhere around 20 % to 23 % EBITDA margin on the overall basis wherein your CDMO portion was higher , Xanthine was lower . But the sense we are getting is that, CDMO is somewhere diluting the ma rgin, correct or this we are wrong over here?

Rashesh Gogri: I don't know from where you are getting this margin data. I don't know what numbers you have because whatever I stated is that the CDMO overall gross margins are reasonably higher than the API an d the other two businesses.

Aman Madrecha: Okay . Thank you.

Moderator: Thank you. Next question comes from line of Kumar Saurabh with Scientific Investing. Please go ahead.

Kumar Saurabh: Hello, thanks for a good set of results. So my question is on the margin side, like in the last 3-4 years, we have done very well to improve the margin from 17 % to 22 % despite of a tough scenario on Xanthine. And given Xanthine margins are at bottom, how s ure we a

re that we will be able to retain

this 22 % margin despite of whatever margin pressure comes on API or the CDMO side?

Rashesh Gogri: You rightly stated that the Xanthine prices are at bottom for the spot market . Okay, so they are different in our averages still healthier overall and I think we are just expecting a growth in overall EBITDA . You know the margins may move 1 % here or there , but I think we are quite confident that

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we will be able to grow the EBITDA . Of course , there could be some volati lity depending on the product mix and what we are doing because the topline we don't too much bother about the topline. We bother about more bottomline growth and that's what we are guiding basically.

Kumar Saurabh: Sure . And sir, on the CDMO, I know you don't want to talk about the customer or molecules, but from a competitive side, can you elaborate, like with whom do we compete on the CDMO side? Do we have an advantage?

Rashesh Gogri: Yes, we are competing European, Indian and Chinese, all three. In different products, we have different competitors. And that's how overall basket is lined up.

Kumar Saurabh: Are these competitors of similar size or they are bigger advantage compared to them?

Rashesh Gogri: Yes, some of them are bigger size. However, we have also grown and our overall topline and all that we are close to \$250 million company . Others may be higher than us also.

Kumar Saurabh: Is it possible if you can name your top 2-3 competitors for studying?

Rashesh Gogri: We compete with all the large who's who of China, India and Europe.

Kumar Saurabh: Okay, sir . Best wishes for the forthcoming quarter. Thank you.

Rashesh Gogri: Thank you.

Moderator: Thank you. The next question comes from the line of Keshav Bagri with Manyavar Family Office. Please go ahead.

Keshaav Bagri : Sir, my question pertains to the API segment, where for FY'25, we have grown by 28%. So is it possible for you to bifurcate this growth into price, product, timing , volumes, and new launches ?

Rashesh Gogri: I think we had few good products in FY'25 and certain products have done very well in FY '25. And we have exciting launch coming up in FY '26 and '27 also. So we have new products and we have to see whether our partners are able to get the market share and how it goes with our partners because completely the model that we have is wherever we are primary source there we have to rely on the partner's ability to retain the market share. And secondly, what we do is where we are very strong and where we have backward integration, we try to get into these companies as a second source. So there are certain such opportunities also which we are targeting and with those approvals, I think we will be gradually in certain products that we already have commercialized. We work with both these strategies in our API division.

Keshaav Bagri: Okay. So sir, can the growth of FY'25 be extrapolated to FY'26? I am talking particularly for this segment given the fact that we have some new launches coming up and we have the new transition

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with the innovators, of course it is contingent on the fact that your partners, they get or they retain the market share, but just to get an overview?

Rashesh Gogri: I think we can't say pinpoint depending on how it goes. But overall, I think we are confident about the EBITDA growth overall of the company and that's what we generally guide for . Individual businesses , I don't want to give a guidance because overall I think it averages out when we grow our EBITDA. That's what the goal is that how do we grow our bottom line. Thanks.

Moderator: Thank you. Mr. Bagri, please rejoin the queue for more questions. The next question comes from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: My question on the CAPEX side, we spend about Rs. 400 crores in FY '25 and you're guiding to Rs.

400 crores to Rs. 450 crores for the FY26. So cumulatively Rs. 800 crores -Rs. 850 crores, can you please break it up for us in terms of segment wise for Atali how much , for Brownfield and Xanthine expansion how much , for solar plant how much and for any other purpose is how much , so just we can understand the break of that ?

Piyush Lakhani: So, Atali cumulative would be about Rs. 400-425 crores out of Rs. 800 crores that we are talking about. Solar was around Rs. 85 crores. Xanthine expansion would cost us anywhere about Rs. 150 crores. And then there are other smaller projects , so that's how it adds up to 800 .. Then there is R&D also we are doing about Rs. 40 crores every year.

Ahmed Madha: Capitalization.

Piyush Lakhani: Yes.

Ahmed Madha: And solar plant, what will be the savings for us? Already done for Q3 -Q4 if we can quantify the amount and what kind of savings you expect from the full year next year in this solar plant?

Piyush Lakhani: I think what we have begun with was a payback period of around 3.5 to 4 years and we are on track to basically have that kind of payback so you can do the math .

Moderator: Thank you. Mr. Madha, please rejoin the queue for more questions. Next question comes from the line of Rakesh Banerjee with RA P Capital. Please go ahead.

Rakesh Banerjee: Sir, in the recent past there is a bit of selling by the promoter group. So is there any further plan for offshoring the promoter stake in the Company and if you can give some color on that?

Rashesh Gogri : Different promoter groups have different appetite to and long term plans. So I think there will be minor selling here or there, but it will not affect overall control of the company or anything. So I don't expect very large change in the promoter holding.

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Rakesh Banerjee: Okay, and regarding the total borrowings that we have currently we're having around Rs. 400 plus crores of borrowing. So what do we see the borrowing in the next one year from here? And yeah, if you can just give color on this ?

Piyush Lakhani: So next year in current year, think the borrowing is likely to go up by about Rs. 100 crores to Rs. 125 crores, which would basically mean debt equity of roughly in the range of 0.23 to 0.25.

Rakesh Banerjee: That's great. And so you have guided for 15 % growth in revenue and 30 %-40% growth in your CDMO

business. Going by that, I mean, we just calculated that it comes around 15 %-16% of the total revenue. Is my interpretation correct that in the next year, you're looking for a CDMO revenue contributing around 15 %-16% of the entire revenue?

Piyush Lakhani: No, we have not guided for the revenue. So we have guided on the EBITDA, whereas we have guided on the topline growth of CDMO.

Rakesh Banerjee: Okay. Got it. Thanks a lot.

Moderator: Thank you. The last question comes from the line of Jay Shah with J.S. Family Office. Please go ahead.

Jay Shah: As previously I have connected and I was asking that you mentioned that over the next 3 to 5 years, a lot of molecules are going to go off-patent. What I want to know is how does the management basically look at entering into new molecules and is it via backward integration that you choose the molecules apart from the chemistry that you already are in. And what is the amount of backward integration even you have currently in terms of your top 10 API molecules? And second question is, as you keep on increasing your wallet share in API, do you think there is in future an overlap possibility of one of your API intermediate clients getting into the CDMO basket as the comfort of the client increases?

Rashesh Gogri: No, largely there will be certain products which will, for which the patent expiries will happen. As earlier mentioned, we have almost 8 to 10 APIs which are constantly under development and then we are able to commercialize some of them every year.

r. And we have more than 50 DMFs already

filed and with those different forms of and different formulations also keep on expiring in future. So with that we get a chance to grab additional market share from the generic market perspective. Now in case of overall the strategy that we have backward integration on almost 60 %-70% of our overall portfolio, barring I think some of the steroids at current situation because most of the steroids intermediaries we have to source because of the fermentation based product unavailability in India. And those are the only products where we don't have backward integration. Most of the other products, we have at least a good amount of backward integration and as a model, we also sell our intermediaries in some of these products. We have almost our intermediate basket of more than 100 plus products also, which we offer to the other generic manufacturers who are vertically

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integrated. That gives us overall additional market share for these large products where the integrated players will win the market. That is how the strategy works and that's how we expect the growth to happen.

Jay Shah: Understood. And on the second question, is there any possibility of an overlap between the existing API, intermediate clients and the CDMO clients?

Rashesh Gogri: I think first what happens is that innovator has to lose exclusivity and then only they become generic. So I think it will be reverse. You know, it will be first CDMO, CMO and then once it becomes generic, we enter the generic space. And I think that is mostly unlikely to happen because the innovator still continues to be in the market and the market once the product expires also still there are so many countries where difficult to reach by the generic players, so that market share still remains with the innovator and that's where the current market of the innovator still continues and once innovator decides to sell off the product or do something with the product life cycle management, that's where the product can move from innovator driven to the generic space. Whereas, the CDMO business that we are focusing largely on, it's more for the newer products and not for the older products. So there are certain older products which have been and still innovator wants to buy and they add us as a source. But our model is towards better and protected products largely.

Jay Shah: Understood. Thank you so much for answering the questions.

Rashesh Gogri: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Rashesh Gogri: Yes, I would like to thank everyone to take the time out and attend our FY '25 final conference call. Thank you.

Moderator: Thank you. On behalf of Aarti Pharmedicals Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

August 20, 2025

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: AARTIPHARM

Sub: Transcript of Q 1 FY26 Earnings
Conference Call
Ref: Regulation 30 of the SEBI (LODR)
Regulations 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on August 13 ,
2025 on the Un-audited Financial Results of the Company for the Q1 FY26 .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED

JEEVAN MONDKAR
COMPANY SECRETARY AND LEGAL HEAD
ICSI M. NO. A22565

Encl.: a/a.

Page 1 of 21

"Aarti Pharmalabs Limited Q1 FY '26 Earnings
Conference Call"

August 13, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings
uploaded on the stock exchange on 13th August 2025 will prevail.

MANAGEMENT : MR. RASHESH GOGRI – CHAIRMAN , AARTI PHARMALABS LIMITED
MRS. HETAL GOGRI GALA – VICE CHAIRPERSON AND MANAGING DIRECTOR , AARTI PHARMALABS LIMITED
MR. PIYUSH LAKHANI – CHIEF FINANCIAL OFFICER , AARTI PHARMALABS LIMITED
MODERATOR : MR. SHRIKANT AKOLKAR – NUVAMA WEALTH MANAGEMENT LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Aarti Pharmalabs Q1 FY '26 Earnings Conference Call hosted by Nuvama Wealth Management Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *, then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shrikant Akolkar from Nuvama Wealth Management Limited. Thank you and over to you, sir.

Shrikant Akolkar: Thank you and good day, everyone. On behalf of Nuvama Wealth Management, we welcome you all to Q1 FY '26 Earnings Conference Call of Aarti Pharmalabs Limited.

From the management side, we have with us Mr. Rashesh Gogri – Chairman; Mrs. Hetal Gogri Gala - Vice Chairperson and Managing Director and Mr. Piyush Lakhani - Chief Financial Officer. I would now hand over the Conference Call to Mr. Rashesh Gogri for his 'Opening Remarks'. Thank you and over to you, sir.

Rashesh Gogri: Yes, good evening, everyone and welcome to Aarti Pharmalabs Earnings Call for the 1st Quarter of the Financial Year 2026. I appreciate you taking the time to join us today as I walk you through the performance of Q1 FY '26 and share key business developments. Let me start with an overview of our standalone financial for Q1 FY '26. The topline in Q1 FY '26 was Rs. 375 crores, which was Rs. 394 crores a year back. The EBITDA was Rs. 95 crores as compared to Rs. 84 crores in the corresponding period of the previous year. This is an increase of 14% Y-o-Y. The profit after tax in Q1 FY '26 was Rs. 51 crores as compared to Rs. 47 crores a year back, which was an increase of 9% Y-o-Y. Even though the revenue has slightly dipped year-on-year, EBITDA and the PAT have grown reasonably well. I remain confident that the underlying fundamentals and the long-term drivers of the business are intact.

Now, I will talk about the consolidated financials for Q1 FY '26:

The topline was Rs. 386 crores against Rs. 555 crores in Q1 FY '25. The reported consolidated topline of Q1 FY '26 is not actually comparable to that of Q1 FY '25 because this does not include the proportionate share of the Ganesh Polychem turnover. Following the amendment in the Subscriptions and Shareholders Agreement, GPL (Ganesh Polychem) is a joint venture from Q1 FY '26 onwards. Accordingly, in the consolidated financials, a single line of share of profit is added following the equity method of consolidation. Basically, the consolidated turnover for Q1 FY '26 onwards will not include GPL's contribution and hence will look optically lower year-on-year. However, the EBITDA and PAT will continue to include GPL's share and will be comparable year-on-year. The EBITDA was Rs. 95 crores as compared to Rs. 97 crores in Q1 FY '25. The profit after tax for the quarter was Rs. 50 crores as compared to Rs. 56 crores a year back.

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Additionally, the revenue of Aarti USA Incorporation in Q1 FY '26 has

significantly come down and this was communicated in past earnings calls. This is due to limited business activities in the subsidiary which were earlier carried out for Aarti Industries' distribution business which has now shifted to the Aarti Industries subsidiary in the US.

Now, let me present the business highlights:

Aarti Pharmed continues to operate in three key verticals – Xanthine Derivatives, API and Intermediates, and CDMO -CMO Services.

The Xanthine Derivative segment contributed to 50% of our turnover in Q1. The volume split was 65% for beverages customers and 35% for others. In terms of geographical split, the export sales was 57% and the rest of 43% was local sales.

The API and Intermediate business stood 41% of the turnover and subsegment -wise,

the breakup is 49% regulated market, 43% in ROW market, 8% in non-regulated market, which aligns with our long-term focus towards regulated market. We are continuously working towards development of new molecules with patent expiry in the next 3-5 years and the number of US DMFs has gone up to 53 from 50 in last quarter and the CEPs have gone up to 35 from 31 in last quarter. Also, the number of commercial APIs is now standing at 60.

The third segment, CDMO -CMO, has contributed to 10% of the revenue in this quarter. We are presently working with 21 customers and the number of active projects are now 60, of which 33 are in commercial stages and 27 are in different stages of development, both at the customer end. Based on the current order book, we are on track to achieve our target of FY '26 CDMO sales.

It is important to mention that one of our sites which supports Xanthine Derivative business was under extended plant annual shutdown and upgradation in this quarter. This is partially the reason for decline in our standalone topline.

For the last couple of months, there have been a lot of geopolitical turmoil and globally there has been a business uncertainty due to US tariffs. However, the current tariff rule does not impact our pharma products and even Xanthine Derivatives like caffeine are under the exempt list and I see minimum impact on our sales.

Lastly, I will share the progress updates on the ongoing Capex:

Our brownfield expansion for increasing Xanthine derivatives from 5000 MT per annum to 9000 MT per annum is progressing as per our plan. The commissioning will be done in a phased manner across H2 FY '26. The greenfield project at Atali, Gujarat is in the final stages of completion. The mechanical completion of Phase -1 has been done. Commercial production will commence towards the end of Q2 FY '26.

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However, it will take us until the end of FY '26 to ramp up and operate the plant at an optimal utilization.

In conclusion, I remain confident in our strong fundamental strategic initiative and dedicated team driving Aarti Pharmed forward. Our strategy remains firmly intact, and we are focused on navigating any near-term challenges with agility and discipline. We are well positioned to achieve our targets for the year and continue delivering sustainable growth and our values to all our stakeholders.

The moderator may now open the forum for Q&A session. Thank you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer

session. The first question comes from Rahul Jain with Credence Wealth. Please go ahead.

Rahul Jain: Thanks for the opportunity. Am I audible?

Rashesh Gogri: Yes.

Rahul Jain: So, just given the top -line degrowth, sir, and also the scenario, we have delivered some good set of numbers. So, just to understand, sir, you mentioned about two things on the impact of sales and also one is the Ganesh Pol ychem numbers which are not included in the sales. So, what amount of, because in standalone sales, I think the plant shutdown has impacted the sales. So, what is the impact in terms of sales with regard to this plant shutdown?

Rashesh Gogri: The plant shu tdown sales impact would be around Rs. 15 -20 crores.

Rahul Jain: And sir, when I look at API Intermediate sales, that has come down on a year -on-year basis from about 170 -150 currently. And in fact, in the previous quarters, we were averaging around Rs. 20 0 crores for the last 2 quarters prior to this June quarter. Or in fact, even in the earlier quarter, we were around Rs. 190 crores. So, this quarter is down to around Rs. 155 crores. So, do we read anything into this?

Rashesh Gogri: No, if you see in this quarter, we have had higher inventory because the shipments were little impacted towards the end of the quarter due to unavailability of shipping space. And I think that would have some impac

t of some amount of sales. But overall, API business, we have been able to have good pace. Whereas in intermediate business, it shares the asset with the CDMO/CMO. So, there, we are progressing more with the CDMO projects in the current quarter. So, the intermediate sales are a little bit on the lower side purposefully .

Rahul Jain: Sure. With regards to margins, our gross margins are at the highest level for this quarter around 57% which were around 51% in the previous quarter and even on a year -on-year basis, it is up from 48%. So, typically now, how do we look at the gross margins going ahead? And if you could understand that there is some impact on the Ganesh Polychem side, what could be there? And this, I am talking about standalone, sir, I am not talking on the console?

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Rashesh Gogri: Yes, I think in terms of margin , of course, this year was a higher margin. Because this inventory had an impact. And overall, the products that we have sold were more into regulated markets, beverages customers and export markets. That has yielded us better pricing than the lower price market on the Xanthine segment. Overall, I think, it is the product mix that we have played and which has yielded better margins.

Piyush Lakhani: And there is one addition to this also. Earlier, there has been some disclosure change in the financials that we have published. Earlier, some of the consumables that we normally consume in the plant were getting clubbed in the cost of materials. These are consumables like filter cloths, valves and those engineering items, as we say. From this quarter onwards and including the previous earlier quarter also, we have now shown it as under other expenses. So, now, the cost of material consumed consists of only raw material, packing material and fuel. So, these engineering consumables that we are saying are now clubbed under other expenses.

Rahul Jain: Last question. Sir, with regards to the guidance, we have maintained guidance both on CDMO growth and also on EBITDA growth. Given the current quarter has been almost flattish on EBITDA, on console basis.

And if we need to maintain this 12% -15% guidance, then the next 3 quarters, the kind of growth in EBITDA will be around 15% -20% if we want to meet our guidance of 12% -15%. And given the expense of new plant coming in, Atali and also Xanthine, and probably they are not contributing much to the revenue, what gives us this confidence that we will achieve this EBITDA growth?

Rashesh Gogri: Basically, the EBITDA guidance that we had given was on a standalone basis. So, this time, anyway, we have a standalone basis EBITDA increase of almost 14% Y-o-Y. And looking at overall, the quarters are not going to be linear in the performance of EBITDA or topline because of the nature of business, CDMO -CMO turnover may get topline and bottom -line may get concentrated in a particular quarter, which may result in a bump. Over all, we have to look at a few quarters and then see how the overall growth trajectory is to really consider. Because there will be certain quarters where due to multiple stages of processing that we are doing, we may end up doing more earlier stages processing and the invoicing may happen in the later quarters, which may impact the topline and the bottom -line growth.

Rahul Jain: Thank you, sir. Wish you all the best. Thanks a lot.

Moderator: The next question comes from Aejas Lakhani from Unify AMC. Please go ahead.

Aejas Lakhani: Yes, sir, just a clarification on the Xanthine. Sir, you mentioned that Rs. 15-20 crores was on account of plant shutdown. So, just wanted to understand that X of that, has there been any impact of pricing, volume, seasonality, if you can expand?

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Rashesh Gogri: No, there have been no impact on any of these things. Basically, as we have disclosed the product sales mix that we have done, we have done

more sales to export as well as the beverages market in the current quarter. And that has resulted in better performance in this current quarter.

Aejas Lakhani: Understood. And sir, just could you also call out in the API business, we understand the quarterly volatility and you mentioned that there was a shipping space impact and you had higher inventory. How do you expect the full year ramp up to be for this segment?

Rashesh Gogri: Yes, in the API business also, we are looking at reasonable growth, I think, going forward. So, EBITDA growth will be at least more than 10% .

Aejas Lakhani: And sir, we understand that there is a shift on the gross margin front, but like to like, if one were to compare it to the previous quarter in the old format, where were gross margins today?

Piyush Lakhani: For the standalone, so the impact of this change in the cost of material consumed has been given for the earlier quarters also. So, now it is like to like, if you compare what we have published.

Piyush Lakhani: On the presentation that was there.

Aejas Lakhani: And sir, in Ganesh Polychem, when do we expect to break even? When will it start contributing to the bottom -line? And what are the key challenges today we are facing?

Rashesh Gogri: In Ganesh Polychem, last year, we had good EBITDA of around Rs. 60 crores. And this year, we took a plant shutdown to modify and do some modification at our plant. So, post that, I think we have restarted our plant in July. And I think in the current quarter, we will reach to normalcy of volume and demand.

Aejas Lakhani: And finally, sir, CDMO has started off to a good start. And we thought that this is more of a second half story. So, could you comment a little bit on what is driving CDMO?

Rashesh Gogri: As mentioned in my opening remarks, I have already told that we have order book of the guidance that we have issued 35% -40% growth. So, we are quite confident about achieving the same.

Aejas Lakhani: Understood. Thanks a lot.

Moderator: The next question comes from Ankit Gupta with Bamboo Capital. Please go ahead.

Ankit Gupta: Thanks for the opportunity. Sir, you highlighted about the reason for decline in revenue on the Xanthine part. But on the API front, sir last year, we had seen a very good growth because of the expansions we had done prior to last year. So, we had seen almost a growth of around 42%. And I think there was some, we still had some room on the

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capacity available for growth in the API segment. So, given how the 1st Quarter has panned out, do you think we can still grow at least 10% - 15% on the base of almost Rs. 770 crore of API in FY '25 for this Financial Year '26?

Rashesh Gogri: Yes. See, what has happened is that last year, last quarter, we pushed a lot of sales. So, we could achieve very higher sales on the last year, last quarter, whereas in this quarter, we were constrained by shipping space availability and also that resulted in an inventory stock increase in particularly API. And of course, basis on every year, 1st Quarter, normally the API sales are higher, because at the start of the year, customers may like to cover some volume. So, I think there is some seasonality also.

Ankit Gupta: So, at least compare like?

Rashesh Gogri: As I have mentioned, we will be able to grow this business.

Ankit Gupta: Sure. And sir, on the Xanthine part, we have new capacities coming in, additional capacity of 4000 ton coming in, let us say, in the second half. So, for this segment, we have had very good volume growth for the past 2-3 years. But because of the fall in realizations, the overall revenue has actually remained in the range of around Rs. 780 -Rs. 800 crores. How do you see this Xanthine segment panning out for us over the next 2 years, FY 26 and 27? 27 will have the full year benefit of the expansion coming in. So, do you think th

e additional capacity we can utilize at least 70%-80% next year? And for this year, how do you see growth for this segment?

Rashesh Gogri: Yes. Overall, I think 2 years down the line, we are looking at Rs. 1,000 crore plus topline for this segment. And I think we are quite confident with the increased capacity, we will be able to achieve in 2-3 years' time good optimized capacity utilization.

Ankit Gupta: So, at least FY '27, we should be able to reach Rs. 1,000 crores of revenue from Xanthine?

Rashesh Gogri: No, in FY' 27 or 28, in one of the years. Of course, it depends on the raw material prices, final price, all that. So, we have given that in 3 years, we will have the capacity utilization of 80% -90%, with 50% of sales going to beverages and regulated customers. So, that is what is the target. So, ultimately, out of 9,000, we may optimally utilize 7,500 - 8,000 out of which 50% will go to the beverages and export customers.

Ankit Gupta: And that will be a better margin plus more regular sales kind of business for us?

Rashesh Gogri: Yes, the products are different. So, the product for beverage is a different product and the product for API pharma requirement is different.

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Ankit Gupta: Any comments on the pricing, how the Xanthine prices are currently? Have we seen the prices bottoming out? And has there been any increase in the pricing for the Xanthine products?

Rashesh Gogri: No, I think prices are stable on spot market also. Yes, we are seeing stable pricing, we have not seen any further drop of pricing. And overall, I think raw material costs have also come down. So, overall, that is what has resulted in the pricing pressure in past, but now I think everything is stable.

Ankit Gupta: Sure. And last question was on the CDMO segment, we are expecting to get around 35% -40% kind of growth for this year, given how the pipeline is shaping up. So, can you talk about how do you see given how the pipeline is currently and we have seen significant increase in our molecules both on under development as well as commercial stage as well as we have added new customers also over the past 2 years, there has been significant jump in that. So, 27 -28, do we see this segment continuing to grow at least 30 -40 or even higher growth rates with new capacities that Atali coming in later half of this year?

Rashesh Gogri: As I mentioned, in 3 -4 years, we want all segments to grow up to USD 100 million or Rs. 1,000 crore, whichever reaches faster, so that is what the target is. So, it depends on the year and how the approvals come and how our customers are doing. We have seeded the project, we have 60 projects which are ongoing and how the approvals are coming and how commercially the products are faring in the marketplace. And how fast we are able to get approvals as additional source in the current commercial product for the regular requirement. So, all these factors are in the hands of our customers. We are doing hard work in terms of supplies and development work, but ultimately, we will get there because all these products are currently in the patent phase. So, customers have fair bit of idea of how the growth is and how it is going ahead.

Ankit Gupta: So, let us say, in FY '29, we can expect at least Rs. 800 -1000 crore of revenues from CDMO segment?

Rashesh Gogri: That is the target. Yes.

Ankit Gupta: Thank you and wish you all the best.

Moderator: Thank you. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: Hi, good afternoon, everyone. So, my first question is, you have mentioned that by Q2, our Atali project mechanical completion will be over and by Q4, the commercial revenue will start. So, will 2 quarter time be sufficient to do validation and everything? And even if I assume asset turns of 1.3 -1.4 times, essentially we are looking at Rs

. 500 odd

crore kind of a revenue from the Phase -1. So, from start to reaching that kind of a number, what is the timeline that we are envisaging?

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Rashesh Gogri: Yes, whatever we are going to do, there is going to be earlier stages of

production as well as the products which will shift from our current manufacturing site to this site where we are having additional orders. All these together will be able to fill up the plant slowly. And overall, I think we expect the plant to get utilized. We have earlier mentioned that every second year after 2 years, we will put up additional blocks. So, with this block optimally getting occupied, we will put up a newer facility. And we are basically not tracking topline to that extent. We will ensure EBITDA growth due to this addition of manufacturing facility.

Dhwanil Desai: So, when we say that we will move some of the existing products or production from existing site to new site, does it mean that the revenue generated from new site will not be incremental in nature? That is how we should look at it?

Rashesh Gogri: We have multiple sites which ultimately feed into the CDMO business as well as the intermediate business. And I think you will see an increase in both. So, anyway, as we have projected growth in CDMO - CMO this year and next year also going forward, we expect growth to happen. That will be driven by the additional capacities that we have put up in Atali. That will help us achieve those growth targets.

Dhwanil Desai: And sir, our aspiration to reach let us say, Rs. 1,000 crores number in a given timeline. So, to reach that number, do we see the visibility based on current commercial and in pipeline products to reach that number? Or you think that we need to get many more projects to actually get to that number?

Rashesh Gogri: It depends on how our customers are doing and when they are getting approval. Anything can happen. We are currently doing hard work of getting more customers, more projects, and every year we will add those. And I think a combination of both will work towards achieving growth in future.

Dhwanil Desai: And lastly, if you can talk more in terms of what are the white spaces in terms of our capability on the CDMO side, which either we on our own or from the slight feedback from the customers that we are trying to develop or work upon, which can help us in the longer term if you elaborate on 2-3 such areas where we are spending money and effort on the CDMO side?

Rashesh Gogri: As mentioned in the presentation, we have given the broad capabilities that we have. We have cyanation also as a part of our CDMO business. We are also doing continuous manufacturing, which we have added, which we can offer for CDMO. All these are newer offerings that we have added. We can also do cryogenic reactions and hydrogenation. We can do HPAPIs, so basically anti-cancer kind of finished products also. All these capabilities have enhanced our profile and offering for the innovators.

Dhwanil Desai: Anything new that you think is going to be more relevant than more futuristic, but you are spending time and effort on?

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Rashesh Gogri: I think as in past, I think the world is moving towards peptide biologics. And I think we would like to attempt that in future going forward.

Dhwanil Desai: Thank you. That is it from my side.

Moderator: Thank you. The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav: Hi, good evening. Thank you so much for your time. Sir, first question on the Xanthine business. Just wanted to clarify, you said that our capacity will be going from 5000 tons to 9000 tons. So, we are adding roughly 80% capacity. And even on the 5000 ton run rate which we are at, we are tracking about Rs. 700 -Rs. 720 crores topline. So, if the

capacity here is going up by, let us say, 80%, why does the peak
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venues be only Rs. 1,000 crores? It can be higher, right? Like, especially since we are targeting some better priced contracts as well in like regulated markets or maybe the pharma beverages, like you mentioned. So, just wanted to understand, like, if on a fully utilized 9,000 ton block, what could be the peak revenue potential like ballpark on current prices maybe?

Rashesh Gogri: Yes, Madhav. We have guided. Currently, in Q1, our revenue from export and beverage is 57% and 65% respectively. And going forward, we have guided that revenue from beverages can go up to 50+. Currently, we are on a higher side of that, but that will normalize with the additional capacity. Still, it will grow from the current base. That has one impact. And depending on how fast we are able to secure more pharma customers, it depends on that and that will define the topline because the spot price and the pharma prices, of course, there is a differential also. If we are able to capture a reasonable market of, say, 10%-15% of our total demand in pharma, then of course, we can expect a higher topline. But if we have to offload the product in spot market, then it can be a little bit on the lower side. It all depends on how the approvals are coming to. Luckily, Xanthine and caffeine are in the Annexure 2 of the list. We are not impacted by the tariff which is a good thing that we had.

Madhav: So, could you clarify what is the pecking order for prices like, is it beverages is the best price, then pharma and then spot like that? Or is it pharma, beverages and then spot?

Rashesh Gogri: I think pharma has the best price and then I think beverages and then spot. The spot used to be higher. But now the spot is lower. It is a market where, of course, the approvals also matter. And the distribution network that we have now established over a period of time, also helps us push the product and there are certain geographies where we can enjoy some better pricing.

Madhav: Sir, just to clarify, you are saying that in the current mix that we plan to sell into pharma, beverages, spot, the total 9000-ton capacity, we expect Rs. 1,000 crores of topline. That is the way to think or it could be a bit higher or lower?

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Rashesh Gogri: Rs. 1,000 Crores plus, so it can be anything. Yes.

Madhav: Got it. Then the second question I just wanted to check was on the CDMO business. Did I hear it, you are saying that by FY '28 or '29, this current Rs. 200 crores, there is potential to be Rs. 800 -Rs. 1,000 crores, is that right? Did I get that?

Rashesh Gogri: Yes. 3 -4 years.

Madhav: And sir, is it from the existing commercial, the 33 molecules we expect like very good scale up or is it the pipeline which makes us more sort of bullish on the segment? Like if you could, whatever color you can share on the growth drivers that would be helpful?

Rashesh Gogri: I think it is going to be effect of both. And I think we have more promising under development pipeline also. And that is why it depends on how the growth happens in the approvals, once the customers get approval. And of course, there are a variety of factors depending on the competing therapy and how they are effectively able to capture the market share.

Madhav: Understood. And sir, of the 27 projects in development, how many would be in Phase -3 or late stages of development? Could you give some sense there?

Rashesh Gogri: So, we do more Phase -2, Phase -3 work. So, I think Phase -1 will be very limited. More Phase -2, Phase -3 only. Otherwise, you would have seen a much higher number of projects that we would have done. But we are marketing ourselves as a manufacturing specialist, which does good manufacturing optimization and cost optimization, route of synthesis selection and having large capacity to match the requirement of customer's needs in case the product hits jackpot. So, all those things are

giving us a good customer base.

Madhav: Sir, just last question, like in case if you are able to get to this mix of, let us say, Rs. 1,000 crores plus topline in Xanthine, CDMO reaching, let us say, Rs. 800 -Rs. 1,000 crores and API growing at a reasonable pace. Like, how does the margin profile of the company move like from the current 25%? My sense would be that the margins should improve.

Is that the right way to think or you think margins could be stable, if this business mix plays out the way we are thinking?

Rashesh Gogri: Yes, I think, EBITDA should grow reasonably. I think the topline is all dependent on the foreign exchange and raw material prices and all that. Ultimately, we try to tag per kg margin we try to maintain in most of the products. That is how it works. I think, margin should be from the current level. It can go plus or minus 2% -3%.

Madhav: But CDMO is probably the highest margin segment than Xanthine and API, is that?

Rashesh Gogri: Yes.

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Madhav: Thank you.

Moderator: The next question comes from Vivek Gautam with GS Investment. Please go ahead.

Vivek Gautam: Yes. Sorry, sir. I joined the conference late. So, if you can just, if it is repetitive, then please excuse me. How much is the exposure we have to the US and what would be the tariff impact for our company and pharma sector in particular?

Rashesh Gogri: Yes, currently our US sales would be around 8% -10%. But I think we don't have any tariff impact currently.

Vivek Gautam: Only 8% -10%. And how come no tariff impact, sir? Basically, the pharma is exempted by the US government.

Rashesh Gogri: Yes. Pharma and Annexure 2.

Vivek Gautam: So, any risk profit being a temporary sort of a thing and CDMO is also sort of covered under that only, sir?

Rashesh Gogri: I think CDMO work more, of course, we have US based customers also, but largely US, Europe, it is multi-geographical. There also, I think our US concentration is not very high.

Vivek Gautam: And what about our CAPEX plan, sir? And so H2 will be much better, especially with respect to high margin CDMO business?

Rashesh Gogri: Yes. The CAPEX plan, as we have mentioned, is that in the second half of this year, we will have the Atali new site operationalized. And also in the second half of this year, we will have the caffeine capacity addition also. Next year, of course, we will have much higher capacities to

produce more products. Of course, this year also, in the second half also, we may have partial impact of this.

Vivek Gautam: And a few words about your Xanthine and API business, please, sir. Basically, Xanthine, we are facing competition from China and much more and API comparatively less because China is strong in both the segments?

Rashesh Gogri: The APIs that we are doing are more complex APIs and they are only targeted towards the regulated markets. The China presence in those products is a little limited. Whereas in Xanthine, of course, China has large capacities and they compete. But our value proposition to our customers is that we are the only backward integrated source independent of Chinese, from India who can offer them Xanthine products at a reasonable price. With that, we are able to get market share in Xanthine.

Vivek Gautam: Any plans for us to reduce the exposure to US market due to the overhanging risk by Trump administration? So, are we looking at other geographies to diversify our risk?

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Hetal Gogri Gala: So, we don't have any major exposure in USA. 8-10% is very reasonable. And that too pharma being exempt on the list, I don't think. We are largely present in Europe and all the other geographical locations.

Vivek Gautam: Thank you, ma'am.

Hetal Gogri Gala: Thank you.

Moderator: Thank you. The next question comes from Shubham Aggarwal with Burman Capital. Please go ahead.

Shu

bham Aggarwal: Hi, sir. Thanks for the opportunity. Can you give us some quantitative context over the segment-level margin across the 3 segments? And sir, where do you see the company-level margin shaping up in the medium and long term as the CDMO revenues spike? Thank you

Rashesh Gogri: We are not giving the segmental margins. But as I mentioned in past, the margin profile in CDMO-CMO is the highest, followed by Xanthine and then API. They are closely neck and neck whereas overall, I think we have guided for the EBITDA growth, and I think we are maintaining the current guidance.

Shubham Aggarwal: Thank you.

Moderator: The next question comes from Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: Yes. Thanks for the opportunity. In the past, we have spoken about some of our molecules reaching a scale of \$20-\$30 million for us in the CDMO segment. Given we have 33 commercial molecules as of 1st Quarter, do you think some of these molecules over the next 2-3 years themselves have a potential of reaching this scale of let us say, \$20-\$30 million? Or some of the underdevelopment projects or molecule projects have those potentials, so if you can talk about that?

Rashesh Gogri: It will be a mix of both. We shouldn't pin only to these because it is ultimately the final molecule that requires multiple products. So, we may supply all the chemistry also to the innovators. So, combining all the chemistry for a single product, finally, we may be able to reach, in some product that kind of a number.

Ankit Gupta: And it will be a mix of both. Some of the commercial molecules also that we have currently have those potential over the next 2 -3 years?

Rashesh Gogri: Yes.

Ankit Gupta: In these 33 commercialized molecules, will there be some molecules where we will be the largest supplier? And will our market share in those molecules will be, let us say, 40% -50%? And there will be some other CDMO companies who will be the second supplier? Or we are mostly the second or the third source suppliers in the CDMO sector?

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Rashesh Gogri: Yes, I think later is more true because I think a lot of products have shifted from China to us. And that is where still the validations are happening. And once we become a full -fledged supplier, each innovator also has multiple partners to manufacture this product. And they have multiple partners from China. So, the market share starts from 20% - 25% and then it can go up to 50% also.

Ankit Gupta: So, a lot of these molecules are still under validation and the scale -up will happen?

Rashesh Gogri: Every year, the campaign may not come. It depends on the size of the product. So, suppose certain products may be regular. Certain products may be a campaign product for the API manufacturer of innovators.

Ankit Gupta: Sure. And sir, this segment has largely been second -half heavy. Every year, we have seen significant scale -up in our CDMO revenue. So, is that expected to continue? Is that lumpiness expected to continue?

Rashesh Gogri: Yes, it will continue. I think more sales will come in later quarters.

Ankit Gupta: And it will continue after Atali starts operations and contributes significantly, let us say, from FY '27 -'28 onwards as well?

Rashesh Gogri: Overall, we can guide for the business. Atali is a capacity. Basically we are increasing from 1100 KL to 1500 KL. Where we are going to manufacture what - will be dependent on overall supply chain planning that is being done and how the approvals are achieved. If any product has 5 -7 stages, we may shift 3 -4 stages at Atali and do final stages there (existing sites), if the customer is not giving us the approval to shift. Whereas the new products will directly go to Atali. But of course, we will have multi -site flexibility. That is a good thing. So, it will also have risk mitigation overall.

Ankit Gupta:

ta: Thank you and wish you all the best.

Moderator: The next question comes from Dr. Neha Kharodia with Abakkus. Please go ahead.

Dr. Neha Kharodia: Hi. Good evening, everyone. Thanks for the opportunity. And my question was on the API and intermediate piece. So, just wanted to understand, sir, you mentioned in the initial remarks that in this business segment, it was more of a conscious decision about the intermediate business that we had more focus on the CDMO side. So, probably the decline which is seen is because of the intermediate business coming down. But just wanted to understand why was that as in were we facing any capacity constraints?

Hetal Gogri Gala: Yes. That is the reason why we are going to start the Atali site so that we can have our intermediates also validated. And now the intermediates which require for captive consumption can be validated faster so that we can free up our older capacity to start catering to the

customer along with the CDMO earlier stages, which Rashesh mentioned earlier.

Dr. Neha Kharodia: So, on that, just to understand it more qualitatively, so if we talk about the capacity being free on that and so in Q4 combined revenue of let us say, the API intermediate and CDMO business was about Rs. 350 crores and this quarter it is significantly low. So, I did not understand that part, like how exactly is it?

Hetal Gogri Gala: Yes, as we mentioned earlier that for our CDMO businesses, we have a lot of stages to be manufactured. So, we start a little early, and the early stages are under production and that is still continuing in the current quarter also. And most likely in H2, you will see the bump of sales going in.

Dr. Neha Kharodia: Bump in the CDMO segment?

Hetal Gogri Gala: Yes, overall.

Dr. Neha Kharodia: And so is it fair to assume that going forward, let us say, Q2 onwards in API and intermediate business, the growth will again catch up or will it again be, let us say, more of a filter towards H2 in terms of the API segment?

Rashesh Gogri: So, I think year-on-year, there will be growth in both the segments, API intermediate as well as the CDMO -CMO. CDMO -CMO, we have, anyway, specifically guided the growth. And I think we are quite positive with the new capacity coming in. I think there will be growth in the API intermediate segment as well.

Dr. Neha Kharodia: Understood, sir. So, if one assumes, let us say, mid-teen kind of growth, will that be a fair assumption still in, let us say, FY '26 or maybe on a FY '26 -'27 CAGR basis in the API intermediate segment?

Rashesh Gogri: So, basically, topline, see what happens is that, as I earlier also mentioned on earlier conference calls, is that we have regulated market customers, we have rest of the world customers and non-regulated customers. So, if we don't get the capacities available, then we cut the non-regulated market. But we still cater to high margin regulated market as well as the ROW customers. So, basically, practically, you have to see the EBITDA growth overall, which really makes the difference in the API segment as well as the Xanthine segment also, I can cut the spot sales. If the capacity goes down by 10%, still the profit may not go down by the same amount. The profit may go down by only a few percentage points and vice versa is also true because we are anyway capturing all the high margin markets. Even if I have much higher capacity, the growth may not come significantly higher because we are currently capturing all the important profitable markets and then we go after the non-reg market.

Dr. Neha Kharodia: And so in terms of capacity utilization for the quarter, can we give some color on that? Like how was the capacity utilization for intermediates in CDMO capacity?

Rashesh Gogri: Yes, we were 80% plus utilization, 80% -85%, which is optimally utilized because

we are doing so many products at a time. So, we are fully occupied.

Moderator: The next question comes from Yash Lahoti with SOIC Research. Please go ahead.

Yash Lahoti: Yes, good evening. So, my question was related to the CDMO part where we are guiding like 30% -40% kind of growth. So, first of all, will the margin this year expand on the console level? And also, like what is our vision for the CDMO segment for the next 3 -4 years? Can it be 30%-40% of the overall business for the company?

Rashesh Gogri: Yes, I think we have guided 30% -40% growth this year on the CDMO part. And I think overall, we aspire to do the numbers that I mentioned earlier in the call where we want to reach in 3 -4 years. So, I think overall, it depends on how the whole market plays out and how we are able to ramp up the other products. So, it can go anywhere between 25% and 33% of our sales.

Yash Lahoti: And the other question was related to the solar plant that is coming. So, what kind of cost savings can we get from that?

Rashesh Gogri: Yes, I did mention earlier that annually it will have Rs. 25 -30 crores cost saving for the current plant that we have operationalized. And then, of course, we have one more plant which is coming up, which is going to be the plant with the power purchase agreement that we will have with the joint venture. That will also have more savings.

Yash Lahoti: And the last question was related to the base business. How we are seeing the growth this year in the base business? We are almost near to the full utilization level and also, the newer capacities that are coming up into even Xanthine side and API side, later in this year?

Rashesh Gogri: So, I think second half is not far, yes. In second half, we will have the capacities and that will allow us to grow further. And we are also adding one additional de-bottlenecking of API line. There is a lot of, I think, de-bottlenecking which keeps on happening in the existing sites also. Overall, we will have additional capacities which will get freed up in the second half of this year or maybe towards the last quarter, which will allow us to grow this year and of course, next year as well.

Yash Lahoti: That is it from my side. Thank you for the opportunity.

Moderator: Thank you. The next question is from the line of Kumar Saurabh with Scientific Investing. Please go ahead.

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Kumar Saurabh: Hello, sir. My question is regarding the new CAPEX which will be coming live in next 6 -12 months. So, usually, whenever a new CAPEX comes live, some of the expenses are front-loaded. And then once we reach maybe 40%, 50%, 60% capacity, then the operating leverage may happen. So, coming to these two businesses where we are coming with CAPEX, how does it look like? Do you feel it will impact some margin for 1 year and then we will have an operating leverage? Or do you feel there should not be enough margin impact given the existing business picture of that?

Rashesh Gogri: Yes, I think the two CAPEXs are of different types. So, one of the CAPEXs is greenfield CAPEX, where I think whatever you said is true whereas the second CAPEX is brownfield. And in brownfield, I think the cost will not go up as much. So, we will have an advantage that with the higher capacity also, costs remain low. Whereas in the greenfield, we will have more OPEX which will have to be covered over a period of time with the utilization. So, I think we are going to have a mix of both. The Xanthine will be more brownfield and the Atali project is going to be more Greenfield of nature. And there also we have done almost Rs. 150-Rs. 200 crore of infra spend, which is for future. So, currently we have just started with Block 1, for which mechanical closure we have done. Still with the other blocks coming in, we have capacity to do 10

blocks. Also once we have more and more blocks, it will go more in the brownfield expansion mode. So, I think we have to bite the bullet once. So, that is what we will do in Atali.

Kumar Saurabh: Got it. And second question is on, if you can give some visibility in terms of the granularity of revenue in terms of the API and CDMO business, how granular it is? I know there could be restrictions in terms of competitive reasons, but if you can give some color to it that how granular these businesses are?

Rashesh Gogri: So, in the API business, we have in the next 2 -3 years, good patent expiries, which are coming in. And with the products that you can see our website and the expiries. We will have good potential if our partners are able to gain the market share. So, it is all depending on the partner's ability to gain the market share and how competitively we are able to support partner in manufacturing the products that they desire. But we have good pipeline. I think in that Anticancer and some of the general products have promising sales. I think I see a lot of billion dollar plus products in our pipeline, multi-billion dollar products, which are going to expire. So, we expect if we are able to get 10% -20% market share in these few of these products, we will be able to get a good growth in API. So, I think intermediate segment also same to basically where we are seated with multiple vertically integrated players, we end up supplying intermediates to multiple 5 -7 customers in each product. And even if one or two of them are successfully able to get their products launched in the US and Europe, we can get good volumes. And even the validation quantities and all that also can be meaningful. There again, the game is how competitive you are remaining in total and that is where the constant efforts to remain cost effective, create capacities for meeting the customer's demand and all that is important. So, that is why

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we have proactively invested in Atali to have that possibility of growth in this segment.

Kumar Saurabh: Got it. And sir, either now or in future, do you see any of these API intermediate products having more than 20%, high double digit revenue share of their segment?

Rashesh Gogri: Yes. That is what our overall aspiration is that any product that we do should be at least 10% plus of market share of the global.

Kumar Saurabh: Sir, I am not asking for market share. In the API intermediate, our revenue mix, are there products which are contributing in high double digit? Like 20% of overall API intermediate revenue or 20% of API intermediate revenue, do we have such products? Just to gauge how granular our revenue is?

Rashesh Gogri: No, we have more than 140 products that we offer as API intermediates. Of course, some of them are very big. So, few products have \$5 -6 million sales also. And of course, we have captive sales, internally consumption also. So, with that, I think overall, these products are larger products, but not very heavily dependent on any few products. So, it is a mixed basket of many products that we do.

Kumar Saurabh: That is all I had. Wish you all the best. I am looking forward to the next few quarters.

Moderator: Thank you. The next question comes from Abhishek with Padmaja Investments . Please go ahead.

Abhishek: Am I audible, sir?

Rashesh Gogri: Yes.

Abhishek: My question is on the Ganesh Polychem, like since the capacity is now running from July, is there a possibility for larger profit potential from the joint venture? That is my question?

Rashesh Gogri: I think longer term, the capacity we have grown and I think overall the plan is to the modification that we carried out was to enable ourselves to meet more demand of the customer. So, that is what is the endeavor. It may not happen in this year, but I think longer term, we will have higher capacities, which will be able to meet more customers and more markets. So, there are m

ultiple products that we have and few of them have applications in aerospace also and which is growing quite nicely. With that, we will have good growth possibilities.

Abhishek: As of now, the profit contribution from the joint venture is close to Rs. 40 crores or Rs. 60 crores?

Rashesh Gogri: Piyush, can you answer this?

Piyush Lakhani: Sorry, what is the question? Can you repeat?

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Abhishek: The joint venture contribution to the profit because now, we won't be adding it to the revenue and straight to the profit. How much is it going to be following this year or next year?

Piyush Lakhani: So, there will not be any impact on the profit per se. It will still be counted as part of the profit after tax. There will be an impact only on the revenue and the expenditure.

Abhishek: Yes, I got that part. I am asking that what was that number last year? Was it Rs. 40 crores or Rs. 60 crores?

Piyush Lakhani: It was Rs. 60 crores EBITDA. EBITDA was Rs. 60 crores. So, our share was 50% of that.

Abhishek: Thanks. That is all.

Moderator: The next question comes from Prakash Kapadia from Kapadia Financial Services. Please go ahead.

Prakash Kapadia: Yes. Most of the questions are answered. I just had one question. On the CDMO side, obviously, we have seen good growth, and you commented the trajectory will continue. So, given that growth in CDMO shouldn't EBITDA trend higher than the 12% -15% which we have I think mentioned at the PPT.

Rashesh Gogri: Yes, I think as we mentioned with the new plants coming in, we will have higher OPEX also and all that. So, with that, I think we have to see how our overall utilization happens and next year, we can definitely have higher growth. But this year, with the half year, we will have to see how it grows.

Hetal Gogri Gala: And also, along with CDMO, we have other businesses also growing. So, overall, there will be combined if we see. It will be as guided earlier.

Prakash Kapadia: Thank you, sir.

Rashesh Gogri: Thank you.

Moderator: The next question comes from Avneesh with Varkaria. Please go ahead.

Avneesh: Yes. Hi. Good evening. Thanks for taking my question. I just have a

quick one. This is regarding the CDMO business where you make products for the big pharma, the on-patent products. I just wanted to know that the APIs or the intermediates that you make, are they getting exported to the formulation plant in the US or are they getting to Ireland? Which is your major export country right now for that business?

Rashesh Gogri: I think they are getting exported all around the world. So, largely, I think Europe is quite concentrated for manufacturing of API and formulation. And of course, some goes to US as well.

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Avneesh: But the goods that are getting shipped to the USA, as I understand, API doesn't form in the definition of pharmaceutical as it applies for the tariff. So, are your APIs that are getting shipped to US, are they getting tariffed right now?

Rashesh Gogri: No, they are not getting tariffed.

Avneesh: So, basically, API are also exempt from tariffs as of now?

Rashesh Gogri: Yes.

Avneesh: And let us assume for a second that Section 232 investigation does lead to some tariff. Is there an understanding on how that might impact our business? Who is going to take on these tariffs? What are the contracts like? Are they FOB or are they DDP? Can you give some color on that?

Rashesh Gogri: Some of the contracts are FOB, I think largely FOB.

Avneesh: Is that an understanding that whatever number that comes from the investigation, whatever that number that would be, is it like partly absorbed by us and the customer or fully absorbed by the customer? Is there any clarity on that?

Rashesh Gogri: I think 50% tariff, if it becomes applicable, I don't know what will happen. But currently, anyway, we are s

afe from this. We are not speculating what will happen. Currently, they are under the exempt list. We hope that the things resolve and we have a much better tariff situation in future. And even if something were to come, I think, if it comes to 50%, I think there will be some impact. Because even if we directly may not sell, I think our customers will eventually sell to the US market because US is the biggest market of formulation, of generic products. And what is the stance of President Trump on the generic, whether they want to apply tariffs or not, and how he wants to take it. It is more speculative. I think today, the tariffs are not applicable. That is what we can say.

Avneesh: So, basically, when that number comes, that is when you start having discussions with your customer on basically, how this gets split or whether the customer absorbs it or not?

Rashesh Gogri: Yes, because a lot of customers are India based also, which ultimately end up exporting the regulated market API customers. These could be basis India, and they ultimately export. There are a few customers which are US based, but largely the manufacturing has shifted to other countries from US.

Avneesh: Yes, just one clarification here. Some of the other players have said that the APIs are actually not exempt from this Section 232 and it applies to only the final formulation. So, you are indicating that you are paying the tariff on the API exports to the US?

Rashesh Gogri: I think the products that we are exporting, our sale condition is CIF. So, we are not paying any tariff. And of course, the Xanthine is under

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Annexure 2 list. So, it is under exempt, the caffeine and its source are under the exempt list.

Avneesh: Understood. Thank you.

Rashesh Gogri: I would like to thank all of you for attending the call. Thanks.

Moderator: Thank you. This concludes the conference call. On behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2025

November 17, 2025

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of
India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: AARTIPHARM

Sub: Transcript of Q 2 FY26 Earnings
Conference Call
Ref: Regulation 30 of the SEBI (LODR)
Regulations 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on November 11, 2025 on the Un-Audited Financial Results of the Company for the Q2 FY26 .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED

JEEVAN MONDKAR
COMPANY SECRETARY AND LEGAL HEAD
ICSI M. NO. A22565

Encl.: a/a.

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"Aarti Pharmalabs Limited Q2 & H1 FY '26 Earnings
Conference Call"

November 11, 2025

MANAGEMENT : MR. RASHESH GOGRI – CHAIRMAN , AARTI PHARMALABS
MRS. HETAL GOGRI GALA – VICE CHAIRPERSON &
MANAGING DIRECTOR , AARTI PHARMALABS
MR. PIYUSH LAKHANI – CHIEF FINANCIAL OFFICER ,
AARTI PHARMALABS
MODERATOR : MR. SHASHANK KRISHNAKUMAR – EMKAY GLOBAL
FINANCIAL SERVICES LIMITED

Aarti Pharmalabs Limited
November 11, 2025

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Moderator: Ladies and gentlemen, good day and welcome to Aarti Pharmalabs Q2 and H1 FY '26 Earnings Conference Call hosted by Emkay Global Financial Services Limited.

As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shashank Krishnakumar from Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Shashank Krishnakumar: Hi, thank you. Good evening, everyone. Thank you for joining us on the 2Q and 1H FY '26 Earnings Conference Call of Aarti Pharmalabs Limited hosted by Emkay Global.

I would like to welcome the management and thank them for giving us this opportunity to host them. We have with us today Mr. Rashesh Gogri – the Chairman; Mrs. Hetal Gogri Gala – the Vice Chairperson and Managing Director and Mr. Piyush Lakhani – the Chief Financial Officer.

Before we begin this call, I would like to point out that some statements made in this call may be forward -looking in nature, and these must be viewed in conjunction with the risk that the business faces.

I shall now hand over the call to Mr. Piyush Lakhani for his opening remarks. Thank you, and over to you, sir.

Piyush Lakhani: Thank you, Shashank. Welcome, everyone. Good evening. Rashesh bhai would be joining us in a few moments, so allow me to read out the opening speech.

Welcome to Aarti Pharmalabs Earnings Call for the 2nd Quarter of the Financial Year '25-'26. Thank you for taking out time to join us today. I will be walking you through the Q2 FY '26 performance and highlighting key developments across our businesses. Let me start with an overview of our standalone financials for Q2 FY '26:

The top line for the quarter was INR 417 crores, which was INR 377 crores a year back, which is an increase of 11% Y-o-Y.

Aarti Pharmalabs Limited
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EBITDA stood at INR 75 crores as compared to INR 85 crores in the corresponding period of the previous year. The profit after tax for Q2 FY '26 was INR 31 crores as compared to INR 48 crores a year back. In this quarter, PAT had an impact of Forex loss of around INR 7.4 crores.

Now, I will talk about consolidated financials for the Q2 FY '26:

The top line stood at INR 418 crores as against INR 458 crores in Q2 of FY '25. The EBITDA for the quarter, that is Quarter 2 FY '26 stood at INR 75 crores as compared to INR 94 crores in Q2 of last year. The profit after tax for the quarter was INR 28 crores as compared to INR 55 crores a year back.

Now let me present a few business highlights:

Aarti Pharmalabs operates across three key verticals – Xanthine Derivatives, API and Intermediates, and CDMO -CMO Services. The Xanthine Derivative segment contributed 51% of our turnover in Q2. The volume split was 71% beverage customers and 29% others. In terms of geographical split, the export sales was 59% and the remaining 41% was local sales.

Coming to API and Intermediates:

This business stood at 39% of the turnover. The sub -segment wise breakup is 55% regulated market, 31% rest of the world and 14% non -regulated market. The API business saw high margin pressure. Moreover, the API sales mix in this quarter was skewed towards lower margin APIs.

The third segment CDMO -CMO:

CDMO -CMO has contributed 10% to the revenue for this quarter. We are presently working with 21 customers. The number of active projects is now 59, of which 39 projects are in commercial stage and 20 are under different stages of development, both at customer's end. We are on track to achieve and exceed the earlier estimated sales target which is 30% to 40%

growth Y -o-Y.

Let me now discuss update on the projects.:

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We inaugurated the Atali plant in September and have started operations. Currently, we are in the process of taking trial batches of a few products for customer qualifications. More products are planned in upcoming months. We expect the facility to be fully operational in two to three quarters, thus contributing meaningfully to the revenue from FY '27.

Xanthine expansion is ongoing as planned. We are now operating around 500 metric tons per month. The incremental capacity will get operationalized in phases, and we expect to reach 9,000 metric tons per annum installed capacity by end of this financial year.

Looking forward, looking ahead for the full year, we revised our EBITDA growth guidance to 8% to 12% growth Y -o-Y in FY '26. Our long -term business strategy is to target growth while maintaining financial discipline. We are confident that long -term customer relationships and strong technical capabilities will continue serving as pillars of our progress.

The moderator may now open the forum for a Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Rahul Jain from Credence Wealth. Please go ahead.

Rahul Jain: Sir, a couple of things. First, on the gross margin side. So, both gross margins and EBITDA margins have fallen sharply quarter -on-quarter as well as year -on-year, and I am talking about standalone margins only. So, the gross margins are down by roughly around 5% year -on-year compared to the last year, September '24 quarter. So, I understand that you have given reason and your presentation as well as your inaugural speech with regard to issues on the API and Intermediate business. But when we look at the segment -wise sales also, Xanthine is better compared to last year. And in fact, overall API sales are much lower than last year. And CDMO sales are higher than last year. So, how do we understand this margin fall? If you could share some more details about and what is the sustainable gross margin, we should look ahead for?

Rashesh Gogri: Yes, Rahul. So, basically, if you see, we have still maintained our CDMO -CMO top -line guidance. And actually, we have stated today that we are going to exit it. And

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now we have two quarters left. So, in these two quarters, we have to deliver the product and exit our guidance and for that we have had to use our facilities to produce these products for these projects which are in the intermediate stage. So, they have taken up some capacity which has resulted in largely the slow, little bit lower impact on the overall EBITDA number. But that impact will get wound up in the coming couple of quarters, basically.

So, as you know that, you know, we have fungible plants which are being used for the CDMO business as well as the intermediate business. And that is where the capacity gets utilized depending on the priorities and the profitability of the projects. And of course, CDMO projects get priority over sometimes the intermediate business. So, that is one reason for the overall slowness that you have seen.

Of course, second reason that we have stated that last year we had a couple of products which were launched in last year. So, we had huge sales of these products with good margins and which, of course, in a second year of genericization, there are more players who have entered the market and, of course, the margins always come under pressure.

So, till now, we have never had such large launch of these kind of products in past, which could hamper our overall margin percentage. But that has happened in last year, we had good launch, and this year, of course, this is the second year. So, that is where the impact has come.

So

, overall, that is what grossly summarizes the overall changes in the number that you are seeing in the results. And also this quarter we had, of course, non-EBITDA based, I think, Foreign exchange loss was also one of the components which, of course, had an impact. I think overall, yes, you were saying something.

Rahul Jain: No, sorry. You were saying something overall?

Rashesh Gogri: Yes, overall, I think the EBITDA number, overall EBITDA margins, we normally like to give overall guidance on growth only, absolute number. So, because percentage point depends on which market I am pushing, which product, and it can vary a little bit up and down. So, I am not too much worried about the overall percentage EBITDA over top line.

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Rahul Jain: And sir, with regards to the overall API business, so when we look at the full year this year, last year we have done around INR 770 crore sales. And in the previous call, you had guided for growth on that stage for the full year. So, as we speak today with some and with your comments?

Rashesh Gogri: Yes, basically in this quarter, we had a lot of intermediate manufacturing, which suck up the overall capacities for CDMO, which will get freed up in the last, this coming quarter. So, which will result in higher API overall number going forward.

Moderator: I hope that answers your question, Mr. Rahul.

Rashesh Gogri: I think he has dropped, so we can take someone else.

Moderator: Next question is from Ahmed from Unifi Capital. Please go ahead.

Ahmed: My first question is on the Xanthine business. What was the current capacity production in current quarter, which is Quarter 2 of '26? And compared to that, what was the production last year? And a parallel question to this is, with the new brownfield expansion, while expanding the capacity, will the volumes be impacted for the Q3 and Q4 or you think the volumes will expand from the current quarter's numbers?

Rashesh Gogri: We are not sharing the absolute production numbers. We are just giving the overall Xanthine numbers quarter-wise. We are not giving the pointed numbers every quarter.

So, I wouldn't like to share the data for confidentiality reasons.

How ever, we are operating at a higher level now. And with the de-bottleneckings that I was here, I had guided that the capacity will get de-bottlenecked. And actually, our expansions that we have done is we are taking care that we are not impacting the current running capacity, even though they are brownfield expansion. So, actually we are getting capacity released. And we are doing higher and higher capacity than the earlier months.

Ahmed: Second question was on the CDMO business. We have seen some changes in the commercial projects in first half of 2026 from the under development project. Does that give you any contractual visibility for next year? And it seems management is

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confident about the current year's guidance. Can you give some sense of new projects and how do you see the visibility for FY '27?

Rashesh Gogri: Yes, actually, I think the number of projects which are getting into the commercialized space is a good thing. And we have actually shifted almost seven, eight products there. And which have resulted in basically launches or approvals which have come in this last couple of quarters. So, which is really encouraging. And now that variability of whether that project will pass the approval of FDA and EDQM and other agencies is away and we are likely to see good potential sales of this product.

And what happens is that once you are into this approved list from the Phase -2, Phase -3, and you are plugged in as a source, long-term visibility gets created. Of course, the first couple of years, there will be a little bit of uncertainty related to launch and how much market share

or how big the brand becomes. But once the brand sales stabilizes, then we have really good visibility going ahead of these kind of projects that we do.

Ahmed: And just on the API business, there was, of course, Rahul asking questions earlier, right? So, we have seen some weakness in first half of 2026 compared to last year.

We had a very strong last year. Can you give some outlook for the API business in second half of 2026? Considering Atali CAPEX is already on, so will you be able to utilize that? Or how do you see the trajectory of API business in second half?

And I think we had two, three very good products. Couple on hyper-intensive side

and one on the respiratory side. So, do you see those products again coming back with high volumes or with the growth will be driven by new launches?

Rashesh Gogri: I think we have a portfolio of the API business that we say is comprises of API and Intermediate business both together. So, as I have explained earlier, we are selling commercial APIs, largely the APIs that we do are General APIs, Lifestyle APIs, we are also doing the steroidal APIs and we are also doing anti -cancer -based APIs. And we have been focusing more on Lifestyle and anti -cancer APIs off late and we have done a lot of R&D as well as the filings for the new projects. And this will get launched next, every year we will have a few launches, this kind of project. And as this launch is double -edge sword, so when you launch the product, you get a bump.

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And if the second year is not as large as that year and other products don't support, then you see a little bit of dip.

So, if you see last year, we saw good jump earlier on the API business. But this year, earlier projections we re there that the customers would buy. But there is a lot of competition and I think people have stocked up. And the prices have also come down for these few products, couple of products that launched.

Now, I think, of course, our regular products, which have been genericized for many products. So, we will have to wait for the new launches, and we have new launches and new products which will get factored. So, we will improve on our first half's performance in second half for the API business.

Ahmed: I have a few more questions. I will join back in the queue.

Moderator: Next question is from Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: So, sir, my first question was on the Atali project. I think that started in the first week of September. So, how should we, since it is a large CAPEX of around INR 450 crores, so how should we see its cost either on the employee costs, other expenses and finance, the cost and depreciation hitting our quarterly numbers in the coming two quarters? And hope fully, the ramp up starts from Q4, so it should start getting omitted.

Rashesh Gogri: Basically, see Atali project has close to 440 KL of capacity which will get added and out of which we have almost commercialized worth of capacity of almost 340 KL.

And we have actually had trial batches of the projects, some of the CDMO project also, which eventually we wanted to strengthen our site's manufacturing ability for future.

So, that activity has already started. We had audits as well. And so, we are taking a ll the necessary steps to qualify the facility for future. And also we will transfer more and more intermediates also at the current site to fill up the capacity.

So, I think Q4, of course, we will do that. And then next year also, couple of quarters, we will still have to do this activity and then the ramp -up will come. So, that is what will happen. Of course, the expenses for that particular part of the block that we have

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commercialized, we will have to start expensing it out. And it will start hitting the P&L also. So, I think in

next quarter results, you will have a fair bit of clarity about the number. Of course, we know the estimate, but we will give you more clarity then.

Ankit Gupta: So, Atali, we should see substantial increase in contribution ha ppening only from Q3 of next year after all the validations plus qualifications are done. Is that the right understanding or we should start seeing jump from Q1 itself?

Rashesh Gogri: No, the jump will be overall this year to next year, there will be a jump overall in the Intermediate business plus the CDMO -CMO business which this site is going to support. And yes, so that is what will happen. And as you have seen from last year to this year, we have anyway given much higher forecast. So, our current Vapi site was excessively used for the CDMO projects which we want now Atali also to be utilized. And both the sites can then support the Intermediate as well as the CDMO business.

Ankit Gupta: Secondly, on your guidance of exceeding 30% -40% growth which will happen, which is expected for this year. So, we have seen the number of commercial projects also going up on a quarter -on-quarter we have seen a jump in that. Some of our innovator partners have also got approval during the last quarter.

So, given how things are on the CMO, CDMO side, how should we, overall, you have been talking about reaching, targeting INR 1,000 crore revenue in the coming two to

three years. So, given how things stand currently, and with Atali also coming in, for '27 on the CMO, CDMO side, should we see a substantial jump in numbers even compared to the growth that we are seeing this year?

Rashesh Gogri: Yes, Ankit, see, CDMO -CMO business is a long-term business. One year here or there, but ultimately the numbers we will achieve and the numbers that we have targeted, we have mentioned earlier in our calls. It is always the launches and the strategy what innovators do. We have a few very large projects that we are doing with innovators, and it clearly depends on their strategy, how they are positioning and how they are planning to ramp up overall. Because all the innovators during the start of the project and approval, anticipated approval, they bulk up the launch quantities. And the first, second year, sometimes we have to be a little bit cautious.

So, I don't want to give any commitment. But I think longer term we see growth and there is a pathway really to achieve that number with the existing running projects

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that we have. And of course, anything additional projects that we get will also support us overall.

Ankit Gupta: And the last question on the API segment. Earlier in the previous calls, we used to talk about API achieving growth of around at least 10% this year also. But given how things are currently in the first half, do you think it is possible to achieve that kind of growth portfolio or achieving last year's number itself becomes a tall task this year?

Rashesh Gogri: Yes, I think we are going to see what happens on those. But I think growth will be a little bit more challenging, it looks like, because last year's launches, on which we had earlier promises, the customers are a little bit slow with higher inventory. And of course, they have the market position, but it is just an inventory correction. Last year, they bought 1.5 years' inventory, and now they are saying that, okay, you wait, and then the competition has also entered. So, that flux has to settle. We have partnership with the customers who had early launches of these kind of products. So, we will continue to have that advantage. It's just a blip on a couple of projects, but we have more range of products.

So, there is a product mix effect also in certain products like steroids etc, the product mix is really changing and newer products are getting more traction. For example, the newer salts of steroids are getting more

traction. So, we are also forming a strategy to commercialize these products in a much optimized way. So, that will also happen this year. Some validation batches have also taken up some capacity. So, once we get over this, I think, again, we will be back to the growth phase.

Ankit Gupta: And sir, we had some very interesting launches on the API side in the oncology segment in '27 and '28. So, with that happening, should we be back on our path to INR 1,000 crore in the API segment, let's say in FY '28?

Rashesh Gogri: Yes, actually, we are looking at debottlenecking our anti-cancer block as well in the second half of the, you know, later part of this year, early next year, which will be enabling us to further look at meeting the targets of these launches. And these are very good products that we anticipate good growth.

Ankit Gupta: And that will happen in '27 and '28, right? '27 launches are there.

Rashesh Gogri: Yes.

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Moderator: Next question is from Vinayak Mohta from Buglerock Capital. Please go ahead.

Vinayak Mohta: So, I just had a couple of questions around the CDMO side. In your presentation, you have talked about some emerging work happening on the mid-size peptides. Could you elaborate a little on that? Are you working on this from scratch with an innovator or how is it? And added to this, from the products that have increased on the commercial project segment to 39, are these all products which have come up from under development projects and they are ready for commercialization or these are fresh commercialization opportunities that you have picked up?

Rashesh Gogri: Yes, I think on the peptide we are preparing our R&D to have a look at peptides. I think we will start with the liquid peptide which has a little bit lower molecular weight and then eventually we will go up. And currently, it will take a little bit of time for us to do commercial projects on that peptide segment. But we have started discussion with this liquid phase work and we are trying to promote ourselves as one of the partners that innovator can do partnering with us for this segment.

Coming to this CDMO launches and commercialization, we have seen changes of almost seven, eight products have come to the commercial basket from earlier under development. And of course, we had two products which have dropped. So, this is basically part of the CDMO business, how it works. So, there will be certain products which will drop. There will be certain products that will move to commercial. And then we have to keep on increasing the overall pipeline to get the sustained growth of the business.

Vinayak Mohta: And so, is it fair to assume, I mean, from a trajectory standpoint, as and when the share of CDMO will continue to improve, and as we have seen in other companies as well, CDMO would be coming at higher gross margins. Thereby, your EBITDA margin from a structural standpoint should be on an uptrend itself. Would that be a fair assumption to have from a longer-term perspective, not near term or anything?

Rashesh Gogri: Yes, CDMO business has structurally higher margins. How it impacts the overall mix is depending on how other mixes are also growing and how much is the percentage of CDMO vis-a-vis the others. So, that, of course, is a math, which we will have to see how it goes.

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Vinayak Mohta: And the last question on the Xanthine side, you said that you will be able to ramp up to 9,000 tons by the end of Q4. And the first two quarters have --

Rashesh Gogri: The capacity will become 9,000 metric ton.

Vinayak Mohta: Understood. By Q4.

Rashesh Gogri: In Q1 that we will take some time to increase it. See, we have increased capacity from 5,000 ton to 9,000 ton. And in year one, we don't expect to fill it up. So, there will

be

growth. There will be a ramp up of that. And I think in next two, three years, because see, we are taking up overall from the market share perspective also almost 25% of the market share, which is very large and now there to further grow and hold up, that is going to be quite a task going forward.

Vinayak Mohta: Yes, that was my clarification. And one last question. On the EBITDA side, you have talked about 8% to 12% growth. This is after considering all the costs from the Atali plan that will start hitting the P&L from this quarter onwards, right?

Rashesh Gogri: Yes, this is standalone guidance that we have given.

Moderator: Next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: Sir, my first question is on the CDMO side. If you can talk about what are the efforts that we are doing to increase the funnel because at least in FY '25, the total number of projects were 60 with 21 customers. And I think even at the end of H1 also it remains the same. So, I understand it is a long gestation thing and there will be a lot of things in the pipeline. But if you can highlight on what are we doing to increase our funnel for future growth, let's say, beyond 2-3 years.

Rashesh Gogri: Yes, good question. So, basically, in the CDMO-CMO segment, basically, we have started an office in Europe. So, we have a representative in Europe which is promoting Aarti Pharmalabs' CDMO activity in Europe. And now we plan to put one person exclusively for the CDMO BD in North America.

So, with this geographical ground presence, I think they will be able to meet customers and convince them. Of course, we keep on attending all the trade shows.

And we are trying to take also overall analytics help to keep a tab on the new launches.

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And see, the segment that we want to get after is Phase -2 to 3 when the Phase -2 approval comes and then it moves to Phase -3 clinical. So, we work jointly and with the customers that we have, we are trying to increase our wallet share also with getting additional products. So, these are the steps that we are taking to increase our overall reach within the CDMO industry.

Dhwanil Desai: Sir, second question, on the API side, we talked about last year being the first year of launch and hence better pricing. And this year, some pressure on couple of products.

So, when we launch a new product, then most of the time for regulated markets, those products are mentioned as a source. So, in that case, how does the pricing agreement work? Is it on a spot basis or is there a pricing formula? And once you are there in other source, my understanding was that the pricing pressure is significantly less. So, is our understanding correct or if you can throw some light on that?

Rashesh Gogri: Yes, in a genericized product which is genericized five years ago, all this holds true

that with the genericized product changes, unless there is a big delta, it does n't happen. But when the product is launched, I think in particular market, which is a big launch, what happens is that overall, the margin, the pharmaceutical manufacturers, vie for this market share. And there is a lot of competition. And whoever wins th is gets the lion's share of the market.

So, that happens. And during that, everyone thinks that we will keep significant market share and they keep stock. And then ultimately, if that doesn't happen, then they will have excessive stock which they have to correct. So, that is a standard thing.

So, first two years of the launch are volatile. After several years, we had this kind of a mega launch of few products which saw this kind of up -down.

Dhwanil Desai: And sir, two clarifications, actually. So, one, w e talked about 8% to 12% EBITDA growth. So, that kind of, in a way, says that H2 will be INR 300 -odd crores EBITDA even after the Atali cost c

oming in. Is that a fair understanding?

Piyush Lakhani: Yes, Dhwanil. That is what we are basically targeting. An d we are working hard to achieve it.

Dhwanil Desai: And our long -term target of 15% to 20% EBITDA growth for next three years, that remains intact, right?

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Rashesh Gogri: No, no, 15% to 20% EBITDA growth is quite steep. I think that is the number that we have not stated. Overall, I think, profit growth, PAT growth or PBT growth, we can target a good number. But I think EBITDA growth can't be 20% unless we get very big launches and we are extremely lucky with certain things.

Moderator: Next question is fro m Prakash Kapadia from Kapadia Financial Services. Please go ahead.

Prakash Kapadia: Just to get the growth perspective, you have mentioned 8% to 12% growth. So, that implies a 17% EBITDA growth in H2. So, for this, given whatever has happened in H1 in the API segment, CDMO has to grow substantially over last year's base and the last year H2 had a fairly decent base of CDMO.

So, what is going to drive growth in the near term? Is it just CDMO or API also normalizing, which will get this EBITDA growth comin g in in H2? And directionally, what kind of a CDMO contribution is possible given that the Atali project will commence and be ready by the year end? Trial productions are obviously on. So, next two, three years, what kind of a mix should be possible from t he CDMO segment? Those are my two questions.

Rashesh Gogri: See, the CDMO segment overall annual guidance we have given. And I think we have today on the call, we have mentioned that 30% -40% growth guidance that we had given earlier, we will be able to ex ceed that. So, that means that in the second half of this year, we will have substantial sales of the CDMO, which is going to be over and above I think the entire last year's value also, you know, so, full year value. So, that is what is going to happen. A nd we have orders in hand. Otherwise, we wouldn't have been able to give you such kind of certainty. And that have been planned that has occupied our current manufacturing blocks for this earlier stage.

What we are doing is, we are also doing, say, for a few projects, we are doing 8 -10 stages in -house. So, if we have these kind of large orders, the plants get occupied over a period of time, over a quarter for this activity. And the invoicing only happens once we sell these goods to the final customer. So, that is what will accumulate the profit. And the way in which the accounting standard guidelines are there, all these we can't take it as WIP profit in the running quarter.

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Secondly, I think, overall, we have guided that over last year, the growth will happen.

And of course, we will see next year, depending on the projects that we have, what kind of further growth that we will be able to generate in our CDMO business. I think as we go to the last quarter or towards that, we will be able to do more guidan ce on that. But we are sure that we will be able to grow that number in future, long term.

Coming to API business, API business will normalize in 2nd half. So, the first half, whatever the slowness was there, I think in the second half of this year, we w ill ramp it up.

Prakash Kapadia: And lastly, sir, you mentioned capacity remains fungible. So, just wondering how easy or difficult it would have been given the kind of CDMO pipeline and order book

which we have to do some of the CDMO sales at the cost of API? Because if API was slightly more margin dilutive and not so lucrative, so we could have avoided some of that sales to get certain CDMO also, or it was committed and we had to fulfill.

Rashesh Gogri: Yes, Prakashji, you know, the CDMO sales always get first priority. And then we look at the intermediate manufacturing. See, the API manufacturing

g has dedicated

manufacturing blocks and that is where we continuously do the production. It is just a question of intermediate manufacturing, how it shifts, basically, because we are backward integrated in our intermediates that we manufacture for our API business.

So, now we are also taking steps to also qualify outside suppliers for these certain intermediates also, so that in such situation we can buy those intermediaries and take a commercial call, which makes more sense for the company in future. So, few products we will create a outsource model.

What has happened is that our current intermediate manufacturing capacity was quite occupied with all this. And now with the Atali coming in and with the validations getting shifted, we will see more space where we can basically do the backward integrated intermediate manufacturing as well. So, which will see growth also.

Prakash Kapadia: So, that should enable CDMO opportunities or further growth in CDMO if that opportunity comes.

Rashesh Gogri: Or intermediate will also grow.

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Moderator: We have a follow-up question from Ahmed Madha from Unifi Capital. Please go ahead. Since there is no response from Mr. Ahmed, we will proceed with the next question from Jash from Dalal Broacha. Please go ahead.

Jash: Sir, my first question is on the CDMO front. Since 6 molecules have moved from the development phase to the commercial phase, and you have upgraded the guidance for the CDMO business this year, does this mean that a lot of that sales also comes in or is the 30% to 40%, exceeding the 30% to 40% guidance from the molecules that were approved earlier itself?

Rashesh Gogri: Yes, it is basically a combination of everything. So, we have done commercialization with more partners also on the existing products because as I had explained you earlier, each innovator product, there are multiple API suppliers for that innovator.

And then depending on where we are plugged in as a supply chain supplier for their GMP or early stage intermediate, it depends on that. So, we have qualified ourselves with multiple API suppliers for that particular innovator's product as well. So, all these things are happening simultaneously, which creates opportunities for growth.

Jash: But then a much larger part would come in in FY '27. Is that a fair understanding of the new molecules?

Rashesh Gogri: New molecules, as I explained, launch quantities, we have created the larger growth that we are going to see in this year. We have to see how the innovators continue for the coming years. Depending on the success of the product, they will do the more forecasting and they will plan next quantities with the supply chain.

Jash: But you feel that you can grow on this base in FY '27?

Rashesh Gogri: Long term, the products that we are part of are part of the good growable therapeutic area. So, we are hopeful that these molecules will grow into good size.

Jash: And, sir, the next question is on the RFP and the pipeline that we are working on, on the CDMO front. So, you mentioned that we are looking at more of Phase -2, Phase -3 kind of molecules where we can enter in as a second source suppliers. How does this pipeline look? And what can we expect on the newer additions of any molecules that we can model?

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Rashesh Gogri: Yes, basically, we are working on developing our pipeline and we are participating in several RFPs. It is for us to win those RFPs. So, it is a constant strategic call of the innovator which way they want to do, whether they want to outsource from India or U.S. or which product they want to outsource. So, we are participating in more RFPs and we are confident that in future we will get more projects.

Jash: And which therapeutic areas are we focusing on?

Rashesh Gogri: We are agnostic, we a

re doing small molecule CDMO.

Jash: I will take the other questions offline.

Moderator: Next question is from Vikas Sharda from NT Asset. Please go ahead.

Vikas Sharda: Two questions. One is regarding the Forex loss book in this quarter. So, what is it coming from? And I mean, this is particular to this quarter or what has happened?

And secondly, on the Ganesh Polychem, the joint venture, the first quarter had a planned shutdown, but this quarter again, they reported a loss. So, what is the outlook looking like?

Piyush Lakhani: Hi Vikas, Piyush here. On the first question on the Forex loss, it is coming basically, as we all know, because of the sharp depreciation of rupee of almost more than INR 3 in this quarter, 30th September as compared to 30th June. And this is coming basically on the loan that we have foreign currency long-term loans that we have. We have 24 million of long-term loans.

So, basically, when I re-value it in rupee terms, the liability increases. And that is what has caused mainly the Forex loss. And on top of it, we have working capital loans also denominated in the foreign currency, mainly USD. So, there also, because when I re-value it on 30th September as compared to 30th June, because of the rupee depreciation, the finance cost goes up.

Rashesh Gogri: Yes, and basically longer term we feel that looking at the nature of business and almost 50% export that we have as a strategy, company has decided to keep these loans Forex open. Because longer term otherwise we will have to hedge it and sell more dollars. And by this, we are saving the hedging cost.

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Piyush Lakhani: I don't remember any quarter where Rupee has depreciated so much in one particular quarter. So, that happens. So, now if Rupee stabilizes, then my next quarter interest cost would be lesser. The second question on the Ganesh Polychem, it is still the plant is getting started.

Rashesh Gogri: So, basically in the Ganesh Polychem, the plant got started. Actually, earlier quarter there was loss, so this time there is no loss. What has happened in the consolidation, we paid INR 3 crore dividend, which had a negative impact. And the loss that we had in Ganesh Polychem prior to Q1 and Q2, Q2 is much lower. So, it is just barely a crore of loss or something like that. Not a big number.

Of course, accounting treatment as well as depending on the transfer of ownership of consignments that happens, so, CIF, if we are supplying by CIF, you know, those profits we have not been able to get in the books in the current quarter. So, it will still take, I think in this quarter, it will normalize.

Moderator: Next question is from the line of Dr. Neha from Abakkus. Please go ahead.

Dr. Neha: So, my first question is regarding the increase in the overall inventories as of H1 F'26.

So, just wanted to understand, sir, as you mentioned about the CDMO business, as we book more sales from CDMO in H2, should we see more normalization there and thereby normalization in the overall working capital?

Piyush Lakhani: Yes. So, for the CDMO business, the inventory gets built up over a few months because the manufacturing is spread across many months. So, it goes up and then it comes down when the sales is booked.

Rashesh Gogri: Yes, it happens particularly if we have very large customer order which has got concentrated in these quarters, coming quarters. So, which has resulted in preparative manufacturing happening across earlier quarter and which has resulted in this increase and also impacting the overall results as well.

Dr. Neha: So, in line with that, should we also see a reduction in the overall debt because half of our increase in debt has come from the short-term debt?

Piyush Lakhani: So, it will depend. The idea, basically, we manufacture too many stages. So, we are fully backward integrated in most of the intermediate stages that we manufacture and

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those also get created or produced across multiple sites. So, there will be always a basic level of inventory that we will have to carry and you will always see on the financials. If you see last year, you know, March, it was INR 540 INR 550 crores. It has gone up to INR 625 crores. So, again, you will see that kind of change. But overall, the working capital in absolute term will remain almost around the same level. Because once my sale happens, then the debtor will increase correspondingly if I do a bigger sale.

Dr. Neha: That's helpful. And just lastly, on Ganesh Polychem, sir, you mentioned about the losses coming down, but how should one look at the Ganesh Polychem business, let's say, for H2 in terms of outlook and, let's say, the year ahead in FY '27?

Rashesh Gogri: Yes, I think the business will stabilize. Of course, not at the last year's level, but last year we had bumper year on that. And we actually pushed a lot of inventory in the last year, so that we can prepare for the shutdown of this one quarter shutdown that we had. Actually, there are some expansions where we have also planned the cost reduction process going forward. And that also will take another one quarter to get standardized. And once that comes in, I think the profitability again will come back. So, this 2nd half will be soft. But I think next year onwards, again, we will be back with reasonable profitability.

Dr. Neha: So, FY '27, should we expect that there should be a growth in the PAT versus FY '25 level?

Rashesh Gogri : Yes, at least it will be near FY '25 level. It will be 80% to 100% of FY '25.

Moderator: Next question is from Shubham Aggarwal from Burman Capital. Please go ahead.

Shubham Aggarwal: Sir, I just wanted to ask, so we have seen a sequential increase of about INR 13 crores from Q1 to Q2 in terms of our operational and employee costs. So, how much of this is attributable to the commencement of Atali business and how much incremental operational costs can we see in the second half of this year?

Rashesh Gogri: See, also one of the INR 13 crore. So, what is happening is that Q-o-Q, this Q2 is the weakest power generation because we have solar power, which almost gives us the annual saving of the INR 30 crore plus. This quarter is the weakest quarter. And the last quarter, Q1 is the strongest quarter of power production. So, that impact itself

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quarter-on-quarter is quite a large impact. And almost I think that impact was close to INR 3 crore only in this whole large generation dip that we happened over last quarter to this quarter.

Apart from that, we had one -off charges for certain manufacturing facility upgradation, which we did, particularly for Xanthine, what we have done is we have to keep ourselves approved with the large customers for both the facility functionality we had created. For that, we had to spend a lot of money. So, which has accounted for and also in the earlier questions, there was a question where how are you keeping these manufacturing operations running while still doing the expansion? So, for that, we have to spend money, additional money on this activity to create operation stability. So, that has also resulted in some increase in the cost.

Shubham Aggarwal: So, sir, then net-net we would have seen like INR 5 crores to 7 crores of cost from Atali commencement, right, this quarter?

Rashesh Gogri: Yes, Atali, we did not have because it was just operated in the last week. So, we have not had any major expense that has come from Atali. So, Atali will have impact on the current quarter onwards.

Shubham Aggarwal: And sir, how much impact will that be?

Rashesh Gogri: So, we will have to see one quarter, I think, how much impact it comes to. It will have at least INR

4 crore, INR 5 crore impact every quarter. We still have to get the real numbers because we are just starting and of course, minimum power bills have started coming in and all those, how much we are able to apportion, it is an accounting call.

Shubham Aggarwal: My second question is on the depreciation part. Will Q3 be like a full consolidation in terms of depreciation of the new Atali plant or will that be Q4?

Rashesh Gogri: Q4 will be more because we have done part capitalization and I think more capitalization will happen towards the end of the year.

Shubham Aggarwal: And so then, sir, if you can also comment on what will be the stabilized run rate of depreciation on a quarterly basis at Q4?

Rashesh Gogri: We will have to work that number and get back to you.

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Piyush Lakhani: That number we will have to work out. Yes, part of the project is still getting capitalized and there are some projects which are in capital WIP. So, we will have to see when those get also operational or capitalized.

Moderator: Next question is from Mr. Umang from Avenir Investment Management. Please go ahead.

Umang: My first question was on the Xanthine segment. We have seen a decent performance

in this segment in this current quarter. So, one is, can you share some light that how we expect to close on this segment in this particular year? And second is that this growth in this particular segment is largely volume driven. We have seen some better pricing also where margins maybe have moved to our favor. So, that is the first question on Xanthine.

Rashesh Gogri: Yes, basically one of the manufacturing plants that supports the Xanthine manufacturing that we are classifying as the Xanthine manufacturing revenue had a turnaround in last quarter and which was completed. And now this quarter we had sales which originated out of that asset.

Apart from that, of course, as we have mentioned that we are increasing from 5,000 to 6,000 manufacturing and slowly, slowly that increase has happened. So, that has resulted in increased production.

Also, with the qualification of both the sites that we have done for the large customers, overall pie and the margins have improved. So, all these cumulative effect we are seeing on the revenue jump that has happened in the Xanthine segment.

Umang: So, what we can understand is that this revenue jump has resulted in a decent margin and the pricing fluctuations are not affecting the margins and this segment should close on a growth for this year. Is that understanding correct?

Rashesh Gogri: Yes. So, I think CDMO and Xanthine segment, of course, in the first half also, they have grown. And they will continue to grow in the second half. API, of course, as you know, yes.

Umang: So, my second question was there only. So, since you mentioned and as per your comments on throughout the call, you have some expenses or maybe front-loaded

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because of this Atali plant coming in. So, is this a fair understanding that Q3 or Q4 onwards, the expenses should get normalized and this both API and CDMO growth that we anticipate, both should start growing hand-in-hand in conjunction? Is that a fair understanding?

Rashesh Gogri: I think it is not, see, everything can't get normalized because of the Atali coming in. I think Atali ramp up will happen in next year. What happens is that it creates a space for us to do more intermediate manufacturing and more CDMO manufacturing in future.

See, currently we are operating 600 KL at one Vapi site and this is 400 KL addition.

It is a big addition that we have done. And then in future, if we feel that we require additional block, we will put one additional block which will be 200 -300 KL

additional. So, we are not going to shy away from that as well.

Umang: But the reason I was asking

is that by next year onwards, do you see that this API segment should be back on the growth trajectory?

Rashesh Gogri: Yes. With the new launching anticipated on the anti-cancer segment, of course, it depends on how our partners are going to do. But we are hopeful. Of course, we have done the hard work. Now, partners have to deliver. They have to capture the market share and get us the API orders.

Umang: So, the last question. From my understanding, in CDMO segment, we are mainly a second or a third source supplier. So, do we expect in the near term, in the next one or two years, to become a single source supplier for any of the products that we have in the basket or maybe in the funnel that you anticipate?

Rashesh Gogri: No, no, no. API innovators will never keep a single source. We expect to become preferred source in future. But they always have couple of two, three sources as a supply chain security.

Umang: The reason I was asking that generally there is always a supplier who gets the majority share of the CDMO services, then it gets flowed to the second and third source. So, wanted to understand in that particular context.

Rashesh Gogri: So, we are trying to become preferred source. So, that is preferred source. Yes.

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Umang: Those were my questions.

Moderator: Next question is from Shubh Mehta from ICICI Securities. Please go ahead.

Shubh Mehta: You mentioned previously that we have debottlenecked some capacity on the Xanthine side. Can you quantify what is the current monthly capacity over there? And also can you give us the pricing side?

Rashesh Gogri : We have debottlenecked the capacity in Xanthine, right?

Shubh Mehta: Yes.

Rashesh Gogri: Yes, so basically as we undertake the expansion of Xanthine, we have on the finish line side, we have done some debottlenecking. And that is why we have increased the capacity from 5,000 to 6,000. We are operating at 500 tons per month now, this month. So, yes.

Shubh Mehta: And how much on pricing side? Is it directional? Is there some revival of the Xanthine side or is it stable?

Rashesh Gogri: I think the pricing has bottomed out, basically. And of course, it has not moved from bottom significantly, but it has stabilized.

Shubh Mehta: So, second question was a clarification towards Ganesh Polychem side. So, earlier we used to do INR 50 crores to INR 60 crores of run rates per quarter. And post that we had revamped our facility. So, what kind of upgradation do we expect? First, is there going to be supposed to increase our production capacity and how much margins or profitability do we expect some improvement on that side as well?

Rashesh Gogri: Yes, see, Ganesh Polychem is present in few segments which are dual use kind of segments. So, the resins and the polymer intermediate that they produce have usage in dialysis based resins or they have usage in drone technologies also. So, we are positioning ourselves to these growth markets and also positioning ourselves with the lowest cost possible.

So, all those exercises we have done in this first half by taking a larger shutdown in Q1 and then stabilizing and standardizing the production from the newer plants,

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modified plants in this current quarter. And also, we plan to shift our Dombivli site also in future. So, that will also happen in this year.

So, with all these three events happening, new products, focus, cost reduction, as well as the shifting, I think this year we had anticipated that this year will be a rough year for us. But I think next year, once it is done, we will be back with reasonable numbers.

Moderator: Thank you very much. Participants, in the interest of time, that was the last question for the day. I would like to hand over the call to management for closing comments.

Rashesh Gogri: I would

like to thank all the participants for joining our call. Thank you.

Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

AARTI PHARMALABS

February 16, 2026

To,

Listing/ Compliance Department

BSE LTD.

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam, To,

Listing/ Compliance Department

National Stock Exchange of

India Limited

"Exchange Plaza", Plot No. C/1,

G Block, Bandra Kurla Complex,

Bandra (E), Mumbai — 400 051

SYMBOL: AARTIPHARM

Sub: Transcript for the third quarter and nine

months ended for the FY26 Earnings

Conference Call

Ref: Regulation 30 of the SEBI (LODR)

Regulations 2015

Please find enclosed herewith the Transcript of Earnings Conference Call held on February

10, 2026 on the Un-Audited Financial Results of the Company for the third quarter and nine

months ended for the FY26.

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For AARTI PHARMALABS LIMITED

JEEVAN MONDKAR

COMPANY SECRETARY AND LEGAL HEAD

ICSI M. NO. A22565

Encl.: a/a.

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AARTI PHARMALABS LIMITED

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AARTI PHARMALABS

"Aarti Pharmalabs

Q3 and 9M FY '26 Earnings Conference Call"

February 10, 2026

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MANAGEMENT: MR. RASHESH GOGRI — CHAIRMAN — AARTI

PHARMALABS

MRS. HETAL GOGRI GALA — VICE CHAIRPERSON AND

MANAGING DIRECTOR — AARTI PHARMALABS

MR. PIYUSH LAKHANI — CHIEF FINANCIAL OFFICER —

AARTI PHARMALABS

MODERATOR: MR. ZAIN — DOLAT CAPITAL MARKETS PRIVATE

LIMITED

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Moderator:

Zain:

Rashesh Gogri: Aarti Pharmalabs

February 10, 2026

Ladies and gentlemen, good day, and welcome to Aarti Pharmalabs Q3 and 9 Months FY '26

Earnings Conference Call, hosted by Dolat Capital Markets Private Limited. As a reminder, all

participant lines will be in the listen-only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during this conference

call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note

that this conference is being recorded.

Now hand the conference over to Mr. Zain from Dolat Capital Markets Private Limited. Thank you, and over to you, sir.

Hi. Good evening, everyone. I am Zain Gulam Hussain from Dolat Capital Market Private Limited. It gives me immense pleasure to hold 3Q FY 26 Aarti Pharmalabs Limited con-call. From the management team, we have Mr. Rashesh Gogri, Chairman; Mrs. Hetal Gogri Gala, Vice Chairperson and Managing Director; and Mr. Piyush Lakhani, Chief Financial Officer. Now I pass it over to the management for their opening remarks. Over to you, sir. Good evening all, and welcome to Aarti Pharmalabs earnings call for the third quarter of the financial year '26. Thank you for taking the time to join us today. I will walk you through our Q3 performance and share key developments and provide insights into the steps we are taking to strengthen our growth going forward.

Let me start with the summary of our stand-alone financial year -- financials for Q3 FY 26. The revenue was INR425 crores, which was earlier INR471 crores a year back. The EBITDA was INR103 crores as compared to INR115 crores for the corresponding period of the previous year. The profit after tax for the Q3 FY '26 was INR44 crores as compared to INR74 crores a year back. I'm pleased to inform you that the Board has declared an interim dividend of INR1.5 per share.

Now let me present a few business highlights. Aarti Pharmalabs operates across 3 key verticals: Xanthine Derivatives, API and Intermediates, and CDMO/CMO services.

The Xanthine Derivatives segment contributed to 49% of our turnover in Q3. The volume split was 63% beverages customers and 37% other. In terms of geographical split, the export sales 'wa

s 51% and rest was -- 49% was local sales.

The API and Intermediates business stood at 39% of the turnover. This subsegment-wise 'breakup is 52% regulated market, 34% ROW market and 14% non-reg market. The API business continues to see some margin pressure. While early indication of recovery are emerging, we remain vigilant and are directing all our efforts towards patent expiry over coming years. The third segment, CDMO/CMO, has contributed to 12% of the revenue in this quarter. We are working with 21 customers and the number of active projects are 59, out of which 40 projects are in the commercial stage and 19 are under various stages of development, both at customer end.

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Moderator:

Ahmed Madha:

Rashesh Gogri:

Ahmed Madha:

Rashesh Gogri: Aarti Pharmalabs

February 10, 2026

Apart from Q3 reported sales, another INR49 crores worth of goods were in transit as of 31st December '25. These goods could not be booked as sales due to accounting norms. We are confident of meeting our CDMO revenue guidance for FY '26. However, exceeding that target, which was earlier a possibility, now looks difficult due to certain project deliveries getting pushed by a few months.

Let me now discuss the update of the expansion projects. Atali plant started production of qualifying batches in Q3 FY '26. While ramping up Phase 1, we have encountered some starting hiccups, which impacted the production plan. We have taken corrective actions in place, and we expect the resolution by end of the current quarter.

The Xanthine expansion is progressing as planned, and we are targeting the mechanical completion by end of March '26. The incremental capacity will become available for the production in Q1 FY '27. However, utilization will increase progressively over subsequent quarters in line with the operational scale up and the order inflows.

Forward outlook: Looking ahead for the full year FY '26, we expect EBITDA to be largely in line with last year with only marginal growth. This revision is mainly due to the delay in Atali plant stabilization and relatively softness in API and intermediate business. While this reflects the near-term pressure, but our fundamentals remain strong. I'm confident of mid to long term growth trajectory of Aarti Pharmalabs. Our efforts are dedicated to drive operational efficiencies and scale each business segment prudently to create long-term shareholder value.

The moderator may now open the forum for Q&A session. Thank you.

Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Ahmed Madha from Unifi Capital.

My first question is, if I look at the CDMO business, the number of projects, the commercial has gone from 33 to 40 in the last 9 months. Does that give you any visibility for FY 27 growth? I mean, next financial year, what sort of -- considering the way the projects have shaped up, would you like to give some comments, how is the outlook for the growth shaping up?

Yes. I think as you have seen, the number of projects have increased on the commercial side,

and we are working with our customers in the starting of the year to work on this number. I think we will be able to give that guidance of CDMO/CMO growth post our budgeting exercise, which we will do in next month. But we are looking at good growth. I think we have strong pipeline of projects with these 21 customers, and we are confident that we will be moving forward with a very good growth.

And in the incremental projects that have come, are those products already commercialized and scalable and we are being added as a secondary supplier or some of these products are getting launched probably a year down the line or next year?

It is a mixture of everything. We are getting added. In certain projects, we are primary source, in certain projects, we are getting added as a secondary source. It is more that products are getting

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Ahmed Madha:

Rashesh Gogri:

Hetal Gogri Gala

Ahmed Madha:

Rashesh Gogri:

Ahmed Madha:

Rashesh Gogri: Aarti Pharmalabs

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launched or we are getting qualified in these projects as an approved source. So with this happening, I think we will have -- the number of projects, which are adding meaningful value to our sales, are increasing every year.

Sure. And on the API side, I understand we had few good launches last year and the pricing pressure is the nature of the business. But going forward, for the new launches on the diabetic side, the gliflozins, and the onco side, do we have any new launches in the pipeline or for the next year, we have to rely on the existing portfolio?

No, 0, we have new launches.

Yes, we are validating quite a few APLs on oncology side, and also improving our manufacturing processes on diabetic side. However, some of these APIs will have the patent expiry somewhere around 27, 28. And we will see more and more customers getting into our kitty with the validation completion in current quarter and in the next quarter as well. So 2026 also, we will have a couple of new launches for the onco APIs as well. Also, we have the new CSO who has joined. We are working very aggressive on revisiting our strategy and working to capture the oncology pipeline early on.

Sure. Sure. Got it. My follow-up question on that is, does that mean FY '26-27 - this year, obviously, we'll have degrowth. But FY 2627, do we consolidate or we can grow from that base?

See, what we are doing is that we are trying to debottleneck the steroid line so there we can add more sales. Of course, we have space in our general block, where we are trying to get more projects validated and that validation has been done in this year. So those will get commercialized. These are some of the old products that we have taken up because we had space.

In 2026, we have a few launches like Apixaban and a few other anticancer products that are getting launched in 2026. So with those launches, we will see 2026 to be a better year -- 2026-'27 to be a better year overall in terms of API.

And also API business numbers also consolidate the numbers of intermediates. So there are a few intermediates that we supply from our range of intermediates for these newer launch drugs also. So those are also going to increase significantly going forward.

Sure. Sure. That helps. Thirdly, on Atali, you spoke about the operational challenges. Can you just elaborate a bit what sort of issues we are facing? And when we say they're resolved by Q4 end, does that mean that we can shift some of our current intermediates from Vapi to Atali from Q1 and ramp up the utilization?

Yes. Basically, see, we were trying to validate several products there. And in the validation, there were certain challenges that the company faced at Atali site because of the newer staff and newer nature of the plant. So those issues are getting settled, with the operational team getting strengthened and the process team also being stationed there because all the entire new set of

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Hetal Gogri Gala

Ahmed Madha:

Moderator:

Rahul Jain:

Piyush Lakhani:

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Rahul Jain:

Rashesh Gogri: Aarti Pharmalabs

February 10, 2026

reactions and the equipment that we have commercially started in Phase 1 are all large equipment. So that's where we are taking much larger batch sizes.

Those challenges we anticipate to get over in the current quarter and the batches have progressed well now. So overall, that has led to some delays in the certain validation quantities that were supposed to go for the CDMO projects in the current fiscal, but they will get pushed a little bit to next quarter from Atali

Yes. And in FY 27, we will have more products range getting validated from Atali and this will definitely help our intermediates capacity to increase.

Sure. A couple of questions on

the number side. So gross margin...

Sorry to interrupt you, sir, but if you have a follow-up question, please rejoin the queue. The next question comes from the line of Rahul Jain from Credence Wealth.

Sir, first question is with regards to the impact of this consignment which is in transit, where roughly we have cost to the extent of INR30 crores and INR49 crores could have been the revenue value. So just to understand, what exactly is the impact on the numbers which have been declared for December? How is that been accounted? And what is the impact in the December quarter with regards to same? And what can be the impact in the next quarter coming in?

This is Piyush Lakhani. The impact is essentially what we have given in our note. So if we had been able to book the revenue in quarter 3, then our top line would have been higher by that amount, INR49 crores, and the PBT would have been higher by the same amount, INR19 crores. So currently, how is it accounted? Is there some impact in the current numbers?

Yes. So currently, it is being shown as a stock, stock in transit. So that's why it is carried at INR30 crores -- INR30-point-something crores, which otherwise would have been INR49 crores if we had been able to book the revenue.

Okay. So do I understand, in the coming quarter, what would happen is this INR30 crores stock, that will be sold at INR49 crores. So that INR19 crores will be booked in quarter 4, correct?

Correct, correct, yes.

Okay. And secondly, sir, with regards to the Atali capex, what kind of cost -- incremental cost we have incurred with regards to this Atali capex underway till now? And what is the further cost expected? And how do we see the ramp-up in the coming quarters?

No. So we have done the capitalization of around INR300 crores and the total project outlay is around INR450 crores. So that balance, certain second phase is getting completed. And we will have that completion happening in next couple of months.

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Rahul Jain:

Rashesh Gogri:

Piyush Lakhani:

Rashesh Gogri:

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Rashesh Gogri: Aarti Pharmalabs

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T was asking also about the opex, which has been -- because I can see some increase in other expenses and depreciation. So what kind of opex has already been accounted in, say, quarter 3, which has been flowed through the P&L?

Yes, yes. So we had taken the complete depreciation as well as the opex numbers of Atali have also been accounted for this validation program, whatever that we had undertaken.

The depreciation on the entire INR300 crores of capitalization has come in. And on top of it, about INR1.5 crores of monthly opex that we are running at.

Quarterly will be around, say, 5.25 depreciation on INR300 crores. So, it will be INR15-16 crores, depreciation in a year. Once the additional gets capitalized, then the depreciation will increase.

Sure. And last question, sir, with regards to Xanthine ramp-up. So how do we see the Xanthine ramp-up over, say, next year with this mechanical completion?

Yes. See, currently, as I have informed all of you in the last call that we are currently running at around 500 tonnes per month capacity and slowly ramping it up. With the new capacities coming up, we are adding close to 300 tonnes per month additional capacity. So, we will have that available.

But I think quarter-by-quarter, we will have, in the first quarter, maybe 300, 400 tonnes manufactured. Second quarter, we will manufacture more. And then in a year, we should be at least able to utilize close to 50% to 60% of that capacity overall.

So the exit rate will be 50%, 60% or overall average could reach to 50%, 60%?

Overall will be 50%, 60%.

Okay. Average for the year could be in the range of 50% to 60%.

Yes.

Sure. That's quite helpful. Sure, sure. And sir, just last thing with regards to the APL So you mentioned in you

r initial commentary also and in the press release also - presentation also. Just to understand, where are we in this cycle of -- so on one side, you have mentioned there are some green shoots which are visible. At the same time, the margin pressures continue. So, is it that the demand has started picking up, but the price realizations have not yet moved up? So, how do we look at forward now?

See, generic APT business, the prices never increase. They always go down only. Ultimately, the game has to be played where you increase the capacity. In our generic block also, we have put the Block 5 expansion a couple of years back. That is available with us. And then, we have also mentioned that, in this year, we are also going to do the debottlenecking of the steroid block. For our oncology block also, we will do the debottlenecking eventually.

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Moderator:

Ankit Gupta:

Rashesh Gogri:

Ankit Gupta: Aarti Pharmed Labs

February 10, 2026

Once we have more capacity and more products get off patent - and to supplement our usage, we have also undertaken a few older projects where we have our own raw materials, produce intermediate produce in-house, which are large volume drugs. So those also have been sold for the validation quantity. So all these efforts, we see that gaining more customers for newer products or the older products, we will be able to do the growth in next year.

Our next question comes from the line of Aukit Gupta from Bamboo Capital.

The first question is on the CDMO segment. So - and 2 parts to it. Siz, if we look at the number of molecules that we have been working on, although we have seen a significant jump in the number of commercial molecules from around, let's say, 28 to almost 40, and most of them have transitioned from under development to commercial, but overall, our - the molecules that we have been working on has remained in the range of around 55 to 60 over the past 6 to 7 quarters. So if you can elaborate how do you see this pipeline increasing? And -- that was the first part on the CDMO.

And second part was on -- if you look at our CDMO revenues currently, they are largely concentrated on 2 to 3 molecules. So when do we see other commercial molecules, which have increased from 28 to 40, contributing to our revenues and scaling up to \$5 million, \$10 million kind of thing over - so when do you see that thing happening? And especially with Atali coming in next year in a full-fledged manner, how do you see this happening?

Yes. The list that we are maintaining is a dynamic list of 60 projects. So we are reducing the number of projects which are not getting us through an approval. It's a dynamic list. What is important is how many are commercial and whether they are increasing or not because those who are not getting approval are getting off the list also.

And we are getting newer projects in the commercial range where we are quite hopeful that, in future, we will have revenue ranging -- meaningful revenue will come from these projects in future. Whatever you are able to track is only export data, right, largely. That also quarter-on-quarter - I don't know how much that tracking is being done.

This year, largely in first 3 quarters, we have not done too much shipment. So we have had total of only INR120-130 crores, plus, of course, the INRS0 crores. So in the last quarter, we'll have bulk of exports also happening, which will have these newer commercialized products getting exported. So you will see that in the data.

We are putting people on ground - we have someone in Europe and someone getting shifted to U.S. I think with the newer customers that we have been able to approach, I think - and with our new enhanced strengthening of our R&D team, I think, in future, we will have much more opportunities, and you will see this list to grow.

Sure, sir. And sir, for some of the products which -- one of our products which got regulatory approvals in

this financial year, and one which is expected hopefully should get approval in Europe in second half of this current year and U.S. FDA approval next year, so how do you see this molecule scaling up for us? Now at least one of them has been commercialized. The other

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Rashesh Gogri:

Ankit Gupta:

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one is also expected to be a blockbuster drug. So if you can tell us whether -- what kind of projections or what kind of indications some of our innovators or our CDMO partners are giving for these 2 products?

See, we are not speculating on these names. We are bound by the confidentiality agreement with our customers. But the projects' success depends on how well they are marketed and how well they are getting penetrated because, for the same segment, there are many drugs which may be there. But luckily for us, the drugs which are there have a very differentiated segment where there are not too many competitors operating in this space.

We are keeping our finger crossed and hoping that our innovator partners can grow these products. And of course, we are there to support them. In future, we could see healthy growth in all these projects, which we are doing with our partners.

Sure, sure. And sir, second question was on the API part. Last year, in second half, we had touched almost a quarterly run rate of INR200 crores. We had, in fact, exceeded that. And this year, we have been in the range of INR150 crores to INR160 crores. Of course, you have alluded the reasons.

Given the launches which are happening in the coming financial year, how do you see we might end up this year around INR650 crores, INR660 crores -- INR660 crores, INR670 crores kind of run rate for the full financial year, given how the trend has been for the past 3 quarters? And last year, we were almost around INR770 crores.

So next year, should we be looking at going back to that INR770 crores, INR780 crores kind of run rate? Or we should also see some growth on that number? Or at least at this juncture, we are just looking to go back to the FY '25 APT numbers?

Yes. I think the first milestone s, as you rightly mentioned, quarterly INR200 crores. And then the next milestone will be higher than that, quarterly. These are the milestones. I think -- yes, so that is what we will try to scale it up to.

But when do you see this happening, let's say, going back to INR200 crores quarterly run rate on API?

As we get more and more commercialization of our products and the new launches happen. So that will happen across next few quarters. It's not going to happen in next quarter, but I think it will take a couple of more quarters to come to that.

Sure. And sir, just last question on the gross margin part.

Sorry to interrupt you, sir, but if you have a follow-up question, please rejoin the queue. Our next question comes from the line of Madhav Marda from FIL.

On the Xanthine derivatives business, if my understanding earlier was correct, we had 5,000 tonnes capacity. And I think you -- if I heard it right, you said you're running at 500 metric

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tonnes per month run rate right now. So just trying to clarify, like, that would be 6,000 tonnes volume. So what is the -- basically, what is the current installed capacity and sort of volume run rate that we have in Xanthine today?

Yes. So basically, in Xanthine segment, we are running 2 manufacturing sites. So what we have done is the current mother site that we have, there also, we did some debottlenecking exercise. So that capacity increase has happened as Phase 1. And the new site, that is 300 tonnes per month, that is getting installed, mechanical completion by end of this financial year b

y March.

And next quarter, we'll start the trial production. So that's how the production will reach to 800 'metric tonnes per month. So that's why we are saying that currently, we are at 500 tonnes because that's what we are operating in.

Okay. So effectively, sir, you're saying we are at 500 metric tonnes per month, including the debottlenecking. And at peak, including the expansion, we can get to 800 metric tonnes of volume from...

Yes, yes. That is 9,600 tonnes, our installed capacity -- around 9,000.

Okay, okay. Got it. Understood. And how is the pricing trend right now in Xanthine across — in the various end markets which we sell? And the incremental volume, would we be selling it more in pharma grade or will it be more beverages, or any market mix you can give us? Because pricing can vary, so I just wanted to check.

Yes. So I think there is an interesting development is that China has announced that they will withdraw the benefit - rebate benefit on caffeine and its salts. With that rebate withdrawal, overall 13% benefit that is getting accrued to the Chinese manufacturers when they export the APL that will go away. And we are hoping that this will push the prices of the product up by at least 8% to 10% in future.

We are seeing some increase in the pricing overall. I think, in the spot market, we have seen around 5% increase in the price from lower level. So we are seeing that the overall pricing has bottomed out.

Secondly, for the U.S. market, now with the overall trend, I think there is a duty of 20%, which is applicable on Chinese product, whereas India is a duty-free status currently because the caffeine doesn't attract the -- caffeine is in the annexure list, which is free from this Trump tax. So with this, I think we are in a favorable position to do the exports to U.S. Imports will - and the other markets also, we will have a higher ~ overall pricing should improve, I think, going forward.

Understood. Is it a fair assumption that, in FY '28, we could run at full capacity on the — like the 9,000 metric tonnes will be full capacity for us?

I think the efforts are going to basically achieve to 85% to 90% of that capacity by that time. We always want to have some free capacity.

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Hetal Gogri Gala

Madhav Marda:

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Madhav Marda:

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Shikha Mehta:

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Yes. And we wanted to reach top 3 in the world with this kind of capacity, to have a good position across.

Understood. And in the API business, although the reported revenue, obviously, seems like there's a decline, but just wanted to check, until last year, we had a subsidiary where the revenue used to be booked in the top line. Now it's moved to the associate line item, the JV, which we had. So is the decline in APT business because of that change in the reporting — because of that? Or there has actually been a decline...

See, you have to look at the stand-alone business and stand-alone to stand-alone, what is the gap, that is what is important overall. See, in this current quarter, we have added INRS crores PAT below the line for that entity - which had negative numbers in last 2 quarters have become positive. And this quarter, it has added INRS crores in these results — consolidated results. And we are hopeful that in the future also, we will see similar positive numbers from that joint venture that we have.

Sure. Just want to clarify this INR167 crores approx API intermediate business which you booked in quarter 3. What was the like-for-like number last year, if I compare apple-to-apple for this business?

That number, I think, in the percentage, you will have to see. Last year, Q3 was 40% of - No, the breakup was around 4% in the...

Okay. On what top line is it? On what top line?

I think it was around INR180 crores.

Yes. So the decline

is more like 5%, 6%, right, rather than larger number which comes because of the...

INR180 crores has become INR160150 crores, yes.

Okay. And sir, last question on the CDMO business. I know that it's...

Sorry to interrupt, but if you have a follow-up question, please rejoin the queue. There are a couple of participants waiting in the queue. Our next question comes from the line of Shikha Mehta from Time & Tide Advisors.

Congratulations on a decent set of numbers. I wanted to understand the gross margins a little better. So of course, this quarter, we've seen superior gross margin. So is this something we can maintain going forward? Is this sustainable? Or is there some kind of one-off? And along with that, on our other expense side, there is a significant rise. So is that just the Atali operational expenses that we were mentioning earlier? Or is there anything else part of it?

Yes. The first one, I think quarter-to-quarter, the gross margins will vary a little. But if you see 9 months, it's basically trending at the same -- almost the same level. If you look at gross margin

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Shikha Mehta:

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as well as EBITDA, we are around the same level. And second question about the expenses, yes, mainly the increase is contributed by the Atali site.

And there is one more site that we have taken on rent -- on lease, where we are paying conducting fees. So there also, there is some contribution also coming in and there is corresponding some expenses also that is getting booked. So that particular disclosure we had given in the Q1 that we have entered into a conducting agreement with one of the players who had some extra capacity and empty plant.

Understood. So the other expense should broadly normalize once we start seeing revenues coming in from Atali, etcetera, right? It should move back to that 21%, 22% of sales that it used to be.

Yes, yes, it will move more in tandem with the growth in the top line. And as you rightly said, it will move -- basically, it will increase once the operations are stabilized and ramped up at Atali.

And, another thing, sir, in our presentation and in our opening remarks, we've mentioned that we're looking to end FY '26 on a flat to moderate growth on EBITDA basis for FY '26. So that would suggest a very large quarter-on-quarter jump in the Q4 numbers for EBITDA. It would lead to almost 50% to 55% of an EBITDA jump quarter-on-quarter. Is that understanding correct? And are we geared towards doing that?

Yes. As you -- as we have mentioned in the today's presentation also that one revenue we had to defer, the INR49 crores sales that we had to take at INR30 crores COGS, so with that and the normal increase, I think whatever that we are projecting - because a lot of CDMO sales are still going to happen in the last quarter, so with that, we are anticipating good growth in the last quarter.

And sir, lastly, on the API side, I understand a lot of participants have asked this earlier as well, but I'm just looking to understand, so last year, Q3 and Q4, obviously, were tremendous quarters for us. In the near future, maybe Q1 or Q2 in FY '27, can we expect that kind of revenue and margin? Or is that something to look at as a one-off and might not happen going forward?

No, we are increasing the capacities. Now which quarter we'll be able to grow will be ...

No, sir. I just trying to understand that, was Q3 -- we had margins of -- EBITDA margins of almost 27% last year Q3 - sorry, last year Q4. So is that margin a one-off? Or is that something that, in the imminent future, we can expect at some point in FY '27?

I think Q4 margin was driven by the CDMO/CMO as well. So in the Q4, we had CDMO/CMO almost going up to 27% of the sales. Overall, I think the last year, Q3, Q4, both, we had good API sales overall.

Ill as well. But, the bump was largely due to CDMO/CMO.

Understood. So again, as that continues to grow at this 30%, 40% rate that we planned for, it should possibly come back.

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Moderator:

Ahmed Madha:
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Yes, yes.

Our next question comes from the line of Ahmed Madha from Unifi Capital.

Yes. A few questions on the numbers. So did we have any forex loss in quarter 3? Last quarter, we had some.

Yes, yes. So basically, that gets parked in the other income. We have gain on the exports, and we have loss because the rupee is depreciating, obviously. So loss on the imports. And on top of it, the part of the interest on the foreign currency loan, which is over and above the normal rate of borrowing in India also gets net off against the export gains. So, the net impact which you are seeing in other income is because of that.

Total will be INRS crores?

Yes, INRS crores.

INRS crores is the total impact that...

So whatever gain we had, almost similar kind of loss we had.

Okay. Sure. And in terms of the capital structure, how much gross debt we have 9 months ending?

INR650 crores.

INR650 crores. Okay. And post all the capex are done, I mean, the balance of Atali and Xanthine, everything, what number should we end by Q4?

I think we should look at net debt to equity of around 0.3 -- between 0.3 and 0.35, depending upon how Q4 goes.

Got it. Okay. And on the Atali, you spoke about INR450 crores capex, of which INR300 crores is commercialized and INR150 crores is the balance remaining. For Xanthine, how much will be in your block, which will be capitalized?

Xanthine in total, the project that we have approved is around INR150 crores, with both the sites together.

Lastly, on the...

Sorry to interrupt you, sir, but if you have a follow-up, please join the queue. Our next question comes from the line of Aukit Gupta from Bamboo Capital.

On the Xanthine side, we will have the entire capacity of 9,000 tonnes per annum by end of Q4.

And we — as you have been indicating that we are looking at -- we should end FY 27 with a

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decent capacity utilization of the incremental of the new plant as well. So - new capacity addition as well.

So are we looking at a scenario next year and that our volume growth in the Xanthine should be -- can be around 25% to 30% plus? Given how things are there on China because of this anti-involution thing, we should also have some 5% to 10% kind of jump in realization in Xanthine?

Yes. Overall, as I have indicated that the new plant will start up, and we'll see how that goes, overall target we have set of what we want to commercialize from that. But what we did is that, from the current site itself, by debottlenecking, we are anyway operating at 6,000 level today for this quarter.

So that gradual thing also helps us in pushing the number because we are not taking a sudden

shock of increase from 5,000 to 9,000. We already are at 6,000. So it's easier to reach 7,000 or 7,500 going forward. Yes.

Everywhere, we don't compete with China. Wherever we are competing with China, definitely, we will have this advantage of margin. But I don't think that will have a substantial because we have certain contracts which have locked in on the pricing. But rupee depreciation definitely helps us.

Sure. And sir, on the capex part for FY 27 and FY 28, we were also looking at incremental blocks coming in Afali. So given some visibility on the CDMO part, are we looking at some expansion coming in for the new block at Atali in FY 27?

Yes, yes, we will have

at least one block coming up in Atali in next year. So we will get that capex approval going forward.

Okay. And it should not be a large capex, given all the...

No, it won't be a large capex.

Okay. So does it also imply that the huge capacity is coming up and we are also looking at new block coming in for the CDMO, we have very good visibility on how CDMO should ramp up, post the first phase comes in - the first block comes in?

Yes, yes. We have good visibility. Of course, we have to keep our finger crossed. We — our partners have to make sure that their launch drugs are being successful and they don't have any hiccups. So everything is contingent to how they are performing, post launch. That's what we are waiting to see.

And everyone prepares for the launch. The first year, there is always a dip, post launch. And the second, third year, again, it picks up because they are certain about the market targets, and they are actually trying to expand the market. So that's where, we will be in different phases with different drugs.

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Moderator:

Vikas Sharda:

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Our next question comes from the line of Vikas Sharda from NT Asset Management.

One question, that you have pointed out what are the goods in transit. What would be the normalized goods in transit, like every quarter, so that we can know that how much higher it is this quarter?

INRS-10 crores, I think -- INR10-12 crores will be normal.

This was a specific case of an incoterm being a DAP, delivered at place. We deliberated the possibility of booking it in the last quarter itself. But then, we had deliberated with the auditor also and internally also, and it was - basically, as per the accounting terms, it gets booked at the time of delivery itself. But normally, we do not have too much sales with this incoterm. So normally, it is not that high as far as FG is concerned.

Yes. It will be around INR10-12 crores typically, which is at the dock.

Okay. That's helpful. And secondly, so you have revised down the EBITDA growth guidance from last quarter to this quarter. So besides some pushout in the CDMO sales, any further negatives that you -- headwinds do you see for this year?

I think, as I have mentioned, API overall growth that we were seeing that there would be some growth, but there has been degrowth, okay, in the API sales segment that we have seen. So that is also one of the reasons why, overall, we have not been - but the Xanthine segment has done as what we were targeting. CDMO/CMO, a little bit of pushback and API is a little slow. So I think these are the 3 factors.

And then we had capitalized the Atali and then all the expenses have started coming in. So we have depreciation and all that also. The running expense opex have also come in. So - whereas the initial hiccups that, of course, will get solved going forward.

Yes. And in the API segment, is the pricing pressure across the board? Or how is it? Like a few specific molecules? And how is the volume growth overall, let's say, for API and intermediates? I think we are seeing pricing degrowth happen. That is the nature of API business. I think, overall, there is always a pricing degrowth. We had few launches last year, which have -- the partners with whom we launched, they took significant quantities. And this year, they are a little bit slow in taking up more quantities from us. So that's one of the reasons.

Second thing, in terms of intermediate capacities, we did not have too much intermediate

capacity because we were running the CDMO operations in our intermediate and CDMO combined facility. With Atali coming in, I think we will again focus on these intermediates. Of course, as the launches happen of the APIs which are getting expired, we'll start supplying these intermediates. Those sales also will get a

added into the API segment. Both these will happen. That will drive the number towards growth.

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Moderator:

Shubham Aggarwal:

Rashesh Gogri:

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Our next question comes from the line of Shubham Aggarwal from Burman Capital.

Sir, I just wanted to understand that Bayer got an approval - U.S. FDA approval in October of 2025 for one of their key products in the menopause and hot flashes category and repeatedly categorized that as a blockbuster opportunity with EUR 1 billion of sales. What we understand is that there are some key intermediates that you are supplying. So just wanted to understand how are you looking at this opportunity? Can it become a \$15 million to \$20 million kind of opportunity for you?

Yes, we are not commenting on specific molecule because of the CDA that we have with various customers. So unfortunately, I won't be able to answer this question.

Understood. No problem, sir. Sit, just wanted to understand, on the general CDMO part, from the time you ship a product from India to the receipt of goods at the customer's end, what is the general time lag between that shipment as well as the revenue recognition?

Generally, most of the products which are more than INR1 lakh a kg, we do mostly air shipment. This is being delivered in 5, 7 days, whereas the sea shipment takes 30 to 40 days, if it is going to Europe, or if it goes to U.S., then it will be 60 days, by sea shipment. But by air, it is 7, 8 days. But I think the shipment was sea. So that's where the issue came up.

And in most of the cases, we are able to book the revenue as of CIF -- at the time of shipment itself.

So this is the one-off. That's why we had to disclose and it moved the number significantly for this quarter because it's a very large shipment that we did for one of our customers.

Sir, but you said earlier, right, that there were a lot of shipments that might be similarly exported or there — but that usually happens later on. So just understanding from that perspective, is there like a 1 million — sorry, 1 month average kind of lag between shipment to revenue recognition?

Not really, because most of the shipments are air shipments. So I think there's only a few days of delay, but not all are DAP terms. So only some of them are DAP. Most of them are CIF, FOB etc. So it depends on the incoterms.

Understood. Understood. Sir, just one last question, if I can squeeze in. Usually, sir, when you - when an innovator is kind of receiving a U.S. FDA approval, is there like a buildup of an inventory that they would see on their end? And then, obviously, that will follow a normalization period, possibly destocking of that in that 1 year kind of range, or usually, it's more stable? Just wanted to understand that perspective.

So I think every innovator has a different plan. And if they are getting approval of different market at a different date, then anyway, the launches are deferred. But once they have key approvals in key markets of Europe, UK, and U.S. and other important markets like Japan or whatever, so then I think they are at a full potential of sales, and that's where it depends on how

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Moderator

Mohammed Patel:

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they have prepared for each launches. So they don't get a day 1 approval for all the markets. So all the regulatory agencies have a different clock for approval.

Our next question comes from the line of Mohammed Patel from Edelweiss Public Alternatives.

Sir, my question is related to the CDMO business. So the number of customers w

ere 21 at the

start -- at the end of FY '25, and the number is same currently in the 9 months. So are we expecting addition of customers in the near term?

Yes, yes. We expect this customer number to go up in calendar year '26.

Okay. And a follow-up question on that. So can you give some color on the current CDMO inquiries pipeline?

I think starting this year, we are having a good number of new inquiries that have been generated by our BD team. And our team is really responding to these inquiries, and we hope to win a few of these RFPs going forward.

Okay. We are expecting INR1,000 crores of CDMO sales. So then we should expect FY '27 growth also to be similar to FY '26 number?

That is the target that we have, yes.

One bookkeeping question. So what was the net debt? You mentioned the gross debt. What was the net debt Q3?

Net debt around INR650 crores. We don't keep too much cash.

Okay. Last question. On the Xanthine, one of the previous participants, where you were discussing the lock-in thing. So I just wanted to understand, what percentage of our business will be lock-in?

No, no. So basically, we have certain commitments, which are quarterly and annual in nature.

So our percentage of locked-in may differ for customer to customer for different quarters.

On an average, what would that number be - on an average? Any approximate number is fine.

See, the capacities are increasing. The sales is also increasing. So that number is a dynamic number. I wouldn't like to comment on that.

Okay. Not even directionally?

Around 50%.

Our next question comes from the line of Madhav Marda from FIL.

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Deep Gandhi:

Rashesh Gogri:

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Sir, I just wanted to check on the CDMO business. I think this year, you've guided a 30%, 40%. I missed the comment, so you said FY '27 also could be similar growth. I think that what you indicated in one of the earlier questions?

No, I think we will formulate — we will have the budget prepared by March. And I think once we have the results of this financial year, we'll be able to do the proper guidance. But there will be good growth.

Okay. But, sir, our CDMO business, the base is small. So if we get like 1 or 2 good commercial opportunities, the growth can be pretty substantial, which is why I was just trying to understand if we had good projects in the pipeline.

Yes, yes. Now January, February, March is a good time to understand what customers will buy in the current calendar year. And that's what will get projected in the numbers. And that's how every year it works. So that's why we gave the guidance last year also that this is what it looks like

Got it, got it. Fair. Just last question. In quarter 3, versus the reported margins, you did allude to some initial opex that we booked for Atali, maybe for the Xanthine plant also maybe some costs

would have come in. So any cost which is upfronted in quarter 3 for some of these new expansions, if you could clarify how much that is, so we have some sense on the base business margins, excluding new expansions?

I think we may not have that breakup. Probably, we can get you that breakup later.

Our next question comes from the line of Deep Gandhi from i-Thought PMS

The first question is on the CDMO side. So as you have indicated in the past that you've been trying to increase wallet share and even in this call, you made a comment that some of the new commercial products are going to be significantly larger in the pipeline. So can you, I mean, broadly help us explain that in, say, last 2, 3 years, how the wallet share has improved with the innovator partners, if you can try to quantify that?

Yes. I think — see, we have good 5,7 projects where there are multiple number of intermediates, which are meaningfully adding the gross turnover of this business and others

are shaping up

basically in future. So that's how the current nature of the business. The 80% sales is anchored by these few projects — 7, 8 projects. And the balance is by the other projects that we have.

Sure. But sir, can you quantify? Say, for example, can a single product - do we have such products in the pipeline where a single product can be more than INR100 crores, INR150 crores turnover? I mean that has happened and even much larger for other CDMO companies -- single product scale. So do we have such products in the pipeline, which gives you the confidence also to reach the INR1,000 crores turnover from CDMO? Is that a fair understanding? And if you can help us quantify?

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Deep Gandhi:

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Yes. See, we have got single POs, which are in millions of dollars. In single-digit millions of dollars. So we are in that range of products.

Sure. And sit, second question I have is, I mean, in the past, you've tried to explain that you are also trying to bypass -- I mean you are trying to directly work with the innovator companies in the CDMO and bypassing the partners. So how has been that journey in the last 1, 1.5 years, if you can give us some explanation? I mean are we seeing any new products where we are directly working with the innovators now instead of, say, working with the innovator partners?

See, I think we are working with whoever wants to work with us. We are agnostic. We have a lot of chemistry strength where we can do the regulatory starting material, key starting material, GMP intermediates and APL. With different partners, we are working with different things. And we have innovators also, we have CDMO partners also, and we have some traders also - not largely, but I think smaller biotech companies also, with whom we work on APIs as well.

It's a mixed basket, but there are -- there is no deliberate attempt to bypass any of the CDMO partners. Because in the early phase of patent, I think all the innovators which work on these blockbuster have to have the supply chain secured in the U.S. and Europe. And they have to work with - those who don't have their own manufacturing capacity have to work with CDMO partners. And we don't have capabilities of doing this production in these geographies. So we have to work with the large CDMO partners.

Sure. And sir, just last question, just again coming back to the wallet share question. I mean if you can't quantify in terms of value, but can you help us understand, sir, are there any new products where you are doing almost, say, 60%, 70% of the intermediates for innovator partner?

I mean are you taking wallet share more in that sense? Is that a fair understanding in the last 1, 1.5 years compared to what it was in the past? If you can quantify that, even that will be helpful.

Yes, yes. We have few projects where we have that kind of wallet share 70%, 80%?

You stick to one number. 60%, 70%, we may have.

Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Yes. I would like to thank all the participants for taking the time and joining the call. Good evening. Thanks.

Thank you. On behalf of Dolat Capital Markets Private Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

June 01 , 2026

To,
Listing/ Compliance Department
BSE LTD.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

SCRIP CODE: 543748

Dear Sir/Madam,
To,
Listing/ Compliance Department
National Stock Exchange of India Limited
"Exchange Plaza", Plot No. C/1,
G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

SYMBOL: AARTIPHARM

Sub: Transcript for the Q4 FY26 Earnings
Conference Call
Ref: Regulation 30 of the SEBI (LODR)
Regulations 2015

Please find enclosed the transcript of the Earnings Conference Call held on May 26, 2026, regarding the Company's audited financial results for Q4 FY26.

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For AARTI PHARMALABS LIMITED

JEEVAN MONDKAR
COMPANY SECRETARY AND LEGAL HEAD
ICSI M. NO. A22565

Encl.: a/a.
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"Aarti Pharmalabs Limited
Q4 FY2026 Earnings Call "

May 26, 2026

Management: Mr. Rashesh Gogri - Chairman
Mrs. Hetal Gogri Gala - VC & Managing Director
Mr. Piyush Lakhani - Chief Financial Officer

Analyst: Mr. Sidharth Jain - Yes Securities Limited

Aarti Pharmalabs Limited
May 26, 2026

Moderator : Ladies and gentlemen, good day and welcome to Aarti Pharma labs Limited Q4 FY 2026 earnings call hosted by Yes Securities Limited. Please note all participants are currently in listen -only mode.

There will be an opportunity for you to ask questions following the conclusion of the management's opening remarks. Please note that this conference is being recorded. I now hand the conference over to Mr. Sidharth Jain from Yes Securities. Thank you and over to you, sir.

Sidharth Jain : Good evening everyone. I am Sidharth Jain from Yes Securities Limited. It gives me immense pleasure to hold the Q4 and FY 2026 Aarti Pharma labs Limited Conference Call. From the management team, we have Mr. Rashesh Gogri, Chairman, Mrs. Hetal Gogri Gala, Vice Chairperson and Managing Director, and Mr. Piyush Lakhani, Chief Financial Officer. Before we proceed with the call, I would like to mention that some of the statements made at today's call may be forward-looking in nature and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website. Without further ado, I would like to hand over the call to Rashesh sir for his opening remarks, and then we can open the floor for Q&A. Thank you and over to you sir.

Rashesh Gogri : Good evening, everyone. I would like to welcome you to the Aarti Pharma labs earning call covering the fourth quarter and the full financial year concluded in March 2026. I appreciate your participation today. I will start with a high-level review of our financial health followed by an update on our key business development and brief look at our growth outlook for the coming quarters.

Let me start with the summary of our standalone financial for Q4 FY 2026 and full financial year FY2025-2026. The revenue was Rs.580 Crores for Q4, which was Rs.530 Crores a year back, an increase of 9% Y-o-Y. On a full-year basis, FY 2026 revenue came in at Rs.1798 Crores versus Rs.1771 Crores in FY 2025. The EBITDA was Rs.134 Crores as compared to Rs.141 Crores in the corresponding period of the previous year for the Q4. For the full year FY 2026, we achieved the annual EBITDA of Rs.406 Crores versus Rs.428 Crores a year back. The profit after tax for Q4 FY2026 was Rs.62 Crores as compared to Rs.89 Crores a year back. And for the full year FY 2026, the profit after tax stood at Rs.176 Crores versus Rs.257 Crores in FY 2025. It is noteworthy to mention that profit and loss account for the financial year FY 2026 there was a net foreign exchange loss of Rs.33 Crores. I am pleased to inform you that the board has declared a final dividend of Rs.2 per share and this brings a total dividend of FY 2026 to Rs.3.50 paisa per share.

Now let me present a few business highlights for each business segment.

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The Xanthine derivative segment recorded the highest ever quarterly revenue and contributed to 43% of our turnover in Q4 FY 2026. The volume split was 74% beverages customers and 26% other. In terms of geographical split, the export sales was 63% and rest 37% was local sales.

The API and intermediate business stood at 28% of the turnover. The sub-segment wise breakup is 53% regulated market, 30% ROW and 17% non-reg market. Looking ahead to FY 2027, we anticipate Y-o-Y growth for this business. However, it is important to recognize that persistent competitive pressure and market headwinds affecting our product portfolio.

The third segment CDMO, CMO has contributed to 29% revenue in this quarter. This segment also locked the highest ever quarterly revenue of Rs.155 Crores. As of FY 2026 end, we are working with 21 customers and the number of active projects is 54 out of which 35 projects are in the commercial

stage and 19 are under different stages of development both at customer ends. For the full year FY2026, the CDMO, CMO segment has shown a robust revenue growth of 32% Y-o-Y. Nearly all of our revenue came from phase 3 and commercial molecule reiterating our clear focus on late phase projects.

The impact of ongoing war, geopolitical tension in West Asia has caused significant environmental shocks, including logistics hurdles and rising energy costs. These inflationary pressures have strained profitability and supply chain operations, particularly in the intermediate segment where competitive pricing makes cost passing difficult. However, our two other business units have reasonably been able to pass cost hike in our customer pricing.

Let me now discuss the updates on the expansion projects :

We have invested approximately Rs.400 Crores capital during the financial year 2026. And we plan to maintain a similar level of spending for the FY 2027. The budget includes ongoing Xanthine expansion, debottlenecking at Tarapur Unit-4 and a possible new production block at Atali.

Atali is now largely past startup issues which were encountered during the ramp-up of phase 1. With the corrective actions majorly in place, we are progressing well with the production scale up and phase 1 is likely to become completely operational by the end of this current quarter. Having cleared the customer audits, the site is well positioned to support CDMO and intermediate production in coming months.

The phase 1 of Atali, which comprised of 440 kL of reactor capacity, it is a multi-purpose block. Given the current visibility within the CDMO segment, we are assessing to put up a dedicated

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manufacturing block tailored to a specific project. These dedicated assets offer superior operational efficiency and require lower capex. Currently, we are in preliminary design and planning stage of this block and the completion timeline could be expected 12 months from the construction commencement being a brownfield project.

The Xanthine derivatives expansion is progressing as planned. With current capacity being 6,000 metric ton per annum and the incremental capacity will be available for production at the end of the current quarter and the ramp up to 9,000 metric ton per annum in next few quarters gradually will happen.

Recently, the steroid block at Tarapur Unit-4 has undergone the debottlenecking resulting in capacity increase by about one-third of existing capacity. Similarly, there are a few more brownfield expansion initiative plan at our Tarapur Unit-4 US FDA-approved API facility in the financial year 2027 to increase the capacity of anti-cancer and other blocks.

We have decided to invest in R&D of peptides, that is peptides and oligonucleotides and this investment done in new R&D technologies will not yield immediate results, but has a good potential in the future and we would like to explore these newer technologies.

Looking forward we are confident that our recent investments and expanded capacities will drive significant momentum across our businesses. Based on current project visibility and the operational ramp-up, we are targeting 15% to 18% growth in both revenue and EBITDA for next three, four years. For immediate FY 2027, we expect the CDMO/CMO business to lead the growth with a projected sales growth of 40% to 50% per annum.

Moving forward, we remain focused on driving operational rigor, our market reach and investing in the talent and technology essential to our long-term success. The moderator may now open the forum for Q&A session. Thank you.

Moderator : Thank you so much. Ladies and gentlemen, we will now begin with the question and answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participant

s tab on

your screen. We request participants to restrict to two questions only and then return to the queue for more questions. To rejoin the queue, you may click on the raise hand icon again. We will wait for a few minutes until the question queue assembles. We have our first question coming in from the line of Ankit Gupta of Bamboo Capital. Ankit, please go ahead with your question now.

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Ankit Gupta : Thanks for the opportunity, sir. Few questions on the CDMO side. So, if you can elaborate on this dedicated block that you are planning for the CDMO project at Atali. So, is it for the molecule which has recently got approval for hot flashes or is it for the molecule which is under phase 3 and for lowering LDL or some other new molecule. If you can elaborate a bit more on this project and upon completion, what can be the revenue potential from this new block and when do you expect to reach that.

Rashesh Gogri : We are exploring putting up this dedicated block, which can manufacture several of these potential long-term projects for us. And we are working on overall capacity and working with the customers on what kind of visibility they are able to give us in the coming quarters. And once we have some strong understanding of that, I think in the future quarter, we will let you know. We have very strong pipeline of these products. And these products can have very good revenue in future. And that is how we have projected line of sight of close to USD 100 million in CDMO segment going forward.

Ankit Gupta : And what can be the potential from this block and this molecule when we start the operations from them or from this new block?

Rashesh Gogri : I think we are assessing all the possible options and working with the customer over their demand basis, which I think of course the current block at Atali can manufacture it in a multipurpose block, but, in future, dedicated block would be prudent so that we keep on freeing our multipurpose capacity for the newer projects. That is how we are going to work in all the projects which enter this commercial phase, post phase 3 or launch and the customers have higher visibility. Those products will move to a dedicated block where we have 5 to 10 year visibility of this project. We will start with this kind of approach and that is what all the larger CDMOs also do. And that can give us higher visibility. I think depending on how we configure this, it can have potential of close to Rs.250 Crores to Rs.300 Crores topline also from a single block.

Ankit Gupta : And sir, on overall guidance for the CDMO, if you look at our FY2026 performance, we also had some spillover of CDMO revenue from Q4 2025 with Atali commencing operations in a full-fledged way by June 2026, audits have been completed. So should not we expect higher growth in FY 2027 given our lower base in FY 2026. And overall in the CDMO segment, that we are starting dedicated blocks, are we on track to reach Rs.1000 Crores revenue from the CDMO segment in FY 2028 or

max by FY 2029 as you have been highlighting in the earlier calls?

Rashesh Gogri : Basically , the traction is to reach this goal as soon as possible. Of course, it depends on the customer projections and how the products get launched. We have some visibility on approved products, but I think there are a few products , which are still going to get this approval. And that is why we do not

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have a firm number how we will reach and when we will reach this number of USD 100 million. We are pretty sure that we will reach that number going forward. That is what I can share with you for now.

Ankit Gupta : And just one last question on the API segment before we come back in the queue . The

API segment

last year, we saw significant degrowth, you had highlighted about price erosion and inventory destocking, which was happening for some of our newly launched products in FY 2025. And we have some decent launches in the oncology side in FY 2027. And you did highlight about growth in the segment in FY 2027. So, what kind of growth are we looking in the API segment? And if you can also elaborate a bit more on the launches planned for FY 2027 and FY 2028?

Rashesh Gogri : For FY2027, I think, you rightly mentioned that FY 2026 was a soft year. And of course, it was marred by inventory issues and the issues at our customer 's end. We are looking at growth in FY 2027 going forward, because we actually de -grown in last quarter, last year or earlier year. So , I think we will be definitely able to surpass that number in FY2027 and further grow our API business beyond FY2025 number. That is what we are looking at .

Ankit Gupta : So we will be surpassing the FY 2025 numbers that we did.

Rashesh Gogri : We will be able to surpass the FY2025 numbers of API / Intermediates.

Ankit Gupta : We were around Rs.770 Crores, so we should be able to surpass that in FY 2027?

Rashesh Gogri : I think it was 700. That is what the split I have. In FY2026, we did 600.

Ankit Gupta : Okay. Thank you. I will come back in the queue.

Moderator : Thank you. We will take our next question from Meet Katrodiya of Nivesh aay. Meet , you can unmute your microphone.

Meet Katrodiya : Good evening sir. Rashesh sir, my question is on let us say our EBITDA guidance is of 15 % to 18 % right sir but say if I reconcile the EBITDA , the math right , so you are guiding your CDMO vertical will grow 40 % , 50% next year then thing is also ramping on , so can we expect a much higher growth in FY 2027. I am not asking for a specific guidance just directionally if you can share anything on this.

Rashesh Gogri : We do not want to give a pointed guidance for each year. We are giving a general guidance of 15 % to 18% because the projects keep on shifting by a quarter and that can really hamper our numbers.

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And as you rightly mentioned that there are a lot of different plans, which are going to do the ramp up and those costs we will have to absorb, whereas the production ramp up will take some more time.

I think we have to be a little patient about overall, how the profits will ramp up in future.

Meet Katrodiya : Got it, sir. And sir, another question on the Xanthine part that crude prices have gone up, right? So, just want to understand, are we able to pass on the prices? Is there any lag? Secondly, China is also removing the rebates, right? So, pricing of the Xanthine is increasing. So, just want to understand how much peak revenue we can do from Xanthine as from new total capacities that is going to be live?

Rashesh Gogri : Yes, as you rightly mentioned, the costs have gone up because of the Middle East conflict and we have been pushing our customer for the price increase and we have had some success on that. And it is quite logical that we cannot absorb the full cost of the Middle East conflict, which for certain products was quite heavy. And in terms of overall revenue we feel that with this current new capacity expansion, it can be well beyond Rs.1000 Crores from the Xanthine newly added capacity and already whatever that we are doing. And in this current quarter only, we have been able to do over Rs.200 crores. Significant percentage of sales has happened in the current quarter also. Rs.227 Crores was what we did in the current quarter.

Meet Katrodiya : Got it. Sir, on the CDMO position as compared to our peers, the most of Indian CDMOs works on maybe early phase molecules also, right? So our model is a little different. We work on a more commercial stage molecules, right? So I will

just want to have some understanding. Let us say, how

does our margin profile differ as compared to our CDMO peers? Their revenue is lumpy, right? Quite lumpy because they have only 2 -3 commercial CDMOs and are structurally good and less lumpy. So just want to have your view on lumpiness plus margin profile as compared to our peers.

Rashesh Gogri : Yes, basically, Aarti Pharma , entire Aarti group is having the focus on chemical manufacturing and

pharma manufacturing. So our genesis is manufacturing and that is what we specialize on and that is where we get the core value. Of course, now we have R&D centers , which can do much complex R&D also. And as I mentioned in the opening remarks during my speech also that we are going to enter into this newly , the peptides and oligonucleotides, linkers, this kind of chemistry going forward. That is where we will also try to do early phase work with our customers. Currently, there was a lot of traction towards moving away from China because of the US customers wanting the products to be coming from a differentiated geography. And that is where we found a lot of opportunities. And that is how we could get a lot of projects from our customers. That is where we have been concentrating till now, but we are open to doing work even at early phases and we have certain projects , which are also bit of early phase or phase 1, 2, moving to 3 kind of projects as well.

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Moderator : Thank you . We have our next question coming in from Yash Doshi of Unif i. Yash, please go ahead with your question now. Yash, please go ahead.

Yash Doshi : Regarding Xanthine if I am not mistaken, we have done a turnover of around 2 27. In Xanthine business, we have done around 227 Crores turnover in this quarter. So, whether it was more of volume led or price led, since the prices have gone up for Xanthine in last 2 -3 months. And j ust along with that, what has been the capacity utilization for Xanthine this quarter?

Rashesh Gogri : See, currently we are operating 6,000 metric ton per annum capacity before the current new block comes into the operations. And we are fully utilizing this capacity. And current, I think, overall sales were led by both. I think quantity as well as the overall rate changes .

Yash Doshi : Another thing was regarding, we said that we will surpass the F Y2025 numbers for API intermediate. So which product gives us the confidence that we will be able to surpass it? Any product pipeline specifically?

Rashesh Gogri : We operate in steroid space where we have recently de -bottlenecked our capacity by almost 30%. So that will also show some growth. We also have certain products which are getting expired in this financial year in the general category, as well as the anti -cancer, and the se kind of products and certain products have been launched by our customers in US and Europe markets. So , all these will give us higher sales than the last year.

Yash Doshi : Last thing, on the Atali project which has just been commercialized, can you just quantify the OpEx hit which we have got?

Rashesh Gogri : I think we are not sharing these granular details now.

Yash Doshi : And there are not any one -offs, right, in the OpEx? It is all basically cost of the Atali project being commercialized?

Piyush Lakhani : Yes, there is no one -off from the Atali plant.

Yash Doshi : And have you got approval for US FDA and new GMP for the Atali plant?

Rashesh Gogri : No, Atali plant is going to supply the intermediaries. So , it is not getting any inspection for the FDA. But I think we have started doing the work for innovators there. For which we have got several innovators come and approve our site.

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Yash Doshi : I will join

back in the queue .

Moderator : Thank you so much Yash . Requesting all participants to restrict to two questions only and then return to the queue for more questions. We are taking a next question from the T Manish of C risil Limited.

Manish, please unmute your microphone so that you can ask your question now. Yes, please go ahead. Manish, we are unable to hear you. Please go ahead with your question.

T Manish : Thank you for the opportunity. Rashesh sir, I want to ask you if the EBITDA margins have been marginally contracting this quarter so is it l argely because of the rise in raw material prices and logistical issue due to the West Asia crisis or anything else and if it is due to that how are you seeing the things for the Q1 of fiscal 2027 because only three months have .

Rashesh Gogri : On the overall expenses have been nearly similar to what we have got in previous year, Piyush , you want a nswer .

Piyush Lakhani : Quarter -on-quarter, the EBITDA margin s have remained almost flattish. So are you asking compared to the last year?

T Manish : Yes.

Piyush Lakhani : Last year, obviously, we have added a few facilities. So those will take time to ramp up. But then the cost, we are basically incurring at full capacity. So that is where the cost has gone up a little compared to last year. And that is what is impacting the margin.

Rashesh Gogri : On this West Asia, I think you mentioned about the cost increase also ?

Piyush Lakhani : Margins.

T Manish : Okay.

Rashesh Gogri : Okay. Anything else you would like to have clarification?

T Manish : The pricing costs, are you planning for any pass through of these costs to your buyers for the API and intermediates or for the CDMO players? Because the cost increases significantly.

Rashesh Gogri : Yes, as I mentioned in my speech, already we are able to do some pass on in CDMO as well as the Xanthine segment. In API / Intermediates segment, on the already orders which we have on hand, it is difficult to change those orders because these are all high value drugs. In the future, we will try to
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get some increase going forward. Of course, it depends on the competitive scenario for each and every product, but there are a few strong products which we have, where we can get price increases.

Moderator : Thank you. We will take our next question from Rahul Jain of Credence Wealth. Rahul, please go ahead.

Rahul Jain : First of all, since the CFO is also here, there is some confusion on the numbers, which have been spoken in the current con call by you and also based on the numbers which are there in the PPT. So if I take the PPT itself, the standalone numbers which are mentioned in the PPT and the percentages, and we have always said that these percentages are to be applied on the standalone revenues. So based on that, the FY 2025 API number is Rs.772 Crores, which has come down to Rs.650 Crores, roughly Rs.647 Crores to be precise. So when to a previous participant, you said we will come back to our FY2025 revenue in FY 2027 in API intermediates. Are we talking about going back from Rs.647 Crores to somewhere around Rs.770 Crores or you mentioned Rs.700 Crores. So a bit confused on that, number one. Another confusion also is on the CDMO and Xanthine side, again based on the PPT proportions and the numbers given, the Xanthine Q4 revenue is roughly around Rs.244 Crores and the CDMO revenue is about Rs.169 Crores. For the full year it is Rs.296 Crores. The PPT mentions Rs.276 Crores and Rs.155 Crores for CDMO and just now I think you mentioned about Xanthine being Rs.227 Crores. So if you can first clarify this or there is some confusion on these numbers sir.

Rashesh Gogri : Yes, I think there are some undistributable certain sales, which is some trading activity sales or some other number which gets knocked

off. The CDMO sales for this quarter is Rs.155 Crores and for the entire year it is Rs.276 Crores for your clarification. In Xanthine, sales for this financial year is Rs.792 Crores and for this quarter is Rs.227 Crores, so please note these numbers here.

Rahul Jain : Then can we get that what is the kind of trading turnover or if we say?

Rashesh Gogri : It is a round Rs.50 Crores which changes this percentage but that is not very significant that has an impact of few crores here and there.

Rahul Jain : Okay, so just to understand sir, we mentioned that Rs.1000 Crores of Xanthine revenues we can do in the current year FY 2027 and we have already spoken about 40%, 45% growth on the revenues in CDMO and also with regards to API you mentioned so if I try to sum these numbers up then and also based on the capex which we have done in last 2, 3 years do we feel that the guidance, which we have given both for revenue and EBITDA is a more conservative number as far as FY 2027 is concerned?

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Rashesh Gogri : First of all my guidance is for 3-4 years. In FY2027, annual number pinpointing becomes difficult because of the CDMO/CMO nature and the kind of approvals which our customers will get.

Depending on that, the revenue can move from one quarter to other, or first half year to second half year. That is why we decided to give longer term guidance. I think looking at the current scenario it is possible on the top line growth. Definitely, we will be able to grow the top line. Of course, on the EBITDA, I think we have to look at overall West Asia crisis and how war situation moves ahead and how things normalize in future, what will be the Rupee fx going forward; all these factors have a lot of bearing on overall EBITDA. We will have to wait and see what happens. Thanks.

Moderator: We have our next question coming in from Dhwanil Desai of Turtle Capital. Dhwanil, please go ahead.

Dhwanil Desai: Yes. Sir, two questions. So, if we look at historically, in last three years, we have spent Rs.1300 Crores to Rs.1400 odd Crores of capex and, as you mentioned, FY2027, including FY2027 and, we are kind of catching up in terms of ramp up? It will take its own sweet time, so should we look at our company going forward from next year onwards, capital intensity coming down and more ramp-up revenue catching up and hence EBITDA to PAT conversion getting better? Is this how we should think or we will continue to invest this kind of capital going forward?

Rashesh Gogri: See, I think last year we spent Rs.400 Crores and we spent Rs.200 Crores last to last year, so total Rs.600 Crores spent. This year we plan to spend another tentatively Rs.400 Crores going forward and of course, these are for the projects. Whereas, this entire Atali capex itself was close to Rs.450 Crores and also the capex for the Xanthine expansion was also, so these two were very large capex,

which we had to do. Of course, Atali being greenfield, we had to do a lot of first time capex. Now, looking at newer blocks, which can double the capacity, will be at much lower cost going forward. We had to bite in the first round of higher capex in Atali. As far as other capex are concerned, we are trying to do more brownfield where we did, expansion of our API facility in steroid block expansion and anticancer block coming in future. We have earlier mentioned on our call that, we want to do every year one block at Atali going forward and we will stick to that. As our projects move to commercialization phase, we will have more and more manufacturing move to Atali in future. Overall, to meet our long term revenue growth of 15-18%, we have to grow the manufacturing footprint, for which we have to do the availability of reactor volumes beforehand and so, we are doing appropriate expansion to manage the

overall capacity.

Dhwanil Desai: Got it. Sir, my question is that I understand the need to expand, but I am saying because most of this expansion going forward will be brownfield. Generally, the ramp up is faster and, the capex outlay

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is lower. So, the depreciation amortization is much lower. So is that how the equation will pan out from FY2028 onwards? Is that how we should look at it?

Rashesh Gogri: Yes. From FY2028 onwards, that is what will happen but we had to do more capex greenfield in this year. And capacity of Xanthine also required some greenfield and some brownfield, so which we had to.

Dhwanil Desai: Got it. Got it. So the capex intensity will come down from FY2028?

Rashesh Gogri: Yes.

Dhwanil Desai: Yes. And Sir second question, so we have guided for next three to four years 15% to 18% revenue, 15% to 18% margin but in the previous commentary, we have talked about CDMO being the highest margin followed by Xanthine, followed by API and if I look at the capexes that we have done, the large ones that we have done are mainly on the CDMO and Xanthine side. So, of course, the proportion of revenue from Xanthine and CDMO will go up in the overall pie. So, ideally, that should lead to margin improvement and hence, much better EBITDA growth than revenue growth. I mean, that's on a conceptual level. So, what am I missing here?

Rashesh Gogri: So in Xanthine, currently we are capturing all the marquee customers. As our higher capacities will come, we will have to go after more spot market, where of course, we have to fight with our competitor and get that volume. That is where definitely the top line growth will come. But overall, I think EBITDA growth will not catch up to that level. I think in CDMO /CMO also as we commercially ramp up the products, I think the volume can grow faster. Value can grow faster, but of course, we have to get lower margin expectation as we increase our sales for the commercialized products and of course, slowly, I think once we catch up on this manufacturing and commercializing the benefits of that is why we are doing, looking at doing, for purpose expansion for this kind of project so that the plants are designed for what they are manufacturing so which can get more years, more recycling of solvents and stuff like that in future, and then the cost efficiencies can come in, in future. So that is to be seen but overall, that is where we are in terms of EBITDA and the top in the revenue.

Dhwanil Desai: Got it. Very clear. Thank you. I will come back in the queue.

Moderator: Thank you so much. We will take our next question from Preet Jain of Niveshaay Investment Advisors. Please unmute your microphone, Preet.

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Preet Jain: Sir my question is on the Atali plant capex. So, Sir, Atali I want to know the block level economics of Atali plant and now that the common utilities are in place, what is the incremental capex and timeline for additional blocks at Atali? Should not we expect the asset turns to step up in the subsequent phase? Earlier, your guidance was 1 to 1.2x for Atali. I want to know that, any revision to that or are you intact on that guidance only?

Rashesh Gogri: I think for the dedicated blocks, we anticipate capex turn of 1.5x to 2x. Of course, it depends on the number of stages that we are doing, if we are doing quite a bit of stages, then this capex turn can reduce, but the margins can grow. So I think for the near future, whatever the current visibility that we have, we are looking at 1.5x to 2x on the capex turnaround.

Preet Jain: And Sir, another question is on impact of RM cost on margin. First, for Xanthine and sulfur urea RM impact and second, API RM cost, pass through, logistics cost.

What margin impact? Can you quantify this in value terms?

Rashesh Gogri: No. So overall, I think, as you rightly mentioned, in Xanthine, we have several raw materials, which are urea and methanol and methanol based derivatives. So all these prices have gone up by 2x of

whatever they were earlier and in certain other raw materials, of course, the prices have also gone up by 30% to 40%. We are requesting our customers to take a proportionate price increase for this. In case of API, I think largely the impact has been because, as, we are into high value, low volume API. I think largely the impact is on the solvents and Aarti Pharma has a lot of solvent recycling capabilities. So, that is being fully utilized. Even our Atali plant also has solvent recycling facility. So wherever permissible as per GMP, we try to recycle this solvent so that this impact can be minimized. But still, I think this impact remains. Also, of course, the logistics impact also remains. I think anywhere between 5% in raw material, we are seeing this overall impact of solvents and other cost escalation 5% to 7%.

Preet Jain: And my last question is on your active CDMO customer has stayed at 21 for last five consecutive quarters, I want to know that which players are shifting from China -plus-one value chain. So, could you please help us understand, are you in active engagement? Are you speaking with any new customers that simply have not translated to any commercial project yet? And on the new business funnel, what does your inquiry pipeline look like, like today versus 12 months ago?

Rashesh Gogri: No, I think in year 2025, we had overall slowdown because of the global uncertainties and the tariffs, how and where the manufacturing should happen. I think that situation has stabilized a little bit and we are seeing some inquiries, more inquiries getting generated now. In case the number of customers which are 21 currently but of course, we are engaging with the same customers on the newer projects
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as well. We are also engaging with more newer customers as well. I think in future we will see this number grow in this current financial year.

Preet Jain: Sir thank you.

Moderator: Thank you, Preet. We will take Yash Sinha of MIPL with his question now.

Yash Sinha: Sir I just wanted to understand this quarter we saw a slightly muted performance in the intermediaries business because of the feedstock inflation that you mentioned. Just wanted to understand how has that evolved so far in Q1 for FY2027 given that those key raw materials are still inflated? What kind of communication have you had with your clients about potentially at least passing on some of this expense this quarter or do we expect that for the rest of this financial year performance in the intermediaries business to be kind of muted?

Rashesh Gogri: Yes, I think as you rightly mentioned, there was a lot of price increase due to Middle East crisis and for the orders which we had already on hand, I think the customers have resisted giving the price increase because these are all high value and low volume projects that we have. I think, however, they remain committed that for future, they will be able to give us some increase in future. Normally, these projects on which we have these orders are campaign driven, so we have once in a year or once in every two quarter order from this customer. So, this is not a regular item. So, we have to see what will happen in the future and how the raw material pricing will remain in future going forward and how much price escalation that we can get from these existing customers but however, any new inquiry we are able to quote at a revised cost basis where, the new orders that we will accrue will be of a little bit of improved pricing over last price.

Yash Sinha: Got it. Got it. Lastly,

just a book question, a bookkeeping question from my side. This quarter we saw that Rs.33 Crores one time forex led loss do we have any other forward contracts currently on our books that can potentially lead to a one time hit like this in the FY2027?

Rashesh Gogri: I think everything has been accounted for. Going forward, I think we do not have anything unaccounted which is beyond six, eight months forward. -

Piyush Lakhani: Of course, we have term loans. So basically, Yash, this Rs.33 Crores comprises of what the gain on the operations that is export minus imports. Okay. So that is a gain of about Rs.22 Crores and Rs.33 Crores is the foreign currency loss or notional loss that I incur on my foreign currency loans.

Yash Sinha: Got it. This is not a cash loss, right?

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Rashesh Gogri: No not a cash loss.

Yash Sinha: That is it from my end. Thank you so much.

Moderator: Thank you. We will take our next question from Shubham Aggarwal of Burman Capital. Shubham, please go ahead. We will wait for the connection.

Shubham Aggarwal: Hi Sir, thank you so much for the opportunity. Sir, I just wanted to understand that your OpEx costs have obviously gone up by 43% year -on-year and about 13% quarter -on-quarter? I just wanted to understand what is the largest driver of this increase and should we expect the OpEx cost will remain at this level going forward and therefore your margins can come under pressure in FY2027?

Rashesh Gogri: We have operationalized additional almost 440 KL capacity at Atali plus another 250 KL at our leased site. Combined coming on our books almost 700 KL from the FY2027 Q1. So, which is a very

large multipurpose capacity as against our earlier capacity of around 1000 KL. It is almost a 70% increase, which has happened from the previous year's numbers to FY2026 number and going forward also. This increase and overall our man hours which have been logged in over previous year have also increased significantly almost 50% to 60% over and above the earlier year man hours. As we expand our manufacturing footprint for these multipurpose projects, I think the costs are increasing and of course, as the ramp up happens, the revenue increase will also come.

Shubham Aggarwal: Sir you mentioned that your capacity increases have largely gone in Q1 as well. So like, should we expect another step jump in your operational costs from Q4 to Q1 FY 2027?

Rashesh Gogri: Yes. Yes. So I think not Q1, but I think from Q2 we will have a step jump because as we mentioned, we are just finishing our Xanthine expansion also in Q1 for final product capacity. And also we are completing the Atali phase 1 completion whatever the small block that remained, that will also get completed and fully capitalized. So with this both coming in, I think next quarter onwards, we will have full operations on all the expanded assets.

Shubham Aggarwal: So Sir, due to this, other increases, in happening from Q2 onwards, like can we expect the margins for the company to like go below 20%, where we can see large pressure coming in?

Rashesh Gogri: No, no.

Shubham Aggarwal: Okay, okay understood. Sir lastly on the Xanthine prices can you just help us out with how much price increases have we seen so far due to the Chinese rebates going away and because of the war conflict if you can just quantify that part.

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Rashesh Gogri: I think Chinese rebate was close to 11% or 13% and that is what I think overall the price has increased due to that. Apart from that, I think in US there is a 20% tariff, also 25% tariff on China. So, considering those benefits that we have, we have been able to get those price increase particularly for the US market from our end.

Shubham Aggarwal

I: Sir can you just help us with the numbers like?

Moderator: Sorry about that. Shubham, we have other participants waiting. Can you rejoin the queue please? Thank you so much. We have Tushar Raghatate of Omega Portfolio Advisors. Tushar, please go ahead with your question now.

Tushar Raghatate: Yes, thank you for the opportunity. Sir I just wanted to understand like in terms of if you convert our revenues in the dollar adjustment term for the 55% of your export revenue, we see that there is a 5% of degrowth in the revenue and I just wanted to know in terms of your view on the API front and also the pass on of the prices. So how do you see the growth when coming in, adjusting for the dollar terms for the next one to two years that would be our first question. Secondly, in terms of, you said that the capex costs are front loaded. So when can we expect that balancing figure in terms of the EBITDA contribution from the capex from which quarter or at least from which half to start materializing in terms of the margin expansion or at least maintaining that?

Rashesh Gogri: Overall, the foreign exchange rupee dollar has moved significantly over the last couple of quarters. I think earlier part of the year was not that big change. Overall, I think the rupee adjusted, anyway, we have mentioned that API intermediate, there was a degrowth definitely on that segment and that has resulted in overall muted growth in rupee terms in our top line and in terms of the overall capacity and the EBITDA catch-up, I think it will take at least one year from now for the current capexes, which are coming on stream in Q1 to meaningfully contribute to the EBITDA and normalization to happen.

Tushar Raghatate: And so this post CDMO scale up, do you see the working capital to increase and if yes, then by what number?

Rashesh Gogri: We have to work out the working capital increase because most of these projects have, one time or two time deliveries in a year and as we grow the sales of single projects that we have, and if they are large projects, we end up getting a lot of inventory and manufacturing across our facilities for many quarters till we deliver this. So we have to see how it goes in the future. Unfortunately, these large customers do not pay us advance. So we have to finance this inventory ourselves.

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Tushar Raghatate: Fair enough. I will get back in the queue. Thank you.

Moderator: Thank you, Tushar. We are taking our next question from Bhavika Singhvi of CJ Shah. Bhavika, please unmute your microphone.

Bhavika Singhvi: Thank you for the opportunity. Sir, my first question is I want to understand that in Q4 CDMO mix was very high. Still our gross margin was less Q-o-Q. So, is it one kind of event or did you experience any major or material pricing pressure in any division?

Rashesh Gogri: No. This quarter, we had Rs.155 Crores consignment of last quarter moving to this quarter in terms of revenue getting increased in this quarter. Otherwise, last two quarters would have been Rs.100

Crores each of CDMO sales. As we mentioned over previous quarter, previous year, we have more operational assets to digest in and which has resulted in higher manufacturing costs and I think in moving, going forward as we do more meaningful production from these assets, revenues will increase and they will compensate for the cost increase in future.

Bhavika Singhvi: Okay and other I want to understand from the evaluation point of view, when global innovators shortlist CDMO partners, does Aarti Pharma, like Aarti's financial strength specifically because we have a very unique balance sheet as we self-fund capex from the Xanthine cash flow. So, just want to understand that how the evaluation work does it pay in our favor? And also for the Atali unit specifically, do you have full customer commitment in place for the capacity being built right now?

This is just to understand our broader capex philosophy that do we only commit to build capacity after a customer is signed or do you sometime build it speculatively and then fit it, if you can help me understand please?

Rashesh Gogri: Yeah, overall for the CDMO, we are definitely doing the capex keeping long term plan in mind. I think there is a mix of multipurpose capex and custom built manufacturing facilities that we plan to do in future for several projects that we have. We have long term, near long term understanding from the customers what kind of volumes these kind of drugs, once approved, can reach and once we have this greater visibility, we are putting up these kind of assets to meet our innovator customers' demand going forward. Largely, I think custom-built facilities are on the basis of sensible forecast that we have from these customers. Of course, these customers cannot be held at gunpoint if they do not buy from us, but we have to use our judgmental call, for our capex. These custom-built facilities, of course, have the starting reactors, which can also be made multipurpose also in future, if there are any issues with these customers, but largely, I think we are following with their guidance and as long as we continue to work and meet the customer's expectations on quality and the deliverables, I think we will continue to get more revenue from these customers.

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Bhavika Singhvi: I think you missed the first part of the question, that does our unique balance sheet help us shortlisted by our CDMO partners?

Rashesh Gogri: Yes. I think why we get shortlisted, a few things - our manufacturing capabilities, unique ability to scale up the production from kilo lab and put up the assets, unique ability to do a very backward integrated play where the China dependence is reduced. I think apart from the balance sheet, these are the other factors which play. Of course, the chemistry also plays a big part now with the R&D and the addition of our CSO also along with the other team members have also been one of the factors why we can get more projects.

Bhavika Singhvi: Thank you so much.

Moderator: Thank you. We are taking the next question from Deep Gandhi of iThought PMS. Deep, please go ahead with your question now.

Deep Gandhi: Sir the first question is on the capex side as you have guided that this year will do Rs.400 Crores capex but I do not have shared a break up so can you give us a broad break up in what areas this Rs.400 Crores going to be spent and does this also include capex for dedicated development?

Rashesh Gogri: Yes, I think it is a mix of capex where we will be completing the Xanthine in this current quarter. So there are certain projects which are ongoing on the Xanthine front. Also, we will be finishing our capitalization of the Atali earlier phase 1. We are starting phase two there also, so, all these projects and of course, debottlenecking. I think these largely three buckets were and fourth bucket will be, I think, normal capex that we have the replacement capex. So, more or less equally spread out among all four largely, plus or minus 20. And of course, we will also spend on R&D.

Deep Gandhi: And does this include the capex for dedicated block or will that be a separate number which you will share later on once it is decided?

Rashesh Gogri: That has been factored in.

Deep Gandhi: So, how much will be the capex for dedicated block?

Rashesh Gogri: We are still working that out. So, once we have some number, we will try it.

Deep Gandhi: Okay and Sir, on the Xanthine side, can you broadly call out what was the volume growth and value growth for this quarter on a Y-o-Y basis, the growth which you have seen?

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Rashesh Gogri: I think we will have to look at the Y-o-Y numbers, but as we have mentioned, we are operating fully. So we are utilizing our plant at 500 tonnes per month and we have given you the revenue now.

Moderator: Next, we have Vikas Sharda of NT Asset Management. Vikas, please go ahead with your question now.

Vikas Sharda: Yes. One clarification on the foreign currency loss. So in the P & L there is a line item of Rs.17 Crores

and in the table below in the notes it says Rs.13 Crores. So are these overlapping numbers and how does the overall the foreign exchange impacted the results this quarter or let us say going forward?

Rashesh Gogri: Yes, so Rs.17 Crores is the total forex loss for the quarter and the Rs.13 Crores is on one of the contracts. So that is where the difference is. The Rs.17 Crores, as I mentioned earlier also, it comprises of my gain on the operations that is my receivable on exports less payable on the imports and then there is the loss on the contracts, the foreign currency contracts that we enter into and then there is a third portion, which is the increase on my foreign currency loans, which a part of it under foreign currency loans. So, that is basically, net effect of that is Rs.17 Crores.

Vikas Sharda: Got it. And when you look at say EBITDA or when you guide for EBITDA, you exclude this line item or you include that?

Rashesh Gogri: Yes. Exclude.

Vikas Sharda: Perfect. Yes. Thank you very much.

Moderator: Thank you. Requesting all participants to remain in the queue. So, ladies and gentlemen, due to paucity of time, we will take that as the last question for today. I will now hand it over to the management for their closing remarks. Over to you, management.

Rashesh Gogri: Yes, I would like to thank everyone who could take their time out to attend this call. Thank you.

Moderator: Thank you so much. As there are no further questions, on behalf of Aarti Pharma Labs Limited, this concludes today's conference call. Thank you all for joining us and you can now click on the leave icon to exit the meeting. Thank you all for your participation.